

In the opinion of Gilmore & Bell, P.C., Bond Counsel to the District, under existing law and assuming continued compliance with certain requirements of the Internal Revenue Code of 1986, as amended, the interest on the Bonds is excludable from gross income for federal income tax purposes, and is not an item of tax preference for purposes of the federal alternative minimum tax. Bond Counsel is also of the opinion that the interest on the Bonds is exempt from State of Utah individual income taxes. Bond Counsel notes interest on the Bonds may be included in adjusted financial statement income of applicable corporations for purposes of determining the applicability and amount of the federal corporate alternative minimum tax. See "TAX MATTERS" in this Limited Offering Memorandum.

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

\$5,645,000

LIMITED TAX

**GENERAL OBLIGATION BONDS,
SERIES 2024A**

\$1,000,000

SUBORDINATE LIMITED TAX

**GENERAL OBLIGATION BONDS,
SERIES 2024B**

Dated: Date of Delivery

Due: As shown on inside cover

Viridian Farm Public Infrastructure District No. 1 (the "District") is issuing (a) its Limited Tax General Obligation Bonds, Series 2024A (the "2024A Senior Bonds"), pursuant to an Indenture of Trust (Senior) to be dated as of September 1, 2024 (the "Senior Indenture") between the District and UMB Bank, n.a., as trustee (the "Trustee"), and (b) its Subordinate Limited Tax General Obligation Bonds, Series 2024B (the "2024B Subordinate Bonds" and, together with the 2024A Senior Bonds, the "Bonds") pursuant to an Indenture of Trust to be dated as of September 1, 2024 (the "Subordinate Indenture" and, together with the Senior Indenture, the "Indentures"), between the District and the Trustee, as trustee for the 2024B Subordinate Bonds. The Trustee will also act as Registrar and Paying Agent for the Bonds. DTC will act as securities depository for the Bonds. The Bonds will be issued in book-entry-only form and purchasers of the Bonds will not receive certificates evidencing their ownership interests in the Bonds. Capitalized terms used on the cover page of this Limited Offering Memorandum are defined in the Introduction herein or in APPENDIX C—SELECTED DEFINITIONS hereto.

The 2024A Senior Bonds bear interest at the rate set forth on the inside cover hereof, payable annually on March 1 and September 1 of each year, commencing March 1, 2025, from available Senior Pledged Revenue, if any. See "THE 2024A SENIOR BONDS." The 2024B Subordinate Bonds bear interest at the rate set forth on the inside cover hereof, payable annually on March 15 of each year, commencing March 15, 2025, from available Subordinate Pledged Revenue, if any. See "THE 2024B SUBORDINATE BONDS."

The 2024A Senior Bonds are limited tax general obligations of the District secured by and payable solely from the Senior Pledged Revenue consisting of the following: (a) all Senior Property Tax Revenues; (b) all Senior Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Senior Bond Fund. The District has covenanted to levy ad valorem property taxes in the amount of the Senior Required Mill Levy upon all taxable property of the District each year, subject to certain minimum and maximum limitations as described herein. The 2024A Senior Bonds will also be secured by amounts on deposit in the Reserve Fund, which will be funded with proceeds of the Bonds in the amount of \$564,500. The interest on the 2024A Senior Bonds through March 1, 2027 and a portion of the interest due September 1, 2027 will be paid from capitalized interest to be funded with proceeds of the 2024A Senior Bonds in the amount of \$916,626.50. **The Senior Indenture provides that, notwithstanding any other provision therein, in the event that any amount of principal of or interest on the 2024A Senior Bonds remains unpaid after the application of all Senior Pledged Revenue available therefor on March 1, 2065, the 2024A Senior Bonds and the lien of the Senior Indenture securing payment thereof will be deemed discharged, and the estate and rights thereby granted will cease, terminate, and be void.**

The 2024B Subordinate Bonds are "cash flow" limited tax general obligations of the District secured by and payable from the Subordinate Pledged Revenue, consisting of the following: (a) all Subordinate Property Tax Revenue; (b) all Subordinate Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Subordinate Bond Fund (the Senior Pledge Revenue and Subordinate Pledged Revenue are together referred to herein as the "Pledged Revenue"). No regularly scheduled payments of principal are due on the 2024B Subordinate Bonds prior to their stated maturity date, and any interest payments on the 2024B Subordinate Bonds that are not paid when due will accrue and compound on each Interest Payment Date until sufficient Subordinate Pledged Revenue is available for payment, or until discharged as described below. **As projected in the Financial Forecast, it is not anticipated that there will be any Subordinate Pledged Revenue available to pay accrued interest on the 2024B Subordinate Bonds until 2026, and it is not anticipated that there will be any Subordinate Pledged Revenue available to pay principal on the 2024B Subordinate Bonds until 2033. The Financial Forecast also projects that the 2024B Subordinate Bonds will be redeemed on March 15, 2045, which is prior to the stated maturity date of March 15, 2054. These dates represent a forecast and there is no guarantee that any payments will be made on or after such date or, further, that the 2024B Subordinate Bonds will be paid prior to their discharge date of March 15, 2065, as more particularly described below.** The Subordinate Indenture provides that, notwithstanding any other provision therein, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof will be deemed discharged, and the estate and rights thereby granted will cease, terminate, and be void.

The Bonds are being issued as registered as fully registered bonds in minimum denominations of \$500,000 or any integral multiple of \$1,000 in excess thereof. See "THE 2024A SENIOR BONDS—Authorized Denominations of the 2024A Senior Bonds" and "THE 2024B SUBORDINATE BONDS—Authorized Denominations of the 2024B Subordinate Bonds." The Bonds are exempt from Securities and Exchange Commission Rule 15c2-12 (17 C.F.R. Part 240, section 240.15c2-12) (the "Rule") established under the Securities Exchange Act of 1934, as amended, in reliance on the limited offering exemption in the Rule, and the Indentures prevent the sale or transfer of the Bonds in principal amounts of less than \$500,000.

The 2024A Senior Bonds are subject to optional and mandatory sinking fund redemption and the 2024B Subordinate Bonds are subject to optional and mandatory redemption prior to maturity at the prices and upon the terms set forth in the Senior Indenture and the Subordinate Indenture, respectively, as described in this Limited Offering Memorandum.

Proceeds from the sale of the Bonds will be used for the purposes of financing or reimbursing a portion of the costs of acquiring, constructing, and/or installing certain public infrastructure to serve the Development and paying the costs of issuing the Bonds. A portion of the proceeds of the 2024A Senior Bonds will also be used to fund (a) the Reserve Fund to the Reserve Requirement and (b) a portion of the interest to accrue on the 2024A Senior Bonds.

REPAYMENT OF THE PRINCIPAL OF AND INTEREST ON THE BONDS IS SPECULATIVE IN NATURE AND INVOLVES A HIGH DEGREE OF INVESTMENT RISK. AS SUBORDINATE "CASH FLOW" OBLIGATIONS, REPAYMENT OF THE 2024B SUBORDINATE BONDS IS SUBJECT TO A HIGHER DEGREE OF RISK THAN REPAYMENT OF THE 2024A SENIOR BONDS. THE PROPERTY IN THE DISTRICT IS CURRENTLY VACANT AND LARGELY UNDEVELOPED. REPAYMENT OF THE PRINCIPAL OF AND INTEREST ON THE BONDS IS DEPENDENT UPON DEVELOPMENT OCCURRING WITHIN THE DISTRICT AND UPON FUTURE INCREASES IN THE ASSESSED VALUATION OF THE PROPERTY WITHIN THE DISTRICT, NEITHER OF WHICH MAY OCCUR. EACH PROSPECTIVE INVESTOR IS ADVISED TO READ "RISK FACTORS" HEREIN FOR A DISCUSSION OF CERTAIN RISK FACTORS THAT SHOULD BE CONSIDERED IN CONNECTION WITH AN INVESTMENT IN THE BONDS. THE BONDS ARE BEING OFFERED AND SOLD ONLY TO "QUALIFIED INSTITUTIONAL BUYERS" AS SUCH TERM IS DEFINED IN 17 C.F.R. SECTION 230.144A OR AN "ACCREDITED INVESTOR" AS DEFINED IN RULE 501 OF REGULATION D UNDER THE SECURITIES ACT. INVESTORS WILL BE REQUIRED TO EXECUTE AN INVESTOR LETTER IN SUBSTANTIALLY THE FORM APPENDED HERETO AS APPENDIX H.

This cover page contains certain information for quick reference only. It is not a summary of this issue. Investors must read the entire Limited Offering Memorandum to obtain information essential to the making of an informed investment decision.

The Bonds are offered when, as, and if issued by the District and accepted by the Underwriter subject to the approval of legality of the Bonds by Gilmore & Bell, P.C., Salt Lake City, Utah, as Bond Counsel, and the satisfaction of certain other conditions. Gilmore & Bell, P.C. has also assisted in the preparation of this Limited Offering Memorandum in its capacity as Disclosure Counsel to the District. Certain legal matters will be passed upon by Snow Jensen & Reece, P.C., St. George, Utah, as counsel to the District. Kline Alvarado Veio, P.C., Denver, Colorado, is acting as counsel to the Underwriter. Tierra Financial Advisors, LLC, Arlington, Texas, has served as Municipal Advisor to the District in connection with the issuance of the Bonds. The Bonds are expected to be available for delivery through the facilities of DTC on or about September 26, 2024.

WELLS FARGO SECURITIES

This Limited Offering Memorandum is dated September 17, 2024.

2024A Senior Bonds Maturity Schedule

\$5,645,000 5.875% Term Bond due March 1, 2054 Price 100% CUSIP 92841P AA2*

2024B Subordinate Bonds Maturity Schedule

\$1,000,000 8.375% Term Bond due March 15, 2054 Price 100% CUSIP 92841P AB0*

* The above-referenced CUSIP number(s) have been assigned by an independent company not affiliated with the parties to this bond transaction and are included solely for the convenience of the holders of the Bonds. None of the District or the Trustee is responsible for the selection or uses of such CUSIP numbers, and no representation is made as to its correctness on the particular Bonds or as indicated above. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part of such maturity or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities.

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1
Salem City, Utah

Board of Trustees

Adam Loser, Chair
Jonathan Thornley, Vice Chair
Scott Bishop, Clerk/Secretary

District Counsel

Snow Jensen & Reece, P.C.
St. George, Utah

Bond and Disclosure Counsel

Gilmore & Bell, P.C.
Salt Lake City, Utah

Trustee, Registrar and Paying Agent

UMB Bank, n.a.
Phoenix, Arizona

Underwriter

Wells Fargo Securities, LLC
Denver, Colorado

Underwriter's Counsel

Kline Alvarado Veio, P.C.
Denver, Colorado

Municipal Advisor to the District

Tierra Financial Advisors, LLC
Arlington, Texas

USE OF INFORMATION IN THIS LIMITED OFFERING MEMORANDUM

This Limited Offering Memorandum, which includes the cover page and the appendices, does not constitute an offer to sell or the solicitation of an offer to buy any of the Bonds in any jurisdiction in which it is unlawful to make such offer, solicitation, or sale. No dealer, salesperson, or other person has been authorized to give any information or to make any representations other than those contained in this Limited Offering Memorandum in connection with the offering of the Bonds, and if given or made, such information or representations must not be relied upon as having been authorized by the District or the Underwriter.

The information set forth in this Limited Offering Memorandum has been obtained from the District, the Developer, and from other sources believed to be reliable but is not guaranteed as to accuracy or completeness. In accordance with its responsibilities under federal securities laws, the Underwriter has reviewed the information in this Limited Offering Memorandum but does not guarantee its accuracy or completeness. This Limited Offering Memorandum contains, in part, estimates and matters of opinion which are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions, or that they will be realized.

The information, estimates, and expressions of opinion contained in this Limited Offering Memorandum are subject to change without notice, and neither the delivery of this Limited Offering Memorandum nor any sale of the Bonds shall, under any circumstances, create any implication that there has been no change in the affairs of the District, or in the information, estimates, or opinions set forth herein, since the date of this Limited Offering Memorandum.

This Limited Offering Memorandum has been prepared only in connection with the original offering of the Bonds and may not be reproduced or used in whole or in part for any other purpose.

The Bonds have not been registered with the Securities and Exchange Commission due to certain exemptions contained in the Securities Act of 1933, as amended. In making an investment decision, investors must rely on their own examination of the District, the Bonds and the terms of the offering, including the merits and risks involved. The Bonds have not been recommended by any federal or state securities commission or regulatory authority, and the foregoing authorities have neither reviewed nor confirmed the accuracy of this document. Any representation to the contrary may be a criminal offense.

THE PRICES AT WHICH THE BONDS ARE OFFERED TO THE PUBLIC BY THE UNDERWRITER (AND THE YIELDS RESULTING THEREFROM) MAY VARY FROM THE INITIAL PUBLIC OFFERING PRICES OR YIELDS APPEARING ON THE INSIDE COVER HEREOF. IN ADDITION, THE UNDERWRITER MAY ALLOW CONCESSIONS OR DISCOUNTS FROM SUCH INITIAL PUBLIC OFFERING PRICES TO DEALERS AND OTHERS. IN ORDER TO FACILITATE DISTRIBUTION OF THE BONDS, THE UNDERWRITER MAY ENGAGE IN TRANSACTIONS INTENDED TO STABILIZE THE PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this offering document.

FORWARD-LOOKING STATEMENTS

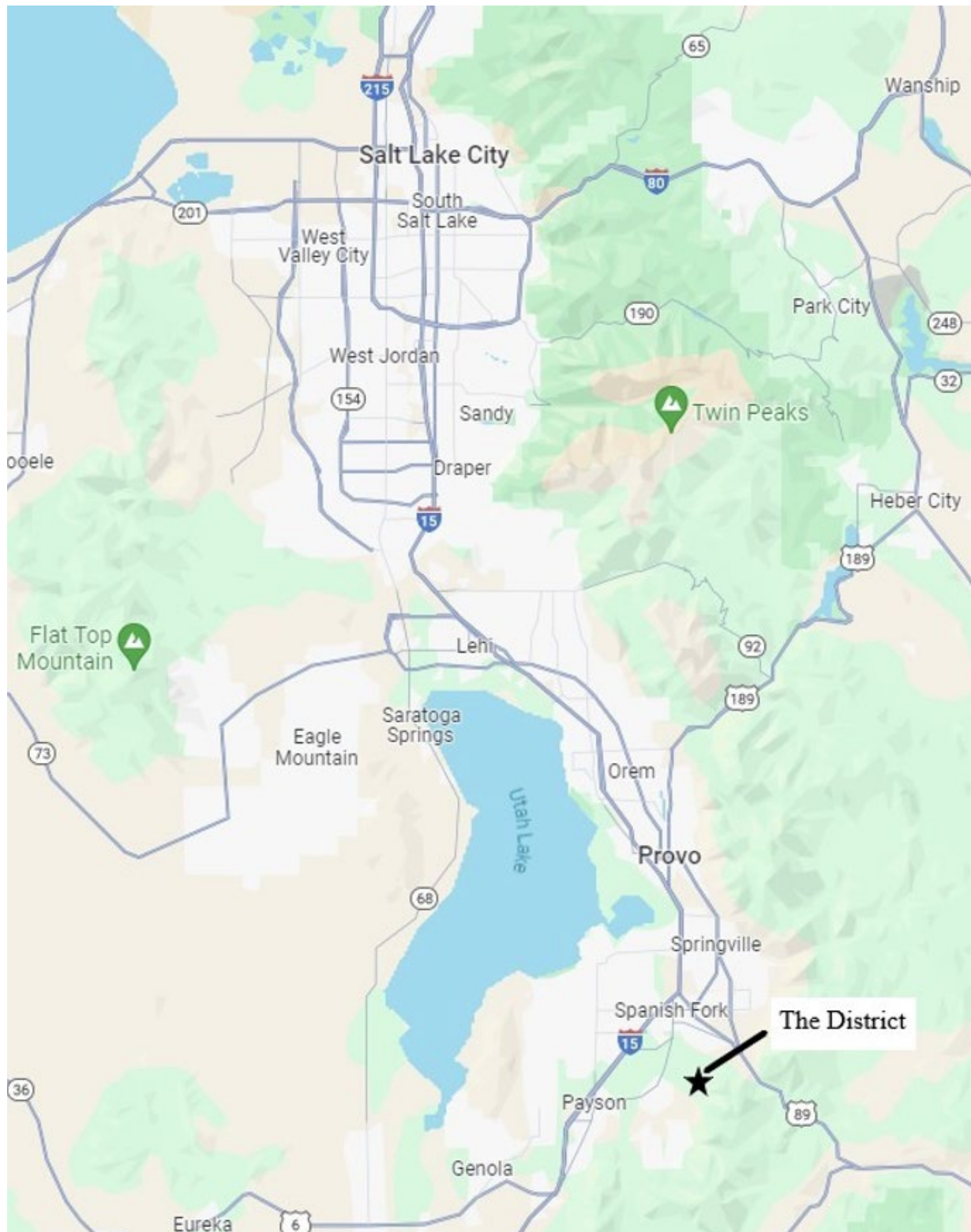
This Limited Offering Memorandum, including, but not limited to the Financial Forecast attached hereto as APPENDIX A and the Market Study attached hereto as APPENDIX B, contains statements relating to future results that are "forward-looking statements" as defined in the Private Securities Litigation

Reform Act of 1995. When used in this Limited Offering Memorandum, the words “estimate,” “forecast,” “anticipate,” “intend,” “expect,” “plan,” “projected” and similar expressions identify forward-looking statements. Any forward-looking statement is subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop the forward-looking statement will not be realized and unanticipated events and circumstances will occur. Therefore, it can be expected that there will be differences between forward-looking statements and actual results, and those differences may be material. For a discussion of certain of such risks and possible variations in results, see “RISK FACTORS.” Undue reliance should not be placed on forward-looking statements. All forward-looking statements included in this Limited Offering Memorandum are based on information available to the District on the date hereof, and the District assumes no obligation to update any such forward looking statements if or when the expectations or events, conditions, or circumstances on which such statements are based occur or fail to occur.

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DISTRICT VICINITY MAP

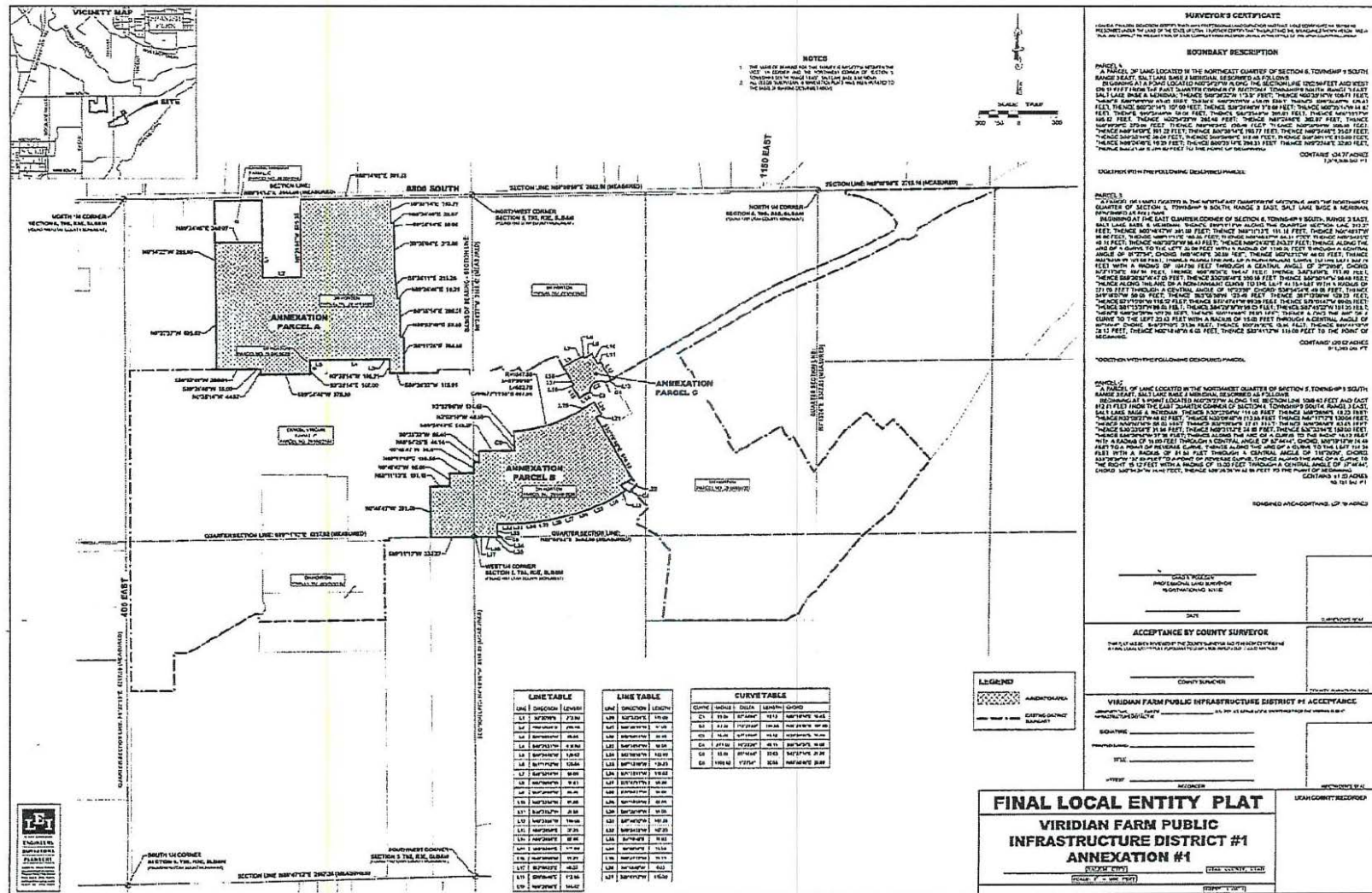


AERIAL MAP OF DEVELOPMENT LOCATION



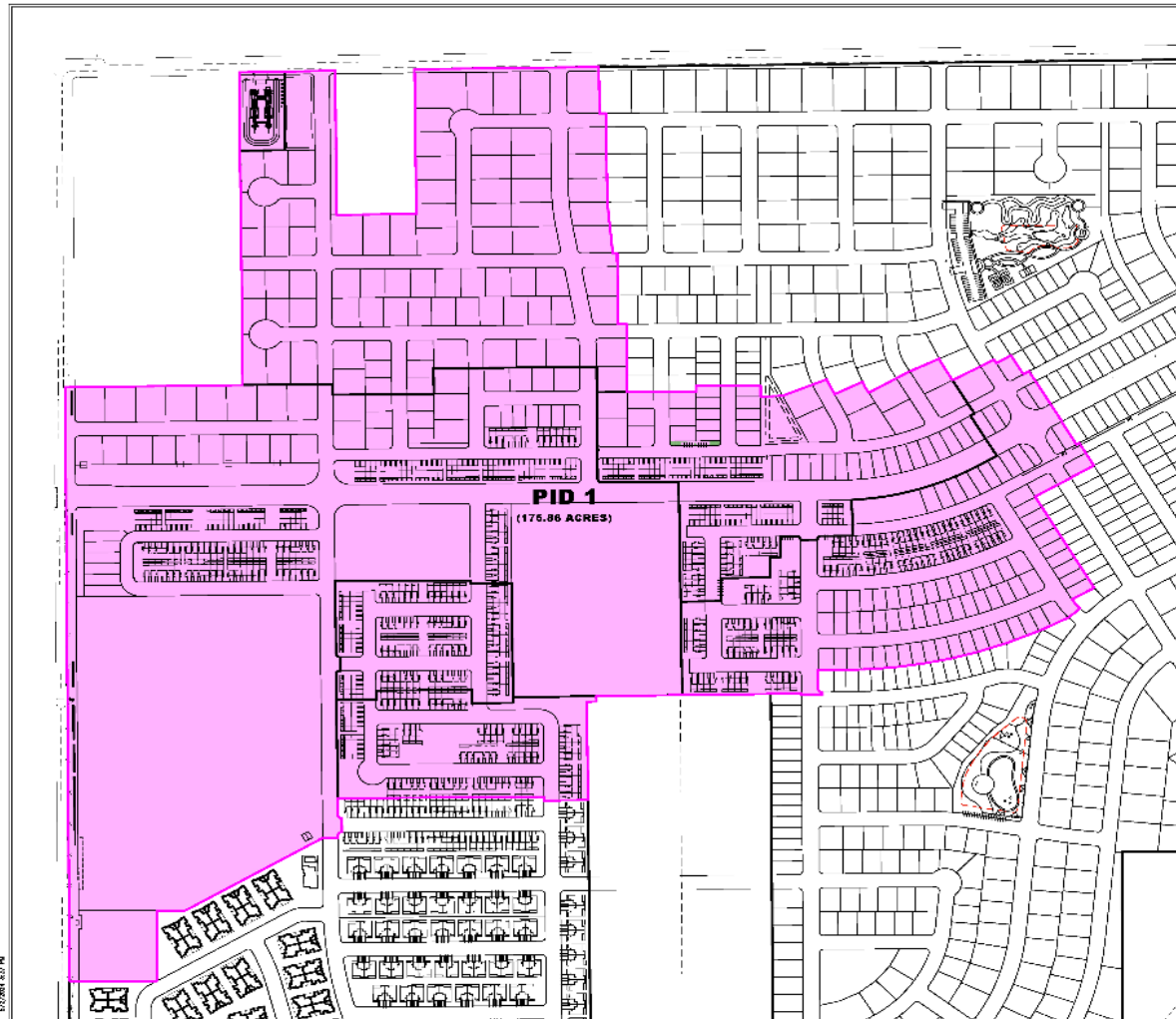
DISTRICT MAP

The below map reflects property which was annexed into the District after its creation. For the aggregate District boundaries see “DEVELOPMENT LAND USE PLAN” on the following page.



DEVELOPMENT LAND USE PLAN

Below is a land use plan, provided by the Developer, of the anticipated Development in the District. Property within the District, shaded in pink below, encompasses approximately 177 acres and is being provided for informational purposes only to provide potential investors with information regarding the anticipated Development. ***There can be no assurance that the Development will be completed as shown on the land use plan below or at all.*** See “RISK FACTORS—Development Not Assured” and “THE DEVELOPMENT.”



LIMITED OFFERING MEMORANDUM

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1	\$1,000,000
\$5,645,000	
LIMITED TAX	SUBORDINATE LIMITED TAX
GENERAL OBLIGATION BONDS,	GENERAL OBLIGATION BONDS,
SERIES 2024A	SERIES 2024B

INTRODUCTION

General

This Limited Offering Memorandum is furnished by the Viridian Farm Public Infrastructure District No. 1 (the “**District**”) to provide certain information concerning its \$5,645,000 Limited Tax General Obligation Bonds, Series 2024A (the “**2024A Senior Bonds**”) and \$1,000,000 Subordinate Limited Tax General Obligation Bonds, Series 2024B (the “**2024B Subordinate Bonds**” and, together with the 2024A Senior Bonds, the “**Bonds**”). The offering of the Bonds is made only by this Limited Offering Memorandum, which supersedes any other information or materials used in connection with the offer or sale of the Bonds. This Limited Offering Memorandum speaks only as of its date, and the information contained herein is subject to change.

While a single Limited Offering Memorandum is being used in connection with the offer and sale of the 2024A Senior Bonds and the 2024B Subordinate Bonds, such series of Bonds are secured by two separate Indentures: the Senior Indenture and the Subordinate Indenture, respectively, as more particularly described herein. The use of a single Limited Offering Memorandum does not imply that the Owners of the 2024A Senior Bonds and the 2024B Subordinate Bonds are secured by the same revenue sources, funds, or covenants. Owners of the 2024A Senior Bonds and the 2024B Subordinate Bonds are afforded different rights under the Senior Indenture and the Subordinate Indenture, respectively. Potential purchasers of the Bonds are cautioned to review carefully the provisions herein describing the Senior Indenture and the Subordinate Indenture as applicable to the Bonds to be purchased.

The information set forth in this Limited Offering Memorandum has been obtained from the District and the Developer (hereinafter defined), and from other sources believed to be reliable but is not guaranteed as to accuracy or completeness. This Limited Offering Memorandum, including the appendices hereto, contains, in part, estimates and matters of opinion which are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions, or that they will be realized. See “FORWARD-LOOKING STATEMENTS” and “RISK FACTORS.” Any capitalized terms not defined herein have the respective meanings set forth in APPENDIX C—SELECTED DEFINITIONS hereto, unless the context clearly indicates a contrary meaning.

The following introductory material is only a brief description and summary of certain information contained in this Limited Offering Memorandum, and is qualified in its entirety by reference to the more complete information contained throughout this Limited Offering Memorandum. The order and placement of materials in this Limited Offering Memorandum, including the appendices, are not to be deemed a determination of relevance, materiality or relative importance. A full review should be made of the entire Limited Offering Memorandum and the documents summarized or described herein.

Changes to Preliminary Limited Offering Memorandum

This Limited Offering Memorandum contains changes from the Preliminary Limited Offering Memorandum dated September 4, 2024, comprised of the interest rates, principal amounts maturing, optional redemption dates, and other information relating to the pricing of the Bonds set forth herein. In addition, this Limited Offering Memorandum has been updated to reflect the creation of the Subordinate Cost of Issuance Account within the Subordinate Project Fund and that such Account will be used to pay a portion of the costs of issuing the Bonds and to reflect that the District has not engaged an accountant. See “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions” and “THE DISTRICT—Administration.”

The District

Formation. On September 20, 2023, the City Council of Salem City, Utah (the “**City**”), adopted a resolution (the “**Creation Resolution**”) authorizing the creation of the Viridian Farm Public Infrastructure District No. 1 (the “**District**”), under Title 17D, Chapter 4 (the “**Public Infrastructure District Act**”), Utah Code Annotated 1953, as amended (“**Utah Code**”), and relevant portions of Title 17B, Chapter 1, Utah Code (the “**Special District Act**” and together with the Public Infrastructure District Act, the “**District Act**”). The Creation Resolution also authorized the creation of the Viridian Farm Public Infrastructure District No. 2 (“**District No. 2**”) and the Viridian Farm Public Infrastructure District No. 3 (“**District No. 3**”) and collectively with the District and District No. 2, the “**Districts**”) and approved a single governing document for all of the Districts (the “**Governing Document**”). The Office of the Lieutenant Governor of the State of Utah issued a Certificate of Creation for the District on October 17, 2023 which was recorded in the real property records of the Utah County Recorder on November 20, 2023. *District No. 2 and District No. 3 will not generate any property tax revenues to pay the Bonds and are not participating in the transactions contemplated by this Limited Offering Memorandum.*

The District was established to provide financing for public infrastructure improvements (the “**Public Improvements**”) to facilitate development within the boundaries of the District. Pursuant to the Governing Document, the District has the power to issue bonds for the purpose of paying all or part of the costs of acquiring, acquiring an interest in, improving, or extending certain public improvements, facilities, or property. The District and the City entered into an Interlocal Agreement dated as of September 20, 2023 (the “**Interlocal Agreement**”), which provides, among other things, that some or all of the Public Improvements constructed within the District will be transferred to the City or other appropriate entity. See “THE DISTRICT—District Agreements—*Interlocal Agreement*.”

Property within the District; Assessed Value; Location. As of the date of this Limited Offering Memorandum, property within the District encompasses approximately 177 acres. As of the 2024 tax year, the market value of property within the District is estimated at \$13,061,550, and the taxable value after including the Greenbelt Reduction (defined herein), is estimated at \$5,894,754, based on the average value assigned by the Utah County Assessor (the “**Assessor**”) for property within the District on a per acre basis multiplied by the total number of acres contained within the District. There is no guarantee that this acreage-based estimate is the exact taxable value of the District. Due to the recent creation of the District, no taxable value is available from the Assessor specifically for the property within the District. See “FINANCIAL INFORMATION—Ad Valorem Property Tax Data”. The population of the District is zero.

The District is located on the east bench within Salem City, Utah, southeast of U.S. Highway 15 and east of State Route 198. The District sits approximately 13 miles south of Provo, Utah, 35 miles south of the Silicon Slopes in Lehi, Utah, and 56 miles south of Salt Lake City, Utah. See “DISTRICT VICINITY MAP” above.

Land Ownership within the District. The Development is being developed by D.R. Horton, Inc., a Delaware Corporation (the “**Developer**”), for the purpose of developing and constructing residential units. Ownership of property within the District is as follows: approximately 76 acres are owned by the Developer and approximately 101 acres are owned by GRNOBL Viridian Farm, LLC, a Utah limited liability company (“**GRNOBL**”). See “THE DEVELOPMENT—Land Ownership” and “—The Developer” herein.

Debt Limit; Mill Levy Authorization. Pursuant to the Governing Document, the Districts share an aggregate debt limit of \$35,000,000 (the “**Governing Document Debt Limitation**”). The District may not impose ad valorem property taxes exceeding 0.005 per dollar of taxable value on any property within the boundary of the District. Pursuant to the Governing Document, the District is permitted to impose such ad valorem property taxes upon the taxable property within the District for payment of limited tax debt. As of the date of this Limited Offering Memorandum, none of the Districts have previously issued debt within the definition of the Governing Document. After the issuance of the Bonds, the Districts will have a combined remaining bond authorization of \$28,355,000.

The Development

The following section contains a summary of the information set forth herein under “THE DEVELOPMENT.” Additional information regarding the Development (defined herein) is set forth therein. Certain of the information contained in this subsection has been obtained from public records and from representatives of the Developer. Although believed to be reliable, such information has not been independently verified by the Underwriter or its counsel, Bond Counsel, or Disclosure Counsel, and neither the Underwriter or its counsel, Bond Counsel, nor Disclosure Counsel makes any representation or warranty regarding the accuracy or completeness thereof. Investors are urged to review this Limited Offering Memorandum and the appendices attached hereto carefully and in their entirety before making an investment in the Bonds. See “THE DEVELOPMENT” and “RISK FACTORS.”

General Description. Property within the District (the “**Development**”) is anticipated to be developed into the first phase of a residential community currently being marketed as the “Viridian Development” (“**Viridian Development**”). According to the Developer, at full buildout the Viridian Development is planned to contain approximately 2,004 residential units consisting of 1,485 single family detached homes and 519 single family attached townhomes; multiple clubhouse facilities; multiple pools; multiple pickleball and basketball courts; sand volleyball court; frisbee golf course; pump-track; amphitheater; multiple pavilions and picnic areas; multi-use trails and playgrounds; tot lots; dog parks and splash pads. According to the Developer, it is anticipated that there will be approximately 716 residential units within the Development, comprised of 466 townhomes, 132 single family detached homes, and 118 cottage homes. Construction of the Public Improvements commenced in the first quarter of 2024 and is anticipated to be completed in the second quarter of 2025. Vertical construction within the Development is dependent upon the completion of the horizontal infrastructure and is anticipated to commence in September 2024 with full buildout of the Development anticipated to occur in 2029 as indicated in the Market Study attached hereto as APPENDIX B. See “THE DEVELOPMENT.”

Notwithstanding any of the foregoing, neither the Developer nor any other owner of property within the Development is obligated to construct buildings thereon in any particular timeframe or at all. See “RISK FACTORS—Development Not Assured,” “THE DEVELOPMENT—Planned Development,” “—Zoning, Public Approvals, and Platting,” and “—Plan of Finance for the Development.”

Summary of Anticipated Development¹

Lot Type	Total Planned Units	Property Owner ²		Anticipated Completion	Zoning Status ³	N/A	Platting Status ⁴	
		Developer	GRNOBL				Prelim.	Final
SFD 1/2 Acre	1	1	0	Q4 2025	Fully Zoned	0	1	0
SFD 18,000 SF	41	32	9	Q4 2026	Fully Zoned	0	33	8
SFD 12,000 SF	67	43	24	Q3 2027	Fully Zoned	0	42	25
SFD 8,000 SF	23	7	16	Q4 2025	Fully Zoned	0	7	16
Rear Load Cottage	30	13	17	Q3 2027	Fully Zoned	0	13	17
Cottage	88	65	23	Q3 2027	Fully Zoned	0	65	23
Front Load TH	327	235	92	Q3 2028	Fully Zoned	138	97	92
Rear Load TH	139	28	111	Q1 2027	Fully Zoned	28	0	111
TOTAL	716	424	292			166	258	292
PERCENT	100%	59%	41%			23%	36%	41%

* As of July 24, 2024. Abbreviations area as follows: SF – square feet; SFD – single family detached; TH – townhome.

² Of the approximately 177 acres of property within the District, approximately 76 acres are owned by the Developer and approximately 101 acres are owned by GRNOBL and are under contract for purchase by the Developer. The Developer anticipates closing on the GRNOBL property through four separate closings. The Developer anticipates closing on such property comprised of 61 townhome lots, 13 cottage lots, and 28 single family detached lots in September 2024; 73 townhome lots and 5 single family detached lots in December 2024; 47 townhome lots, 15 cottage lots, and 16 single family detached lots in March 2025; and 22 townhome lots and 12 cottage lots in June 2025. See “THE DEVELOPMENT—Land Ownership—GRNOBL REPC.”

³ Property within the Development is currently zoned as Master Planned Zone and, according to the Developer, is zoned for its anticipated uses. See “THE DEVELOPMENT—Zoning, Public Approvals, and Platting—Zoning.”

⁴ Of the anticipated 716 residential lots, final plats have been approved for 292 lots, preliminary plats have been approved for 258 lots, with preliminary plats for the remaining 166 lots anticipated to be submitted in the third quarter of 2025 with final plat approval anticipated in the fourth quarter of 2025. See THE DEVELOPMENT—Zoning, Public Approvals, and Platting—Platting.”

Status of Entitlements in the Development. All of the property within the Development is zoned Master Planned Zone (“MP Zone”) and, according to the Developer, is zoned for its anticipated uses. No conditional use permits or site plans are required to be approved for Property within the Development. Of the anticipated 716 residential lots, final plats have been approved for 292 lots, preliminary plats have been approved for 258 lots, with preliminary plats for the remaining 166 lots anticipated to be submitted in the third quarter of 2025 and final plat approval anticipated in the fourth quarter of 2025. See “THE DEVELOPMENT—Zoning, Public Approvals, and Platting.”

Public Improvements and Private Improvements. The Developer is anticipated to be responsible for construction of Public Improvements and Private Improvements (defined herein) connecting the various components of the Development to existing infrastructure, including roads, public utilities, parks, and storm water improvements. Under the City Cooperation Agreement, it is anticipated that the District will finance a portion of the costs of the Public Improvements from proceeds of the Bonds. See “THE DEVELOPMENT—Planned Development.”

According to the Developer, the total cost of Public Improvements and Private Improvements required to serve the Development are estimated at approximately \$60,487,445, of which approximately \$56,849,580 constitutes Public Improvements, and approximately \$3,637,865 constitutes private

improvements (the “**Private Improvements**” and together with the Public Improvements, the “**Improvements**”). A portion of the Public Improvements are anticipated to be financed by the District from the net proceeds of the Bonds and, according to the Developer, the remaining Public Improvements and the Private Improvements are anticipated to be financed from funds of the Developer. As of July 24, 2024, the Developer has completed approximately \$21,395,532 in off-site public improvements benefitting the greater Viridian Development. The Developer estimates that it will need to complete approximately \$47,089,044 of additional on-site Public Improvements in order to complete the Development, a portion of which is anticipated to be reimbursed from net proceeds of the Bonds.

The following table sets forth the various Improvements that are being undertaken in connection with the Development and the sources of funding for that infrastructure. No assurance can be given with respect to the completion of the Improvements or other improvements in the Development or the ability of the Developer to obtain funding to complete its projects within the Development. See “RISK FACTORS—Development Not Assured.” Furthermore, no independent investigation of the financial condition of the Developer has been made and no information with respect thereto is included herein.

Improvements - Funding Sources and Uses

Estimated Sources of Funds:

Net proceeds of the Bonds	\$4,733,358
Developer/property owners	<u>55,754,087</u>
Total Sources of Funds	\$60,487,445

Estimated Uses of Funds:

Public Improvements	\$56,849,580
Private Improvements	<u>3,637,865</u>
Total Uses of Funds	\$60,487,445

It is anticipated that the District will have \$4,733,358 in Bond proceeds immediately available for costs of Public Improvements. See “RISK FACTORS—Development Not Assured” and “USE OF PROCEEDS AND DEBT SERVICE REQUIREMENTS.”

Market Study. The Developer engaged Zonda Advisory (“**Zonda**”) for the purpose of independently assessing the value of contemplated planned uses of the Development, the results of which are set forth in the report entitled “Viridian in Salem, Utah” dated June 25, 2024 (the “**Market Study**”) attached hereto as APPENDIX B. The Market Study provides an assessment of absorption, appreciation, and market values based on current market conditions, which conditions are comprised solely of those specifically identified in the Market Study. The recommendations and estimates provided by the Market Study are based upon the assumptions, and subject to the qualifications and limitations, set forth therein. See “FORWARD-LOOKING STATEMENTS,” “RISK FACTORS—Risks Inherent in Market Study and Financial Forecast,” and APPENDIX B—MARKET STUDY hereto.

Financial Forecast. Causey Demgen & Moore P.C. (“**CDM**”) has prepared the cash flow projection schedules presented in APPENDIX A hereto (the “**Financial Forecast**”), for the purpose of providing information regarding the District’s ability to make debt service payments on the Bonds. Such Financial Forecast utilized information contained in the Market Study and certain assumptions more particularly set forth therein.

As projected in the Financial Forecast, it is not anticipated that there will be any Subordinate Pledged Revenue available to pay accrued interest on the 2024B Subordinate Bonds until 2026, and it is not anticipated that there will be any Subordinate Pledged Revenue available to pay principal

on the 2024B Subordinate Bonds until 2033. The Financial Forecast also projects that the 2024B Subordinate Bonds will be redeemed on March 15, 2045, which is prior to the stated maturity date of March 15, 2054. The Financial Forecast assumes that Administrative Expenses of the District are paid pursuant to the Funding and Reimbursement Agreement until after collection year 2026.

These dates represent a forecast and there is no guaranty that any payments will be made on or after such date or, further, that the 2024A Senior Bonds will be paid prior to their discharge date of March 1, 2065 or the 2024B Subordinate Bonds will be paid prior to their discharge date of March 15, 2065. See “FORWARD-LOOKING STATEMENTS” and “RISK FACTORS—Development Not Assured” and “—Risks Inherent in Market Study and Financial Forecast,” and APPENDIX A hereto.

Authority for Issuance

The Bonds are issued under the Public Infrastructure District Act, the Special District Act, the Local Government Bonding Act, Title 11, Chapter 14, Utah Code (the “**Bond Act**”), the Governing Document and other applicable laws of the State of Utah (the “**State**”).

The 2024A Senior Bonds will be issued under an Indenture of Trust (Senior) related to the 2024A Senior Bonds to be dated as of September 1, 2024 (the “**Senior Indenture**”) by and between the District and UMB Bank, n.a., as trustee (the “**Trustee**”). The 2024B Subordinate Bonds will be issued under an Indenture of Trust (Subordinate) related to the 2024B Subordinate Bonds to be dated as of September 1, 2024 (the “**Subordinate Indenture**”) by and between the District and the Trustee. The Bonds were authorized by a resolution adopted by the District’s Board of Trustees (the “**Board**”) on June 14, 2024 (the “**Bond Resolution**”). The Senior Indenture and the Subordinate Indenture are collectively referred to herein as the “**Indentures**.”

On or before August 28, 2024, the Developer and GRNOBL, as 100% owners of surface property within the boundaries of the Districts, consented to the issuance of an aggregate amount of \$35,000,000 of limited tax bonds (collectively, the “**Property Owner Consent**”). There are no registered voters residing within the boundaries of the District. Pursuant to the provisions of the Public Infrastructure District Act, the Property Owner Consent is sufficient to meet any statutory or constitutional election requirement necessary for the issuance of limited tax bonds. The Governing Document permits the Districts to issue up to a combined total \$35,000,000 in bonds, which amount excludes any bonds issued to refund a prior issuance of bonds by any of the Districts and such limit does not apply to a District’s pledge of its property tax revenues to the debt of one of the other Districts.

Security and Sources of Payment for the 2024A Senior Bonds

The 2024A Senior Bonds are limited tax general obligations of the District secured by and payable solely from the “**Senior Pledged Revenue**”^{*} consisting of (a) the Senior Property Tax Revenues (defined herein); the Senior Pioneering Agreement Revenues, if any (defined herein); and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Senior Bond Fund.

The Senior Pledged Revenue may or may not be sufficient to pay the principal of and interest on the 2024A Senior Bonds. No representation is made by the District or the Underwriter that the Senior Pledged Revenue will be sufficient to pay the principal of and interest on the 2024A Senior Bonds.

^{*} Senior Pledged Revenue” is defined in the Senior Indenture as “Pledged Revenue” but referred to herein as “Senior Pledged Revenue” in order to distinguish such revenue from the “Subordinate Pledged Revenue” that secures the 2024B Subordinate Bonds.

Pursuant to the Senior Indenture, the District has covenanted to levy the “**Senior Required Mill Levy**”, which is defined in the Senior Indenture to mean an ad valorem property tax on the taxable property in the District each year in an amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues sufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds as the same become due and payable (less any amount thereof for which amounts are then on deposit in the Senior Bond Fund and, solely to the extent provided the Senior Indenture, the Reserve Fund) but not in excess of 0.003 per dollar of taxable value; provided, however, that: the Senior Required Mill Levy shall be equal to 0.003 per dollar of taxable value, or such lesser amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues (A) sufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds as the same become due and payable, to replenish the Reserve Fund to the Reserve Requirement or (B) which, when combined with moneys then on deposit in the Senior Bond Fund and the Reserve Fund, will pay the 2024A Senior Bonds in full in the Senior Bond Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Senior Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on Outstanding 2024A Senior Bonds.

The Senior Pledged Revenue also includes the Senior Pioneering Agreement Revenues, if any. See “THE 2024A SENIOR BONDS—Security for the 2024A Senior Bonds—Senior Pioneering Agreement Revenues” and “THE DISTRICT—District Agreements—*Pioneering Agreement*.”

The 2024A Senior Bonds are also secured by amounts on deposit in the Reserve Fund, which will be funded from proceeds of the 2024A Senior Bonds in an amount equal to \$564,500 (as previously defined, the “**Reserve Requirement**”). The interest on the 2024A Senior Bonds through March 1, 2027 and a portion of the interest due September 1, 2027 will be paid from capitalized interest to be funded with proceeds of the 2024A Senior Bonds in the amount of \$916,626.50.

Notwithstanding anything in the Senior Indenture to the contrary, and in accordance with the District’s Governing Document, all of the 2024A Senior Bonds and interest thereon are to be deemed to be paid, satisfied, and discharged on March 1, 2065, regardless of the amount of principal and interest paid prior to such date.

THE 2024A SENIOR BONDS ARE SOLELY THE OBLIGATIONS OF DISTRICT. UNDER NO CIRCUMSTANCES ARE ANY OF THE 2024A SENIOR BONDS TO BE CONSIDERED OR HELD TO BE AN INDEBTEDNESS, OBLIGATION OR LIABILITY OF THE CITY, THE STATE OR ANY POLITICAL SUBDIVISION THEREOF OTHER THAN THE DISTRICT.

Security and Sources of Payment for the 2024B Subordinate Bonds

The 2024B Subordinate Bonds are “cash flow” subordinate limited tax general obligations of the District secured by and payable from the Subordinate Pledged Revenue, which consists of the following: (a) the Subordinate Property Tax Revenues; (b) the Subordinate Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Subordinate Bond Fund.

The Subordinate Pledged Revenue may or may not be sufficient to pay the principal of and interest on the 2024B Subordinate Bonds. No representation is made by the District or the Underwriter that the

Subordinate Pledged Revenue will be sufficient to pay the principal of and interest on the 2024B Subordinate Bonds.

Pursuant to the Subordinate Indenture, the District has covenanted to levy the “**Subordinate Required Mill Levy**”, which is defined in the Subordinate Indenture to mean an ad valorem property tax on the taxable property in the District each year in an amount equal to (i) 0.003 per dollar of taxable value **less the Senior Obligation Mill Levy**, or (ii) such lesser amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Subordinate Property Tax Revenues which, when combined with moneys then on deposit in the Subordinate Bond Fund, will pay the 2024B Subordinate Bonds in full in the Fiscal Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Subordinate Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes or assessment the District would have received before the statutory change in order to pay the debt service on Outstanding 2024B Subordinate Bonds.

See the Financial Forecast attached hereto as APPENDIX A. See “FINANCIAL INFORMATION—Ad Valorem Property Taxes.”

The Subordinate Pledged Revenue also includes the Subordinate Pioneering Agreement Revenues, if any. See “THE 2024B SUBORDINATE BONDS—Security for the 2024B Subordinate Bonds—Subordinate Pioneering Agreement Revenues” and “THE DISTRICT—District Agreements—Pioneering Agreement.”

Notwithstanding anything in the Subordinate Indenture to the contrary, and in accordance with the District’s Governing Document, all of the 2024B Subordinate Bonds and interest thereon are to be deemed to be paid, satisfied, and discharged on March 15, 2065, regardless of the amount of principal and interest paid prior to such date.

THE 2024B SUBORDINATE BONDS ARE SOLELY THE OBLIGATIONS OF DISTRICT. UNDER NO CIRCUMSTANCES ARE ANY OF THE 2024B SUBORDINATE BONDS TO BE CONSIDERED OR HELD TO BE AN INDEBTEDNESS, OBLIGATION OR LIABILITY OF THE CITY, THE STATE OR ANY POLITICAL SUBDIVISION THEREOF OTHER THAN THE DISTRICT.

Priority of Lien; Subordinate Nature of 2024B Subordinate Bonds

The 2024A Senior Bonds constitute Senior Obligations, and the 2024B Subordinate Bonds constitute Subordinate Obligations under the Senior Indenture and the Subordinate Indenture, respectively. Accordingly, to the extent any non-property tax revenues are pledged under the Indentures to the 2024A Senior Bonds and the 2024B Subordinate Bonds, the lien thereon of the 2024B Subordinate Bonds is junior and subordinate in all respects to the lien of the 2024A Senior Bonds and any other Senior Obligations issued in the future.

The District has covenanted in the Senior Indenture that all property tax revenue collected by the District from an ad valorem property tax levy, or so much thereof as is needed, is to first be designated as Senior Property Tax Revenues in any Senior Bond Year to pay annual debt service on the 2024A Senior Bonds and any Senior Parity Bonds and to fund such funds and accounts as are required in accordance with the terms of the Senior Indenture and the resolution, indenture or other enactment authorizing such Senior Parity Bonds, and only after the funding of such payments and accumulations required in such Senior Bond Year can property tax revenue be applied to pay Subordinate Obligations (including the 2024B Subordinate

Bonds). See “THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Application of Senior Pledged Revenue*.”

With respect to the 2024B Subordinate Bonds, the District has pledged to impose a Subordinate Required Mill Levy for the payment of such 2024B Subordinate Bonds in an amount equal to 0.003 per dollar of taxable value less the Senior Obligation Mill Levy described herein, meaning that there will only be ad valorem property taxes generated and applied to payment of the 2024B Subordinate Bonds in the event that the Senior Required Mill Levy, together with any other ad valorem property tax levy required to be imposed by the District for the payment of Senior Obligations, is less than 0.003 per dollar of taxable value. See also “THE 2024B SUBORDINATE BONDS—Security for the 2024B Subordinate Bonds.”

“Cash Flow” Nature of 2024B Subordinate Bonds; Discharge on March 15, 2065

The 2024B Subordinate Bonds are structured as “cash flow” bonds, meaning that the Subordinate Indenture does not provide for any scheduled payments of principal on the 2024B Subordinate Bonds prior to the final stated maturity date. Rather, principal on the 2024B Subordinate Bonds is payable on each March 15 from, and to the extent of, Subordinate Pledged Revenue on deposit, if any, in the Subordinate Mandatory Redemption Account of the Subordinate Bond Fund 45 days prior to such March 15, in accordance with the terms of the Subordinate Indenture, pursuant to a special mandatory redemption more particularly described in “THE 2024B SUBORDINATE BONDS—Redemption—*Mandatory Redemption*” and “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Subordinate Bond Fund*.” Furthermore, accrued unpaid interest on the 2024B Subordinate Bonds will compound annually on each March 15. As further described in “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Subordinate Bond Fund*,” interest payable on the 2024B Subordinate Bonds in each Subordinate Bond Year is to be paid prior to any payments of principal in such Subordinate Bond Year.

As projected in the Financial Forecast, it is not anticipated that there will be any Subordinate Pledged Revenue available to pay accrued interest on the 2024B Subordinate Bonds until 2026, and it is not anticipated that there will be any Subordinate Pledged Revenue available to pay principal on the 2024B Subordinate Bonds until 2033. The Financial Forecast also projects that the 2024B Subordinate Bonds will be redeemed on March 15, 2045, which is prior to the stated maturity date of March 15, 2054. These dates represent a forecast and there is no guarantee that any payments will be made on or after such date or, further, that the 2024B Subordinate Bonds will be paid prior to their discharge date of March 15, 2065, as more particularly described below. See APPENDIX A—FINANCIAL FORECAST, and “RISK FACTORS—Risks Inherent in Market Study and Financial Forecast.” Notwithstanding any other provision in the Subordinate Indenture, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof are to be deemed discharged, the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Subordinate Indenture, and execute and deliver to the District such instruments in writing as are to be required to evidence the same. Upon such discharge, the Owners will have no recourse to the District or any property of the District for the payment of any amount of principal of or interest on the 2024B Subordinate Bonds remaining unpaid.

Purpose of the Bonds

The proceeds from the sale of the Bonds will be used for the purposes of funding the Public Improvements (which are anticipated to include reimbursement of expenditures by the Developer pursuant to the Infrastructure Acquisition and Reimbursement Agreement, more particularly described in “THE

DISTRICT—District Agreements—*Infrastructure Acquisition and Reimbursement Agreement*”). Proceeds from the sale of the Bonds will be used for the purposes of financing or reimbursing a portion of the costs of acquiring, constructing, and/or installing certain public infrastructure to serve the Development and paying the costs of issuing the Bonds. A portion of the proceeds of the 2024A Senior Bonds will be used to fund (a) the Reserve Fund to the Reserve Requirement and (b) a portion of the interest to accrue on the 2024A Senior Bonds. See “USE OF PROCEEDS AND DEBT SERVICE REQUIREMENTS.”

Additional Obligations

The Senior Indenture and the Subordinate Indenture impose different limitations on the issuance of Additional Obligations. Owners of the 2024A Senior Bonds will only be permitted to enforce such limitations set forth in the Senior Indenture, and Owners of the 2024B Subordinate Bonds will only be permitted to enforce such limitations set forth in the Subordinate Indenture. See “THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Additional Obligations*” and “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Additional Obligations*.”

Interest Rates; Payment Provisions

The Bonds will bear interest at the rates per annum set forth on the inside cover hereof (computed on the basis of a 360-day year of twelve 30-day months). Interest on the 2024A Senior Bonds is payable annually, from and to the extent of Senior Pledged Revenue available therefor on each March 1 and September 1, commencing March 1, 2025. Interest on the 2024B Subordinate Bonds is payable to the extent of the Subordinate Pledged Revenue available therefor annually on each March 15, commencing on March 15, 2025, from and to the extent of Subordinate Pledged Revenue, subject to the limitations of the Subordinate Indenture described herein. Payments for the principal of and interest on the Bonds will be made as described in APPENDIX G—BOOK-ENTRY-ONLY SYSTEM.

Prior Redemption

The 2024A Senior Bonds are subject to optional and mandatory sinking fund redemption, as set forth in the Senior Indenture as described in “THE 2024A SENIOR BONDS—Redemption,” and the 2024B Subordinate Bonds are subject to optional and mandatory redemption, as set forth in the Subordinate Indenture as described in “THE 2024B SUBORDINATE BONDS—Redemption” and “—Certain Subordinate Indenture Provisions—*Subordinate Bond Fund*.”

Book-Entry-Only Registration

The Bonds will be issued in fully registered form and will be registered initially in the name of “Cede & Co.” as nominee for The Depository Trust Company, New York, New York (“DTC”), a securities depository. Beneficial ownership interests in the Bonds may be acquired in principal denominations of \$500,000 or any integral multiple of \$1,000 in excess thereof through brokers and dealers who are, or who act through, participants in the DTC system (the “**Participants**”). Such beneficial ownership interests will be recorded on the records of the Participants. Persons for which Participants acquire interests in the Bonds (the “**Beneficial Owners**”) will not receive certificates evidencing their interests in the Bonds so long as DTC or a successor securities depository acts as the securities depository with respect to the Bonds. So long as DTC or its nominee is the registered owner of the Bonds, payments of principal and interest on the Bonds, as well as notices and other communications made by or on behalf of the District pursuant to the Indentures, will be made to DTC or its nominee only. Disbursement of such payments, notices, and other communications by DTC to Participants, and by Participants to the Beneficial Owners, is the responsibility of DTC and the Participants pursuant to rules and procedures established by such entities. See APPENDIX G—BOOK-ENTRY-ONLY SYSTEM for a discussion of the operating procedures of the DTC system with

respect to payments, registration, transfers, notices, and other matters. Except as otherwise provided herein, the term “Owner” refers to the registered owner of any Bond, as shown by the registration books maintained by the Bond Registrar. As used herein, “**Consent Party**” means the Owner of a Bond or, if such Bond is held in the name of Cede, the Participant (as determined by a list provided by DTC) with respect to such Bond. The District may at its option determine whether the Owner or the Participant is the Consent Party with respect to any particular amendment or other matter under the Indentures.

Exchange and Transfer

While the Bonds remain in book-entry-only form, transfer of ownership by Beneficial Owners (as defined by the rules of DTC) may be made as described under the caption APPENDIX G—BOOK-ENTRY-ONLY SYSTEM.

Tax Status

In the opinion of Gilmore & Bell, P.C., Salt Lake City, Utah, Bond Counsel to the District, interest on the Bonds is excludable from gross income for purposes of federal income tax, assuming continuing compliance with the requirements of the federal tax laws. Interest on the Bonds is not a preference item for purposes of the individual federal alternative minimum tax. Bond Counsel is also of the opinion that the interest on the Bonds is exempt from State of Utah individual income taxes. Bond Counsel expresses no opinion regarding any other tax consequences relating to ownership or disposition of or the accrual or receipt of interest on the Bonds. See “TAX MATTERS” herein.

Professionals Involved in the Offering

Gilmore & Bell, P.C., has acted as Bond Counsel to the District and has also assisted in the preparation of this Limited Offering Memorandum in its capacity as Disclosure Counsel to the District. UMB Bank, n.a. Phoenix, Arizona, will act as the trustee, paying agent and registrar for the Bonds. Wells Fargo Securities, LLC, Denver, Colorado, will act as the underwriter for the Bonds (the “**Underwriter**”), and Kline Alvarado Veio, P.C., Denver, Colorado, has acted as counsel to the Underwriter. Snow Jensen & Reece, P.C., St. George, Utah, is acting as general counsel to the District. Tierra Financial Advisors, LLC, Arlington, Texas, has served as Municipal Advisor to the District in connection with the issuance of the Bonds.

Continuing Disclosure Obligation

Although the Bonds have been structured in a manner designed to qualify for an exemption to Securities and Exchange Commission Rule 15c2-12 (17 CFR Part 240, Section 240.15c2-12) (“**SEC Rule 15c2-12**”), the District and the Developer have agreed to obtain and to provide certain information to UMB Bank, n.a., as trustee for the Bonds, on a quarterly and annual basis for dissemination to the Municipal Securities Rulemaking Board via its Electronic Municipal Market Access system. A form of the Continuing Disclosure Agreement setting forth such obligations is attached hereto as APPENDIX E—FORM OF CONTINUING DISCLOSURE AGREEMENT. See also “MISCELLANEOUS—Agreement to Provide Continuing Disclosure.”

Offering and Delivery Information

As stated above, the Bonds are exempt from SEC Rule 15c2-12 established under the Securities Exchange Act of 1934, as amended, in reliance on the Limited Offering Exemption in SEC Rule 15c2-12, and the Indentures prevent the sale or transfer of the Bonds in principal amounts of less than \$500,000 other than through a primary offering. The offering of the Bonds is being made to a limited number of investors

who are believed to be knowledgeable and experienced investors and who are not purchasing with a view to distributing the Bonds. Each purchaser must be a “Qualified Institutional Buyer” as defined under Rule 144A under the Securities Act of 1933, as amended (the “**Securities Act**”) or an “Accredited Investor” as defined in Rule 501 of Regulation D under the Securities Act (together “**Qualified Investors**”). Investors will be required to execute an investor letter in substantially the form attached hereto as APPENDIX H.

The Bonds are offered when, as, and if issued by the District and accepted by the Underwriter, subject to an approving legal opinion of Bond Counsel, the form of which is set forth in APPENDIX F. It is expected that the Bonds will be available for delivery through the facilities of DTC on or about September 26, 2024.

Debt Ratios

The following are selected general obligation debt ratios upon issuance and delivery of the Bonds, reflecting the debt and estimated taxable value amounts for the District.

2024 Taxable Value ⁽¹⁾	\$5,894,754.00
General Obligation Debt Outstanding Upon Issuance of the Bonds ⁽¹⁾	\$6,645,000.00
District’s Debt as a Ratio of 2024 Taxable Value ⁽²⁾	112.73%
Estimated Overlapping General Obligation Debt ^{(1), (2)}	\$93,911.10
Sum of District and Overlapping Debt	\$6,738,911.10
District and Overlapping Debt as a Ratio of 2024 Taxable Value ⁽²⁾	114.32%

- (1) For definitions of and descriptions of the methodology used in computing taxable value, estimated population, general obligation debt outstanding, and estimated overlapping general obligation debt, see “DISTRICT FINANCIAL INFORMATION” and “DISTRICT DEBT STRUCTURE.”
- (2) Represents the combined estimated net amounts of overlapping general obligation debt chargeable to the properties in the District (as estimated based on estimated taxable value of the District).
- (Sources: County Assessor’s Office, the District, and individual overlapping entities.)

Additional Information

ALL OF THE SUMMARIES OF THE STATUTES, RESOLUTIONS, INDENTURES, OPINIONS, COVENANTS, DECLARATIONS, CONTRACTS, AND AGREEMENTS DESCRIBED IN THIS LIMITED OFFERING MEMORANDUM ARE SUBJECT TO THE ACTUAL PROVISIONS OF SUCH DOCUMENTS. The summaries do not purport to be complete statements of such provisions and reference is made to such documents, copies of which are either publicly available or available upon request and the payment of a reasonable copying, mailing, and handling charge from, as applicable:

The District:
Viridian Farm Public
Infrastructure District No. 1
c/o Snow Jensen & Reece, P.C.
912 West 1600 South, Suite B-200
St. George, Utah 84770

The Underwriter:
Wells Fargo Securities, LLC
1700 Lincoln Street, 12th Floor
Denver, Colorado 80203

RISK FACTORS

INVESTMENT IN THE BONDS IS SPECULATIVE IN NATURE AND INVOLVES A HIGH DEGREE OF RISK. AS SUBORDINATE BONDS, REPAYMENT OF THE 2024B SUBORDINATE BONDS IS SUBJECT TO A HIGHER DEGREE OF RISK THAN REPAYMENT OF THE 2024A SENIOR BONDS. PROSPECTIVE INVESTORS IN THE BONDS SHOULD READ THIS ENTIRE LIMITED OFFERING MEMORANDUM AND CAREFULLY CONSIDER ALL POSSIBLE FACTORS WHICH MAY AFFECT THEIR INVESTMENT DECISION. THE RISK FACTORS DESCRIBED IN THIS SECTION SET FORTH MANY OF THE POTENTIAL RISKS OF AN INVESTMENT IN THE BONDS THAT SHOULD BE CONSIDERED PRIOR TO PURCHASING THE BONDS, BUT DOES NOT PROVIDE AN EXHAUSTIVE LIST OF SUCH FACTORS. ADDITIONAL RISK FACTORS RELATING TO THE PURCHASE AND OWNERSHIP OF THE BONDS ARE DESCRIBED THROUGHOUT THIS LIMITED OFFERING MEMORANDUM, WHETHER OR NOT SPECIFICALLY DESIGNATED AS RISK FACTORS. FURTHERMORE, ADDITIONAL RISK FACTORS NOT PRESENTLY KNOWN, OR CURRENTLY BELIEVED TO BE IMMATERIAL, MAY ALSO MATERIALLY AND ADVERSELY AFFECT, AMONG OTHER THINGS, SECURITY FOR THE BONDS. THERE CAN BE NO ASSURANCE THAT OTHER RISKS OR CONSIDERATIONS NOT DISCUSSED HEREIN ARE OR WILL NOT BECOME MATERIAL IN THE FUTURE.

Each prospective investor is urged to consult with its own legal, tax, and financial advisors to determine whether an investment in the Bonds is appropriate in light of its individual legal, tax, and financial situation.

General

The purchase of the Bonds involves certain investment risks which are discussed throughout this Limited Offering Memorandum and each prospective investor should make an independent evaluation of all information presented in this Limited Offering Memorandum in order to make an informed investment decision. The Bonds should only be purchased by investors who can bear the continuing risk of an investment in the Bonds. Particular attention should be given to the risk factors described below which, among others, could affect the payment of debt service on the Bonds when due.

Capitalized terms used and not otherwise defined in this section entitled “RISK FACTORS” have the respective meanings set forth in APPENDIX C hereto.

No Credit Rating; Risk of Investment

The Bonds do not have a credit rating from any source and are not suitable investments for all investors. Each prospective purchaser is responsible for assessing the merits and risks of an investment in the Bonds and must be able to bear the economic risk of such investment in the Bonds. By purchasing the Bonds, each purchaser represents that it is (i) a “qualified institutional buyer” (as defined in Rule 144A under the Securities Act) or (ii) an “accredited investor” (as defined in Rule 501 of Regulation D under the Securities Act), with sufficient knowledge and experience in financial and business matters, including the purchase and ownership of non-rated tax-exempt obligations, to be able to evaluate the merits and risks of an investment in the Bonds. Investors will be required to execute an investor letter in substantially the form attached hereto as APPENDIX H.

No Assurance of Secondary Market

No assurance can be given concerning the future existence of a secondary market for the Bonds and prospective purchasers of the Bonds should therefore be prepared, if necessary, to hold the Bonds to maturity or prior redemption. Even if a secondary market exists, as with any marketable securities, there can be no assurance as to the price for which the Bonds may be sold. Such price may be lower than that paid by the initial purchaser of the Bonds depending on the progress of the Development and existing financial market conditions. See also “—Restrictions on Transferability” below.

Limited Security for the Bonds; No Mortgage or Guaranty

The Bonds are limited tax general obligations of the District and are payable solely from and to the extent of the Senior Pledged Revenue and Subordinate Pledged Revenue, as applicable, all as more particularly provided herein. The primary source of revenue pledged for payment of the Bonds is expected to be revenues derived from ad valorem taxes assessed by the District against all taxable property in the District. Furthermore, the ad valorem property taxes required to be imposed by the District for payment of the 2024A Senior Bonds and the 2024B Subordinate Bonds are subject to limitations, as more particularly described herein.

The District’s ability to retire the indebtedness created by the issuance of the Bonds is dependent, in part, upon development of an adequate tax base from which the District can collect sufficient property tax revenue from the imposition of the Senior Required Mill Levy and Subordinate Required Mill Levy. See “—Risks Related to Property Tax Revenue—*Assessed Valuation Procedures and Factors; Market Value of Land*” and “—Continuation of Development Not Assured” below. The Financial Forecast (included in APPENDIX A hereto) sets forth the anticipated payment of debt service on the Bonds, based on assumptions concerning property value appreciation with respect to property in the District, as well as the mill levies imposed by the District for payment of debt service on the Bonds. See “—Risks Inherent in Market Study and Financial Forecast” below and “APPENDIX A—Financial Forecast.”

In the event that the Senior Pledged Revenue or Subordinate Pledged Revenue is insufficient to pay the scheduled principal of and/or interest on the 2024A Senior Bonds and the 2024B Subordinate Bonds, as applicable, when due (in the case of the 2024B Subordinate Bonds, meaning the principal amount thereof due at maturity and interest accrued thereon as of each March 15), the unpaid principal will continue to bear interest, and the unpaid interest will compound as described herein until the total repayment obligation of the District for the Bonds equals the amount permitted by law, **subject to prior discharge of the Bonds as more particularly described in “THE 2024A SENIOR BONDS—Discharge on March 1, 2065” and “THE 2024B SUBORDINATE BONDS—“Cash-Flow Nature of 2024B Subordinate Bonds; Discharge on March 15, 2065” below.** During this period of accrual, so long as the District is imposing the Senior Required Mill Levy and the Subordinate Required Mill Levy and is enforcing collection of the Senior Pledged Revenue and the Subordinate Pledged Revenue, the District will not be in default on the payment of such principal and interest under the applicable Indenture, and the Owners will have no recourse against the District to require such payments (other than to require the District to continue to assess the Senior Required Mill Levy and the Subordinate Required Mill Levy and collect the revenue derived from such levy). In addition, the District will not be liable to the Owners for unpaid principal and interest beyond the amount permitted by law. See “THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Events of Default*” and “—*Remedies on Occurrence of Event of Default.*” See “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Events of Default*” and “—*Remedies on Occurrence of Event of Default.*”

Payment of the principal of and interest on the Bonds is not secured by any deed of trust, mortgage or other lien on or security interest in any real estate or other property within the Development or assets of the District other than the lien on the Senior Pledged Revenue and Subordinate Pledged Revenue.

No Conversion of Bonds to Unlimited Tax Obligations

The primary source of revenue pledged for the payment of debt service on the Bonds is expected to be revenue generated from ad valorem property taxes assessed by the District against all taxable property of the District, in the amount of the Senior Required Mill Levy and the Subordinate Required Mill Levy, as more particularly set forth herein. In no event will the maximum tax rate cap set forth in the definitions of Senior Required Mill Levy or Subordinate Required Mill Levy release upon the District achieving any particular level of assessed valuation, and in no event will the Bonds become unlimited tax obligations of the District.

Subordinate Lien of the 2024B Subordinate Bonds; “Cash flow” Nature of 2024B Subordinate Bonds

The 2024A Senior Bonds constitute Senior Obligations and the 2024B Subordinate Bonds constitute Subordinate Obligations under the Indentures. Payments on the 2024B Subordinate Bonds are to be made annually from any Subordinate Pledged Revenue after all payments required to be paid with respect to the 2024A Senior Bonds and any obligations issued on parity therewith in such calendar year have been made. By operation of the definitions of Subordinate Required Mill Levy and Senior Obligation Mill Levy (which includes the Senior Required Mill Levy), the Subordinate Required Mill Levy will equal zero for any year in which the amount of the Senior Obligation Mill Levy equals or exceeds 0.003 mills (subject to adjustment for changes in law), and in all events will be reduced by the amount of the Senior Obligation Mill Levy, as provided in the Subordinate Indenture and as more particularly described herein.

In addition, the 2024B Subordinate Bonds are structured as “cash flow” bonds, meaning that there are no scheduled payments of principal thereof prior to the final maturity date. Rather, principal on the 2024B Subordinate Bonds is payable on March 15 of each year commencing on March 15, 2025, to the extent of moneys on deposit, if any, in the Subordinate Bond Fund 45 days prior to the applicable Mandatory Redemption Date, in accordance with the terms of the Subordinate Indenture, pursuant to a mandatory redemption more particularly described in “THE 2024B SUBORDINATE BONDS—Redemption—Mandatory Redemption” below and “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—Subordinate Bond Fund; Mandatory Redemption.” Furthermore, accrued unpaid interest on the 2024B Subordinate Bonds will compound annually on each March 15. As further described in “THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—Subordinate Bond Fund; Mandatory Redemption,” interest payable on the 2024B Subordinate Bonds in each Subordinate Bond Year is to be paid prior to any payments of principal in such Subordinate Bond Year. See also the Financial Forecast attached as APPENDIX A hereto. ***However, notwithstanding any other provision in the Subordinate Indenture, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof will be deemed discharged, and the estate and rights thereby granted will cease, terminate, and be void.***

Prospective purchasers are cautioned that the payment of debt service on the 2024B Subordinate Bonds presented in the Financial Forecast is only a projection, based upon the assumptions set forth therein, and failure to pay such amounts on the 2024B Subordinate Bonds in accordance with such projection will not constitute an event of default under the Subordinate Indenture. See also “—Risks Inherent in Market Study and Financial Forecast” below.

Discharge of Bonds in 2065

Notwithstanding any other provision in the Senior Indenture, in the event that any amount of principal or interest on the 2024A Senior Bonds remains unpaid after the application of all Senior Pledged Revenue available therefor on March 1, 2065, the 2024A Senior Bonds and the lien of the Senior Indenture securing payment thereof will be deemed discharged, the estate and rights granted by the Senior Indenture will cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Senior Indenture, and execute and deliver to the District such instruments in writing as are required to evidence the same. In addition, notwithstanding any other provision in the Subordinate Indenture to the contrary, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof will be deemed discharged, the estate and rights granted by the Subordinate Indenture will cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Subordinate Indenture, and execute and deliver to the District such instruments in writing as are required to evidence the same. Upon any such discharge, the Owners will have no recourse to the District or any property of the District for the payment of any amount of principal of or interest on the Bonds remaining unpaid.

No Acceleration; No Payment Default

The Indentures provide that acceleration of the Bonds is not an available remedy for any Event of Default under the Indentures. In addition, the District's failure to pay principal and interest on the Bonds when due does not constitute an Event of Default under the Indentures so long as the District is otherwise in compliance with the respective Indenture covenants and other provisions relating to the Senior Pledged Revenue and the Subordinate Pledged Revenue, as applicable. See "THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Events of Default*" and "*—Remedies on Occurrence of Event of Default*," "THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Events of Default*" and "*—Remedies on Occurrence of Event of Default*."

Additional Obligations

The District may issue Additional Obligations, without the consent of the Consent Parties of the 2024A Senior Bonds, subject to the satisfaction of certain conditions set forth in the Senior Indenture and described in "THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Additional Obligations*," and, without the consent of the Consent Parties of the 2024B Subordinate Bonds, subject to the satisfaction of certain conditions described in "THE 2024B SUBORDINATE BONDS—Certain Subordinate Indenture Provisions—*Additional Obligations*." The District's issuance of Additional Obligations (as defined in the respective Indentures, see also "APPENDIX C—SELECTED DEFINITIONS") is also subject to the limitations of the District's Governing Document and electoral authorization (including the Property Owner Consent).

The issuance of Additional Obligations would potentially dilute the security available for the Bonds.

Development Not Assured

General. The repayment of the Bonds is dependent upon an increase in the assessed valuation of property in the District to provide a tax base from which ad valorem property tax revenues, including the Senior Required Mill Levy and Subordinate Required Mill Levy are to be collected. Such increase in assessed valuation is dependent upon development within such areas, which, in turn, is dependent upon the

completion of public infrastructure necessary to support the planned development, market demand, market conditions, and a variety of other factors beyond the control of the District and the Developer.

According to the Developer, construction of the Public Improvements commenced in the first quarter of 2024 and is anticipated to be completed in the second quarter of 2025. Vertical construction within the Development is dependent upon the completion of the horizontal infrastructure and is anticipated to commence in September 2024 with full buildout of the Development anticipated to occur in 2029. Approximately \$9,760,536 of Public Improvements have been completed as of July 24, 2024, a portion of which is anticipated to be reimbursed from net proceeds of the Bonds. See “THE DEVELOPMENT.”

Notwithstanding any of the foregoing, neither the Developer nor any other owner of property within the Development is obligated to construct buildings thereon in any particular timeframe or at all. See “THE DEVELOPMENT—Planned Development,” “—Zoning, Public Approvals, and Platting,” and “—Plan of Finance for the Development.”

Contemplated Development and Status. According to the Developer, at full buildout the Development is planned to contain approximately 716 residential units within the Development, comprised of 466 townhomes, 132 single family detached homes, and 118 cottage homes. **However, the foregoing and all other descriptions of the Development herein reflect the current contemplated uses of such property as depicted in the Developer’s site plan and the actual use of property within the Development is subject to change.** It is anticipated that the Developer will undertake all vertical construction within the Development. The Developer plans to speculatively construct each residential unit within the Development. The Developer intends to finance all vertical construction using the Developer’s equity and estimates that total vertical construction costs will be \$125,658,519.

The Market Study attached hereto as APPENDIX B provides an analysis of the assumed build-out schedule and product mix (including price levels) of the Development. Based upon the build-out schedule and product mix (including price levels) set forth in the Market Study, and certain other assumptions specified in the Financial Forecast, the Financial Forecast included in APPENDIX A hereto provides certain forecasts of revenue of the District. No assurance can be given that build-out will occur as presently planned, within the presently anticipated timeframes and resulting in the presently anticipated product values, or projected appreciation in values. All development projections, including, without limitation, the ultimate number of residential units and price levels thereof to be constructed in the Development, are dependent upon market activity, governmental regulations, general economic conditions, and other factors over which the District and the Developer have no control. See “—Risks Inherent in Market Study and Financial Forecast” below, “THE DEVELOPMENT,” “APPENDIX A—FINANCIAL FORECAST” and “APPENDIX B—MARKET STUDY.”

All property in the Development has been zoned for its current planned uses. Of the anticipated 716 residential lots, final plats have been approved for 292 lots, preliminary plats have been approved for 258 lots, with preliminary plats for the remaining 166 lots anticipated to be submitted in the third quarter of 2025 and final plat approval anticipated in the fourth quarter of 2025. For a description of such approvals see, “THE DEVELOPMENT—Zoning, Public Approvals, and Platting” herein. No assurance is provided that such site plans and final plat approvals will be obtained in the timeframe anticipated herein, in the manner anticipated herein, or at all.

Public Improvement and Private Improvement Costs. According to the Developer, the total cost of Improvements required to serve the Development are estimated at approximately \$60,487,445. The District is anticipated to finance portions of the Public Improvements in the amount of \$4,733,358 from the Bonds and the Developer and GRNOBL are anticipated to fund the remaining Public Improvements and the Private Improvements. See “USE OF PROCEEDS AND DEBT SERVICE REQUIREMENTS” and

“THE DEVELOPMENT—Plan of Finance for the Development.” The estimated costs of Improvements provided herein do not include the costs of vertical construction. The estimated costs described herein required for the construction of Improvements within the District are subject to change. No assurance is given that the costs of Improvements necessary to serve the District will not exceed the estimates provided herein.

The foregoing estimated costs of the infrastructure required for the Development are based upon present plans for the Development as described herein (which are subject to change), present costs, and estimated costs for Improvements which have not yet been designed or engineered. The costs of Improvements are subject to many factors not within the control of the District or the Developer or third-party property owners, including but not limited to, labor conditions, access to and cost of building supplies, energy costs, availability and costs of fuel, transportation costs and economic conditions generally. The actual costs of Improvements may vary from such estimates and such variance may be material.

It is not anticipated that the District will have funding sufficient to provide the infrastructure required and, as a result, the District will be dependent upon the Developer, GRNOBL, and/or other owners of property within the Development to do so, as described above. There can be no assurance that the Developer or GRNOBL will continue to fund, or that any other owners of property will fund, the costs of the private and public infrastructure required for the Development or will have adequate financial resources to do so. No independent investigation has been made of the financial resources of the Developer, GRNOBL, or any property owner or developer presently owning, or anticipated to own, property in the Development. There can be no assurance that the construction of the planned Improvements required for the Development will occur in any particular time or manner presently, or at all.

If the Improvements necessary to fully support all buildings within the District are not completed as anticipated herein and, as a result, build-out of the District is not completed in the time and manner reflected in the Market Study, the assessed valuation forecasted for the District will not be realized in the manner forecasted, which could have a material, adverse effect on the District’s ability to repay the Bonds. See the Market Study set forth in APPENDIX B hereto for the build-out projections for construction within the District and Financial Forecast set forth in APPENDIX A for the corresponding estimated assessed valuation relating to such planned development.

Vertical Construction Costs. It is anticipated that the Developer will undertake all vertical construction within the Development. The Developer plans to speculatively construct each residential unit within the Development. The Developer intends to finance all vertical construction using the Developer’s equity and estimates that total vertical construction costs will be \$125,658,519.

If the Developer funds necessary to fully support the construction of all buildings within the District are not available as anticipated herein and, as a result, build-out of the District is not completed in the time and manner reflected in the Market Study, the assessed valuation forecasted for the District will not be realized in the manner forecasted, which could have a material, adverse effect on the District’s ability to repay the Bonds. See the Market Study set forth in APPENDIX B hereto for the build-out projections for construction within the District and the Financial Forecast set forth in APPENDIX A for information regarding the District’s ability to make debt service payments on the Bonds.

Competition with Other Developments. The Development competes with developments in surrounding areas and can be expected to compete with existing and future developments, some of which are not yet known. Such competition may adversely affect the rate of development within the District. See the Market Study set forth in APPENDIX B hereto.

Other Factors Affecting the Development. Many unpredictable factors could influence the Development, including competing developments, prevailing interest rates, availability of development and construction funding, economic conditions generally, development and supply of residential housing and commercial space in the area, availability of mortgages, availability of property insurance, construction costs, labor conditions and unemployment rates, access to and cost of building supplies, availability and costs of fuel, transportation costs, and severe weather and acts of god, among other things. See also “THE DEVELOPMENT—Competition” and “APPENDIX D—ECONOMIC AND DEMOGRAPHIC INFORMATION.”

Environmental Conditions.

Environmental Matters. Wasatch Environmental, Inc. prepared a Phase I Environmental Site Assessment dated January 21, 2021, at the request of the Developer for approximately 716 acres, including the Development. Inspections of the site and review of information on file with various federal, state, and local environmental regulatory agencies failed to identify any *de minimis* conditions, historical recognized environmental conditions, or controlled environmental conditions. No assurance is provided that during or subsequent to the development of the Development hazardous materials or other adverse environmental conditions will not be discovered on the property which could hinder or prohibit development. Should such a discovery occur, it is possible that the development and marketing of the Development could be materially adversely affected and, as a result, may adversely affect the receipt of the Pledged Revenue causing an insufficiency of such Pledged Revenue to pay debt service on the Bonds. See “THE DEVELOPMENT—Environmental Matters.”

Climate Change. Climate change, including change caused by human activities, may have material adverse effects on the Development. As greenhouse gas emissions continue to accumulate in the atmosphere, climate change is expected to intensify, increasing the frequency, severity and timing of extreme weather events such as drought, wildfires, floods and heat waves. The future fiscal impact of climate change on the Development is difficult to predict, but it could be significant, and it could have a material adverse effect on the receipt of Pledged Revenue.

Drought. From time to time, the State experiences droughts. According to the Utah Division of Natural Resources, the State has recently experienced extreme drought conditions. There can be no assurance that drought conditions will not reappear in the future. The persistence or reappearance of drought conditions may result in a delay or an inability to pursue the Development which could materially adversely affect the receipt of Pledged Revenue.

Natural Disasters. The District, like all Utah communities, may be subject to unpredictable seismic activity, fires, flood, or other natural disasters. In the event of a severe earthquake, fire, flood or other natural disaster, there may be significant damage to both property and infrastructure in the District. A natural disaster could result in the property owners being unable or unwilling to pay property taxes when due. In addition, the value of land in the District could be diminished in the aftermath of such a natural disaster, which could have a material adverse effect on the receipt of Senior Pledged Revenue and Subordinate Pledged Revenue. According to the Utah Division of Forestry, Fire and State Lands, the District is in an area with high wildfire hazard potential. No assurances can be given as to whether any future wildfire will impact any portion of the District. The occurrence of wildfires could have an adverse effect, among others matters, on the availability of property insurance and marketability of property within the District.

Financial Condition of the Developer. There has been no independent investigation of and no representation is made in this Limited Offering Memorandum regarding the financial soundness of the Developer or of its managerial capability to develop and market the Development as planned. Moreover,

the financial circumstances of the Developer can change from time to time. Development is dependent upon the Developer's implementation of the site development plan contemplated herein, as described above in "—Development Not Assured." Furthermore, the Developer is not under a binding obligation to develop its property within the Development as planned, nor is there any restriction on the right of the Developer to sell any or all of their respective property within the Development or to withdraw completely from the Development.

Prospective investors are urged to make such investigation as deemed necessary concerning the financial soundness of the Developer and its ability to implement the plan of Development as described herein.

Risks Related to Infectious Disease Outbreak

An outbreak of infectious disease can trigger governmentally imposed restrictions and changes in consumer behavior that could negatively impact local economic conditions. Such changes can cause unemployment rates to rise, supply chain disruptions, taxable sales to decrease, delinquencies in tax payments, and other negative pressures on economic activity that could adversely affect the District's operations and finances. Such reduced economic activity could in turn negatively impact property values, the collections of property taxes, and the operations and finances of the District.

In addition, as the scope and impact of any potential future pandemic, as well as that of COVID-19, is currently unknown, assumptions, information and conclusions set forth in the Financial Forecast (APPENDIX A) and the Market Study (APPENDIX B) must be read and considered in the context of the matters described herein, which may materially and adversely affect the assumptions, information and conclusions set forth in those reports.

Risks Related to Property Tax Revenue

The owners of the Bonds are dependent upon an increase in the assessed valuation of property in the District to provide a tax base from which ad valorem property tax revenues, including the Pledged Revenue are to be collected.

2024 Taxable Value Estimate. As of the 2024 tax year, the market value of property within the District is estimated at \$13,061,550, and the taxable value after including the Greenbelt Reduction, is estimated at \$5,894,754, based on the average value assigned by the Assessor for property within the District on a per acre basis multiplied by the total number of acres contained within the District. There is no guarantee that this acreage-based estimate is the exact taxable value of the District. Due to the recent creation of the District, no taxable value is available from the Assessor specifically for the property within the District. As a result, it is possible that the actual taxable value of property in the District is less than the estimated taxable values used in the Financial Forecast (although the Financial Forecast assumes only \$0 in taxable value of the District for tax year 2024 and not the \$13,061,550 described above), which could have a material adverse impact on the amount of the Pledged Revenue available for payment of the Bonds. See "FINANCIAL INFORMATION—Ad Valorem Property Tax Data."

Assessed Valuation Procedures and Factors; Market Value of Land. The taxable value of the property in the District is determined according to a procedure described under "FINANCIAL INFORMATION—Ad Valorem Property Taxes." Assessed valuation may be affected by a number of factors beyond the control of the District. For example, property owners are allowed each year by State law to challenge the valuations of their property, and no assurance can be given that owners of property in the Development will not do so. Should the actions of property owners result in lower assessed valuations of

property in the Development, the security for the Bonds would be diminished, increasing the risk of nonpayment.

In addition, the projected taxable value of property in the Development set forth in the Market Study is based on certain assumptions as to the manner in which various properties will be assessed by the County assessor. While these assumptions are based on information provided by the County assessor, no assurance is given that any particular methodology presently used by the County assessor to determine the actual value of property will continue to be used in the future. Any change in the methodology by which the actual value of property is determined could adversely affect the taxable value of property in the District and the property taxes that may be generated thereby. See also “—Risks Inherent in Market Study and Financial Forecast” above and APPENDIX A—FINANCIAL FORECAST hereto.

Potential Tax-Exempt Status of Current Owners and Transfers to Tax-Exempt Users. Property used for tax-exempt purposes is not subject to taxation by the District. It is possible that property within the District which currently does generate property taxes pledged to the payment of the Bonds will be transferred to tax-exempt users. For example, in certain circumstances, certain types of multi-family projects owned by non-profits and operated for charitable purposes can qualify for an exemption from property taxation. It is possible that a future multi-family residential project in the District could qualify for tax-exempt status using tax credits or on some other basis could qualify for tax-exempt status if sold to a non-profit and operated for charitable purposes, although none of the foregoing are currently planned within the Development. In addition, it is possible that some or all of the property in the District could be condemned for public use, in which case it may no longer be subject to taxation by the District or other taxing entities.

No covenants imposing payments in lieu of taxes (“PILOT”) are currently recorded on the property in the District, and the Developer has no present plan to record a PILOT. Unless a PILOT is recorded against property in the District, no revenues for the payment of the Bonds will be generated from any tax-exempt property within the District. Moreover, development plans are subject to change and no assurance is provided that any of the parcels being currently marketed for sale by the Developer to third-party builders and developers will not be sold, or that parcels purchased by third-party builders and developers from the Developer will not be later re-sold, to entities that ultimately develop or use the property for tax-exempt purposes.

Tax Collections. The duty to pay property taxes does not constitute a personal obligation of the property owners within the Development. Rather, the obligation to pay property taxes is tied to the specific properties taxed, and if timely payment is not made, the obligation constitutes a lien against the specific properties for which taxes are unpaid.

To enforce property tax liens, the County Treasurer is obligated to cause the sale of tax liens upon the property that is subject to the delinquent taxes, as provided by law, and the revenue derived from such sale, if any, is applied to the delinquent taxes. The County Treasurer has the power to foreclose on and cause the sale of the property that is subject to the delinquent tax, after the period allowed for the property owner to redeem such taxes, as provided by law. Such redemption period is currently five years, during which a property owner may pay all taxes due and prevent such foreclosure. Foreclosure can be a time-consuming and expensive process and does not necessarily result in recovery of all amounts due and unpaid.

In addition, the ability of the County Treasurer to enforce tax liens could be delayed by bankruptcy laws and other laws affecting creditor’s rights generally. During the pendency of any bankruptcy of any property owner, the parcels owned by such property owner could be sold only if the bankruptcy court approves the sale. There is no assurance that property taxes would be paid during the pendency of any bankruptcy, nor is it possible to predict the timeliness of such payment.

Taxpayer Concentration. As of the date of this Limited Offering Memorandum, the Developer and GRNOBL own all of the property within the Development. As such, the generation of the Pledged Revenue is expected to be dependent upon a limited number of taxpayers for timely payment of property taxes until such time as the concentration of property ownership within the District changes.

Property taxes on land are not personal obligations of the Developer or any other property owner. No party has guaranteed the payment of the principal of or interest on the Bonds, and no financial information regarding the Developer or any other entity which may develop property within the Development is provided in this Limited Offering Memorandum. See “THE DEVELOPMENT—Planned Development” and “—Land Ownership.”

Risks Inherent in Market Study and Financial Forecast

The Developer has engaged Zonda for the purpose of assessing the value of contemplated planned uses of the Development, as presently depicted on the Developer’s site plan, the results of which are set forth in the Market Study, attached hereto as APPENDIX B. The projections set forth in the Market Study are based on certain assumptions, disclaimers and limiting conditions more particularly set forth therein. The Market Study does not address or evaluate other factors which could impact whether the Development as presently depicted on the Developer’s site plan proceeds as described herein, including the availability of funding, entitlements, general economic conditions (which may change) and other matters described in “—Development Not Assured” above, and also assumes certain methodologies with respect to the County Assessor’s determination of market value, which methodologies are subject to change.

In addition, in the Market Study, Zonda reviewed market value trends in the County and has stated that it expects a minimum of 3% home value appreciation in the District, provided the Financial Forecast assumes an annual increase in home values of 1%.

The Developer has engaged CDM for the purpose of projecting cash flows with respect to the District. Such Financial Forecast utilized certain information contained in the Market Study and certain assumptions more particularly set forth therein. The Financial Forecast projects the payment of debt service on the Bonds, based on the absorption schedule and market values presented therein, and the other assumptions more particularly described in the Financial Forecast. The Financial Forecast assumes that Administrative Expenses of the District are paid pursuant to the Funding and Reimbursement Agreement until after collection year 2026. The Financial Forecast (in APPENDIX A hereto) sets forth (a) in Exhibits A through A-6, a projection of the payment of debt service on the Bonds, based on the absorption schedule and market values presented in the Market Study, and assuming an annual inflation rate of 1% (referred to herein as the “**base case**” scenario); and (b) in Exhibits B through B-5 (as described in Note 7 thereto) (referred to herein as the “**alternative scenario**”, presents an alternative projection assuming (1) a reduced pace of development for the single family residential units (approximately 64% of the forecasted pace) within the Development and (2) that the Developer payment of Administrative Expenses will extend through collection year 2027.

Under the base case scenario, the Bonds are repaid on their respective maturity dates. Under the alternative scenario, there are insufficient Pledged Revenues in 2028 and 2029 to pay debt service of the 2024A Senior Bonds and the Reserve Fund is drawn down to pay debt service in such years and is subsequently replenished in 2030. The Bonds are repaid on their scheduled final maturity dates. See “FORWARD-LOOKING STATEMENTS” and APPENDIX A hereto.

These dates represent a forecast and there is no guaranty that any payments will be made on or after such date or, further, that the 2024A Senior Bonds will be paid prior to their discharge date of March 1, 2065 or the 2024B Subordinate Bonds will be paid prior to their discharge date of March 15, 2065. See

“FORWARD-LOOKING STATEMENTS” and “RISK FACTORS—Development Not Assured” and “—Risks Inherent in Market Study and Financial Forecast,” and APPENDIX A hereto.

Past increases in taxable value are not a guarantee that taxable values will increase in the future. Further, taxable values are likely to decrease in certain future years, even if the overall trend of taxable values is to increase in the future. Actual results will vary from those projected, and such variations may be material.

Actual rates of development will be affected by many factors. The Market Study and the Financial Forecast are based, in part, on certain important assumptions, including contemplated uses of the Development, the estimated absorption projection, and the assumed product pricing for the Development. While the Developer has stated that it has no actual knowledge that such estimated absorption projection and assumed product pricing and the values of the contemplated uses depicted on the Developer’s present absorption schedule, as reflected in the Market Study and the Financial Forecast, are not reasonable, the Developer does not assure or guarantee any aspect of the Market Study or the Financial Forecast. No assurance can be given that the actual rate of development and market values will be as presented in the Market Study or that cash flows will be as presented in Financial Forecast.

The information presented in APPENDIX A and APPENDIX B are inherently subject to variations between the assumptions and actual results and those variations could be material. See “—Development Not Assured” and “—Risks Related to Property Tax Revenue” above and “FORWARD-LOOKING STATEMENTS.”

The Financial Forecast and the Market Study attached hereto as APPENDICES A and B, respectively, are an integral part of this Limited Offering Memorandum. Investors are encouraged to read the entire Limited Offering Memorandum, including the Financial Forecast and the Market Study, to obtain information essential to the making of an informed investment decision.

Private Interests of Board of Trustees

According to disclosure statements executed by each director of the District’s Board prior to taking any official action relating to the Bonds, all of the members of the Board have potential or existing personal or private interests relating to the issuance or delivery of the Bonds or the expenditure of the proceeds thereof because they are one or more of the following: an owner or principal in the Developer entity, an employee of or consultant for the Developer entity, an owner or employee of an affiliate of the Developer entity, or an owner of property located within the District. It is anticipated that a portion of the proceeds of the Bonds will be used to partially reimburse the Developer for amounts payable under an Infrastructure Acquisition and Reimbursement Agreement with the Developer (defined herein); provided that as of the date of this Limited Offering Memorandum, no amounts are owed to the Developer pursuant to the Infrastructure Acquisition and Reimbursement Agreement. See “THE DISTRICT—Governing Board” and “—District Agreements—*Infrastructure Acquisition and Reimbursement Agreement*.”

Legal Constraints on District Operations

Various State laws and constitutional provisions govern the assessment and collection of ad valorem property taxes; impose limitations on revenues and spending of the State and local governments, including the District; and limit fees and charges imposed by such entities. There can be no assurance that there will not be changes in interpretation of, or additions to, the applicable laws and provisions which would have a material adverse effect, directly or indirectly, on the affairs of the District, and, as a result, the ability of the District to generate the revenues required to pay, and apply such revenues to the payment of, the Bonds.

Withholding of Revenues by State Auditor

The Utah Code permits the auditor of the State (the “**State Auditor**”) to withhold State allocated funds or the disbursement of property taxes from a taxing entity (including the District), if necessary, to ensure that officials and employees of the taxing entity comply with State laws and procedures in the budgeting, expenditures, and financial reporting or to ensure the taxing entity registers and maintains its registration with the Lieutenant Governor’s Office of the State. The State Auditor may not withhold funds until the taxing entity has received formal written notice of noncompliance from the Auditor and has been given 60 days to make the specified corrections. If a taxing entity has not adopted a budget in compliance with State law, the State Auditor is required to provide the taxing entity notice of its failure to comply and may prohibit the taxing entity from accessing money held in an account of a financial institution by contacting the financial institution and requesting it prohibit the taxing entity’s access or by filing an action in district court requesting an order of the court to prohibit a financial institution from providing the taxing entity access to an account. The Utah Code requires the State Auditor to authorize disbursement to a taxing entity if the disbursement is necessary to avoid a major disruption in the operations of the taxing entity or to meet debt service obligations. Notwithstanding the foregoing, it is possible that a failure by the District to timely adopt budgets or otherwise comply with State laws could impact the District’s ability to receive and access funds of the District, including Pledged Revenues, or timely pay debt service on the Bonds. As of the date of this Limited Offering Memorandum, the District has not yet adopted a budget, but anticipates adopting a budget after the issuance of the Bonds.

Enforceability of Bondholders’ Remedies upon Default

The remedies available to the owners of the Bonds upon a default are in many respects dependent upon judicial action, which is often subject to discretion and delay under existing constitutional law, statutory law, and judicial decisions, including specifically the federal Bankruptcy Code. Consequently, any enforcement proceedings may entail risks of delay, and/or limitation or modification of their rights as otherwise provided under the applicable Indenture and the Bonds. The legal opinions to be delivered concurrently with delivery of the Bonds will be qualified as to enforceability of the various legal instruments by limitations imposed by bankruptcy, reorganization, and insolvency or other similar laws affecting the rights of creditors generally, now or hereafter in effect; to usual equity principles which may limit the specific enforcement under State law of certain remedies; to the exercise by the United States of America of the powers delegated to it by the federal constitution; and to the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies, in the interest of serving an important public purpose.

Risk of Internal Revenue Service Audit

The Internal Revenue Service (the “**Service**”) has a program of auditing tax-exempt bonds which can include those issued by special purpose governmental units, such as the District, for the purpose of determining whether the Service agrees (a) with the determination of Bond Counsel that interest on the Bonds is tax-exempt for federal income tax purposes or (b) that the District is in or remains in compliance with Service regulations and rulings applicable to governmental bonds such as the Bonds. The commencement of an audit of the Bonds could adversely affect the market value and liquidity of the Bonds, regardless of the final outcome. An adverse determination by the Service with respect to the tax-exempt status of interest on the Bonds could be expected to adversely impact the secondary market, if any, for the Bonds, and, if a secondary market exists, would also be expected to adversely impact the price at which the Bonds can be sold. The Indentures do not provide for any adjustment to the interest rates borne by the Bonds in the event of a change in the tax-exempt status of the Bonds. Owners of the Bonds should note that, if the Service audits the Bonds, under current audit procedures the Service will treat the District as the taxpayer during the initial stage of the audit, and the owners of the Bonds will have limited rights to

participate in such procedures. There can be no assurance that the District will have revenues available to contest an adverse determination by the Service. No transaction participant, including none of the District, the Underwriter, or Bond Counsel is obligated to pay or reimburse the Owner of any Bond for audit or litigation costs in connection with any legal action, by the Service or otherwise, relating to the Bonds.

There can be no assurance that an audit by the Service of the Bonds will not be commenced. However, the District has no reason to believe that any such audit will be commenced, or that if commenced, an audit would result in a conclusion of noncompliance with any applicable Service regulation or ruling. No rulings have been or will be sought from the Service with respect to any federal tax matters relating to the issuance, purchase, ownership, receipt or accrual of interest upon, or disposition of, the Bonds. See also “TAX MATTERS” herein.

Future Changes in Law

General. Various State laws, constitutional provisions and federal laws and regulations apply to the obligations created by the issuance of the Bonds and various agreements described herein. There can be no assurance that there will not be any change in, interpretation of, or addition to the applicable laws and provisions which would have a material effect, directly or indirectly, on the affairs of the District or the Developer.

Changes in Federal and State Law. From time to time, there are Presidential proposals, proposals of various federal committees, and legislative proposals in the Congress and in the states that, if enacted, could alter or amend the federal and state tax matters referred to herein or adversely affect the marketability or market value of the Bonds or otherwise prevent holders of the Bonds from realizing the full benefit of the tax exemption of interest on the Bonds. Further, such proposals may impact the marketability or market value of the Bonds simply by being proposed. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value, marketability or tax status of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Bonds would be impacted thereby.

Purchasers of the Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation.

Limited Offering; Restrictions on Purchase; Investor Suitability

The offering of the Bonds is being made to a limited number of investors who are believed to be knowledgeable and experienced and who are not purchasing with a view to distributing the Bonds.

Each initial purchaser of the Bonds represents that it is (i) a “qualified institutional buyer” (as defined in Rule 144A under the Securities Act) or (ii) an “accredited investor” (as defined in Rule 501 of Regulation D under the Securities Act).

The foregoing standards are minimum requirements for prospective purchasers of the Bonds. The satisfaction of such standards does not necessarily mean that the Bonds are a suitable investment for a prospective investor. Accordingly, each prospective investor is urged to consult with its own legal, tax and financial advisors to determine whether an investment in the Bonds is appropriate in light of its individual legal, tax, and financial situation.

Limitation on Administrative Expenses; Administrative Expenses Payable from Pledged Revenues

The Governing Document limits the Districts' imposition of ad valorem property taxes for all purposes to 0.005 per dollar of taxable value (the “**Maximum Debt Mill Levy**”). See “THE DISTRICT—Governing Document Authorizations and Limitations.” Pursuant to the Indentures, the District first applies Senior Pledged Revenues and Subordinate Pledged Revenues (to the extent not paid through the Senior Pledged Revenues), as applicable, to pay for Administrative Expenses of the District. Administrative Expenses are limited (i) in calendar year 2024 to the amount of \$50,000, and (ii) for each calendar year thereafter, an additional 2%. Therefore, for so long as the 2024B Subordinate Bonds are Outstanding, it is not anticipated that the District will be able to impose ad valorem property taxes to fund Administrative Expenses in excess of such limitation. The District is expected to enter into the Administration Funding Agreement (defined herein) with the Developer, but the obligation of the Developer to advance funds thereunder for Administrative Expenses terminates on December 31, 2030 and there can be no assurance that such agreement will be executed or that the Developer will fund Administrative Expenses prior to such date. In the event the then applicable limit is not enough to cover Administrative Expenses for a given year, there can be no assurance that the District would have adequate financial resources to pay such excess costs.

As referenced above, the Administrative Expenses of the District are payable from the Pledged Revenues, subject to the limitations set forth in the Indentures. Accordingly, for any year in which Administrative Expenses equal or exceed the total Pledged Revenues, no Pledged Revenues will be available for payment of the Bonds.

No assurance is provided, however, that the foregoing will be sufficient to cover operations and administrative expenses of the District for a given year and no assurance is provided that the District would have adequate financial resources to pay such excess costs.

Authorized Denominations

The Bonds are issued in Authorized Denominations of \$500,000 or any integral multiple of \$1,000 in excess thereof. The par amount of the 2024A Senior Bonds is \$5,645,000 and the par amount of the 2024B Subordinate Bonds is \$1,000,000. In the event that the initial purchasers of the Bonds sell a portion of their Bonds in the secondary market in an amount which leaves such purchasers holding Bonds in an amount less than the Authorized Denomination, there is a risk that such purchasers may experience difficulty in liquidating their remaining holding because it is less than the minimum Authorized Denomination. In addition, it is possible that DTC or the Trustee would not permit a secondary market sale which results in the seller retaining an ownership interest in a residual amount less than \$500,000.

Restrictions on Transferability

By their acceptance of the Bonds, each Owner acknowledges that the Bonds may be sold, transferred or otherwise disposed of only in minimum denominations of \$500,000 and any integral multiple of \$1,000 in excess thereof, except as otherwise provided in the applicable Indenture. See “THE 2024A SENIOR BONDS—Authorized Denominations of the 2024A Senior Bonds” and “THE 2024B SUBORDINATE BONDS—Authorized Denominations of the 2024B Subordinate Bonds.”

Each subsequent transferee of the Bonds will be deemed to have represented and warranted as follows: Each subsequent purchaser of a Bond (i) is a “qualified institutional buyer” within the meaning of Rule 144A of the Securities Act or an accredited investor and (ii) is acquiring such Bond for its own account or for the account of a “qualified institutional buyer” within the meaning of Rule 144A of the Securities Act or an accredited investor, as the case may be, and not with a view to further distribution thereof but expressly reserves the right to re-sell the Bond.

Limited Operating History

The District was incorporated on October 17, 2023. As of the 2024 tax year, the market value of property within the District is estimated at \$13,061,550, and the taxable value after including the Greenbelt Reduction, is estimated at \$5,894,754. See “DISTRICT FINANCIAL INFORMATION—Ad Valorem Property Taxes.” Until the District’s assessed valuation increases to sufficient levels to generate tax revenues to pay operational and debt service expenses, which is not guaranteed to occur, the District expects to pay its operational expenses from advances made by the Developer under the Administration Funding Agreement (see “THE DISTRICT—District Agreements—*Funding and Reimbursement Agreement (Administration)*”).

THE 2024A SENIOR BONDS

The following is a summary of certain general provisions of the 2024A Senior Bonds. Reference is hereby made to the Senior Indenture in its entirety for the detailed provisions pertaining to the 2024A Senior Bonds.

Description

The 2024A Senior Bonds will be issued in the principal amount, will be dated and will mature as indicated on the inside cover of this Limited Offering Memorandum. For a complete statement of the details and conditions of the issuance of the 2024A Senior Bonds, reference is made to the Senior Indenture and the Bond Resolution, copies of which are available from the Underwriter prior to delivery of the 2024A Senior Bonds. See “INTRODUCTION—Additional Information.”

Discharge on March 1, 2065

Notwithstanding any other provision in the Senior Indenture, in accordance with the Governing Document (because the District is not permitted to impose an ad valorem property tax levy after a period exceeding forty (40) years from the first date of imposition of the property tax levy of the 2024A Senior Bonds) in the event that any amount of principal of or interest on the 2024A Senior Bonds remains unpaid after the application of all Senior Pledged Revenue available therefor on March 1, 2065, the 2024A Senior Bonds and the lien of the Senior Indenture securing payment thereof are to be deemed discharged, the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Senior Indenture, and execute and deliver to the District such instruments in writing as are to be requested to evidence the same. Upon such discharge, the Owners will have no recourse to the District or any property of the District for the payment of any amount of principal of or interest on the 2024A Senior Bonds remaining unpaid.

Authorized Denominations of the 2024A Senior Bonds

The 2024A Senior Bonds are being issued in “Authorized Denominations,” defined in the Senior Indenture to mean the amount of \$500,000 or any integral multiple of \$1,000 in excess thereof, provided that no individual 2024A Senior Bond may be in an amount which exceeds the principal amount coming due on any maturity date. Notwithstanding the foregoing, in the event a 2024A Senior Bond is partially redeemed and the unredeemed portion is less than \$500,000, such unredeemed portion of such 2024A Senior Bond may be issued in the largest possible denomination of less than \$500,000, in an integral multiple of \$1,000.

Payment of Principal and Interest

The Senior Indenture provides that the principal of and premium, if any, on the 2024A Senior Bonds are payable in lawful money of the United States of America to the owner of each 2024A Senior Bond (the “2024A Senior Bond Owners”) upon maturity or prior redemption and presentation at the principal office of the Trustee. Payment of each installment of interest will be made to the registered owner. The interest on any 2024A Senior Bond is payable to the person in whose name such 2024A Senior Bond is registered, at their address as it appears on the registration books maintained by or on behalf of the District by the Trustee, at the close of business on the Record Date (defined in the Indenture as the 15th day of the calendar month next preceding each Interest Payment Date), irrespective of any transfer or exchange of such 2024A Senior Bond subsequent to such Record Date and prior to such Interest Payment Date; provided that any such interest not so timely paid or duly provided for shall cease to be payable to the person who is the 2024A Senior Bond Owner thereof at the close of business on the Record Date and shall be payable to the person who is the 2024A Senior Bond Owner thereof at the close of business on a Special Record Date for the payment of any such unpaid interest. Such Special Record Date shall be fixed by the Trustee whenever moneys become available for payment of the unpaid interest and notice of the Special Record Date shall be given to the 2024A Senior Bond Owners not less than ten (10) days prior to the Special Record Date by first-class mail to each such 2024A Senior Bond Owner as shown on the registration books kept by the Trustee on a date selected by the Trustee. Such notice shall state the date of the Special Record Date and the date fixed for the payment of such unpaid interest.

Interest payments shall be paid by check or draft of the Trustee mailed on or before the Interest Payment Date to the 2024A Senior Bond Owners. The Trustee may make payments of interest on any 2024A Senior Bond by such alternative means as may be mutually agreed to between the 2024A Senior Bond Owner of such 2024A Bond and the Trustee; provided that the District shall not be required to incur any expenses in connection with such alternative means of payment.

To the extent principal of any 2024A Senior Bond is not paid when due, such principal shall remain Outstanding until paid, subject to the discharge provisions of the Senior Indenture. To the extent interest on any 2024A Senior Bond is not paid when due, such interest shall compound semiannually on each Interest Payment Date, at the interest rate then borne by the 2024A Senior Bond; provided however, that notwithstanding anything in the Senior Indenture to the contrary, the District shall not be obligated to pay more than the amount permitted by law.

Payments for the principal of and interest on the 2024A Senior Bonds will be made as described in APPENDIX G—BOOK-ENTRY-ONLY SYSTEM.

Redemption

Optional Redemption. The 2024A Senior Bonds are subject to redemption prior to maturity, at the option of the District, as a whole or in integral multiples of \$1,000 in any order of maturity, and in whole or partial maturities (and if in part in such order of maturities as the District shall determine and by lot within maturities), on March 1, 2030 and on any date thereafter, upon payment of par, accrued interest, and a redemption premium equal to a percentage of the principal amount so redeemed, as follows:

<u>Date of Redemption</u>	<u>Redemption Premium</u>
March 1, 2030 to February 28, 2031	3.00%
March 1, 2031 to February 29, 2032	2.00
March 1, 2032 to February 28, 2033	1.00
March 1, 2033 and thereafter	0.00

Mandatory Sinking Fund Redemption. The 2024A Senior Bonds maturing on March 1, 2054 are also subject to mandatory sinking fund redemption, in part, by lot, on March 1, 2030 and on each March 1 thereafter prior to the maturity date of such 2024A Senior Bonds, upon payment of par and accrued interest, without redemption premium, in the annual amounts set forth below:

<u>Year of Redemption</u> <u>(March 1)</u>	<u>Redemption</u> <u>Amount</u>	<u>Year of Redemption</u> <u>(March 1)</u>	<u>Redemption</u> <u>Amount</u>
2030	\$20,000	2043	\$195,000
2031	70,000	2044	210,000
2032	75,000	2045	230,000
2033	85,000	2046	250,000
2034	95,000	2047	265,000
2035	100,000	2048	285,000
2036	110,000	2049	305,000
2037	120,000	2050	330,000
2038	130,000	2051	350,000
2039	145,000	2052	375,000
2040	155,000	2053	400,000
2041	170,000	2054*	995,000
2042	180,000		

* Final maturity, not a sinking fund redemption

On or before 45 days prior to each sinking fund installment date as set forth above, the Trustee is to select for redemption, by lot in such manner as the Trustee may determine, from the Outstanding 2024A Senior Bonds, a principal amount of such 2024A Senior Bonds equal to the applicable sinking fund installment. The amount of the applicable sinking fund installment for any particular date is to be reduced by the principal amount of any 2024A Senior Bonds which prior to said date have been redeemed (otherwise than through the operation of the sinking fund) and cancelled and not theretofore applied as a credit against a sinking fund installment. Such reductions are to be applied in such year or years as may be determined by the District. In the event that there are not sufficient moneys in the Senior Bond Fund to pay the full amount due in accordance with the foregoing on any sinking fund installment date, the Trustee is to redeem as many 2024A Senior Bonds as possible on such date in integral multiples of \$1,000, and any redemption amount for which funds are not available to redeem Bonds shall be added to the redemption amount for the immediately succeeding sinking fund installment date.

General Redemption Provisions. If less than all of the 2024A Senior Bonds within a maturity are to be redeemed on any prior redemption date, the 2024A Senior Bonds to be redeemed shall be selected by lot prior to the date fixed for redemption, in such manner as the Trustee shall determine. The 2024A Senior Bonds shall be redeemed only in integral multiples of \$1,000. In the event a 2024A Senior Bond is of a denomination larger than \$1,000, a portion of such 2024A Senior Bond may be redeemed, but only in the principal amount of \$1,000 or any integral multiple thereof. Such 2024A Senior Bond shall be treated for the purpose of redemption as that number of 2024A Senior Bonds which results from dividing the principal amount of such 2024A Senior Bond by \$1,000. In the event a portion of any 2024A Senior Bond is

redeemed, the Trustee shall, without charge to the Owner of such 2024A Senior Bond, authenticate and deliver a replacement Bond or Bonds for the unredeemed portion thereof.

Notice and Effect of Redemption. In the event any of the 2024A Senior Bonds or portions thereof are called for redemption as aforesaid, notice thereof identifying the 2024A Senior Bonds or portions thereof to be redeemed will be given by the Trustee by mailing a copy of the redemption notice by first-class mail (postage prepaid) or by electronic means to DTC or its successors, not less than 20 days prior to the redemption date to the Owner of each 2024A Senior Bond to be redeemed in whole or in part at the address shown on the registration books maintained by or on behalf of the District by the Trustee. Failure to give such notice by mailing to any Owner or by electronic means to DTC or its successors, or any defect therein, is not to affect the validity of any proceeding for the redemption of other 2024A Senior Bonds as to which no such failure or defect exists. The redemption of the 2024A Senior Bonds may be contingent or subject to such conditions as may be specified in the notice, and if funds for the redemption are not irrevocably deposited with the Trustee or otherwise placed in escrow and in trust prior to the giving of notice of redemption, the notice is to be specifically subject to the deposit of funds by the District. All 2024A Senior Bonds so called for redemption will cease to bear interest after the specified redemption date, provided funds for their redemption are on deposit at the place of payment at that time.

Security for the 2024A Senior Bonds

The 2024A Senior Bonds are limited tax general obligations of the District secured by and payable from the Senior Pledged Revenue consisting of the following revenues: (a) all Senior Property Tax Revenues; (b) all Senior Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Senior Bond Fund. See “INTRODUCTION—Security and Sources of Payment for the 2024A Senior Bonds.”

Senior Property Tax Revenues. The Senior Indenture defines “**Senior Property Tax Revenues**” to mean all moneys derived from imposition by the District of the Senior Required Mill Levy (including the allocation to the District of any uniform fees related to personal property). Senior Property Tax Revenues are net of the collection costs of the County and any tax refunds or abatements authorized by or on behalf of the County.

The 2024A Senior Bonds are not secured by property lying within the District, but rather by, among other things, the District’s obligation under the Senior Indenture to annually determine and submit a rate of levy, not to exceed the Senior Required Mill Levy, for ad valorem property taxes to the County Auditor, in an amount sufficient to pay, along with other legally available revenues, the principal of and interest on the 2024A Senior Bonds. The Senior Indenture provides that in the event any ad valorem taxes are not paid when due, the District will diligently cooperate with the appropriate county treasurer to enforce the lien of such unpaid taxes against the property for which the taxes are owed. See “—*Covenant to Impose the Senior Required Mill Levy*” below and “RISK FACTORS—Enforcement of Tax Collection by County.”

Definition of Senior Required Mill Levy. “**Senior Required Mill Levy**” is defined in the Senior Indenture to mean an ad valorem property tax on the taxable property in the District each year in an amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues sufficient to pay the principal of, premium if any, and interest on the Bonds as the same become due and payable (less any amount thereof for which amounts are then on deposit in the Senior Bond Fund and, solely to the extent provided in the Senior Indenture, the Reserve Fund) but not in excess of 0.003 per dollar of taxable value provided, however, that: the Senior Required Mill Levy shall be equal to 0.003 per dollar of taxable value, or such lesser amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues

(A) sufficient to pay the principal of, premium if any, and interest on the Bonds as the same become due and payable, to replenish the Reserve Fund to the Reserve Requirement or (B) which, when combined with moneys then on deposit in the Senior Bond Fund and the Reserve Fund, will pay the 2024A Senior Bonds in full in the Senior Bond Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Senior Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on Outstanding Bonds.

Covenant to Impose the Senior Required Mill Levy. The Senior Indenture provides that for the purpose of paying the principal of, premium if any, and interest on the 2024A Senior Bonds, and if necessary, replenishing the Reserve Fund to the Reserve Requirement, the Board will annually determine and report to the County Auditor, in each of the years 2025 through 2053, inclusive, and in any year thereafter in which the 2024A Senior Bonds remain Outstanding, in addition to all other taxes, the Senior Required Mill Levy, subject to the paragraph in the Senior Indenture set forth in bold below. Nothing in the Senior Indenture is to be construed to require the District to levy an ad valorem property tax for payment of the 2024A Senior Bonds, in excess of the Senior Required Mill Levy. When collected, the taxes levied for the foregoing purposes shall be deposited with the Trustee in accordance with the Senior Indenture.

The Senior Indenture provides that notwithstanding any other provision in the Senior Indenture, in accordance with the Governing Document, the District shall not be permitted to impose the Senior Required Mill Levy for payment of the 2024A Senior Bonds after tax year 2064 for payment prior to March 1, 2065.

The Senior Indenture further provides that it is the duty of the Board, annually, at the time and in the manner provided by law for levying other District taxes, to ratify and carry out the provisions of the Senior Indenture with reference to the levying and collection of taxes; and the Board is to levy, report, and collect said taxes in the manner provided by law for the purpose of paying the principal of, premium, if any, and interest on the 2024A Senior Bonds.

Senior Pioneering Agreement Revenues. “Senior Pioneering Agreement Revenues” is defined in the Senior Indenture to mean all revenues received by the District pursuant to a Pioneering Agreement (defined herein). For purposes of the foregoing, the Indenture defines “Pioneering Agreement” to mean any interlocal agreement between the District and the City whereby the City agrees to pay impact fees to the District relating to costs of Improvements. ***The District has not engaged in any discussions with the City concerning a Pioneering Agreement, and it is not anticipated that the City and the District will enter into any Pioneering Agreement. Repayment of the 2024A Senior Bonds is not dependent on receipt of any Senior Pioneering Agreement Revenues and the Financial Forecast does not account for any Senior Pioneering Agreement Revenues.***

The 2024A Senior Bonds are also secured by amounts on deposit in the Reserve Fund, which will be funded from proceeds of the 2024A Senior Bonds in an amount equal to \$564,500 (as previously defined, the “Reserve Requirement”).

Certain Senior Indenture Provisions

The following is a description of certain provisions of the Senior Indenture and is subject in all respects to the more specific provisions of the Senior Indenture. *See APPENDIX C—SELECTED DEFINITIONS for definitions of certain capitalized terms and other terms used in this Limited Offering Memorandum.*

The Senior Indenture secures, and the covenants made by the District in the Senior Indenture are for the benefit of Owners of, solely the 2024A Senior Bonds. The Owners of the 2024B Subordinate Bonds are not secured by, nor have any rights to enforce any provision of, the Senior Indenture.

No funds or accounts held under the Senior Indenture secure payment of the 2024B Subordinate Bonds. See “THE 2024B SUBORDINATE BONDS—Security for the 2024B Subordinate Bonds; Subordinate Lien.”

Creation of Senior Funds and Accounts. Under the Senior Indenture, there are created and established the following funds and accounts, which are to be established with the Trustee and maintained by the Trustee in accordance with the provisions of the Senior Indenture:

- (a) the Senior Project Fund;
- (b) the Senior Bond Fund;
- (c) the Reserve Fund; and
- (d) the Costs of Issuance Fund.

Senior Project Fund. The Senior Project Fund is to be maintained by the Trustee in accordance with the terms of the Senior Indenture.

Transfers from Senior Project Fund to the Senior Bond Fund. In the event the amounts credited to the Senior Bond Fund (prior to the transfer of any amounts from the Reserve Fund) are insufficient to pay the principal of, premium if any, or interest on the 2024A Senior Bonds when due, the Trustee shall transfer from the Senior Project Fund to the Senior Bond Fund an amount which, when combined with moneys in the Senior Bond Fund, will be sufficient to make such payments when due; and in the event the amounts in the Senior Bond Fund (prior to the transfer of any amounts from the Reserve Fund) and the Senior Project Fund are insufficient to pay all principal, premium if any, and interest on any due date, the Trustee shall nonetheless transfer all of the moneys in the Senior Project Fund to the Senior Bond Fund for the purpose of making partial payments as provided in the Senior Indenture. Amounts in the Senior Project Fund shall not be used to redeem 2024A Senior Bonds being called pursuant to any optional redemption provision of the Senior Indenture, but may be used to pay 2024A Senior Bonds coming due as a result of any mandatory redemption.

Draws from the Senior Project Fund. So long as no Event of Default shall have occurred and be continuing, amounts in the Senior Project Fund shall be released by the Trustee to the District in accordance with requisitions submitted to the Trustee in substantially the form set forth in the Senior Indenture, signed by the District Representative and certifying that all amounts drawn will be applied to the payment of the Project Costs. The Trustee may rely conclusively on any such requisitions and shall not be required to make any independent investigation in connection therewith. The execution of any requisition by the District Representative shall constitute, unto the Trustee, an irrevocable determination that all conditions precedent to the payments requested have been completed.

Termination of Senior Project Fund. Upon the receipt by the Trustee of a resolution of the District determining that all Project Costs have been paid, any balance remaining in the Senior Project Fund shall be credited to the Senior Bond Fund. The Senior Project Fund shall terminate at such time as no further moneys remain therein.

Application of Senior Pledged Revenue. The District will transfer all amounts comprising Senior Pledged Revenue to the Trustee as soon as may be practicable after the receipt thereof, and in no event later than the 15th day of the calendar month immediately succeeding the calendar month in which such revenue is received by the District, subject to the last paragraph of this section in the Senior Indenture, as set forth below; provided, however, that in the event that the total amount of Senior Pledged Revenue received by the District in a calendar month is less than \$50,000, the Senior Pledged Revenue received in such calendar month may instead be remitted to the Trustee no later than the 15th day of the calendar month immediately succeeding the calendar quarter in which such revenue is received by the District (i.e., no later than April 15th for Senior Pledged Revenue received in January, February, or March; no later than July 15th for Senior Pledged Revenue received in April, May, or June; no later than October 15th for Senior Pledged Revenue received in July, August, or September; and no later than January 15th for Senior Pledged Revenue received in October, November, or December). IN NO EVENT IS THE DISTRICT PERMITTED TO APPLY ANY PORTION OF THE SENIOR PLEDGED REVENUE TO ANY OTHER PURPOSE, OR TO WITHHOLD ANY PORTION OF THE SENIOR PLEDGED REVENUE. The Trustee is to credit all Senior Pledged Revenue as received in the following order of priority (excluding the Senior Pledged Revenue described in clause (c) of the definition thereof, which is to be deposited directly to the Senior Bond Fund). For purposes of the following, when credits to more than one fund, account, or purpose are required at any single priority level, such credits are to rank *pari passu* with each other and when credits are required to go to funds or accounts which are not held by the Trustee under the Senior Indenture, the Trustee may rely upon the written instructions of the District with respect to the appropriate funds or accounts to which such credits are to be made.

FIRST: To the Trustee, in an amount sufficient to pay the Trustee Fees then due and payable;

SECOND: To the District, in the amount budgeted by the District to pay Administrative Expenses for the coming Fiscal Year;

THIRD: To the credit of the Senior Bond Fund, the amounts described in “—*Senior Bond Fund*” below, and to the credit of any other similar fund or account established for the current payment of the principal of, premium if any, and interest on any Senior Parity Bonds, the amounts required by the resolution or other enactment authorizing issuance of the Senior Parity Bonds for the then current Senior Bond Year;

FOURTH: To the credit of the Reserve Fund the amount, if any, necessary for the amounts therein to equal the Reserve Requirement, and to the credit of any other similar fund or account established to secure payment of the principal of, premium if any, and interest on any Senior Parity Bonds, the amount required by the resolution or other enactment authorizing issuance of the Senior Parity Bonds; and

FIFTH, to the District for credit to any other fund or account as may be designated by the District in writing to the Trustee, to be used for any lawful purpose, any Senior Pledged Revenue received for the remainder of the Senior Bond Year after the payments and accumulations set forth above (which revenues, upon disbursement to or at the direction of the District in accordance with this clause FIFTH, are to be released from the lien of the Senior Indenture and are to thereafter no longer constitute “Senior Pledged Revenue” under the Senior Indenture).

In the event that any Pledged Revenue is available to be disbursed in accordance with clause FIFTH above, the District will, in making its determination as to the application of such amounts, take into account that State law places certain restrictions upon the use of any amounts appropriated or added to the tax levy

to pay the principal of, premium, and interest on any bonds, and any then existing pledge or encumbrance on such revenues.

The District covenants in the Senior Indenture that all property tax revenue collected by the District from a property tax levy, or so much thereof as is needed, will first, be designated as Senior Property Tax Revenues in any Senior Bond Year to pay annual debt service on the 2024A Senior Bonds and any Senior Parity Bonds and to fund such funds and accounts as are required in accordance with the terms of the Senior Indenture and the resolution, indenture or other enactment authorizing such Senior Parity Bonds (including to replenish the Reserve Fund to the Reserve Requirement any similar fund or account securing Senior Parity Bonds to the requisite level, if needed), and only after the funding of such payments and accumulations required in such Senior Bond Year can property tax revenue be applied to pay Subordinate Obligations. The debt service property tax levy imposed for the payment of Subordinate Obligations will be deemed reduced to the rate per dollar of taxable value (if any) available for payment of such Subordinate Obligations in any Senior Bond Year after first providing for the full payment and accumulation of all amounts due on the 2024A Senior Bonds and any Senior Parity Bonds in such Senior Bond Year.

Senior Bond Fund. There will be credited to the Senior Bond Fund each Senior Bond Year an amount of Senior Pledged Revenue which, when combined with other legally available moneys in the Senior Bond Fund (not including moneys deposited thereto from other funds pursuant to the terms of the Senior Indenture), will be sufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds which has or will become due in the Senior Bond Year in which the credit is made, including as a result of mandatory sinking fund redemption in accordance with the Senior Indenture.

Moneys in the Senior Bond Fund (including any moneys transferred thereto from other funds pursuant to the terms of the Senior Indenture) will be used by the Trustee solely to pay the principal of, premium if any, and interest on the 2024A Senior Bonds, in the following order of priority.

FIRST: to the payment of interest due and payable in connection with the 2024A Senior Bonds (including without limitation current interest, accrued but unpaid interest, and interest due as a result of compounding, if any); and

SECOND: to the extent any moneys are remaining in the Senior Bond Fund after the payment of such interest, to the payment of the principal of and premium, if any, on the 2024A Senior Bonds, whether due at maturity or upon prior redemption.

In the event that available moneys in the Senior Bond Fund (including any moneys transferred thereto from other funds pursuant to the terms of the Senior Indenture) are insufficient for the payment of the principal of, premium if any, and interest due on the 2024A Senior Bonds on any due date, the Trustee will apply such amounts on such due date as follows:

FIRST: the Trustee will pay such amounts as are available, proportionally in accordance with the amount of interest due on each 2024A Senior Bond; and

SECOND: the Trustee will apply any remaining amounts to the payment of the principal of and premium, if any, on as many 2024A Senior Bonds as can be paid with such remaining amounts, such payments to be in increments of \$1,000 or any integral multiple thereof, plus any premium. 2024A Senior Bonds or portions thereof to be redeemed pursuant to such partial payment will be selected by lot from the 2024A Senior Bonds the principal of which is due and owing on the due date.

Moneys credited to the Senior Bond Fund may be invested or deposited as provided in the Senior Indenture.

Reserve Fund. Moneys in the Reserve Fund are to be used solely for the purpose of paying the principal of and interest on the Series 2024A Bonds to the extent the moneys in the Senior Bond Fund are insufficient for such purpose. The Trustee will transfer moneys from the Reserve Fund to the Senior Bond Fund to pay the principal of or interest on the Series 2024A Bonds to the extent moneys on deposit in the Senior Bond Fund are insufficient therefor on any Interest Payment Date. It is intended that amounts in the Senior Project Fund (so long as it is in existence) are to be transferred to the Senior Bond Fund prior to any transfer of moneys from the Reserve Fund to the Senior Bond Fund.

If a withdrawal from the Reserve Fund is made that reduces the balance in such fund below the Reserve Requirement for the Series 2024A Bonds, the District shall include in the computation of its next tax rate certification the amount necessary to replenish the Reserve Fund to the Reserve Requirement as provided in the Senior Indenture (subject to the limitations of the Senior Required Mill Levy).

There is to be deposited to the Reserve Fund from the proceeds of the Series 2024A Bonds, an amount equal to the Reserve Requirement for the Series 2024A Bonds. The Reserve Fund is to be funded and maintained at all times in the amount of the Reserve Requirement, with cash or Permitted Investments, or any combination of the foregoing. Subject to the receipt of sufficient Pledged Revenue, the Reserve Fund is to be maintained thereafter in the amount of the Reserve Requirement for so long as any Series 2024A Bonds are outstanding. If at any time the Reserve Fund is drawn upon or valued so that the amount of the Reserve Fund is less than the Reserve Requirement, then the Trustee is to apply Pledged Revenue to the credit of the Reserve Fund in amounts sufficient to bring the amount credited to the Reserve Fund to the Reserve Requirement. Such deposits and payments are to be made at the earliest practicable time, but in accordance with and subject to the limitations provided in the Senior Indenture. Nothing in the Senior Indenture is to be construed as requiring the District to impose a debt service property tax for the purpose of funding the Reserve Fund in excess of the Senior Required Mill Levy.

Moneys credited to the Reserve Fund may be invested or deposited by the Trustee at the written direction of the District in Permitted Investments only and in accordance with the laws of the State. The investment of moneys credited to the Reserve Fund will, however, be subject to the covenants and provisions of the Section in the Senior Indenture entitled "Tax Matters." Investments in the Reserve Fund are to be valued by the Trustee at market value at least quarterly. Interest income from the investment or reinvestment of moneys credited to the Reserve Fund are to remain in and become part of the Reserve Fund if the Reserve Fund balance is less than the Reserve Requirement for the Series 2024A Bonds. At any time that the Trustee determines that the Reserve Fund balance exceeds the Reserve Requirement for the Bonds, such excess amounts shall be transferred by the Trustee to the Senior Bond Fund on or before the next Interest Payment Date.

If at any time the amounts on deposit in the Reserve Fund (if any) are sufficient to pay, whether by redemption or at maturity, all principal, premium, if any, and interest on the Bonds that will accrue to the redemption date or final maturity date, all amounts on deposit in the Reserve Fund (if any) are to be transferred to the Senior Bond Fund and used to pay the principal of, premium, if any, and interest on the Series 2024A Bonds at the times and in the amounts required for the payment of the principal of, premium, if any, and interest on the Series 2024A Bonds.

Amounts on deposit in the Reserve Fund on the final maturity date of the Series 2024A Bonds are to be applied to the payment of the Series 2024A Bonds on such date. The availability of such amount will be taken into account in calculating the Senior Required Mill Levy required to be imposed in the levy year of the final year of maturity of the Series 2024A Bonds.

Costs of Issuance Fund. The Costs of Issuance Fund is to be maintained by the Trustee. All moneys on deposit in the Costs of Issuance Fund are to be applied by the Trustee at the written direction of the District in accordance with the closing memorandum prepared by the Underwriter, which summarizes the approved costs in connection with the issuance of the 2024A Senior Bonds and the 2024B Subordinate Bonds, including, without limitation, printing costs, CUSIP fees, regulatory fees, the fees and expenses of bond counsel, general counsel, underwriter's counsel and other counsel, the fees and expenses of the District's accountant, manager, special consultants, and other professionals, and the costs of the Trustee, and other costs and expenses of the District relating to the issuance of the 2024A Senior Bonds and the 2024B Subordinate Bonds. The Trustee may rely conclusively on any such written direction and closing memorandum and is not to be required to make any independent investigation in connection therewith. Any amounts remaining in the Costs of Issuance Fund on the date that is 90 days after the date of issuance of the 2024A Senior Bonds is to be transferred by the Trustee into the Senior Project Fund.

Additional Covenants and Agreements of the District in the Senior Indenture. The District irrevocably covenants in the Senior Indenture and agrees with each and every Owner that so long as any of the 2024A Senior Bonds remain Outstanding:

(a) The District will maintain its existence and is not to merge or otherwise alter its corporate structure in any manner or to any extent as might reduce the security provided for the payment of the 2024A Senior Bonds, and will continue to operate and manage the District and its facilities in an efficient and economical manner in accordance with all applicable laws, rules, and regulations.

(b) At least once a year the District will cause an audit to be performed of the records relating to its revenues and expenditures, and the District is to use its best commercially reasonable efforts to have such audit report completed no later than 200 days following the end of its fiscal year. The foregoing covenant is to apply notwithstanding any State law audit exemptions that may exist. In addition, at least once a year in the time and manner provided by law, the District will cause a budget to be prepared and adopted. Copies of the budget and the audit will be filed and recorded in the places, time, and manner provided by law.

(c) The District will carry general liability, public officials' liability, and such other forms of insurance coverage on insurable District property upon the terms and conditions, and in such amount, as in the judgment of the District will protect the District and its operations.

(d) Each District official or other person having custody of any District funds or responsible for the handling of such funds, is to be bonded or insured against theft or defalcation at all times.

(e) In the event any ad valorem taxes are not paid when due, the District is to diligently cooperate with the appropriate county treasurer to enforce the lien of such unpaid taxes against the property for which the taxes are owed.

(f) In the event the Senior Pledged Revenue is insufficient or is anticipated to be insufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds when due, the District is to use its best efforts to refinance, refund, or otherwise restructure the 2024A Senior Bonds so as to avoid such payment shortfall.

(g) In the event that any amount of the Senior Pledged Revenue is released to the District as provided in FIFTH of "—Application of Senior Pledged Revenue" above, the District will, in making its determination as to which obligations will be paid with such amounts, take into

account that State law places certain restrictions upon the use of any amounts appropriated or added to the tax levy to pay the principal of, premium, and interest on any bonds.

(h) The District shall not impose any rates, tolls, fees or other charges on vacant lots or other undeveloped property within its boundaries in excess of the rates, tolls, fees or other charges applicable to developed residential lots or engage in any other unreasonable act or omission that may impair future development in a manner that could adversely affect the amount of the District's Senior Pledged Revenue or delay the timing of the District's receipt of Senior Pledged Revenue or remittance thereof to the Trustee in accordance with the provisions of the Senior Indenture.

(i) In the event of nonpayment of any tax, fee or charge that the District imposes, and so long as permitted under the District Act the District shall impose or cause the County to impose a property tax penalty at an annual rate of 7% in addition to any other lawful penalty for nonpayment of property taxes.

Additional Obligations. The District is not to incur any additional debt or other financial obligation having a lien upon the Senior Pledged Revenue superior to the lien thereof of the 2024A Senior Bonds.

Any Additional Obligations secured by a lien on ad valorem property taxes of the District are to be issued as either Senior Parity Bonds or Subordinate Obligations; provided, however, that such requirement is not apply to Additional Obligations secured solely by an Unencumbered Debt Service Mill Levy The issuance of the 2024B Subordinate Bonds in accordance with the Subordinate Indenture is permitted. The District is not to issue or incur any other Additional Obligations except as provided below with respect to Senior Parity Bonds and Subordinate Obligations, and Additional Obligations secured by Unencumbered Debt Service Mill Levy, unless such issuance is consented to by the Consent Parties with respect to a majority in aggregate principal amount of the 2024A Senior Bonds then Outstanding.

The District may issue Additional Obligations constituting Senior Parity Bonds without the consent of the Consent Parties if each of the following conditions is met as of the date of issuance of such Additional Obligations:

(a) no Event of Default is to have occurred and be continuing and no amounts of principal or interest on the 2024A Senior Bonds or any other Senior Parity Bonds are due but unpaid, unless: (i) such Event of Default or failure to pay principal or interest on the 2024A Senior Bonds will be cured upon issuance of the Senior Parity Bonds, or (ii) the conditions of clause (f)(ii) below are satisfied;

(b) the amount on deposit in the Reserve Fund for the 2024A Senior Bonds is not less than the Reserve Requirement, and the amount on deposit in any similar fund established in connection with any other outstanding Senior Parity Bonds is not less than the Senior Parity Bonds Reserve Requirement, provided that if such deficiencies will be fully cured upon issuance of the Senior Parity Bonds, this condition will be deemed to have been met;

(c) the Senior Parity Bonds will be secured by a reserve fund funded on the date of issuance of the Senior Parity Bonds, which thereafter shall be required to be maintained in the same manner as the Reserve Fund with respect to the Series 2024A Senior Bonds, in the amount of (and not greater than) the applicable Senior Parity Bonds Reserve Requirement;

(d) In the event that the Senior Parity Bonds are secured by a lien on ad valorem property taxes of the District, then (i) the maximum rate per dollar of taxable value (if any) pledged to the payment of the Senior Parity Bonds, together with the Senior Required Mill Levy required to be imposed under the Senior Indenture, is not to be higher than the applicable maximum rate per dollar of taxable value set forth in the definition of Senior Required Mill Levy in the Senior Indenture, and (B) the resolution, indenture or other document pursuant to which the Senior Parity Bonds are issued is to provide that any ad valorem property taxes imposed for the payment of such Senior Parity Bonds is to be applied in the same manner and priority as described in “—*Application of Senior Pledged Revenue*” above with respect to the Senior Pledged Revenue; and

(e) one of the following two conditions is to be satisfied:

(i) upon issuance of the Senior Parity Bonds, the Senior Debt to Taxable Value Ratio will be 10% or less; OR

(ii) the proposed Senior Parity Bonds will constitute Senior Refunding Parity Bonds and, upon issuance of such Senior Refunding Parity Bonds, the total of the District’s scheduled debt service on such Senior Refunding Parity Bonds, the 2024A Senior Bonds and any other Senior Parity Bonds (to the extent to remain outstanding upon the issuance of such Senior Refunding Parity Bonds) will not exceed in any year the total scheduled debt service on the 2024A Senior Bonds and Senior Parity Bonds outstanding immediately prior to the issuance of such Senior Refunding Parity Bonds (excluding from such calculation of debt service any amount on deposit in a reserve fund anticipated to be available for payment of debt service at final maturity, as reasonably determined by the Board in good faith, such determination to be binding and final). For purposes of the foregoing, the issuance of Senior Refunding Parity Bonds that have a scheduled payment date in any year that is after the latest maturity date of the 2024A Senior Bonds or Senior Parity Bonds outstanding immediately prior to the issuance of the Senior Refunding Parity Bonds is to be deemed to increase the District’s Senior Parity Bonds debt service and is not to be permitted by this clause (ii).

The District may issue Additional Obligations constituting Subordinate Obligations without the consent of the Consent Parties and the terms of such Subordinate Obligations are to be as provided in the documents pursuant to which they are issued, provided that each of the following conditions is met as of the date of issuance of the Subordinate Obligations:

(a) the aggregate rate per dollar of taxable value which the District promises to impose for payment of all Subordinate Obligations (including the Subordinate Obligations proposed to be issued) does not exceed 0.003 per dollar of taxable value (as may be adjusted as described in the definition of Senior Required Mill Levy), less the Senior Required Mill Levy required to be imposed under the Senior Indenture and rate per dollar of taxable value required to be imposed for the payment of any Senior Parity Bonds;

(b) the failure to make a payment when due on the Subordinate Obligations is not to constitute an Event of Default thereunder; and

(c) the Subordinate Obligations are to be payable as to both principal and interest only on an annual basis, on or after March 15 of each calendar year.

The District expects to issue the 2024B Subordinate Bonds on the date of issuance of the 2024A Senior Bonds, which will constitute Subordinate Bonds.

A written certificate by the Chair or Treasurer of the District that the conditions set forth in the Senior Indenture are met is to conclusively determine the right of the District to authorize, issue, sell, and deliver Additional Obligations in accordance with the Senior Indenture.

Nothing in the Senior Indenture is to affect or restrict the right of the District to issue or incur obligations that are not Additional Obligations under the Senior Indenture.

Notwithstanding any other provision contained in the Senior Indenture, under no circumstances is the District to issue Additional Obligations in excess of that authorized by the Property Owner Consent, any future consent or election by property owners or eligible electors of the District, as applicable, and the District's Governing Document, as the same may be amended from time to time.

Events of Default. The Senior Indenture provides that the occurrence of any one or more of the following events or the existence of any one or more of the following conditions will constitute an Event of Default under the Senior Indenture (whatever the reason for such event or condition and whether it is to be voluntary or involuntary or be effected by operation of law or pursuant to any judgment, decree, rule, regulation, or order of any court or any administrative or governmental body), and there will be no default or Event of Default under the Senior Indenture except as described below:

- (a) The District fails or refuses to impose the Senior Required Mill Levy or to apply the Senior Pledged Revenue as required by the Senior Indenture;
- (b) The District defaults in the performance or observance of any other of the covenants, agreements, or conditions on the part of the District in the Senior Indenture or the Bond Resolution and fails to remedy the same after notice thereof pursuant to the Senior Indenture; or
- (c) The District files a petition under the federal bankruptcy laws or other applicable bankruptcy laws seeking to adjust the obligation represented by the 2024A Senior Bonds.

WITHOUT LIMITING THE FOREGOING, AND NOTWITHSTANDING ANY OTHER PROVISION CONTAINED IN THE SENIOR INDENTURE, THE DISTRICT ACKNOWLEDGES AND AGREES THAT THE APPLICATION OF ANY PORTION OF THE SENIOR PLEDGED REVENUE TO ANY PURPOSE OTHER THAN DEPOSIT WITH THE TRUSTEE IN ACCORDANCE WITH THE PROVISIONS OF THE SENIOR INDENTURE CONSTITUTES A VIOLATION OF THE TERMS OF THE SENIOR INDENTURE AND A BREACH OF THE COVENANTS MADE THEREUNDER FOR THE BENEFIT OF THE OWNERS OF THE 2024A SENIOR BONDS, WHICH SHALL ENTITLE THE TRUSTEE TO PURSUE, ON BEHALF OF THE OWNERS OF THE 2024A SENIOR BONDS, ALL AVAILABLE ACTIONS AGAINST THE DISTRICT IN LAW OR IN EQUITY, AS MORE PARTICULARLY PROVIDED IN THE SENIOR INDENTURE. THE DISTRICT FURTHER ACKNOWLEDGES AND AGREES THAT THE APPLICATION OF SENIOR PLEDGED REVENUE IN VIOLATION OF THE COVENANTS OF THE SENIOR INDENTURE WILL RESULT IN IRREPARABLE HARM TO THE OWNERS OF THE 2024A SENIOR BONDS. IN NO EVENT SHALL ANY PROVISION OF THE SENIOR INDENTURE BE INTERPRETED TO PERMIT THE DISTRICT TO RETAIN ANY PORTION OF THE SENIOR PLEDGED REVENUE.

The Senior Indenture states that it is acknowledged that due to the limited nature of the Senior Pledged Revenue, the failure to pay the principal of or interest on the 2024A Senior Bonds when due is not to, of itself, constitute an Event of Default thereunder.

It is also acknowledged in the Senior Indenture that, in accordance with the Governing Document, the District will not be permitted to impose the Senior Required Mill Levy pursuant to the terms of the Senior Indenture for payment of the Series 2024A Senior Bonds after tax year 2064 for payment on March 1, 2065.

The Trustee is to give to the Owners of all 2024A Senior Bonds notice by mailing to the address shown on the registration books maintained by the Trustee or by electronic means to DTC or its successors, of all Events of Default of which the Trustee is by the Senior Indenture required to take notice, or if notice of an Event of Default is given as provided in the Senior Indenture, within 90 days after the Trustee has knowledge of the occurrence of such default or Event of Default unless such default or Event of Default is to have been cured before the giving of such notice; provided that, the Trustee is to be protected in withholding such notice if and so long as a committee of its corporate trust department in good faith determines that the withholding of such notice is not detrimental to the interests of the Owners.

No default described under paragraph (b) above is to constitute an Event of Default until actual notice of such default by registered or certified mail is given by the Trustee or by the Owners of not less than 25% in aggregate principal amount of all 2024A Senior Bonds Outstanding to the District, and the District has had 30 days after receipt of such notice to correct said default or cause said default to be corrected, and is not to have corrected said default or caused said default to be corrected within the applicable period; provided however, if said default be such that it cannot be corrected within the applicable period, it is not to constitute an Event of Default if corrective action is instituted within the applicable period and diligently pursued thereafter until the default is corrected.

Remedies on Occurrence of Event of Default. Upon the occurrence and continuance of an Event of Default, the Trustee is to have the following rights and remedies which may be pursued:

Receivership. Upon the filing of a bill in equity or other commencement of judicial proceedings to enforce the rights of the Trustee and of the Owners, the Trustee is to be entitled as a matter of right to the appointment of a receiver or receivers of the Trust Estate, and of the revenues, income, product, and profits thereof pending such proceedings, subject however, to constitutional limitations inherent in the sovereignty of the District; but notwithstanding the appointment of any receiver or other custodian, the Trustee is to be entitled to the possession and control of any cash, securities, or other instruments at the time held by, or payable or deliverable under the provisions of the Senior Indenture to, the Trustee.

Suit for Judgment. The Trustee may proceed to protect and enforce its rights and the rights of the Owners under the Special District Act, the 2024A Senior Bonds, the Bond Resolution, the Senior Indenture, and any provision of law by such suit, action, or special proceedings as the Trustee, being advised by Counsel, is to deem appropriate.

Mandamus or Other Suit. The Trustee may proceed by mandamus or any other suit, action, or proceeding at law or in equity, to enforce all rights of the Owners.

No recovery of any judgment by the Trustee is to in any manner or to any extent affect the lien of the Senior Indenture or any rights, powers, or remedies of the Trustee thereunder, or any lien, rights, powers, and remedies of the Owners of the 2024A Senior Bonds, but such lien, rights, powers, and remedies of the Trustee and of the Owners are to continue unimpaired as before.

If any Event of Default under paragraph (a) in “*Events of Default*” above is to have occurred and if requested by the Owners of 25% in aggregate principal amount of the 2024A Senior Bonds then Outstanding, the Trustee is obligated to exercise one or more of the rights and powers conferred by the

Senior Indenture as the Trustee, being advised by Counsel, is to deem most expedient in the interests of the Owners, subject to the Senior Indenture; provided that the Trustee at its option is to be indemnified as provided in the Senior Indenture.

Notwithstanding anything in the Senior Indenture to the contrary, acceleration of the 2024A Senior Bonds is not to be an available remedy for an Event of Default.

The Consent Parties of a majority in aggregate principal amount of the 2024A Senior Bonds then Outstanding are to have the right, at any time, to the extent permitted by law, by an instrument or instruments in writing executed and delivered to the Trustee, to direct the time, method, and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Senior Indenture, or for the appointment of a receiver, and any other proceedings thereunder; provided that such direction is not to be otherwise than in accordance with the provisions thereof; and provided further that at its option the Trustee is to be indemnified as provided in the Senior Indenture.

No Owner of any 2024A Senior Bond is to have any right to institute any suit, action, or proceeding in equity or at law for the enforcement of the Senior Indenture or for the execution of any trust thereof or for the appointment of a receiver or any other remedy thereunder, unless (a) a default has occurred of which the Trustee has been notified as provided in the Senior Indenture, or of which under the Senior Indenture it is deemed to have notice; (b) such default is to have become an Event of Default; (c) the Owners of not less than 25% in aggregate principal amount of 2024A Senior Bonds then Outstanding are to have made written request to the Trustee and are to have offered reasonable opportunity either to proceed to exercise the powers granted in the Senior Indenture or to institute such action, suit, or proceedings in their own name, and are to have also offered to the Trustee indemnity as provided in the Senior Indenture; and (d) the Trustee is to thereafter fail or refuse to exercise the powers granted in the Senior Indenture, or to institute such action, suit, or proceeding in its own name; such notification, request, and offer of indemnity are declared in every case at the option of the Trustee to be conditions precedent to any action or cause of action for the enforcement of the Senior Indenture, or for the appointment of a receiver or for any other remedy thereunder; it being understood and intended that no one or more Owners of 2024A Senior Bonds are to have any right in any manner whatsoever to affect, disturb, or prejudice the lien of the Senior Indenture by his, her, its, or their action, or to enforce any right under the Senior Indenture except in the manner therein provided and that all proceedings at law or in equity are to be instituted, had, and maintained in the manner therein provided and for the equal benefit of the Owners of all 2024A Senior Bonds then Outstanding.

The Trustee may in its discretion waive any Event of Default under the Senior Indenture and its consequences, and is to do so upon the written request of the Consent Parties with respect to a majority in aggregate principal amount of all the 2024A Senior Bonds then Outstanding; provided however, that there is not to be waived without the consent of the Consent Parties with respect to 100% of the 2024A Senior Bonds then Outstanding as to which the Event of Default exists any Event of Default described in paragraph (a) in “—*Events of Default*” above. In case of any such waiver, or in case any proceedings taken by the Trustee on account of any such default is to have been discontinued or abandoned or determined adversely to the Trustee, then in every such case the District, the Trustee, and the Owners are to be restored to their former positions and rights hereunder respectively, but no such waiver or rescission is to extend to any subsequent or other default, or impair any right consequent thereon.

Senior Indenture Supplements. Subject to the provisions of the Senior Indenture, the District and the Trustee may, without the consent of or notice to the Consent Parties, enter into such indentures supplemental thereto, which supplemental indentures are to thereafter form a part thereof, for any one or more of the following purposes: (a) to cure any ambiguity, to cure, correct, or supplement any formal defect or omission or inconsistent provision contained in the Senior Indenture, to make any provision necessary or desirable due to a change in law, to make any provisions with respect to matters arising under the Senior

Indenture, or to make any provisions for any other purpose if such provisions are necessary or desirable and do not materially adversely affect the interests of the Owners of the 2024A Senior Bonds; (b) to subject to the Senior Indenture additional revenues, properties, or collateral; (c) to grant or confer upon the Trustee for the benefit of the Owners any additional rights, remedies, powers, or authority that may lawfully be granted to or conferred upon the Owners or the Trustee; and (d) to qualify the Senior Indenture under the Trust Indenture Act of 1939.

Except for supplemental indentures delivered as described above, and subject to the provisions of the Senior Indenture, the Consent Parties with respect to not less than a majority (or for modifications of provisions of the Senior Indenture which require the consent of a percentage of Owners or Consent Parties higher than a majority, such higher percentage) in aggregate principal amount of the 2024A Senior Bonds then Outstanding are to have the right, from time to time, to consent to and approve the execution by the District and the Trustee of such indenture or indentures supplemental thereto as are to be deemed necessary or desirable by the District for the purpose of modifying, altering, amending, adding to, or rescinding, in any particular, any of the terms or provisions contained in the Senior Indenture; provided however, that without the consent of the Consent Parties with respect to all the Outstanding 2024A Senior Bonds affected thereby, nothing contained in the Senior Indenture is to permit, or be construed as permitting: (a) a change in the terms of the maturity of any Outstanding 2024A Senior Bond, in the principal amount of any Outstanding 2024A Senior Bond, in the optional or mandatory redemption provisions applicable thereto, or the rate of interest thereon; (b) an impairment of the right of the Owners to institute suit for the enforcement of any payment of the principal of or interest on the 2024A Senior Bonds when due; (c) a privilege or priority of any 2024A Senior Bond or any interest payment over any other 2024A Senior Bond or interest payment; or (d) a reduction in the percentage in principal amount of the Outstanding 2024A Senior Bonds, the consent of whose Owners or Consent Parties is required for any such supplemental indenture.

Discharge of Lien of the Senior Indenture. If the District is to pay or cause to be paid to the Trustee, for the Owners of the 2024A Senior Bonds, the principal of and interest to become due thereon at the times and in the manner stipulated in the Senior Indenture, and if the District is to keep, perform, and observe all and singular the covenants and promises in the 2024A Senior Bonds and in the Senior Indenture expressed to be kept, performed, and observed by it or on its part, and if all fees and expenses of the Trustee required by the Senior Indenture to be paid are to have been paid, then the presents and the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Senior Indenture, and execute and deliver to the District such instruments in writing as are to be required to satisfy the lien of the Senior Indenture, and assign and deliver to the District any property at the time subject to the lien of the Senior Indenture which may then be in its possession, and deliver any amounts required to be paid to the District under the Senior Indenture, except for moneys and Federal Securities held by the Trustee for the payment of the principal of, premium if any, and interest on the 2024A Senior Bonds.

Any 2024A Senior Bond is to, prior to the maturity or prior redemption thereof, be deemed to have been paid within the meaning and with the effect expressed in the Senior Indenture if, for the purpose of paying such 2024A Senior Bond (a) there is to have been deposited with the Trustee an amount sufficient, without investment, to pay the principal of, premium if any, and interest on such 2024A Senior Bond as the same becomes due at maturity or upon one or more designated prior redemption dates, or (b) there is to have been placed in escrow and in trust with a commercial bank exercising trust powers, an amount sufficient (including the known minimum yield from Federal Securities in which such amount may be invested) to pay the principal of, premium if any, and interest on such 2024A Senior Bond, as the same becomes due at maturity or upon one or more designated prior redemption dates. The Federal Securities in any such escrow are not to be subject to redemption or prepayment at the option of the issuer, and are to become due at or prior to the respective times on which the proceeds thereof are to be needed, in accordance with a schedule established and agreed upon between the District and such bank at the time of the creation

of the escrow, or the Federal Securities are to be subject to redemption at the option of the holders thereof to assure such availability as so needed to meet such schedule. The sufficiency of any such escrow funded with Federal Securities is to be verified by a certified public accountant.

Neither the Federal Securities, nor moneys deposited with the Trustee or placed in escrow and in trust pursuant to the Senior Indenture, nor principal or interest payments on any such Federal Securities are to be withdrawn or used for any purpose other than, and are to be held in trust for, the payment of the principal of and interest on the 2024A Senior Bonds; provided however, that any cash received from such principal or interest payments on such Federal Securities, if not then needed for such purpose, is to, to the extent practicable, be reinvested subject to the provisions of the Senior Indenture in Federal Securities maturing at the times and in amounts sufficient to pay, when due, the principal of and interest on the 2024A Senior Bonds.

Prior to the investment or reinvestment of such moneys or such Federal Securities as therein provided, the Trustee is to receive and may rely upon: (a) an opinion of Bond Counsel experienced in matters arising under Section 103 of the Code and acceptable to the Trustee, that the investment or reinvestment of such moneys or such Federal Securities complies with the Senior Indenture; and (b) a report of a certified public accountant that the moneys or Federal Securities will be sufficient to provide for the payment of the principal of and interest on the 2024A Senior Bonds when due.

The release of the obligations of the District under the Senior Indenture are to be without prejudice to the rights of the Trustee to be paid reasonable compensation by the District for all services rendered by it thereunder and all its reasonable expenses, charges, and other disbursements incurred in the administration of the trust thereby created, the exercise of its powers, and the performance of its duties thereunder.

Continuing Role as Bond Registrar and Paying Agent. Notwithstanding the defeasance of the 2024A Senior Bonds prior to maturity and the discharge of the Senior Indenture as provided therein, the Trustee is to continue to fulfill its obligations as bond registrar and paying agent thereunder until the 2024A Senior Bonds are fully paid, satisfied, and discharged.

THE 2024B SUBORDINATE BONDS

The following is a summary of certain general provisions of the 2024B Subordinate Bonds. Reference is hereby made to the Subordinate Indenture in its entirety for the detailed provisions pertaining to the 2024B Subordinate Bonds.

Description

The 2024B Subordinate Bonds will be issued in the principal amount, will be dated and will mature as indicated on the inside cover of this Limited Offering Memorandum. For a complete statement of the details and conditions of the issuance of the 2024B Subordinate Bonds, reference is made to the Subordinate Indenture and the Bond Resolution, copies of which are available from the Underwriter prior to delivery of the 2024B Subordinate Bonds. See “INTRODUCTION—Additional Information.”

The 2024B Subordinate Bonds are authorized, issued and secured by and in accordance with the Subordinate Indenture. No covenant, agreement or other provision of the Senior Indenture secures or is otherwise made by the District or the Trustee for the benefit of Owners of the 2024B Subordinate Bonds.

Sources of Payment

The 2024B Subordinate Bonds are limited tax general obligations of the District secured by and payable solely from and to the extent of the “**Subordinate Pledged Revenue**,” consisting of moneys derived by the District from the following sources: (a) all Subordinate Property Tax Revenues (generally defined as all moneys derived from imposition by the District of the Subordinate Required Mill Levy); (b) all Subordinate Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Subordinate Bond Fund.

“Cash flow” Nature of 2024B Subordinate Bonds; Discharge on March 15, 2065

The 2024B Subordinate Bonds are structured as “cash flow” bonds, meaning that the Subordinate Indenture does not provide for any scheduled payments of principal on the 2024B Subordinate Bonds prior to the final stated maturity date. Rather, principal on the 2024B Subordinate Bonds is payable on each March 15 from, and to the extent of, Subordinate Pledged Revenue on deposit, if any, in the Subordinate Mandatory Redemption Account of the Subordinate Bond Fund 45 days prior to such March 15, in accordance with the terms of the Subordinate Indenture, pursuant to a special mandatory redemption more particularly described in “—Redemption—*Mandatory Redemption*” and “—Certain Subordinate Indenture Provisions—*Subordinate Bond Fund*” below. Furthermore, accrued unpaid interest on the 2024B Subordinate Bonds will compound annually on each March 15. As further described in “—Certain Subordinate Indenture Provisions—*Subordinate Bond Fund*,” interest payable on the 2024B Subordinate Bonds in each Subordinate Bond Year is to be paid prior to any payments of principal in such Subordinate Bond Year. *As projected in the Financial Forecast, it is not anticipated that there will be any Subordinate Pledged Revenue available to pay accrued interest on the 2024B Subordinate Bonds until 2026, and it is not anticipated that there will be any Subordinate Pledged Revenue available to pay principal on the 2024B Subordinate Bonds until 2033. The Financial Forecast is based on certain assumptions more particularly set forth therein. There is no assurance that Subordinate Pledged Revenue will be sufficient to make payment on the 2024B Subordinate Bonds as projected in the Financial Forecast, or ever.* See also the Financial Forecast, attached as APPENDIX A hereto, and “RISK FACTORS—Risks Inherent in Market Study and Financial Forecast.”

Notwithstanding any other provision in the Subordinate Indenture, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof is to be deemed discharged.

Authorized Denominations of the 2024B Subordinate Bonds

The 2024B Subordinate Bonds are being issued in “Authorized Denominations,” defined in the Subordinate Indenture to mean the amount of \$500,000 or any integral multiple of \$1,000 in excess thereof, provided that no individual 2024B Subordinate Bond may be in an amount which exceeds the principal amount coming due on any maturity date. Notwithstanding the foregoing, in the event a 2024B Subordinate Bond is partially redeemed and the unredeemed portion is less than \$500,000, such unredeemed portion of such 2024B Subordinate Bond may be issued in the largest possible denomination of less than \$500,000, in an integral multiple of \$1,000.

Payment of Principal and Interest

The 2024B Subordinate Bonds will bear interest at the rates set forth on the inside cover hereof (computed on the basis of a 360-day year of twelve 30-day months) payable to the extent of Subordinate Pledged Revenue available therefor annually on each March 15, commencing on March 15, 2025.

To the extent principal of any 2024B Subordinate Bond is not paid when due, such principal is to remain Outstanding until paid, subject to the bold paragraph below. To the extent interest on any 2024B Subordinate Bond is not paid when due, such interest is to compound annually on each Interest Payment Date, at the rate then borne by the 2024B Subordinate Bond; provided however, that notwithstanding anything in the Subordinate Indenture to the contrary, the District is not to be obligated to pay more than the amount permitted by law.

Notwithstanding any other provision in the Subordinate Indenture, in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof are to be deemed discharged, the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Subordinate Indenture, and execute and deliver to the District such instruments in writing as are to be required to evidence the same. Upon such discharge, the Owners will have no recourse to the District or any property of the District for the payment of any amount of principal of or interest on the 2024B Subordinate Bonds remaining unpaid.

The principal of and premium, if any, on the 2024B Subordinate Bonds are payable in lawful money of the United States of America to the Owner of each 2024B Subordinate Bond upon maturity or prior redemption and presentation at the principal office of the Trustee. The interest on any 2024B Subordinate Bond is payable to the person in whose name such 2024B Subordinate Bond is registered, at his address as it appears on the registration books maintained by or on behalf of the District by the Trustee, at the close of business on the Record Date, irrespective of any transfer or exchange of such 2024B Subordinate Bond subsequent to such Record Date and prior to such Interest Payment Date; provided that any such interest not so timely paid or duly provided for is to cease to be payable to the person who is the Owner thereof at the close of business on the Record Date and is to be payable to the person who is the Owner thereof at the close of business on a Special Record Date for the payment of any such unpaid interest.

Payments for the principal of and interest on the 2024B Subordinate Bonds will be made as described in APPENDIX G—BOOK-ENTRY-ONLY SYSTEM.

Redemption

Optional Redemption. The 2024B Subordinate Bonds are subject to redemption prior to maturity, at the option of the District, as a whole or in integral multiples of \$1,000 in any order of maturity, and in whole or partial maturities (and if in part in such order of maturities as the District shall determine and by lot within maturities), on March 1, 2030 and on any date thereafter, upon payment of par, accrued interest, and a redemption premium equal to a percentage of the principal amount so redeemed, as follows:

<u>Date of Redemption</u>	<u>Redemption Premium</u>
March 1, 2030 to February 28, 2031	3.00%
March 1, 2031 to February 29, 2032	2.00
March 1, 2032 to February 28, 2033	1.00
March 1, 2033 and thereafter	0.00

Mandatory Redemption. The 2024B Subordinate Bonds are subject to mandatory redemption in part by lot on March 15 of each year (each a “**Mandatory Redemption Date**”), commencing March 15, 2025, to the extent of moneys on deposit, if any, in the Subordinate Mandatory Redemption Account of the Subordinate Bond Fund 45 days prior to the applicable Mandatory Redemption Date, and subject to any minimum requirements with respect to the principal amount of 2024B Subordinate Bonds to be redeemed as set forth in the Subordinate Indenture, at a redemption price (the “**Mandatory Redemption Price**”) equal to the principal amount thereof (with no redemption premium), plus accrued interest to the redemption date. The District acknowledges and agrees in the Subordinate Indenture that, notwithstanding anything therein to the contrary, borrowed moneys are not to be used for the purpose of redeeming principal of the 2024B Subordinate Bonds pursuant to the mandatory redemption described in the Subordinate Indenture.

General Redemption Provisions. If less than all of the 2024B Subordinate Bonds within a maturity are to be redeemed on any prior redemption date, the 2024B Subordinate Bonds to be redeemed are to be selected by lot prior to the date fixed for redemption, in such manner as the Trustee is to determine. The 2024B Subordinate Bonds are to be redeemed only in integral multiples of \$1,000. In the event a 2024B Subordinate Bond is of a denomination larger than \$1,000, a portion of such 2024B Subordinate Bond may be redeemed, but only in the principal amount of \$1,000 or any integral multiple thereof. Such 2024B Subordinate Bond is to be treated for the purpose of redemption as that number of 2024B Subordinate Bonds which results from dividing the principal amount of such 2024B Subordinate Bond by \$1,000. In the event a portion of any 2024B Subordinate Bond is redeemed, the Trustee is to, without charge to the Owner of such 2024B Subordinate Bond, authenticate and deliver a replacement 2024B Subordinate Bond or 2024B Subordinate Bonds for the unredeemed portion thereof.

Notice and Effect of Redemption. In the event any of the 2024B Subordinate Bonds or portions thereof are called for redemption as aforesaid, notice thereof identifying the 2024B Subordinate Bonds or portions thereof to be redeemed will be given by the Trustee by mailing a copy of the redemption notice by first-class mail (postage prepaid) or by electronic means to DTC or its successors, not less than 20 days prior to the redemption date to the Owner of each 2024B Subordinate Bond to be redeemed in whole or in part at the address shown on the registration books maintained by or on behalf of the District by the Trustee. Failure to give such notice by mailing to any Owner or by electronic means to DTC or its successors, or any defect therein, is not to affect the validity of any proceeding for the redemption of other 2024B Subordinate Bonds as to which no such failure or defect exists. The redemption of the 2024B Subordinate Bonds may be contingent or subject to such conditions as may be specified in the notice, and if funds for the redemption are not irrevocably deposited with the Trustee or otherwise placed in escrow and in trust prior to the giving of notice of redemption, the notice is to be specifically subject to the deposit of funds by the District. All 2024B Subordinate Bonds so called for redemption will cease to bear interest after the specified redemption date, provided funds for their redemption are on deposit at the place of payment at that time.

Security for the 2024B Subordinate Bonds; Subordinate Lien

The 2024B Subordinate Bonds are “cash flow” subordinate limited tax general obligations of the District secured by and payable solely from and to the extent of the Subordinate Pledged Revenue, consisting of moneys derived by the District from the following: (a) all Subordinate Property Tax Revenues;

(b) all Subordinate Pioneering Agreement Revenues, if any; and (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Subordinate Bond Fund.

Subordinate Property Tax Revenues. The Subordinate Indenture defines “**Subordinate Property Tax Revenues**” to mean moneys derived from imposition by the District of the Subordinate Required Mill Levy (including the allocation to the District of any uniform fees related to personal property). Subordinate Property Tax Revenues are net of the collection costs of the County and any tax refunds or abatements authorized by or on behalf of the County.

The 2024B Subordinate Bonds are not secured by property lying within the District, but rather by, among other things, the District’s obligation to annually determine, fix and report a rate of levy, not to exceed the Subordinate Required Mill Levy, for ad valorem property taxes to the County Auditor in an amount sufficient to pay, along with other legally available revenues, the principal of and interest on the 2024B Subordinate Bonds. The Subordinate Indenture provides that in the event any ad valorem taxes are not paid when due, the District is to diligently cooperate with the appropriate county treasurer to enforce the lien of such unpaid taxes against the property for which the taxes are owed. See “*—Covenant to Impose the Subordinate Required Mill Levy*” below and “RISK FACTORS—Enforcement of Tax Collection by County.”

Definition of Subordinate Required Mill Levy; Limitations Resulting from Senior Obligation Mill Levy. The Subordinate Indenture defines “**Subordinate Required Mill Levy**” to mean an ad valorem property tax on the taxable property in the District each year in an amount equal to (i) 0.003 per dollar of taxable value **less the Senior Obligation Mill Levy**, or (ii) such lesser amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Subordinate Property Tax Revenues which, when combined with moneys then on deposit in the Subordinate Bond Fund, will pay the 2024A Senior Bonds in full in the Fiscal Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Subordinate Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on Outstanding Bonds.

“**Senior Obligation Mill Levy**” is defined in the Subordinate Indenture to mean the sum of the Senior Required Mill Levy required to be imposed by the District and any other ad valorem property tax levy required to be imposed by the District for the payment of Senior Obligations.

In accordance with the Senior Indenture, the District has covenanted to impose the Senior Required Mill Levy in an amount necessary to provide for payment of the 2024A Senior Bonds; provided, however, that such Senior Required Mill Levy is not to exceed 0.003 per dollar of taxable value. **As a result, the Subordinate Required Mill Levy will equal zero** at any time that the payment of the 2024A Senior Bonds (and any other Senior Obligations) requires the imposition of 0.003 per dollar of taxable value. See also “THE 2024A SENIOR BONDS—Certain Senior Indenture Provisions—*Application of Senior Pledged Revenue*” and “APPENDIX A—FINANCIAL FORECAST” hereto.

Covenant to Impose the Subordinate Required Mill Levy. The Subordinate Indenture provides that for the purpose of paying the principal of, premium if any, and interest on the 2024B Subordinate Bonds, the Board will annually adopt and report to the county auditor of the County, in each of the years 2025 through 2053, inclusive, and in any year thereafter in which the 2024B Subordinate Bonds remain Outstanding, in addition to all other taxes, the Subordinate Required Mill Levy, subject to the paragraph in the Subordinate Indenture set forth in bold below. Nothing in the Subordinate Indenture is to be construed

to require the District to levy an ad valorem property tax for payment of the 2024B Subordinate Bonds in excess of the Subordinate Required Mill Levy.

Notwithstanding any other provision in the Subordinate Indenture, in accordance with the Governing Document, the District shall not be permitted to impose the Subordinate Required Mill Levy for payment of the 2024B Subordinate Bonds after tax year 2064 for payment prior to March 15, 2065.

The Subordinate Indenture further provides that it is the duty of the Board, annually, at the time and in the manner provided by law for levying other District taxes, to ratify and carry out the provisions of the Subordinate Indenture with reference to the levying and collection of taxes; and the Board is to levy, report, and collect said taxes in the manner provided by law for the purpose of paying the principal of, premium, if any, and interest on the 2024B Subordinate Bonds.

Subordinate Pioneering Agreement Revenue. The Subordinate Indenture defines “**Subordinate Pioneering Agreement Revenues**” to mean all revenues received by the District pursuant to a Pioneering Agreement after deduction of any amount thereof used, paid, pledged or otherwise applied to the payment of any Senior Obligations. For purposes of the foregoing, the Subordinate Indenture defines “**Pioneering Agreement**” to mean any interlocal agreement between the District and the City whereby the City would agree to remit a portion of certain one-time water and sewer system fees representing system improvement costs paid by the District. ***The District has not engaged in any discussions with the City concerning a Pioneering Agreement, and it is not anticipated that the City and the District will enter into any Pioneering Agreement. Repayment of the 2024B Subordinate Bonds is not dependent on receipt of any Subordinate Pioneering Agreement Revenues and the Financial Forecast does not account for any Subordinate Pioneering Agreement Revenues.***

See “THE 2024A SENIOR BONDS—Security for the 2024A Senior Bonds—*Senior Pioneering Agreement Revenues.*”

Certain Subordinate Indenture Provisions

The following is a description of certain provisions of the Subordinate Indenture and is subject in all respects to the more specific provisions of the Senior Indenture. *See APPENDIX C—SELECTED DEFINITIONS for definitions of certain capitalized terms and other terms used in this Limited Offering Memorandum.*

Creation of Subordinate Funds and Accounts. Under the Subordinate Indenture, there are created and established the following funds and accounts, which are to be established with the Trustee and maintained by the Trustee in accordance with the provisions of the Subordinate Indenture:

- (a) the Subordinate Project Fund and, therein, the Subordinate Costs of Issuance Account; and
- (b) the Subordinate Bond Fund and, therein, the Subordinate Interest Account and the Subordinate Mandatory Redemption Account.

Subordinate Project Fund. The Subordinate Project Fund is to be maintained by the Trustee in accordance with the terms of the Subordinate Indenture.

Draws from the Subordinate Project Fund. So long as no Event of Default shall have occurred and be continuing, amounts in the Subordinate Project Fund shall be released by the Trustee to the District in

accordance with requisitions submitted to the Trustee in substantially the form set forth in the Subordinate Indenture, signed by the District Representative and certifying that all amounts drawn will be applied to the payment of the Project Costs. The Trustee may rely conclusively on any such requisition and shall not be required to make any independent investigation in connection therewith. The execution of any requisition by the District Representative shall constitute, unto the Trustee, an irrevocable determination that all conditions precedent to the payments requested have been completed.

Subordinate Costs of Issuance Account. The Subordinate Costs of Issuance Account shall be maintained by the Trustee. All moneys on deposit in the Subordinate Costs of Issuance Account shall be applied by the Trustee at the written direction of the District in accordance with the closing memorandum prepared by the Underwriter, which summarizes the approved costs in connection with the issuance of the Bonds and the 2024A Senior Bonds, including, without limitation, printing costs, CUSIP fees, regulatory fees, the fees and expenses of bond counsel, general counsel, underwriter's counsel and other counsel, the fees and expenses of the District's accountant, manager, special consultants, and other professionals, and the costs of the Trustee, and other costs and expenses of the District relating to the issuance of the Bonds and the 2024A Senior Bonds. The Trustee may rely conclusively on any such written direction and closing memorandum and shall not be required to make any independent investigation in connection therewith. Any amounts remaining in the Subordinate Costs of Issuance Account on the date that is 90 days after the date of issuance of the Bonds shall be transferred by the Trustee into the Subordinate Project Fund.

Termination of Subordinate Project Fund. Upon the receipt by the Trustee of a resolution of the District determining that all Project Costs have been paid, any balance remaining in the Subordinate Project Fund shall be credited to the Subordinate Bond Fund. The Subordinate Project Fund shall terminate at such time as no further moneys remain therein.

Application of Subordinate Pledged Revenue. The District is to transfer all amounts comprising Subordinate Pledged Revenue to the Trustee as soon as may be practicable after the receipt thereof, and in no event later than the 15th day of the calendar month immediately succeeding the calendar month in which such revenue is received by the District, subject to the last paragraph of this section in the Subordinate Indenture, as described below; provided, however, that in the event that the total amount of Subordinate Pledged Revenue received by the District in a calendar month is less than \$50,000, the Subordinate Pledged Revenue received in such calendar month may instead be remitted to the Trustee no later than the 15th day of the calendar month immediately succeeding the calendar quarter in which such revenue is received by the District (i.e., no later than April 15th for Subordinate Pledged Revenue received in January, February, or March; no later than July 15th for Subordinate Pledged Revenue received in April, May, or June; no later than October 15th for Subordinate Pledged Revenue received in July, August, or September; and no later than January 15th for Subordinate Pledged Revenue received in October, November, or December). IN NO EVENT IS THE DISTRICT PERMITTED TO APPLY ANY PORTION OF THE SUBORDINATE PLEDGED REVENUE TO ANY OTHER PURPOSE, OR TO WITHHOLD ANY PORTION OF THE SUBORDINATE PLEDGED REVENUE. The Trustee is to credit all Subordinate Pledged Revenue as received in the following order of priority (excluding the Subordinate Pledged Revenue described in clause (c) of the definition thereof, which is to be deposited directly to the Subordinate Bond Fund). For purposes of the following, when credits to more than one fund, account, or purpose are required at any single priority level, such credits are to rank pari passu with each other and when credits are required to go to funds or accounts which are not held by the Trustee under the Subordinate Indenture, the Trustee may rely upon the written instructions of the District with respect to the appropriate funds or accounts to which such credits are to be made.

FIRST: To the Trustee, in an amount sufficient to pay the Trustee Fees then due and payable;

SECOND: To the District, in the amount budgeted by the District to pay Administrative Expenses for the coming Fiscal Year, to the extent that such Administrative Expenses have not been fully paid through application of revenues available under the Senior Indenture or under any resolutions, indentures, or other documents pursuant to which other Senior Obligations have been issued;

THIRD: To the credit of the Subordinate Bond Fund and any other fund or account created for the payment of the principal of, premium if any, and interest on Subordinate Parity Bonds, including any sinking fund, reserve fund, or similar fund or account established therefor, pro rata in accordance with the then outstanding principal amounts of the 2024B Subordinate Bonds and any Subordinate Parity Bonds, all Subordinate Pledged Revenue received until the funding of all amounts to become due and payable on the 2024B Subordinate Bonds and the Subordinate Parity Bonds through maturity; and

FOURTH: To the District, for credit to any other fund or account as may be designated by the District in writing to the Trustee, to be used for any lawful purpose, any Subordinate Pledged Revenue received for the remainder of the Subordinate Bond Year after the payments and accumulations set forth above (which revenues, upon disbursement to or at the direction of the District in accordance with this clause FOURTH, shall be released from the lien hereof and shall thereafter no longer constitute "Subordinate Pledged Revenue" under the Subordinate Indenture).

In the event that any Subordinate Pledged Revenue is available to be disbursed in accordance with clause FOURTH above, the District will, in making its determination as to the application of such amounts, take into account that State law places certain restrictions upon the use of any moneys representing ad valorem property tax revenue from a property tax levy, and any then existing pledge or encumbrance on such revenues.

The District covenants that all property tax revenue collected by the District from a property tax levy, or so much thereof as is needed, will first, be designated as property taxes resulting from imposition of the Senior Obligation Mill Levy in any Subordinate Bond Year to pay annual debt service on Senior Obligations and to fund such funds and accounts as are required in accordance with the terms of the Senior Indenture and any other resolution, indenture or other enactment authorizing such Senior Obligations, and after the funding of such payments and accumulations required in such Subordinate Bond Year, all property tax revenue collected by the District from a property tax levy for the remainder of such Subordinate Bond Year will, second, be designated as property taxes resulting from imposition of the Subordinate Required Mill Levy unless and until the District has funded the full amount outstanding with respect to the 2024B Subordinate Bonds. The debt service property tax levy imposed for the payment of any Junior Lien Obligations will be deemed reduced to rate per dollar of taxable value available for payment of such Junior Lien Obligations in any Subordinate Bond Year after first providing for the funding of payments and accumulations required with respect to all Senior Obligations in such Subordinate Bond Year (including the amounts required to accomplish the full repayment or defeasance of any such Senior Obligations, to the extent required by the applicable resolutions, indentures, or other enactments authorizing Senior Obligations), and the full amount outstanding with respect to the 2024B Subordinate Bonds and any Subordinate Parity Bonds (to the extent required by the applicable resolutions, indentures, or other enactments authorizing such Subordinate Parity Bonds).

Subordinate Bond Fund. Moneys in the Subordinate Bond Fund are to be used by the Trustee solely to pay the principal of, premium if any, and interest on the 2024B Subordinate Bonds.

Subordinate Pledged Revenue required to be credited to the Subordinate Bond Fund in accordance with the Subordinate Indenture, as described in "*Application of Subordinate Pledged Revenue*" above, is to be credited each Subordinate Bond Year as received as follows:

FIRST: to the credit of the Subordinate Interest Account, the amount required for amounts on deposit therein to equal the interest due and payable on the 2024B Subordinate Bonds in such Subordinate Bond Year; and

SECOND: to the credit of the Subordinate Mandatory Redemption Account, all remaining Subordinate Pledged Revenue credited to the Subordinate Bond Fund for such Subordinate Bond Year.

On each Interest Payment Date, the Trustee is to apply amounts on deposit in the Subordinate Interest Account to the payment of interest on the 2024B Subordinate Bonds (including current interest, accrued but unpaid interest and unpaid compound interest, and including the accrued interest portion of any Mandatory Redemption Price) then due.

On the 45th day prior to each Mandatory Redemption Date, the Trustee is to determine the amounts on deposit in the Subordinate Mandatory Redemption Account available for application to redemption of the 2024B Subordinate Bonds in accordance with the Subordinate Indenture, taking into account any requirements of the Subordinate Indenture with respect to the amount to be redeemed. The Trustee is to provide notice of the mandatory redemption to occur on each Mandatory Redemption Date as a result of amounts credited to the Subordinate Mandatory Redemption Account, as provided in the Subordinate Indenture.

On each Mandatory Redemption Date, the Trustee is to apply amounts on deposit in the Subordinate Mandatory Redemption Account to the payment of the principal portion of any Mandatory Redemption Price.

Moneys credited to the Subordinate Bond Fund may be invested or deposited as provided in the Subordinate Indenture.

The District acknowledges and agrees that, notwithstanding anything in the Subordinate Indenture to the contrary, borrowed moneys are not to be used for the purpose of redeeming principal of the 2024B Subordinate Bonds pursuant to the mandatory redemption provisions referenced above and described above in “Redemption—*Mandatory Redemption*.”

Additional Covenants and Agreements of the District in the Subordinate Indenture. The District further irrevocably covenants and agrees with each and every Owner that so long as any of the 2024B Subordinate Bonds remain Outstanding:

(a) The District will maintain its existence and is not to merge or otherwise alter its corporate structure in any manner or to any extent as might reduce the security provided for the payment of the Bonds, and will continue to operate and manage the District and its facilities in an efficient and economical manner in accordance with all applicable laws, rules, and regulations.

(b) At least once a year the District will cause an audit to be performed of the records relating to its revenues and expenditures, and the District is to use its best commercially reasonable efforts to have such audit report completed no later than 200 days following the end of its fiscal year. The foregoing covenant is to apply notwithstanding any State law audit exemptions that may exist. In addition, at least once a year in the time and manner provided by law, the District will cause a budget to be prepared and adopted. Copies of the budget and the audit will be filed and recorded in the places, time, and manner provided by law.

(c) The District will carry general liability, public officials' liability, and such other forms of insurance coverage on insurable District property upon the terms and conditions, and in such amount, as in the judgment of the District will protect the District and its operations.

(d) Each District official or other person having custody of any District funds or responsible for the handling of such funds, is to be bonded or insured against theft or defalcation at all times.

(e) In the event any ad valorem taxes are not paid when due, the District is to diligently cooperate with the appropriate county treasurer to enforce the lien of such unpaid taxes against the property for which the taxes are owed.

(f) In the event that any amount of the Subordinate Pledged Revenue is released to the District as provided in FOURTH of "—Application of Subordinate Pledged Revenue" above, the District will, in making its determination as to which obligations will be paid with such amounts, take into account that State law places certain restrictions upon the use of any amounts appropriated or added to the tax levy to pay the principal of, premium, and interest on any bonds.

(g) The District will not amend or supplement any of the documents pertaining to the Senior Obligations in any way which (i) alters the amortization of the principal of such Senior Obligations or (ii) increases the rate or rates of interest borne by the Senior Obligations, except in each case upon the prior written consent of the Consent Parties with respect to 100% in aggregate principal amount of the 2024B Subordinate Bonds.

(h) The District shall not impose any rates, tolls, fees or other charges on vacant lots or other undeveloped property within its boundaries in excess of the rates, tolls, fees or other charges applicable to developed residential lots or engage in any other unreasonable act or omission that may impair future development in a manner that could adversely affect the amount of the District's Subordinate Pledged Revenue or delay the timing of the District's receipt of Subordinate Pledged Revenue or remittance thereof to the Trustee in accordance with the provisions hereof.

(i) In the event of nonpayment of any tax, fee or charge that the District imposes, and so long as permitted under the District Act, the District shall impose or cause the County to impose a property tax penalty at an annual rate of 7% in addition to any other lawful penalty for nonpayment of property taxes.

Additional Obligations. Any Additional Obligations secured by a lien on ad valorem property taxes of the District will be issued as Subordinate Parity Bonds, Senior Obligations or Junior Lien Obligations; provided, however, that such requirements are not to apply to Additional Obligations secured solely by an Unencumbered Debt Service Mill Levy. The issuance of the 2024A Senior Bonds in accordance with the Senior Indenture is permitted, notwithstanding any provision of the Subordinate Indenture. The District will not issue or incur any other Additional Obligations except as provided in the Subordinate Indenture.

Issuance by Consent; Subordinate Parity Bonds. The District may issue Additional Obligations constituting Subordinate Parity Bonds, Senior Obligations or Junior Lien Obligations if such issuance is consented to by the Consent Parties with respect to 100% in aggregate principal amount of the 2024B Subordinate Bonds then Outstanding.

Senior Obligations. The District may issue Additional Obligations constituting Senior Obligations without the consent of the Consent Parties provided that the following conditions are satisfied:

(a) the proposed Senior Obligations will constitute Refunding Senior Obligations and, upon issuance of such Refunding Senior Obligations, the total of the District's scheduled debt service on such Refunding Senior Obligations and any other Senior Obligations (to the extent to remain outstanding upon the issuance of such Refunding Senior Obligations) will not exceed in any year the total scheduled debt service on the Senior Obligations outstanding immediately prior to the issuance of such Refunding Senior Obligations (excluding from such calculation of debt service any amount on deposit in a reserve fund anticipated to be available for payment of debt service at final maturity, as reasonably determined by the Board in good faith, such determination to be binding and final). For purposes of the foregoing, the issuance of Refunding Senior Obligations that have a scheduled payment date in any year that is after the latest maturity date of the Senior Obligations outstanding immediately prior to the issuance of the Refunding Senior Obligations will be deemed to increase the District's Senior Obligations debt service and will not be permitted by this clause (a); and

(b) the Senior Obligation Reserve Fund, if any, securing such Senior Obligations will not together be required or permitted to be funded in excess of an amount equal to 10% of the original par amount of such Senior Obligations;

(c) the ad valorem property tax levy pledged to the payment of the Senior Obligations is to be not higher than, and subject to the same adjustments and deductions as, the maximum rate per dollar of taxable value set forth in the definition of Senior Required Mill Levy in the Senior Indenture; and

(d) the remedies for defaults under such Senior Obligations are substantially the same as the remedies applicable to the Senior Obligations being refunded.

Junior Lien Obligations. The District may issue Additional Obligations constituting Junior Lien Obligations without the consent of the Consent Parties and the terms of such Junior Lien Obligations will be as provided in the documents pursuant to which they are issued, provided that each of the following conditions are to apply to the Junior Lien Obligations:

(a) the aggregate rate per dollar of taxable value which the District may promise to impose for payment of all Junior Lien Obligations will not exceed the Subordinate Required Mill Levy;

(b) the failure to make a payment when due on the Junior Lien Obligations will not constitute an event of default thereunder; and

(c) the Junior Lien Obligations will be payable as to both principal and interest only on an annual basis, on or after March 15 of each calendar year, and only after the payment or defeasance of the full amount of the 2024B Subordinate Bonds.

The District expects to issue the 2024A Senior Bonds on the date of issuance of the 2024B Subordinate Bonds, which will constitute Senior Obligations under the Subordinate Indenture.

A written certificate by the Chair or Vice Chair of the District that the conditions set forth in the Subordinate Indenture (and described above) are met will conclusively determine the right of the District to authorize, issue, sell, and deliver Additional Obligations in accordance therewith.

Nothing in the Subordinate Indenture will affect or restrict the right of the District to issue or incur obligations that are not Additional Obligations thereunder.

Notwithstanding any other provision contained in the Subordinate Indenture, under no circumstances will the District issue Additional Obligations in excess of that authorized by the Property Owner Consent, any future consent or election by property owners or eligible electors of the District and District's Governing Document, as the same may be amended from time to time.

Events of Default. The occurrence of any one or more of the following events or the existence of any one or more of the following conditions will constitute an Event of Default under the Subordinate Indenture (whatever the reason for such event or condition and whether it will be voluntary or involuntary or be effected by operation of law or pursuant to any judgment, decree, rule, regulation, or order of any court or any administrative or governmental body), and there will be no default or Event of Default under the Subordinate Indenture except as described below:

- (a) The District fails or refuses to impose the Subordinate Required Mill Levy or to apply the Subordinate Pledged Revenue as required by the Subordinate Indenture;
- (b) The District defaults in the performance or observance of any other of the covenants, agreements, or conditions on the part of the District in the Subordinate Indenture or the Bond Resolution, and fails to remedy the same after notice thereof pursuant to the Subordinate Indenture; or
- (c) The District files a petition under the federal bankruptcy laws or other applicable bankruptcy laws seeking to adjust the obligation represented by the 2024B Subordinate Bonds.

WITHOUT LIMITING THE FOREGOING, AND NOTWITHSTANDING ANY OTHER PROVISION CONTAINED IN THE SUBORDINATE INDENTURE, THE DISTRICT ACKNOWLEDGES AND AGREES THAT THE APPLICATION OF ANY PORTION OF THE SUBORDINATE PLEDGED REVENUE TO ANY PURPOSE OTHER THAN DEPOSIT WITH THE TRUSTEE IN ACCORDANCE WITH THE PROVISIONS THEREOF CONSTITUTES A VIOLATION OF THE TERMS OF THE SUBORDINATE INDENTURE AND A BREACH OF THE COVENANTS MADE THEREUNDER FOR THE BENEFIT OF THE OWNERS OF THE 2024B SUBORDINATE BONDS, WHICH IS TO ENTITLE THE TRUSTEE TO PURSUE, ON BEHALF OF THE OWNERS OF THE 2024B SUBORDINATE BONDS, ALL AVAILABLE ACTIONS AGAINST THE DISTRICT IN LAW OR IN EQUITY, AS MORE PARTICULARLY PROVIDED IN THE SUBORDINATE INDENTURE. THE DISTRICT FURTHER ACKNOWLEDGES AND AGREES THAT THE APPLICATION OF SUBORDINATE PLEDGED REVENUE IN VIOLATION OF THE COVENANTS OF THE SUBORDINATE INDENTURE WILL RESULT IN IRREPARABLE HARM TO THE OWNERS OF THE 2024B SUBORDINATE BONDS. IN NO EVENT IS ANY PROVISION OF THE SUBORDINATE INDENTURE TO BE INTERPRETED TO PERMIT THE DISTRICT TO RETAIN ANY PORTION OF THE SUBORDINATE PLEDGED REVENUE.

It is acknowledged in the Subordinate Indenture that due to the limited nature of the Subordinate Pledged Revenue, the failure to pay the principal of or interest on the 2024B Subordinate Bonds when due will not, of itself, constitute an Event of Default thereunder.

IN ADDITION, IT IS ACKNOWLEDGED THAT IN THE SUBORDINATE INDENTURE, IN ACCORDANCE WITH THE GOVERNING DOCUMENT, THE DISTRICT SHALL NOT BE PERMITTED TO IMPOSE THE SUBORDINATE REQUIRED MILL LEVY PURSUANT TO THE TERMS OF THE SUBORDINATE INDENTURE FOR PAYMENT OF THE 2024B SUBORDINATE BONDS AFTER TAX YEAR 2064 FOR PAYMENT ON MARCH 15, 2065.

The Trustee will give to the Owners of all 2024B Subordinate Bonds notice by mailing to the address shown on the registration books maintained by the Trustee or by electronic means to DTC or its successors, of all Events of Default of which the Trustee is by the Subordinate Indenture required to take notice, or if notice of an Event of Default is given as provided in the Subordinate Indenture, within 90 days after the Trustee has knowledge of the occurrence of such default or Event of Default unless such default or Event of Default will have been cured before the giving of such notice; provided that, the Trustee will be protected in withholding such notice if and so long as a committee of its corporate trust department in good faith determines that the withholding of such notice is not detrimental to the interests of the Owners.

No default under paragraph (b) above will constitute an Event of Default until actual notice of such default by registered or certified mail will be given by the Trustee or by the Owners of not less than 25% in aggregate principal amount of all 2024B Subordinate Bonds Outstanding to the District, and the District will have had 30 days after receipt of such notice to correct said default or cause said default to be corrected, and will not have corrected said default or caused said default to be corrected within the applicable period; provided however, if said default be such that it cannot be corrected within the applicable period, it will not constitute an Event of Default if corrective action is instituted within the applicable period and diligently pursued thereafter until the default is corrected.

Remedies on Occurrence of Event of Default. Upon the occurrence and continuance of an Event of Default, the Trustee is to have the following rights and remedies which may be pursued:

Receivership. Upon the filing of a bill in equity or other commencement of judicial proceedings to enforce the rights of the Trustee and of the Owners, the Trustee is to be entitled as a matter of right to the appointment of a receiver or receivers of the Trust Estate, and of the revenues, income, product, and profits thereof pending such proceedings, subject however, to constitutional limitations inherent in the sovereignty of the District; but notwithstanding the appointment of any receiver or other custodian, the Trustee is to be entitled to the possession and control of any cash, securities, or other instruments at the time held by, or payable or deliverable under the provisions of the Subordinate Indenture to, the Trustee.

Suit for Judgment. The Trustee may proceed to protect and enforce its rights and the rights of the Owners under the Special District Act, the 2024B Subordinate Bonds, the Bond Resolution, the Subordinate Indenture, and any provision of law by such suit, action, or special proceedings as the Trustee, being advised by Counsel, is to deem appropriate.

Mandamus or Other Suit. The Trustee may proceed by mandamus or any other suit, action, or proceeding at law or in equity, to enforce all rights of the Owners.

No recovery of any judgment by the Trustee is to in any manner or to any extent affect the lien of the Subordinate Indenture or any rights, powers, or remedies of the Trustee under the Subordinate Indenture, or any lien, rights, powers, and remedies of the Owners of the 2024B Subordinate Bonds, but such lien, rights, powers, and remedies of the Trustee and of the Owners is to continue unimpaired as before.

If any Event of Default under paragraph (a) in “—*Events of Default*” above is to have occurred and if requested by the Owners of 25% in aggregate principal amount of the 2024B Subordinate Bonds then Outstanding, the Trustee is to be obligated to exercise such one or more of the rights and powers conferred by the Subordinate Indenture as the Trustee, being advised by Counsel, is to deem most expedient in the interests of the Owners, subject to the Subordinate Indenture; provided that the Trustee at its option is to be indemnified as provided in the Subordinate Indenture.

Notwithstanding anything in the Subordinate Indenture to the contrary, acceleration of the 2024B Subordinate Bonds is not to be an available remedy for an Event of Default.

The Consent Parties of a majority in aggregate principal amount of the 2024B Subordinate Bonds then Outstanding are to have the right, at any time, to the extent permitted by law, by an instrument or instruments in writing executed and delivered to the Trustee, to direct the time, method, and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Subordinate Indenture, or for the appointment of a receiver, and any other proceedings thereunder; provided that such direction is not to be otherwise than in accordance with the provisions thereof; and provided further that at its option the Trustee is to be indemnified as provided in the Subordinate Indenture.

No Owner of any 2024B Subordinate Bond is to have any right to institute any suit, action, or proceeding in equity or at law for the enforcement of the Subordinate Indenture or for the execution of any trust thereof or for the appointment of a receiver or any other remedy thereunder, unless (a) a default has occurred of which the Trustee has been notified as provided in the Subordinate Indenture, or of which under the Subordinate Indenture it is deemed to have notice; (b) such default is to have become an Event of Default; (c) the Owners of not less than 25% in aggregate principal amount of 2024B Subordinate Bonds then Outstanding are to have made written request to the Trustee and are to have offered reasonable opportunity either to proceed to exercise granted in the Subordinate Indenture or to institute such action, suit, or proceedings in their own name, and are to have also offered to the Trustee indemnity as provided in the Subordinate Indenture; and (d) the Trustee is to thereafter fail or refuse to exercise the powers granted in the Subordinate Indenture, or to institute such action, suit, or proceeding in its own name; such notification, request, and offer of indemnity are declared in every case at the option of the Trustee to be conditions precedent to any action or cause of action for the enforcement of the Subordinate Indenture, or for the appointment of a receiver or for any other remedy thereunder; it being understood and intended that no one or more Owners of 2024B Subordinate Bonds is to have any right in any manner whatsoever to affect, disturb, or prejudice the lien of the Subordinate Indenture by his, her, its, or their action, or to enforce any right under the Subordinate Indenture except in the manner therein provided and that all proceedings at law or in equity are to be instituted, had, and maintained in the manner therein provided and for the equal benefit of the Owners of all 2024B Subordinate Bonds then Outstanding.

The Trustee may in its discretion waive any Event of Default under the Subordinate Indenture and its consequences, and is to do so upon the written request of the Consent Parties with respect to a majority in aggregate principal amount of all the 2024B Subordinate Bonds then Outstanding; provided however, that there is not to be waived without the consent of the Consent Parties with respect to 100% of the 2024B Subordinate Bonds then Outstanding as to which the Event of Default exists any Event of Default described under paragraph (a) in “—*Events of Default*” above. In case of any such waiver, or in case any proceedings taken by the Trustee on account of any such default are to have been discontinued or abandoned or determined adversely to the Trustee, then in every such case the District, the Trustee, and the Owners are to be restored to their former positions and rights thereunder respectively, but no such waiver or rescission is to extend to any subsequent or other default, or impair any right consequent thereon.

It is acknowledged in the Subordinate Indenture that all of the Subordinate Pledged Revenue securing payment of the 2024B Subordinate Bonds is subject to the prior lien thereon in favor of the 2024A Senior Bonds and any additional Senior Obligations issued hereafter. Except as to any of the duties the Trustee is required to perform prior to a default, as set forth in the Subordinate Indenture, the Trustee or any Owner of the 2024B Subordinate Bonds may not knowingly take any action thereunder which would unduly prejudice the rights of owners of the Senior Obligations with respect to such Subordinate Pledged Revenue. Furthermore, it is acknowledged that, notwithstanding the occurrence of an Event of Default, no portion of the Subordinate Pledged Revenue that is pledged on a senior basis to the Senior Obligations is to be applied to the payment of any amounts relating to the 2024B Subordinate Bonds until the full

satisfaction of all amounts then due with respect to any Senior Obligations (acknowledging that the Senior Obligations is not to be subject to acceleration upon the occurrence of an event of default under the applicable resolution, indenture, or other document pursuant to which any such Senior Obligation is issued).

Subordinate Indenture Supplements. Subject to the provisions of the Subordinate Indenture, the District and the Trustee may, without the consent of or notice to the Consent Parties, enter into such indentures supplemental thereto, which supplemental indentures are to thereafter form a part thereof, for any one or more of the following purposes: (a) to cure any ambiguity, to cure, correct, or supplement any formal defect or omission or inconsistent provision contained in the Subordinate Indenture, to make any provision necessary or desirable due to a change in law, to make any provisions with respect to matters arising under the Subordinate Indenture, or to make any provisions for any other purpose if such provisions are necessary or desirable and do not in the opinion of Bond Counsel materially adversely affect the interests of the Owners of the 2024B Subordinate Bonds; (b) to subject to the Subordinate Indenture additional revenues, properties, or collateral; (c) to grant or confer upon the Trustee for the benefit of the Owners any additional rights, remedies, powers, or authority that may lawfully be granted to or conferred upon the Owners or the Trustee; and (d) to qualify the Subordinate Indenture under the Trust Indenture Act of 1939.

Except for supplemental indentures delivered as described above, and subject to the provisions of the Subordinate Indenture, the Consent Parties with respect to not less than a majority (or for modifications of provisions thereof which require the consent of a percentage of Owners or Consent Parties higher than a majority, such higher percentage) in aggregate principal amount of the 2024B Subordinate Bonds then Outstanding are to have the right, from time to time, to consent to and approve the execution by the District and the Trustee of such indenture or indentures supplemental thereto as are to be deemed necessary or desirable by the District for the purpose of modifying, altering, amending, adding to, or rescinding, in any particular, any of the terms or provisions contained in the Subordinate Indenture; provided however, that without the consent of the Consent Parties with respect to all the Outstanding 2024B Subordinate Bonds affected thereby, nothing therein contained is to permit, or be construed as permitting: (a) a change in the terms of the maturity of any Outstanding 2024B Subordinate Bond, in the principal amount of any Outstanding 2024B Subordinate Bond, in the optional or mandatory redemption provisions applicable thereto, or the rate of interest thereon; (b) an impairment of the right of the Owners to institute suit for the enforcement of any payment of the principal of or interest on the 2024B Subordinate Bonds when due; (c) a privilege or priority of any 2024B Subordinate Bond or any interest payment over any other 2024B Subordinate Bond or interest payment; or (d) a reduction in the percentage in principal amount of the Outstanding 2024B Subordinate Bonds, the consent of whose Owners or Consent Parties is required for any such supplemental indenture.

Discharge of the Lien of the Subordinate Indenture. If the District is to pay or cause to be paid to the Trustee, for the Owners of the 2024B Subordinate Bonds, the principal of and interest to become due thereon at the times and in the manner stipulated in the Subordinate Indenture, and if the District is to keep, perform, and observe all and singular the covenants and promises in the 2024B Subordinate Bonds and in the Subordinate Indenture expressed to be kept, performed, and observed by it or on its part, and if all fees and expenses of the Trustee required by the Subordinate Indenture to be paid are to have been paid, then the presents and the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Subordinate Indenture, and execute and deliver to the District such instruments in writing as are required to satisfy the lien thereof, and assign and deliver to the District any property at the time subject to the lien of the Subordinate Indenture which may then be in its possession, and deliver any amounts required to be paid to the District under the Subordinate Indenture, except for moneys and Federal Securities held by the Trustee for the payment of the principal of, premium if any, and interest on the 2024B Subordinate Bonds.

Any 2024B Subordinate Bond is to, prior to the maturity or prior redemption thereof, be deemed to have been paid within the meaning and with the effect expressed in the Subordinate Indenture if, for the purpose of paying such 2024B Subordinate Bond (a) there is to have been deposited with the Trustee an amount sufficient, without investment, to pay the principal of, premium if any, and interest on such 2024B Subordinate Bond as the same becomes due at maturity or upon one or more designated prior redemption dates, or (b) there is to have been placed in escrow and in trust with a commercial bank exercising trust powers, an amount sufficient (including the known minimum yield from Federal Securities in which such amount may be invested) to pay the principal of, premium if any, and interest on such 2024B Subordinate Bond, as the same becomes due at maturity or upon one or more designated prior redemption dates. The Federal Securities in any such escrow are not to be subject to redemption or prepayment at the option of the issuer, and are to become due at or prior to the respective times on which the proceeds thereof are needed, in accordance with a schedule established and agreed upon between the District and such bank at the time of the creation of the escrow, or the Federal Securities are to be subject to redemption at the option of the holders thereof to assure such availability as so needed to meet such schedule. The sufficiency of any such escrow funded with Federal Securities is to be verified by a certified public accountant. With respect to any accrued and unpaid interest on the 2024B Subordinate Bonds, including any compound interest remaining unpaid, it is acknowledged that such amounts are due and payable immediately at the time of funding any escrow intended to accomplish a defeasance of the 2024B Subordinate Bonds. Upon the funding of an escrow defeasing the 2024B Subordinate Bonds in accordance with the provisions of the Subordinate Indenture, the 2024B Subordinate Bonds are to cease to be subject to mandatory redemption in accordance with the Subordinate Indenture, and the principal of the 2024B Subordinate Bonds is to be due and payable only on the designated redemption date(s).

Neither the Federal Securities, nor moneys deposited with the Trustee or placed in escrow and in trust pursuant to the Subordinate Indenture, nor principal or interest payments on any such Federal Securities are to be withdrawn or used for any purpose other than, and are to be held in trust for, the payment of the principal of and interest on the 2024B Subordinate Bonds; provided however, that any cash received from such principal or interest payments on such Federal Securities, if not then needed for such purpose, are to, to the extent practicable, be reinvested subject to the provisions of the Subordinate Indenture in Federal Securities maturing at the times and in amounts sufficient to pay, when due, the principal of and interest on the 2024B Subordinate Bonds.

Prior to the investment or reinvestment of such moneys or such Federal Securities as therein provided, the Trustee is to receive and may rely upon: (a) an opinion of Bond Counsel experienced in matters arising under Section 103 of the Code and acceptable to the Trustee, that the investment or reinvestment of such moneys or such Federal Securities complies with the Subordinate Indenture; and (b) a report of a certified public accountant that the moneys or Federal Securities will be sufficient to provide for the payment of the principal of and interest on the 2024B Subordinate Bonds when due.

The release of the obligations of the District under the Subordinate Indenture is to be without prejudice to the rights of the Trustee to be paid reasonable compensation by the District for all services rendered by it thereunder and all its reasonable expenses, charges, and other disbursements incurred in the administration of the trust thereby created, the exercise of its powers, and the performance of its duties thereunder.

Continuing Role as Bond Registrar and Paying Agent. Notwithstanding the defeasance of the 2024B Subordinate Bonds prior to maturity and the discharge of the Subordinate Indenture as provided therein, the Trustee is to continue to fulfill its obligations as bond registrar and paying agent thereunder until the 2024B Subordinate Bonds are fully paid, satisfied, and discharged.

Discharge on March 15, 2065. Notwithstanding any other provision in the Subordinate Indenture, in accordance with the Governing Document (because the District is not permitted to impose an ad valorem property tax levy after a period exceeding forty (40) year from the first date of imposition of the property taxes levy for the 2024 Subordinate Bonds) in the event that any amount of principal of or interest on the 2024B Subordinate Bonds remains unpaid after the application of all Subordinate Pledged Revenue available therefor on March 15, 2065, the 2024B Subordinate Bonds and the lien of the Subordinate Indenture securing payment thereof are to be deemed discharged, the estate and rights thereby granted are to cease, terminate, and be void, and thereupon the Trustee is to cancel and discharge the lien of the Subordinate Indenture, and execute and deliver to the District such instruments in writing as are to be required to evidence the same. Upon such discharge, the Owners will have no recourse to the District or any property of the District for the payment of any amount of principal of or interest on the 2024B Subordinate Bonds remaining unpaid.

USE OF PROCEEDS AND DEBT SERVICE REQUIREMENTS

Application of Bond Proceeds

General. The proceeds from the sale of the Bonds will be used for the purposes of funding the Public Improvements (which are anticipated to include reimbursement expenditures payable to the Developer under the Infrastructure Acquisition and Reimbursement Agreement, more particularly described in “THE DISTRICT—District Agreements—*Infrastructure Acquisition and Reimbursement Agreement*”). Proceeds from the sale of the Bonds will be used for the purposes of financing or reimbursing a portion of the costs of acquiring, constructing, and/or installing certain public infrastructure to serve the Development and paying the costs of issuing the Bonds. A portion of the proceeds of the 2024A Senior Bonds will be used to fund (a) the Reserve Fund to the Reserve Requirement and (b) a portion of the interest to accrue on the 2024A Senior Bonds.

Estimated Sources and Uses of Funds. The estimated uses of the proceeds of the Bonds are as follows (figures set forth below are rounded here and elsewhere in this Limited Offering Memorandum):

SOURCES:

2024A Senior Bonds Par Amount	\$5,645,000.00
2024B Subordinate Bonds Par Amount	<u>1,000,000.00</u>
Total	\$6,645,000.00

USES:

Deposit to Senior Project Fund	\$3,802,393.70
Deposit to Subordinate Project Fund	930,964.60
Deposit to Senior Bond Fund (Capitalized Interest)	916,626.50
Deposit to Reserve Fund (Reserve Requirement)	564,500.00
Costs of issuance, including Underwriter’s discount ⁽¹⁾ and contingency	<u>430,515.20</u>
Total	\$6,645,000.00

⁽¹⁾ See “MISCELLANEOUS—Underwriting.”
(Source: The Underwriter.)

Debt Service Requirements and Forecasted Payments

Set forth in the following table are the debt service requirements for the 2024A Senior Bonds and the forecasted payments for the 2024B Subordinate Bonds.

2024A Senior Bonds ⁽¹⁾			2024B Subordinate Bonds ^{(1), (2)}	
Year	Principal	Interest	Forecasted Principal	Forecasted Interest
2025	--	\$142,791	--	-
2026	--	331,644	--	\$35,726
2027	--	331,644	--	126,282
2028	--	331,644	--	61,118
2029	--	331,644	--	60,109
2030	\$20,000	331,644	--	111,707
2031	70,000	330,469	--	123,577
2032	75,000	326,356	--	127,284
2033	85,000	321,950	\$15,000	110,886
2034	95,000	316,956	43,000	82,494
2035	100,000	311,375	53,000	78,893
2036	110,000	305,500	57,000	74,454
2037	120,000	299,038	64,000	69,680
2038	130,000	291,988	70,000	64,320
2039	145,000	284,350	74,000	58,458
2040	155,000	275,831	84,000	52,260
2041	170,000	266,725	89,000	45,225
2042	180,000	256,738	102,000	37,771
2043	195,000	246,163	111,000	29,229
2044	210,000	234,706	122,000	19,933
2045	230,000	222,369	116,000	9,715
2046	250,000	208,856	--	--
2047	265,000	194,169	--	--
2048	285,000	178,600	--	--
2049	305,000	161,856	--	--
2050	330,000	143,938	--	--
2051	350,000	124,550	--	--
2052	375,000	103,988	--	--
2053	400,000	81,956	--	--
2054	<u>995,000</u>	<u>58,456</u>	<u>--</u>	<u>--</u>
Total	<u>\$5,645,000</u>	<u>\$7,347,891</u>	<u>\$1,000,000</u>	<u>\$1,379,119</u>

(1) Assumes no optional redemptions prior to maturity. Figures have been rounded.

(2) Principal and interest on the 2024B Subordinate Bonds are payable solely from and to the extent of Subordinate Pledged Revenue. There are no scheduled principal payments on the 2024B Subordinate Bonds until final maturity. The amounts set forth herein reflect the projected payments on the 2024B Subordinate Bonds as set forth in the base case in the Financial Forecast, based upon the assumptions more particularly set forth therein. No assurance is given that the level of Subordinate Pledged Revenue projected in the Financial Forecast will be achieved, or that payment of the principal of or interest on the 2024B Subordinate Bonds will be paid as set forth in this table. Failure to pay the amounts set forth above with respect to the 2024B Subordinate Bonds will not constitute an event of default under the Subordinate Indenture. See “THE 2024B SUBORDINATE BONDS—“Cash flow” Nature of 2024B Subordinate Bonds,” and “—Security for the 2024B Subordinate Bonds,” and the Financial Forecast attached hereto as APPENDIX A—Financial Forecast.

(Source: The Financial Forecast.)

THE DISTRICT

Organization and Description

The District is a public infrastructure district and a political subdivision and body corporate and politic duly of the State created pursuant to the Public Infrastructure District Act and relevant portions of the Special District Act for the purpose of financing and constructing the Public Improvements and for dedicating, when appropriate, such Public Improvements to the City or to such other entity as appropriate for the use and benefit of the District's residents and property owners.

The District was created pursuant to a Certificate of Creation issued by the Office of the Lieutenant Governor of the State of Utah on October 17, 2023 and recorded in the real property records of the Utah County Recorder on November 20, 2023.

The District operates in accordance with the authority, and subject to the limitations, of a governing document approved by the City Council of the City (the "**City Council**") on September 20, 2023 (as previously defined, the "**Governing Document**"). Pursuant to the Governing Document and the Public Infrastructure District Act, the District is authorized to issue bonds to pay all or part of the costs of acquiring, acquiring an interest in, improving, or extending any of the improvements, facilities, or property allowed under the Bond Act (to the extent permitted in the Governing Document) including (but not limited to) public buildings, water systems, sewer systems, drainage and flood control systems, recreational facilities, public gathering facilities, roads improvements, parking facilities, and educational facilities (as previously defined, collectively, the "**Public Improvements**"), within and without the boundaries of the District, to serve the future taxpayers and inhabitants of the District, except as specifically limited therein. See "THE DISTRICT—Governing Document Authorizations and Limitations" and "THE DEVELOPMENT."

The District currently encompasses approximately 177 acres. The District is located on the east bench within Salem City, Utah, southeast of U.S. Highway 15 and east of State Route 198. The District sits approximately 13 miles south of Provo, Utah, 35 miles south of the Silicon Slopes in Lehi, and 56 miles south of Salt Lake City, Utah. See "DISTRICT VICINITY MAP" and "AERIAL MAP OF DEVELOPMENT LOCATION."

The District's population is currently zero. As of the 2024 tax year, the market value of property within the District is estimated at \$13,061,550, and the taxable value after including the Greenbelt Reduction, is estimated at \$5,894,754. Due to the recent creation of the District, no taxable value is available from the Assessor specifically for the property within the District. See "FINANCIAL INFORMATION—Ad Valorem Property Tax Data" and "THE DISTRICT."

District Powers

The rights, powers, privileges, authorities, functions and duties of the District are established by the laws of the State, particularly the District Act. The powers of the District are, however, limited both by the provisions of its Governing Document and the Property Owner Consent. See "—Governing Document Authorizations and Limitations" below.

Pursuant to the District Act, public infrastructure districts each have the power (among others) to: acquire any interest in real property, personal property, or groundwater right necessary or convenient to the full exercise of the district's powers; transfer an interest or dispose of any property or interest; acquire or construct works, facilities, and improvements necessary or convenient to the full exercise of the district's powers; borrow money and incur indebtedness for any lawful district purpose; issue bonds, including refunding bonds, for any lawful district purpose and as provided in the District Act and the Bond Act;

acquire by eminent domain property necessary to the exercise of the district's powers; invest money pursuant to the State Money Management Act; impose fees or other charges; enter into a contract that the district board of trustees considers necessary, convenient, or desirable to carry out the district's purposes; purchase supplies, equipment, and materials; encumber district property; exercise other powers and perform other functions that are provided by law; construct and maintain works and establish and maintain facilities; perform any act or exercise any power reasonably necessary for the efficient operation of the district in carrying out its purposes; designate an assessment area and levy an assessment on land within the assessment area; and contract with another political subdivision of the state to allow the other political subdivision to have an ownership interest in the district's works or facilities.

Each public infrastructure district also has the power, subject to constitutional and statutory limitations, to levy and collect property taxes for any lawful district purpose or expenditure, including to cover a deficit resulting from tax delinquencies in a preceding year. See "FINANCIAL INFORMATION—Ad Valorem Property Taxes."

Annexation, Withdrawal, and Dissolution

Annexation and Withdrawal of Property. The Special District Act provides that the boundaries of a public infrastructure district may be altered by the annexation or withdrawal of additional real property under certain circumstances. After its annexation, the annexed property is subject to all of the taxes and charges imposed by the district and shall be liable for its proportionate share of existing bonded indebtedness of the district. After its withdrawal, the withdrawn property is not subject to any property tax levy for new debt issued by the district. Unless an escrow trust fund is established for outstanding debt, the withdrawn property, remains subject to the district's property tax levy for that proportion of the district's outstanding indebtedness and the interest thereon existing immediately prior to the effective date of the withdrawal order. Boundary changes resulting from property annexed or withdrawn to or from the district are not effective for purposes of assessing property located within the affected area until the required documents are recorded in the office of the county recorder of each county in which the affected area is located.

The District currently encompasses approximately 177 acres. The Governing Document authorizes the Districts to annex any portion of property within an area of approximately 716 acres (as previously defined, the "**Annexation Area**") or withdraw any property within the boundaries of the District and the Annexation Area without the consent of the City but with the consent of the surface property owners of such property within the property and registered voters, if any, residing on such property anticipated to be annexed or withdrawn and the passage of a resolution of the Board approving such annexation or withdrawal. No annexations or withdrawals are contemplated at this time and the Market Study does not address development of the Annexation. ***Investors should not take into consideration future development of any portion of the Annexation Area when making an investment decision with respect to the Bonds.***

Dissolution of the District. The Special District Act allows (a) a district board to adopt a resolution or (b) property owners within a public infrastructure district to petition the district for its dissolution. After certification of a petition or adoption of a resolution for dissolution, the district will hold public hearings to receive public input and obtain further information about the proposed dissolution and issues raised by it. If all outstanding debt of the district is satisfied and discharged or assumed by another governmental entity with the consent of all holders of that debt and all the holders of other debts of the district, the district board may adopt a resolution certifying the dissolution criteria has been met. After adoption of a resolution certifying the dissolution criteria has been met, an election is held on the question of whether the district should be dissolved. Upon a majority of registered voters approving the dissolution at an election, a notice of dissolution is filed with the Office of the Lieutenant Governor of the State of Utah and a certificate of dissolution will be issued, dissolving the district. The Governing Document provides that upon an

independent determination of the City Council that the purposes for which the District was created have been accomplished, the District agrees to file petitions for dissolution, pursuant to applicable State statutes. In no event is a dissolution to occur until the District has provided for the payment or discharge of all of their outstanding indebtedness and other financial obligations as required pursuant to State statutes.

Governing Document Authorizations and Limitations

Pursuant to the Governing Document, the District has the power and authority to provide the Public Improvements within and without the boundaries of the District as such power and authority is described in the Special District Act, and other applicable statutes, common law and the State Constitution, subject to the limitations set forth therein and as described below. *The authorizations and limitations of the Governing Document may be modified or amended with the approval of the City Council and the Board.*

The Governing Document authorizes the District to provide for the planning, design, acquisition, construction, installation, relocation, redevelopment, maintenance, and financing of certain Public Improvements (limited as described below), including financing the prepayment of impact fees, within and without the boundaries of the District to serve the future taxpayers and inhabitants of the District. The District is to dedicate the Public Improvements to the City or other appropriate public entity, subject to any limitations specified in the Governing Document. The District is not permitted to finance the costs of any improvements of facilities that are ultimately to be owned by one of the Districts without written authorization of the City, which has not been obtained and is not anticipated to be required with respect to any Public Improvements financed by the Bonds.

The District may impose a mill levy on taxable property and may also rely on other revenue sources authorized by law, including the power to assess Assessments (as defined therein), fees, penalties, and charges, subject to the limitations of the Governing Document. However, no fees are presently imposed, or, according to the District, anticipated to be imposed by the District.

Pursuant to the Governing Document, the total aggregate debt of the Districts is limited to \$35,000,000, excluding refundings and any pledge of property tax revenues to the debt of one of the other Districts. For purposes of the Governing Document, “bond” or “debt” refers to bonds or other obligations, including loans of any property owner, for the payment of which the District has promised to impose an *ad valorem* property tax levy, and/or collect assessments. Pursuant to the Governing Document, the maximum rate the District is permitted to impose for the payment of limited tax debt, such as the Bonds, is 0.005 per dollar of taxable value (the “**Maximum Debt Mill Levy**”); provided that such tax rate is subject to adjustment, pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the amounts which are devoted or pledged to the repayment of limited tax bonds, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on outstanding limited tax bonds. The District is not permitted to impose mill levies which aggregate in excess of 0.005 per dollar of taxable property in the District, subject to adjustment as described above. In addition, the Governing Document provides that the maximum term of any bond issue is to be 31 years from the original date of issuance and no mill levy may be imposed for the repayment of a series of bonds after a period exceeding 40 years from the first date of imposition of the mill levy for such bond (the “**Maximum Debt Mill Levy Imposition Term**”). Neither the Maximum Debt Mill Levy nor the Maximum Debt Mill Levy Imposition Term apply to General Obligation Debt (generally meaning debt that is not limited tax debt).

The District is to obtain prior written approval of the City before making any material modification to the Governing Document. Annexation of any portion of the Annexation Area is specifically authorized

in the Governing Document; however, the District is not authorized to annex any property outside of the Annexation Area without prior written consent of the City.

The Governing Document requires the following language be included in any document used for the offering of debt for sale: “By acceptance of this Instrument, the owner of the Bond agrees and consents to all of the limitations in respect of the payment of the principal and interest on the Bond contained therein, in the resolution of the District authorizing the issuance of the Bond, and in the Governing Document for the creation of the District.”

Governing Board

The District is governed by a three-member Board. Because there are no residents within the boundaries of the District, the members of the Board are not required to be a resident within the boundaries of the District. However, the members must be an owner of land or an agent or officer of the owner of land within the boundaries of the District and a registered voter at their primary residence. A majority of Board members may serve an initial six-year term with the remainder serving a four-year term, after the initial term each term shall be four years. Upon a vacancy in or end of a term for an appointed Board seat, such seat shall be appointed or reappointed by the City Council in accordance with the Special District Act.

Pursuant to the Governing Document, one trustee seat will transition to an elected seat upon certificates of occupancy being issued for 50% of the total number of residential units within the District at full buildout of the property within the District (the “**Anticipated REs**”), a second seat upon certificates of occupancy being issued for 70% of the Anticipated REs, and the final seat upon certificates of occupancy being issued for 90% of the Anticipated REs; provided, however that no transition will become effective until the next scheduled regular election of the District.

The Board holds regular meetings and special meetings as needed. Each Board member is entitled to one vote on all questions before the Board when a quorum is present. Board members who are not residents of the District may not be compensated for serving on the Board and none of the current Board members are residents. The present Board members, their positions on the Board, principal occupations, and terms are as set forth below.

Board of Trustees

Name/Office	Office	Occupation	Term Expires
Adam Loser	Chair	Developer	January 25, 2030
Jonathan Thornley	Vice-Chair	Developer	January 25, 2028
Scott Bishop	Secretary/Clerk	Developer	January 25, 2030

Under the Public Infrastructure District Act, an employee or officer of the District is not in violation of the State prohibition of conflicts of interest if such employee or officer discloses such business relationship with its creating entity before any appointment or election and upon any significant change in the business relationship. The members of the Board have disclosed any such business relationships. See “**RISK FACTORS—Private Interests of Board of Trustees.**”

Administration

The Board is responsible for the overall management and administration of the affairs of the District. The District has no employees. Snow Jensen & Reece, P.C., St. George, Utah, serves as general counsel to the District. Tierra Financial Advisors, LLC, Arlington, Texas, has served as Municipal Advisor

to the District in connection with the issuance of the Bonds. The District has not engaged an accountant or district manager.

District Agreements

Interlocal Agreement. As required by the Governing Document, the District has entered into an Interlocal Agreement with the City, dated as of September 20, 2023 (the “**Interlocal Agreement**”), which, among other things, restates provisions of the Governing Document regarding the limitation on the District’s exercise of powers. The Interlocal Agreement generally functions as a contractual obligation of the District to abide by the limitations imposed on it by the City in the Governing Document.

Infrastructure Acquisition and Reimbursement Agreement. The District and the Developer are anticipated to enter into an Infrastructure Acquisition and Reimbursement Agreement (the “**Infrastructure Acquisition and Reimbursement Agreement**”). As drafted, the Infrastructure Acquisition and Reimbursement Agreement sets forth the rights, obligations and procedures for the acquisition of the Public Improvements and for the District to reimburse the Developer for certain District Eligible Costs (defined herein).

The Developer has previously expended funds on behalf of the District and intends to make future payments for costs directly related to the provision of Public Infrastructure (as defined therein) in furtherance of the District’s permitted purposes, including, but not limited to: District organizational costs, engineering, architectural, surveying, construction planning, and related legal, accounting, and other professional services (the “**Eligible Professional Service Costs**”).

The Developer may be reimbursed for eligible cost (the “**District Eligible Costs**”) for Public Infrastructure being dedicated to other governmental entities and for Eligible Professional Services Costs in accordance with the terms and conditions set forth in the Infrastructure Acquisition and Reimbursement Agreement.

Following receipt by the District of an applicable application for acceptance of costs, and within thirty (30) days thereafter, the District’s accountant and engineer are to review relevant materials presented for the purpose of substantiating the applicable costs. If the District’s engineer (or other appropriate design professional) reasonably determines that corrective work must be completed before the Engineer’s Cost Certificate can be issued, the Developer is to promptly be given written notice thereof and an opportunity to dispute and/or complete such corrective work.

Within 15 days following the certification of costs by the District’s accountant and engineer, the District is to consider the adoption of a resolution accepting the District Eligible Costs and any related Public Infrastructure and, if so accepted, such resolution shall declare the satisfaction of the conditions to acceptance as set forth in the Infrastructure Acquisition and Reimbursement Agreement, with any reasonable conditions the District may specify. Following the adoption thereof, the accepted District Eligible Costs shall be “**Certified District Eligible Costs.**”

The District shall repay Certified District Eligible Costs approved by the District under the Infrastructure Acquisition and Reimbursement Agreement no later than thirty (30) days following adoption of an acceptance resolution and solely from the proceeds of loans or bonds issued by the District (if any), subject to the limitations of the Governing Document, the District Act, and the availability of loan or bond proceeds in an unrestricted account.

As of July 24, 2024, the Developer has expended approximately \$9,760,536 that would be eligible for reimbursement under the Infrastructure Acquisition and Reimbursement Agreement.

Funding and Reimbursement Agreement (Administration). The District will incur costs in furtherance of the District's permitted purposes, including but not limited to, costs in the nature of general operating and administrative costs, such as attorney, engineering, architectural, surveying, district management, accounting, auditing, insurance, and other costs necessary to continued good standing under applicable law (the "**Costs**"). The District does not presently have financial resources to fund the Costs; therefore, to ensure the continued provision of services and facilities by the District, the Developer and District are expected to enter into a Funding and Reimbursement Agreement (Administration) (the "**Administration Funding Agreement**") pursuant to which the Developer is expected to agree to loan funds to the District from time to time, on the condition that the District agrees to repay such loans.

Under the Administration Funding Agreement, as drafted, the Developer has agreed to loan to the District an amount not to exceed \$200,000 (as the same may be subsequently increased by agreement of the District and the Developer, the "**Maximum Loan Amount**"). These funds will be loaned to the District in one or a series of installments (each, a "**Loan Advance**") and will be available to the District through December 31, 2030 (as the same may be amended in accordance with the Administration Funding Agreement, the "**Loan Obligation Termination Date**"). Thereafter, the Developer may agree to renew its obligations by providing written notice to the District, in which case the Loan Obligation Termination Date will be amended to the date provided in such notice, which date will not be earlier than December 31 of the succeeding year.

The District is from time to time to determine the amount of revenue required to fund budgeted expenditures by the District, provided that such determination is made not more than once per month. If the District determines that a Loan Advance from the Developer will be necessary to fund such budgeted expenditures, the District shall, not less than 15 days before the beginning of each month, notify the Developer of the requested Loan Advance for the next month, and the Developer is to deposit such Loan Advance on or before the beginning of that month.

With respect to each Loan Advance made under the Administration Funding Agreement prior to the issuance of any Operations Reimbursement Obligation (defined and described below) reflecting such Loan Advance, the interest rate will be 6% per annum, from the day any such advance is made, simple interest, to the earlier of the date the Operations Reimbursement Obligation is issued to evidence such advance, or the date of repayment of such amount. Upon issuance of any such Operations Reimbursement Obligation, unless otherwise consented to by the Developer, any interest then accrued on any previous Loan Advance will be added to the amount of the Loan Advance and reflected as principal of the Operations Reimbursement Obligation and will then accrue interest as provided in the Operations Reimbursement Obligation.

The District anticipates repaying Loan Advances, including those converted to one or more Operations Reimbursement Obligations, with the proceeds of future bonds, ad valorem taxes, or other legally available revenues of the District, net of any debt service costs of the District and provided that such payment is allowed under any bond indenture applicable to the District. Any property tax levy certified by the District for the purpose of repaying amounts under the Administration Funding Agreement will be subject to any restrictions provided in the Governing Document or any applicable laws.

Subject to the terms and conditions of the Administration Funding Agreement, the District agrees to issue, to or at the direction of the Developer, one or more reimbursement notes, bonds, or other instruments (each, an "**Operations Reimbursement Obligation**"), to evidence the District's repayment obligation with respect to one or more Loan Advances. The Operations Reimbursement Obligations are to be payable solely from the sources identified in each Operations Reimbursement Obligation, including, but not limited to, ad valorem property tax revenues of the District, and shall be secured by the District's pledge

to apply such revenues as required under the Administration Funding Agreement, unless otherwise consented to by the Developer.

The Operations Reimbursement Obligations are to mature on a date or dates, subject to the limitations of the Maximum Reimbursement Obligation Repayment Term (defined herein), and bear interest at a market rate, to be determined at the time of issuance of each Operations Reimbursement Obligation. The District is permitted to prepay any Operations Reimbursement Obligation, in whole or in part, at any time, without redemption premium or other penalty, but including interest accrued to the date of prepayment on the principal amount so prepaid. The District and the Developer are to negotiate in good faith the final terms and conditions of each Operations Reimbursement Obligation. Any Operations Reimbursement Obligations are to be issued on a basis that is subordinate to any then-outstanding debt of the District.

The District's obligations under the Administration Funding Agreement terminate at the earlier of the repayment in full of the Maximum Loan Amount (or such lesser amount advanced if it is determined by the District that no further advances are required) or thirty (30) years from the date of the Administration Funding Agreement. After such thirty (30) year period, the District and the Developer agree and acknowledge that any obligation created by the Administration Funding Agreement which remains due and outstanding, including accrued interest, is forgiven in its entirety, generally and unconditionally released, waived, acquitted and forever discharged, and will be deemed a contribution to the District by the Developer, and there will be no further obligation of the District to pay or reimburse the Developer with respect to such amounts.

The Administration Funding Agreement does not constitute a debt or indebtedness of the District within the meaning of any constitutional or statutory provision, nor does it constitute a multiple fiscal year financial obligation. Further, the provision for repayment of Loan Advances made thereunder and the agreement of the District to issue an Operations Reimbursement Obligation are at all times subject to annual appropriation by the District, in its absolute discretion.

There can be no assurance that the Administration Funding Agreement will be executed or that the Developer will fund Administrative Expenses prior to such date. In the event the then applicable limit is not enough to cover Administrative Expenses for a given year, there can be no assurance that the District would have adequate financial resources to pay such excess costs. See "RISK FACTORS—Limitation on Administrative Expenses; Administrative Expenses Payable from Pledged Revenues."

As of September 1, 2024, the Developer has not made any advances to the District.

Pioneering Agreement. While not currently anticipated, the District may negotiate with the City in the future to receive reimbursement from property owners outside of the boundaries of the Districts that utilize excess capacity financed by the Bonds. If any agreement is reached, it is anticipated that such agreement would be in the form of one or more interlocal pioneering agreements between the District and the City (as previously defined, each a "**Pioneering Agreement**") whereby the City would agree to remit a portion of certain fees representing improvement costs paid by the Bonds. Pursuant to the Indenture, the District is required to remit Pioneering Agreement Revenues for payment of the Bonds. ***It is not expected that the District and the City will enter into any Pioneering Agreement or that if such an agreement is entered into, what the terms of such agreement would be.*** Repayment of the Bonds is not dependent on receipt of any Pioneering Agreement Revenues and the Financial Forecast does not account for any Pioneering Agreement Revenues. See "THE 2024A SENIOR BONDS—Security for the 2024A Senior Bonds—*Senior Pioneering Agreement Revenues*" and "THE 2024B SUBORDINATE BONDS – Security for the 2024B Subordinate Bonds – *Subordinate Pioneering Agreement Revenues*."

Sovereign Immunity

The Governmental Immunity Act of Utah, Title 63G, Chapter 7, Utah Code (the “**Governmental Immunity Act**”) provides that governmental entities, such as the District, and their employees retain immunity from suit for any injury that results from the exercise of a governmental function unless that immunity has been expressly waived under the Governmental Immunity Act.

The Governmental Immunity Act provides that sovereign immunity does not apply to injuries occurring as a result of certain specified actions or conditions. An action against a governmental entity for an injury caused by an act or omission that occurs during the performance of an employee’s duties is a plaintiff’s exclusive remedy under the Governmental Immunity Act unless, among other things, the employee acted or failed to act through fraud or willful misconduct, the injury or damage resulted from the employee driving a vehicle under the influence of alcohol or drugs, the injury or damage resulted from the employee being physically or mentally impaired so as to be unable to reasonably perform their job function because of alcohol or a controlled substance.

The maximum amounts that may be recovered under the Governmental Immunity Act from a governmental entity or an employee whom a governmental entity has a duty to indemnify, are as follows: (a) for damages for personal injury to one person in any one occurrence, the sum of \$827,000; (b) for property damage \$326,200; and (c) there is a \$3,329,100 limit to the aggregate amount of individual awards that may be awarded in relation to a single occurrence. Each even numbered year, the legislative fiscal analyst of the State calculates new limits based upon changes in various price indexes with such limits to take effect July 1 of such year. According to the Utah Office of Administrative Rules, the above applicable limits are for incidents occurring on or after July 1, 2022 (the most recent published limits).

District Insurance

The District is in the process of obtaining general liability and public officials’ errors and omissions liability insurance through a policy with the Utah Local Governments Trust (“**ULGT**”). ULGT was organized in 1974 as a Public Agency Insurance Mutual under Section 63G-7-703 of the Government Immunity Act and insures more than 550 governmental entities in the State. The maximum combined aggregate limit of the policy is anticipated to be not less than \$5,000,000.

The District’s policy has an effective date of August 8, 2024 and is continuous until cancelled. There is no guaranty that the District will continue to maintain such insurance in the future; provided that the Indentures require that the District carry general liability, public officials liability and such other forms of insurance coverage on insurable District property upon the terms and conditions, and in such amount, as in the judgement of such District will protect the District and its operations.

Other Services Available within the District

Water, sewer, garbage and electrical services are provided by the City. The City has confirmed its commitment to provide water, sewer, and electrical services pursuant to a will serve letter dated February 27, 2024, which confirms the City’s commitment to provide such services to the Development. See “**THE DEVELOPMENT—Water and Sewer.**” Natural gas is provided by Dominion Energy. The District is served by the Nebo School District. See “**THE DEVELOPMENT—Public Schools.**” Police and fire protection are also provided by the City. The District will not provide any services, and all Public Improvements are anticipated to be dedicated to the City.

THE DEVELOPMENT

*The following information has been supplied by the Developer, except for certain information which, where noted herein, has been obtained from other sources. **Other than entities affiliated with the Developer, no other third-party owner within the Development has participated in or reviewed this Limited Offering Memorandum.***

Neither the District, the District's advisors, nor the Underwriter makes any representation regarding projected development plans within the Development, the financial soundness or the managerial ability of the Developer to complete development in accordance with the plans described herein, nor the assessed valuation presently anticipated to be certified with respect to certain of such properties, and other than the express representations of the Developer set forth herein, the Developer makes no such representations. Without limiting the generality of the foregoing, no assurance of success is provided for the Development by the Developer or otherwise. See “—The Developer” herein. The development of the property within the District may be affected by factors such as governmental policies with respect to land development, the availability of water and other utilities, the availability of energy, construction costs, interest rates, competition from other developments, and other political, legal, and economic conditions. Further, while certain information is provided herein with respect to existing and anticipated encumbrances of the property, in particular encumbrances recorded or to be recorded by the Developer, property within the Development may presently or in the future be subject to additional encumbrances as security for obligations of the Developer or other current or future property owners payable to various parties, the default of which could adversely affect development and construction activity. See “RISK FACTORS—Development Not Assured.”

Development Overview

The Development is being undertaken by D.R. Horton, Inc., a Delaware Corporation (as previously defined, the “**Developer**”). The Development is anticipated to be developed as a portion of a larger master-planned single family residential and commercial community currently being marketed as the “Viridian Master Planned Community” (as previously defined, the “**Viridian Development**”). Generally located on the east bench in the City, the Development is approximately 13 miles from Provo, Utah, 35 miles from Silicon Slopes in Lehi, Utah, and 56 miles from Salt Lake City, Utah. See “DISTRICT VICINITY MAP,” “DISTRICT AERIAL MAP,” and “—Amenities Within the Development.”

According to the Developer, it is anticipated that there will be approximately 716 residential units within the Development, comprised of 466 townhomes, 132 single family detached homes, and 118 cottage homes. Construction of the Public Improvements commenced in the first quarter of 2024 and is anticipated to be completed in the second quarter of 2025. Vertical construction within the Development is dependent upon the completion of the horizontal infrastructure and is anticipated to commence in September 2024 with full buildout of the Development anticipated to occur in 2029 as indicated in the Market Study attached hereto as APPENDIX B.

Notwithstanding any of the foregoing, neither the Developer nor any other owner of property within the Development is obligated to construct buildings thereon in any particular timeframe or at all. See “—Planned Development” “—Land Ownership,” “—Zoning, Public Approvals, and Platting,” “—Plan of Finance for the Development,” and “RISK FACTORS—Development Not Assured.”

The following table summarizes the existing and anticipated current land use plan within the Development as reflected herein and in the Market Study.

Summary of Anticipated Development¹

Lot Type	Total Planned Units	Property Owner ²		Anticipated Completion	Zoning Status ³	N/A	Platting Status ⁴	
		Developer	GRNOBL				Prelim.	Final
SFD 1/2 Acre	1	1	0	Q4 2025	Fully Zoned	0	1	0
SFD 18,000 SF	41	32	9	Q4 2026	Fully Zoned	0	33	8
SFD 12,000 SF	67	43	24	Q3 2027	Fully Zoned	0	42	25
SFD 8,000 SF	23	7	16	Q4 2025	Fully Zoned	0	7	16
Rear Load Cottage	30	13	17	Q3 2027	Fully Zoned	0	13	17
Cottage	88	65	23	Q3 2027	Fully Zoned	0	65	23
Front Load TH	327	235	92	Q3 2028	Fully Zoned	138	97	92
Rear Load TH	139	28	111	Q1 2027	Fully Zoned	28	0	111
TOTAL	716	424	292			166	258	292
PERCENT	100%	59%	41%			23%	36%	41%

¹ As of July 24, 2024. Abbreviations area as follows: SF – square feet; SFD – single family detached; TH – townhome.

² Of the approximately 177 acres of property within the District, approximately 76 acres are owned by the Developer and approximately 101 acres are owned by GRNOBL and are under contract for purchase by the Developer. The Developer anticipates closing on the GRNOBL property through four separate closings. The Developer anticipates closing on such property comprised of 61 townhome lots, 13 cottage lots, and 28 single family detached lots in September 2024; 73 townhome lots and 5 single family detached lots in December 2024; 47 townhome lots, 15 cottage lots, and 16 single family detached lots in March 2025; and 22 townhome lots and 12 cottage lots in June 2025. See “THE DEVELOPMENT—Land Ownership—GRNOBL REPC.”

³ Property within the Development is currently zoned as Master Planned Zone and, according to the Developer, is zoned for its anticipated uses. See “THE DEVELOPMENT—Zoning, Public Approvals, and Platting—Zoning.”

⁴ Of the anticipated 716 residential lots, final plats have been approved for 292 lots, preliminary plats have been approved for 258 lots, with preliminary plats for the remaining 166 lots anticipated to be submitted in the third quarter of 2025 with final plat approval anticipated in the fourth quarter of 2025. See THE DEVELOPMENT—Zoning, Public Approvals, and Platting—Platting.”

Notwithstanding any of the foregoing, neither the Developer nor any other property owner is contractually obligated to pursue the development of the property comprising the Development, and no assurance is given that development will occur in accordance with the present permitted land uses, modifications thereof, or at all. No assurance is given that the Development will be completed in the manner and the timeframes, or will result in the anticipated values, described above and in the Market Study, in the Financial Forecast, or at all. See “RISK FACTORS—Development Not Assured.”

Viridian Development

According to the Developer, the Viridian Development is anticipated to be developed into a portion of an approximately 728-acre master-planned residential. At buildout, the Viridian Development is anticipated to contain 2,004 residential units, neighborhood commercial development, and an estimated minimum of 178 acres of parks and open space, including a clubhouse facility, a pool, pickleball and basketball courts, multi-use trails and playgrounds, tot lots, dog parks and splash pads, all in accordance with a master plan that was approved by the City on October 25, 2021 and the Master Development Agreement (defined herein), both of which may be altered or amended from time and time. See “—Zoning, Public Approvals, and Platting” and “—Master Development Agreement” below. *Only the approximately 177 acres of property comprising the portion of the Viridian Development which is also within the District and the Development will generate property tax revenues to pay the Bonds. The approximately 551 acres*

of the Viridian Development which are outside the boundaries of the District and the Development will not generate property tax revenues to pay the Bonds.

Land Ownership

Ownership of property within the District is as follows: approximately 76 acres are owned by the Developer and approximately 101 acres are owned by GRNOBL Viridian Farm LLC, a Utah limited liability company (as previously defined, “**GRNOBL**”). The Developer is under contract to purchase all of the property within the Development currently owned by GRNOBL, as further described below.

GRNOBL REPC. On May 19, 2023, the Developer and GRNOBL entered into a Real Estate Purchase Contract (as subsequently amended, the “**GRNOBL REPC**”) for the sale of approximately 101 acres, containing 289 residential lots and related common element and non-residential parcels within the Development, from GRNOBL to the Developer. The Developers purchase under GRNOBL REPC includes the lots as well as any common elements, non-residential parcels, improvements, rights, and appurtenances, including development rights, water rights, easements, and entitlements related to the property. The Developer has made an earnest money deposit under the GRNOBL REPC in the amount of \$4,500,000, which has become non-refundable and was utilized by GRNOBL to acquire the underlying property. In return GRNOBL granted the Developer a deed of trust encumbering the property, provided the Developer agreed to subordinate such deed of trust to any lien from an institution financing a portion of the lot costs for GRNOBL. At the time of each closing, a pro rata portion of the earnest money deposit is to be applied to satisfy and reduce the purchase price of such lots.

The GRNOBL REPC anticipates four closings, with the purchase price under each closing equal to (i) \$21,956 per lot plus (ii) all actual costs related to installing subdivision improvements and achieving substantial completion thereof, pro-rated for each lot at each closing. Provided, however, that the price per lot of \$21,956 is subject to change and the Developer anticipates executing an amendment to the GRNOBL REPC adjusting the per lot price based on actual future development costs. The first closing, comprised of 61 townhome lots, 13 cottage lots, and 28 single family detached lots, is anticipated to occur in September 2024. The second closing, comprised of 73 townhome lots and 5 single family detached lots, is anticipated to occur in December 2024. The third closing, comprised of 47 townhome lots, 15 cottage lots, and 16 single family detached lots, is anticipated to occur in March 2025. The fourth closing, comprised of 22 townhome lots and 12 cottage lots is anticipated to occur in June 2025. Notwithstanding the foregoing, the Developer has the right to reduce the specified number of lots to be acquired in connection with each closing, but in no event may the number of lots closed in any closing be fewer than 20. Each closing is conditioned on GRNOBL obtaining final plat approval for such lots; GRNOBL completing all public and private improvements and stubbing utilities to each lot, such that the City has inspected and accepted such improvements and is prepared to issue building permits for such lots; and no moratorium, suspension, event of destruction, or material change with respect to any portion of the property shall have occurred. Final plat approval has occurred with respect to all lots contemplated to be purchased in the first two closings. It is anticipated that final plat approval for the remaining lots owned by GRNOBL will occur in the months preceding each anticipated closing. The Developer may accelerate the timing of any closing by sending written notice to GRNOBL at least 10 business days prior to such accelerated closing. The Developer has the right under the GRNOBL REPC to not to purchase all portions of the Development owned by GRNOBL, and any obligations of the Developer to construct any portion of the offsite improvements are discharged. In the event the Developer terminates the GRNOBL REPC, GRNOBL is entitled to receive and retain development approvals and entitlements for the unpurchased portions of the Development and to utilize all infrastructure and improvements constructed by the Developer prior to the termination and to retain any unapplied portions of the earnest money deposit.

Pursuant to the GRNOBL REPC, GRNOBL is entitled to receive proceeds from the sale of any or all bonds issued by the District (including the Bonds) for the purpose of reimbursing costs of Public Improvements. After all closings have occurred under the GRNOBL REPC, the Developer is entitled to any reimbursements from the District owed to GRNOBL. In addition to the purchase price, the Developer is further required to pay GRNOBL monthly payments at a rate of 14% per annum times GRNOBL's investment in the Development, including its acquisition price, taxes, closing fees and costs, and all actual lot costs paid by GRNOBL for the property, less the earnest money deposit, and less any reimbursements to GRNOBL from the District.

Under the terms of the GRNOBL REPC, the Developer is required to install offsite infrastructure improvements and amenities on the portions of the property they purchase. These installations, which include but are not limited to stormwater facilities, sewer and water connections, utility services and roadways, are prerequisites for the issuance of building permits for residential structures on these parcels. Furthermore, the GRNOBL REPC mandates that the development of the purchased property must adhere to a master development agreement dated October 25, 2021 (the "**Master Development Agreement**") between the Developer and the City, encompassing the construction of parks, trails, and other amenities within these areas. The obligation of the Developer to undertake and complete these infrastructure and amenity improvements is determined at their discretion, specifically regarding the construction and installation timing and scope. This obligation ceases if the Developer issues a purchase cessation notice to GRNOBL. Upon issuance of such notice, and subsequent to GRNOBL engaging in sale transactions or applying for building permits for parts of the property not acquired by the Developer, GRNOBL is compelled to reimburse the Developer for a portion of the costs incurred in the construction and installation of the offsite infrastructure improvements and amenities. This reimbursement amount is calculated based on a fraction, the numerator of which is the number of lots involved in the sale or permit application, and the denominator is the total number of lots authorized for creation within the property according to city approvals.

Additionally, if the Developer receives reimbursements from the City for infrastructure improvements on property sections they did not purchase after issuing a purchase cessation notice, these funds are to be credited against GRNOBL's reimbursement obligations. The Developer has the right to record a memorandum of agreement, notifying third parties of GRNOBL's reimbursement obligations for the costs of Offsite Infrastructure Improvements and Amenities. In cases where the Developer negotiates with a third party for the sale of the remainder of the property and secures reimbursement obligations for infrastructure improvements, the Developer is required to assign to GRNOBL the right to receive such reimbursements. This assignment is contingent upon the portions of the property not purchased by the Developer from GRNOBL and is proportional to the extent GRNOBL incurred costs not already recovered through sales to the Developer.

If a governmental or educational authority enacts a moratorium that prevents the issuance of building permits, occupancy certifications, or the allocation of utilities and school attendance rights for the property, the Developer's obligation to proceed with purchases under the GRNOBL REPC is suspended until the moratorium is lifted. If the moratorium extends beyond 90 days, the Developer has the right to terminate the GRNOBL REPC. Upon such termination, the Developer is entitled to a refund of any unapplied portion of the earnest money deposit, as per the terms of the GRNOBL REPC.

Summary of Developer Closings with GRNOBL

Closing	Townhome Lots	Cottage Lots	Single Family Detached Lots	Anticipated Closing Timeline
First Closing	61	13	28	September 2024
Second Closing	73	-	5	December 2024
Third Closing	47	15	16	March 2025
Fourth Closing	22	12	-	June 2025
Total	203	40	49	

No assurance is provided that the foregoing closings will occur in the timelines contemplated herein, or at all. See “RISK FACTORS—Development Not Assured.”

Planned Development

According to the Developer, at full buildout the Development is planned to contain approximately 716 residential units within the Development, comprised of 466 townhomes, 132 single family detached homes, and 118 cottage homes. Summaries of planned development within the District are provided below. According to the Developer, all property within the Development is fully zoned for its intended uses, as more fully described in “—Zoning, Public Approvals, and Platting” below.

No assurance is provided that buildout of the Development as described herein will occur in the timeframes contemplated herein, or at all, or that the foregoing real estate purchase contracts with close in the timelines contemplated herein, or at all. See “RISK FACTORS—Development Not Assured.”

Plan of Finance for the Development

Improvements. The Developer and GRNOBL are anticipated to be responsible for construction of Public Improvements and Private Improvements throughout the Development, including roads, public utilities, parks, and storm water improvements. It is anticipated that the District will finance a portion of the costs of the Public Improvements from proceeds of the Bonds. See “—Planned Development” above.

According to the Developer, the total cost of Public Improvements and Private Improvements required to serve the Development are estimated at approximately \$60,487,445, of which approximately \$56,849,580 constitutes Public Improvements, and approximately \$3,637,865 constitutes Private Improvements. A portion of the Public Improvements are anticipated to be financed by the District from the net proceeds of the Bonds and remaining Public Improvements and the Private Improvements are anticipated to be financed from funds of the Developer and GRNOBL. As of July 24, 2024, the Developer has completed approximately \$21,395,532 in off-site public improvements benefitting the greater Viridian Development. The Developer estimates that it will need to complete approximately \$47,089,044 of additional on-site Public Improvements in order to complete the Development, a portion of which is anticipated to be reimbursed from net proceeds of the Bonds, subject to approval of such costs by a surveyor or engineer hired by the District.

The following table sets forth the various Improvements that are being undertaken in connection with the Development and the sources of funding for that infrastructure. No assurance can be given with respect to the completion of the Improvements or other improvements in the Development or the ability of the Developer to obtain funding to complete its respective projects within the Development. See “RISK FACTORS—Development Not Assured.” Furthermore, no independent investigation of the financial condition of the Developer has been made and no information with respect thereto is included herein.

Improvements - Funding Sources and Uses

Estimated Sources of Funds:

Net proceeds of the Bonds	\$4,733,358
Developer/GRNOBL	<u>55,754,087</u>
Total Sources of Funds	\$60,487,445

Estimated Uses of Funds:

Public Improvements	\$56,849,580
Private Improvements	<u>3,637,865</u>
Total Uses of Funds	\$60,487,445

It is anticipated that the District will have \$4,733,358 in Bond proceeds immediately available for costs of Public Improvements. See “RISK FACTORS—Development Not Assured” and “USE OF PROCEEDS AND DEBT SERVICE REQUIREMENTS.”

It is anticipated that all Public Improvements with the exception of water and sewer improvements will be dedicated to the City. Water and sewer improvements are anticipated to be dedicated to North Village Special Service District. See “—Water and Sewer” below.

Vertical Construction. It is anticipated that the Developer will undertake all vertical construction within the Development. The Developer intends to finance all vertical construction using the Developer’s equity and estimates that total vertical construction costs will be \$125,658,519. See “RISK FACTORS—Development Not Assured.”

Zoning, Public Approvals, and Platting

Zoning. According to the developer the property within the Development is currently zoned as MP Zone. Pursuant to the City’s code (the “City Code”), the objective of the MP Zone is to allow for the development of large tracts of property with densities higher than the base density allowed in the standard residential zones of the City, but not exceeding the highest densities allowed in the Comprehensive General Plan of the City. Approval of an MP Zone is discretionary with the City Council and based on a number of factors including the amenities offered, the densities sought, the qualifications of the management team, the timing of construction, the phasing of amenities, and the overall quality of the project as evidenced in an application for a master planned development. Permitted uses of the MP Zone include single family residences, multiple family residences, public and private utility building and facilities, parks and recreation centers, amenities as provided in a development agreement, and those uses allowed in the mixed-use zone, when accompanied with the mixed use designation. According to the Developer, all planned uses in the Development fit within the MP Zone’s permitted uses. See also “—Planned Development” above.

Site Plan Approval. Pursuant to the City Code, the zoning process for the MP Zone requires approval by City Council of an application for a master planned development and a development agreement. The development agreement must set forth the conditions, requirements, amenities, and obligations of the project. According to the Developer, such requirements were completed as part of the zoning process, and as further described in the Master Development Agreement. See also “—Master Development Agreement” below.

Platting. Pursuant to the City Code, preliminary and final plat approval must be received in order to subdivide a parcel. Preliminary plats are reviewed by the City Development and Review Committee (the “DRC”) for conformity with the City’s ordinances and standards, and to determine the adequacy and availability of public facilities. Additionally, approval of preliminary plats are not granted until the

applicant has provided information, to the satisfaction of the City Engineer and/or Public Works Director, to establish the adequacy of public facilities as required by the City Code and the City's construction and development standards. Preliminary plats not in conformity with the City Code or the City's construction and development standards are referred back to the subdivider or developer with a list of items necessary to bring the plat into compliance. Preliminary plats in conformity with the City Code and the City's construction and development standards and the Master Development Agreement are reviewed and approved administratively by City staff as provided in the Master Development Agreement. If any conditions are attached, the preliminary plat must be amended to reflect such changes and an accurate preliminary plat must be submitted to the Public Works Director. Preliminary plats are valid for a maximum of 12 months.

After approval of a preliminary plat, final plats are submitted to the City Engineer for review for conformity with present ordinances and the City's construction and development standards, and for the adequacy and availability of public facilities. If the final plat is not in conformity, the City Engineer will refer it back to the subdivider or developer with a list of items necessary to bring the final plat into compliance. If the final plat is in conformity, it will be submitted to the DRC with suggestions and comments noted thereon. After considering the recommendations of the City Engineer, the DRC may table the matter, approve, or grant approval upon conditions stated. The DRC acts as the land use authority for final plats. If approved, the City Mayor and City Engineer will sign the final plat. If a ditch is to be piped or abandoned, the applicable irrigation company that owns the ditch must also approve the final plat, unless the irrigation company refuses to sign the final plat and the City determines such refusal to be unreasonable. If any conditions are attached, the final plat will be amended to reflect such changes and an accurate plat shall be submitted to the City Engineer, prior to signing by the Mayor and City Engineer. Each final plat, including all phases of a preliminary plat, are subject to the City's construction and development standards, policies, and regulations that are in effect at the time of approval for each of the final plats. Final plats must be recorded with the County Recorder within one hundred eighty (180) days of acceptance and approval by the DRC. Any plat not recorded within that time is deemed null and void.

The City Code also requires subdivision developers to supply evidence of title insurance satisfactory to the City's standards, and to enter into a performance bond with the City to, among other things, guarantee that improvements are constructed in a proper and timely manner and in accordance with the City's construction and development standards and the construction drawings approved by the City.

Of the anticipated 716 residential lots, final plats have been approved for 292 lots, preliminary plats have been approved for 258 lots, with preliminary plat approval for the remaining 166 lots anticipated to be received in the third quarter of 2025 and final plat approval anticipated in the fourth quarter of 2025.

Master Development Agreement

The Developer and the City entered into the Master Development Agreement on October 25, 2021. The Master Development Agreement outlines the efforts between the City and the Developer to develop the Master Development in accordance with City ordinances and state laws. The obligations under the Master Development Agreement are conditioned upon the annexation of certain property into the City. This process, dictated by Utah's annexation statute and the City's policy plan, includes the transitioning of electrical services from the South Utah Valley Electric Service District to the City. The Developer assumes all costs related to this transfer, including inventory, acquisition of electrical facilities, and construction costs. The Master Development Agreement stipulates that the City's inability to acquire or delay in acquiring electrical facilities, due to no fault of its own, will not be considered a breach of the Master Development Agreement.

The Master Development Agreement grants the Developer vested rights to develop 2,004 dwelling units within the Viridian Development in line with the Viridian Conceptual Land Use Plan and existing local and state laws as of the Master Development Agreement's execution date. These rights are protected against most future legal or policy changes, with exceptions for mutually agreed future laws, updates to building and construction-related codes, changes in fees (except impact fees), taxes, and building permit plan review fees. The Master Development Agreement clarifies that construction and development standards existing at the time of each final plat approval shall be applied to that plat. In terms of easements, rights-of-way, and publicly-owned parcels, the Master Development Agreement requires the Developer to grant the necessary legal allowances for utilities, parks, trails, and City facilities. The City is obliged to pay fair market value for any land required for City buildings or facilities not contemplated in the Master Development Agreement. Land for public facilities must be reimbursed to the Developer at \$50,000 per acre. Additionally, the Developer is granted the first right of offer to acquire excess land if the City decides to sell it.

For infrastructure and utilities, the Master Development Agreement outlines that the Developer is responsible for bringing essential utilities to the property, including sewer, water, power, and stormwater facilities, and making accommodations for future fiber internet. The developer must ensure that adequate utility capacity is provided before any subdivision plat or building permit is recorded or issued. The Developer may also collaborate with the City to issue an RFP for the design and construction of any power substation within the development. The Master Development Agreement also details the maintenance responsibilities of the Developer for utility and road facilities until they are completed, inspected, and accepted by the City. The Developer is allowed to tie into existing infrastructure if there is adequate capacity, as determined by the City Engineer. Utility capacities are not reserved by the City until a final plat is approved, and capacities are determined on a first-come, first-served basis. Regarding system improvements and reimbursements, the City may require the Developer to upsize certain infrastructure components for the benefit of surrounding or other City properties. Upsizing or system improvements installed by the Developer or any subdevelopers are subject to reimbursement by the City. The Master Development Agreement includes a provision for negotiating a reimbursement agreement to determine the method and timing of reimbursements.

The Master Development Agreement also addresses the construction of parks and open spaces. The Developer is responsible for constructing trails, parks, and improving open spaces for public benefit as outlined in the Viridian Farm Conceptual Land Use Plan. The City agrees to reimburse the Developer for the costs of constructing public parks, trails, and recreational facilities within the development property, using parks and recreation impact fee reimbursements. The Master Development Agreement specifies a completion schedule for these amenities and conditions under which the City may withhold approval of development applications if the amenities do not meet the schedule.

The Viridian Farm Master Development Agreement provides for the development of the property, encompassing residential units, commercial spaces, public amenities, and infrastructure, all under the stipulated conditions and standards set by the City. The Master Development Agreement ensures that the development aligns with the City's planning goals and regulatory frameworks, setting out detailed responsibilities for the Developer in creating a community that includes residential and commercial spaces, public amenities, and infrastructure.

Water and Sewer

Water and sewer service for the Development will be provided by the City. The City has provided a letter, dated February 27, 2024, indicating its ability to provide culinary water, pressurized irrigation water, and wastewater collection and treatment to the Development.

According to the Developer, there is limited sewer capacity within the City's sewer treatment plant. Consequently, the Developer is currently conducting an analysis and collecting bids to improve the existing treatment plant to allow for increased capacity in phases. The City has given the Developer assurances that there will be enough capacity from the City's sewer treatment plant for all lots included within the District. According to the Developer, the City has provided a will serve letter for the first two phases of the Development and intends to provide will serve letters for subsequent phases upon final plat approval. Additionally, according to the Developer, the City has included an update to the sewer treatment plan within the Development in its capital facilities plan.

Encumbrances on Property

Deed of Trust. GRNOBL has executed a deed of trust (the "**GRNOBL DOT**") with the Developer for property located within the Development, to secure GRNOBL's obligations under the GRNOBL REPC. This includes the repayment of an earnest money deposit and origination option fee to the Developer. Pursuant to the GRNOBL DOT, GRNOBL guarantees it holds the property free of prior liens or encumbrances, ensuring the GRNOBL DOT remains a valid lien. GRNOBL commits to keeping the property unencumbered, maintaining requisite insurance, and preserving the property's condition in compliance with all governmental regulations, including those related to hazardous Material. GRNOBL is permitted to proceed with specific improvements, such as roads and utility installations, as approved by the City, without being deemed in default due to potential mechanic's liens during construction. The GRNOBL DOT specifies conditions for the Developer's inspection of the property and outlines the Developer's rights to take protective measures if GRNOBL fails to meet its obligations, including steps in case of condemnation or default. In default scenarios, the Developer may manage the property, collect rents, or pursue foreclosure. The allocation of any sale or insurance proceeds is directed first towards costs and indebtedness to the Developer, with any surplus distributed to the entitled parties. Furthermore, any sale, transfer, or encumbrance of the property by GRNOBL is restricted until all obligations to the Developer are fulfilled. GRNOBL is also barred from altering its entity structure or ownership without the Developer's approval.

Master Declaration. The property within the Development will be subject to a Declaration of Covenants, Conditions, and Restrictions (the "**Master Declaration**") to be made by the Developer. The Master Declaration governs the development and use of property within the Development and is recorded in the real property records of the County. Pursuant to the Master Declaration, the developer will form the Viridian DRH Owners Association (the "**Association**"). The Association will have (1) the powers of owning, maintaining, and administering the Common Areas (as defined in the Master Declaration) within the development; (2) the duties of administering and enforcing the Master Declaration; and (3) the duties of collecting and disbursing assessments and charges related to the operation, maintenance, repair, and replacement of the common areas and the functions and obligations of the Association under the Master Declaration. It is anticipated that the Association will maintain private roadways, parks, and landscaping, and that sub-associations will be established under the Association to handle the maintenance of buildings.

Under the Master Declaration, the developer may assign its rights regarding the Development, marketing, and sale of the property to a builder. The Developer intends to develop the property and additional adjacent land in phases, primarily for residential use, but also for church, commercial, and recreational purposes, which may include trails, open spaces, walkways, parks, picnic areas, play areas, a swimming pool and a clubhouse. The Developer reserves the right to dedicate portions of the property and additional land to public use for streets, utilities, and drainage improvements as the phases of development proceed.

Other Encumbrances. Property within the Development is subject to various easements and rights of way of record, oil and gas leases and encumbrances pertaining to the reservation of mineral rights, which,

to the extent of record only, the Developer has reviewed and does not believe that the existence of the mineral interests is inconsistent with the development of the property as depicted on the Developer's site plan. Further, property within the Development may be subject to additional encumbrances, including, but not limited to, liens securing financial obligations of the various developers of such property. No assurance is given that such encumbrances recorded by other owners of property in the Development, or future encumbrances that may be recorded against portions of the Development, will not impact the ability of the Development to be carried out as contemplated herein.

Environmental Matters

Phase I Environmental Site Assessment. Wasatch Environmental, Inc. ("WEI") prepared a Phase I Environmental Site Assessment ("Phase I ESA") dated January 21, 2021, at the request of the Developer for approximately 716 acres, including the Development. The Phase I ESA was prepared to characterize the general site of the Development and adjacent property conditions, relative to environmental concerns, and to identify any recognized environmental conditions. The Phase I ESA findings were based upon site reconnaissance, a historical review of past uses of the subject property, a review of regulatory records, and on-site assessments.

The Phase I ESA reported that the Development site, at the time of the report, included expansive agricultural fields, a residence, livestock corrals, two water well houses, storage buildings, ponds, an access road, a canal, an irrigation system, an area that was formerly used as a household waste disposal area, and an area of possible buried concrete. In addition, the Phase I ESA reported that the subject property was formerly utilized as a farm and included expansive agricultural fields and orchards, several residences, a manure storage area, manure settling ponds, a dairy operation, a hog area, a beef area, and a poultry building. Inspections of the site and review of information on file with various federal, state, and local environmental regulatory agencies failed to identify any *de minimis* conditions, historical recognized environmental conditions, or controlled environmental conditions.

The Phase I ESA did, however, identify several areas of environmental concern associated with potential impacts from long-term use of the property for commercial agricultural activities, storage and use of pesticides and herbicides, use of several underground and above ground storage tanks containing fuels and pesticides, the presence of solid waste disposal areas, and buried drums. Due to the potential for environmental impacts from these uses, the Phase I ESA included a Subsurface Investigation Report. The subsurface investigation included multiple soils borings and groundwater samples in the areas that were identified as potential concerns. Multiple composite soils samples were also collected from across the property surface to determine if pesticides, herbicides, or fertilizers were present at concentrations of concern. The presence of benzo(a)pyrene was identified in a sample collected near the former shop building at concentrations exceeding the Environmental Protection Agency's Regional Screening Levels for residential soils. Additionally, total petroleum hydrocarbons-diesel range organics were identified at concentrations exceeding the Utah Department of Environmental Quality, Environmental Response and Remediation Initial Screening Levels for unrestricted soil use in the sample collected adjacent to one of the above-ground storage tanks. Given these levels, WEI recommended that additional environmental sampling be performed in the area to determine the nature and extent of the released of benzo(a)pyrene or that impacted areas be excavated, that confirmation soil samples be collected to verify the impacted areas had been remediated, and that impacted soil be properly disposed of during the proposed construction activities within the Development.

In May 2023, WEI performed over-excavation in the area of the previously documented benzo(a)pyrene impacted soils and in the area near the above ground fuel storage tank where elevated concentrations of total petroleum hydrocarbons-diesel range organics were identified. Approximately 96.42 tons of soil were excavated and transported offsite for proper disposal. Confirmation samples collected

from each area of over-excavation showed no exceedances. An effort was made to remove the 500-gallon gasoline underground storage tank during field activities; however, only the vent piping was found to be present. WEI concluded in their June 14, 2023 “Soil Remediation and UST Removal Report” that remediation objectives for the Property have been met and that no further investigation or remediation is warranted at this time. WEI notes that the diesel above-ground storage tank remains in operation at the property and should be removed to prevent future releases.

The Phase I ESA notes that a June 2019 short term radon study, conducted by the Utah Department of Environmental Quality, Division of Waste Management and Radiation Control, reported elevated radon readings within the zip code of the subject property. Based on these readings, WEI recommended incorporating preventative ventilation systems in its home designs. The Phase I ESA additionally reported that the National Wetlands Inventory Map does not depict potential wetlands in the area of the Development; the Development area does not appear to be located in a floodplain; the subject property is not listed on the National Register of Historic Places website; and that WEI could not identify any Utah Pollutant Discharge Elimination System permits listed for the subject property on the Utah Division of Water Quality’s online website. Based on information obtained from the U.S. Department of the Interior Fish and Wildlife Service, the following endangered or threatened species have been documented within the vicinity of the Development: Canada Lynx, Yellow-billed Cuckoo, June Sucker, and Ute-Ladies’-tresses; provided that the Development was not within the critical habitat or no critical habitat has been established for such species. The Developer intends to follow the recommendations of the Phase I ESA and the Soils Sampling Report.

Geotechnical Reports. At least five geotechnical reports were performed within the Development and adjacent property between September 2020 and October 2020 by GeoStrata to evaluate the subsurface soils and to assess the nature and engineering properties of the subsurface soils at the Development site and to provide recommendations for general site grading and the design and construction of the project. Based on these reports, GeoStrata determined that the Development site was suitable for the proposed development, provided that the recommendations contained in their reports were incorporated into the design and construction of the project. Certain geotechnical reports revealed concerns regarding the presence of dense granular soils at the proposed building elevations. To account for this, GeoStrata recommended placing strip and spread footings on undistributed native granular soils. The Developer intends to follow the guidelines of the applicable geotechnical reports.

Market Study

The Developer has engaged Zonda for the purpose of assessing the value and appreciation of the contemplated planned uses of the Development, the results of which are set forth in the Market Study attached hereto as APPENDIX B. The Market Study’s product program recommendations, including per product absorption rates and price and value estimates are assumed in the Market Study attached as APPENDIX B hereto. The Market Study supersedes prior market studies prepared for the Developer with respect to the residential aspects of the Development. See “RISK FACTORS—Risks Inherent in Market Study and Financial Forecast.” *The recommendations and estimates provided by the Market Study are based upon the assumptions, and subject to the qualifications and limitations, set forth therein. See APPENDIX B attached hereto.*

Marketing and Advertising

According to the Developer, it anticipates marketing of the Development to include customary marketing tools, such as local signage, websites, social media, print and radio advertising, television advertising, grand opening events, and on-site leasing agents. The Developer will speculatively construct each home and townhome and market the homes as having the best value and best customer service

available in the market. The Developer will also construct a significant number of amenities, including a club house and pool, and plans to have its sales agents based in the clubhouse.

Competition

The Market Study sets forth information with respect to certain recent developments that could compete with the Development. For information regarding competition as well as existing and potential developments in the area that may compete with the Development see the Market Study attached as APPENDIX B hereto.

Public Schools

The Development will be served by the Nebo School District, including the following schools:

Name of School	Grades Served	Approximate Distance from the Development
Salem Elementary School	K-5	3 miles
Valley View Middle School	6-7	1.5 miles
Salem Jr. High	8-9	2 miles
Salem Hills High School	10-12	2 miles

The Developer

The Development is being undertaken by D.R. Horton, Inc., a Delaware Corporation (as previously defined, the “**Developer**”), a publicly traded company whose stock is traded on the New York Stock Exchange under the symbol DHI. D.R. Horton, Inc. is subject to the informational requirements of the Securities and Exchange Commission Act of 1934, as amended, and in accordance therewith files reports, proxy statements and other information with the Securities and Exchange Commission (the “**SEC**”). The SEC file number for D.R. Horton, Inc. is No. 1-14122. Such reports, proxy statements and other information can be inspected and copied at the Headquarters Office of the SEC, 100 F Street, N.E., Room 1580, Washington, DC 20549, and electronically through the Commission’s website (www.sec.gov). Copies of such materials can be obtained by mail from the Public Reference Section of the SEC at prescribed rates. None of the District, the District’s advisors, the Underwriter or the Underwriter’s consultants have reviewed such reports or statements or verified the information set forth therein, and none of such reports or statements are incorporated herein.

Boyd A. Martin – *Division President, D.R. Horton.* Mr. Martin has worked for D.R. Horton Utah for over 20 years and as Utah division president since 2004. He has more than 24 years of combined residential construction and development experience and has built more than 10,000 homes and 300 communities in both Utah and Idaho. Mr. Martin’s residential experience is equally strong in both single family detached as well as multi-family attached developments. He has also worked for a national heavy-civil contractor as the West region business manager and for a regional apartment developer as the CFO. He is a past president of the Salt Lake Home Builders Association and is currently a member of the Utah Property Rights Coalition. He earned his bachelor’s degree in accounting from Brigham Young University and a master’s in real estate development from the University of Utah.

Scott Bishop – *Vice President of Special Projects.* Mr. Bishop has worked as a General Contractor and Land Developer and as the owner of a Custom Home building company in the Wasatch Front area for over 25 years. Mr. Bishop joined the D.R. Horton Utah team five years ago and currently is the Project Manager on some of the local division’s large Master-Planned Community developments. Mr. Bishop

earned a degree in Business Management from Utah Valley University and is licensed as a Real Estate Agent in Utah.

Adam Loser – Vice President of Land. Mr. Loser has been in development for 14 years. As V.P. of Land, Mr. Loser is responsible for acquisition, entitlement, planning, underwriting, and due diligence. Prior to joining D.R. Horton Utah, Mr. Loser was responsible for operations, structuring capitalization of funds, dispositions, and project management for SDI Realty Group. During his decade as Partner at SDI, Mr. Loser managed development of over 600,000 square feet of luxury condo-hotel projects at Park City Ski Resort, including the prestigious Hyatt Centric, Park City. Mr. Loser received his Master of Real Estate Development (MRED) from the University of Utah and is a licensed Utah Realtor.

DISTRICT FINANCIAL INFORMATION

The Bonds are payable from, among other sources, revenues resulting from certain ad valorem property taxes imposed by the District. Certain information pertaining to such ad valorem property taxes and other Senior Pledged Revenue (with respect to the 2024A Senior Bonds) and Subordinate Pledged Revenue (with respect to the 2024B Subordinate Bonds), as well as other financial information of the District is set forth below.

Ad Valorem Property Taxes

The Board has the power, subject to constitutional and statutory guidelines, to certify a levy for collection of ad valorem taxes against all taxable property of the District. Property taxes are uniformly levied against the assessed valuation of all taxable property of the District. The property subject to taxation, the assessment of such property, and the property tax procedure and collections are discussed below.

The Property Tax Act, Title 59, Chapter 2, Utah Code (the “**Property Tax Act**”), provides that the Utah State Tax Commission (the “**State Tax Commission**”) shall assess certain types of property (“**centrally assessed property**”), including (i) properties that operate as a unit across county lines that must be apportioned among more than one county or state, (ii) public utility (including railroad) properties, (iii) airline operating properties, (iv) geothermal resources, and (v) mines, mining claims and appurtenant machinery, facilities and improvements. All other taxable property (“**locally assessed property**”) is required to be assessed by the county assessor of the county in which such locally assessed property is located. Each county assessor must update property values annually based upon a systematic review of current market data and must also complete a detailed review of property characteristics for each parcel of property at least once every five years. The Property Tax Act requires that the State Tax Commission conduct an annual investigation in each county to determine whether all property subject to taxation is on the assessment rolls and whether the property is being assessed at its “fair market value.”

The State Tax Commission and the county assessors utilize various valuation methods, as determined by statute, administrative regulation or accepted practice, to determine the “fair market value” of taxable property.

Property Subject to Taxation. Both real and personal property located within the boundaries of the District, unless exempt, are subject to taxation by the District. Exempt property generally includes property exempt under the laws of the United States; property of the State and its political subdivisions; school districts; public libraries; property owned by a nonprofit entity used exclusively for religious, charitable, or educational purposes; places of burial not held or used for private or corporate benefit; farm machinery and equipment; high tunnels; intangible property; and the ownership interest of an out-of-state public agency that is providing additional project capacity and for which a fee in lieu of ad valorem property tax is payable.

Residential Exemption. The fair market value of primary residence residential property located within the State is allowed an exemption equal to a 45% reduction in the value of the property for up to one acre of land (the “**Residential Exemption**”). Part-year residential property within the State qualifies for the Residential Exemption if it is used as a residential property for 183 or more consecutive calendar days during the calendar year for which the owner seeks to obtain the Residential Exemption. The Residential Exemption is limited to one primary residence per household, except that an owner of multiple primary residences within the State is allowed a Residential Exemption for the primary residence of the owner and each residential property that is the primary residence of a tenant.

Greenbelt Reduction. Property located within the State that consists of five or more contiguous acres of land that are actively devoted to agricultural use may be assessed at the value of the land for agricultural use, instead of the fair market value (the “**Greenbelt Reduction**”). When a change to the property, such as a change in ownership or use, results in a loss of eligibility for the Greenbelt Reduction, the owner of such property must notify the county assessor by recording a withdrawal application. Any portion of the land that continues to meet the requirements of the Greenbelt Reduction will continue to be assessed according to the Greenbelt Reduction, while any portion of the land that no longer qualifies for the Agricultural Use Reduction will be assessed according to the appropriate change in assessment.

Upon ineligibility for the Greenbelt Reduction, the property becomes subject to a rollback tax, which is calculated as the difference between the tax that was paid while the property was assessed for agricultural use and the tax that would have been paid had the property been assessed at the applicable non-agricultural use value. The rollback tax may be due for a period of up to five years. Failure to record a withdrawal application with the county assessor within 120 days after ineligibility may result in penalties of up to 2% of the rollback tax that was due in the last year of the rollback period.

As of January 1, 2024, approximately 98 acres within the District are subject to Greenbelt Reduction, resulting in a Greenbelt Reduction for such property of approximately \$7,166,796. As of the 2024 tax year, the market value of property within the District is estimated at \$13,061,550, and the taxable value after including the Greenbelt Reduction, is estimated at \$5,894,754, based on the average value assigned by the Assessor for property within the District on a per acre basis multiplied by the total number of acres contained within the District. It is anticipated that the property will lose its eligibility for Greenbelt Reduction as it is developed. Pursuant to the various real estate purchase contracts, the Developer will be responsible for any rollback taxes owed on its property within the Development. See “DISTRICT FINANCIAL INFORMATION—Ad Valorem Property Tax Data” below.

Tax Levy and Collection

The State Tax Commission must assess all centrally assessed property by May 1 of each year. County assessors must assess all locally assessed property before May 22 of each year. The State Tax Commission apportions the value of centrally assessed property to the various taxing entities within each county and reports such values to county auditors before June 8. The governing body of each taxing entity must adopt a proposed tax rate or, if the tax rate is not more than the certified tax rate, a final tax rate before June 22; provided if the governing body has not received the taxing entity’s certified tax rate at least seven days prior to June 22, the governing body of the taxing entity must, no later than 14 days after receiving the certified tax rate from the county auditor, adopt a proposed tax rate or, if the tax rate is not more than the certified tax rate, a final tax rate. County auditors must forward to the State Tax Commission a statement prepared by the legislative body of each taxing entity showing the amount and purpose of each levy. Upon determination by the State Tax Commission that the tax levies comply with applicable law and do not exceed maximum permitted rates, the State Tax Commission notifies county auditors to implement the levies. If the State Tax Commission determines that a tax levy established by a taxing entity exceeds the maximum levy permitted by law, the State Tax Commission must lower the levy to the maximum levy

permitted by law, notify the taxing entity that the rate has been lowered and notify the county auditor (of the county in which the taxing entity is located) to implement the rate established by the State Tax Commission.

On or before July 22 of each year, the county auditors must mail to all owners of real estate shown on their assessment rolls notice of, among other things, the value of the property, itemized tax information for all taxing entities and the date their respective county boards of equalization will meet to hear complaints. Taxpayers owning property assessed by a county assessor may file an application within statutorily defined time limits based on the nature of the contest with the appropriate county board of equalization for the purpose of contesting the assessed valuation of their property. The county board of equalization must render a decision on each appeal in the time frame prescribed by the Property Tax Act. Under certain circumstances, the county board of equalization must hold a hearing regarding the application, at which the taxpayer has the burden of proving that the property sustained a decrease in fair market value. Decisions of the county board of equalization may be appealed to the State Tax Commission, which must decide all appeals relating to real property by March 1 of the following year. Owners of centrally assessed property or any county with a showing of reasonable cause, may, on or before the later of August 1 or a day within 90 days of the date the notice of assessment is mailed by the State Tax Commission, apply to the State Tax Commission for a hearing to contest the assessment of centrally assessed property. The State Tax Commission must render a written decision within 120 days after the hearing is completed and all post-hearing briefs are submitted. The county auditor makes a record of all changes, corrections and orders, and delivers before November 1 the corrected assessment rolls to the county treasurers. On or before November 1, each county treasurer furnishes each taxpayer a notice containing, among other things, the kind and value of the property assessed to the taxpayer, the street address of the property, where applicable, the amount of the tax levied on the property and the year the property is subject to a detailed review.

Taxes are due November 30 (and if a Saturday, Sunday or holiday, the next business day). Each county treasurer is responsible for collecting all taxes levied on real property within that county. There are no prior claims to such taxes. As taxes are collected, each county treasurer must pay to the State and each taxing entity within the county its proportionate share of the taxes, on or before the tenth day of each month. Delinquent taxes are subject to a penalty of 2.5% of the amount of the taxes or \$10 whichever is greater. Unless the delinquent taxes and penalty are paid before January 31 of the following year, the amount of delinquent taxes and penalty bears interest at the federal funds rate target established by the Federal Open Market Committee plus 6% from the January 1 following the delinquency date until paid (provided that said interest may not be less than 7% nor more than 10%). Pursuant to the Public Infrastructure District Act, the District also imposes an annual property tax penalty of 7% in addition to penalties described above. If delinquent taxes have not been paid by March 15 following the lapse of four years from the delinquency date, the affected county advertises and sells the property at a final tax sale held in May or June of the fifth year after assessment.

The process described above changes if a county or other taxing entity proposes a tax rate in excess of the certified tax rate (as described under “—Public Hearing on Certain Tax Increases” below). If such an increase is proposed, the taxing entity must adopt a proposed tax rate before June 22. In addition, the county auditor must include certain information in the notices to be mailed by July 22, as described above, including information concerning the tax impact of the proposed increase on the property and the time and place of the public hearing described in “—Public Hearing on Certain Tax Increases” below. In most cases, notice of the public hearing must also be advertised by publication. After the public hearing is held, the taxing entity may adopt a resolution levying a tax in excess of the certified tax rate. A resolution levying a tax in excess of the certified tax rate must be forwarded to the county auditor by August 17. The final tax notice is then mailed by November 1.

Public Hearing on Certain Tax Increases

Typically, each taxing entity that proposes to levy a tax rate that exceeds the “certified tax rate” may do so (by resolution) by providing certain information by mail and after holding a properly noticed public hearing. Generally, the certified tax rate is the rate necessary to generate the same property tax revenue that the taxing entity budgeted for the prior year, with certain exclusions. For purposes of calculating the certified tax rate, county auditors are to use the taxable value of property on the assessment rolls, exclusive of new growth. New growth is any increase in taxable value of the taxing entity from the previous calendar year to the current year less the amount of increase to locally assessed real property taxable values resulting from factoring, reappraisal, other adjustments, or changes in the method of apportioning taxable value.

Among other requirements, on or before July 22 of the year in which such an increase is proposed, the county auditor must mail to all property owners a notice of the public hearing. In most cases, the taxing entity must advertise the notice of public hearing by publication in a newspaper. Such notices must state, among other things, the value of the property, the time and place of the public hearing, and the tax impact of the proposed increase.

Pursuant to the Public Infrastructure District Act, the District is not required to give notice or hold a public hearing to levy the Senior Required Mill Levy or the Subordinate Required Mill Levy, so long as the rate of such levy does not exceed the rate established in (i) the Public Infrastructure District Act; (ii) the Governing Document; or (iii) the documents relating to issuance of the limited tax bonds, which in the case of the Bonds is the Indentures. The Public Infrastructure District Act establishes a rate limit of 0.015 per dollar of taxable value of taxable property in the District. The Governing Document establishes a rate limit of 0.005 per dollar of taxable value of taxable property in the District, while the Indentures establish a rate limit of 0.003 per dollar of taxable value of taxable property in the District.

Ad Valorem Property Tax Data

According to records of the County Assessor available for the 2024 taxable year, approximately 98 acres in the District are subject to Greenbelt Reduction. The 2024 market value of the property within the District is estimated at \$13,061,550, and, as a result of Greenbelt Reduction, the taxable value of the property within the District is estimated at \$5,894,754. This estimate is based on the average value assigned by the Assessor for property within the District on a per acre basis multiplied by the total number of acres contained within the District. There is no guarantee that this acreage-based estimate is the exact taxable value of the District. The District has not previously imposed an ad valorem property tax levy; as a result, there is no property tax levy or collection information available. See “—Ad Valorem Property Tax Data.”

Overlapping Property Tax Levies. There are currently four taxing entities which overlap all or a portion of the District boundaries which imposed ad valorem property tax levies in 2023. The table below shows the property tax levy of each of the overlapping taxing entities plus the Senior Required Mill Levy and Subordinate Required Mill Levy and the total property tax levy in the District. Additional taxing entities may overlap the District in the future.

Total 2023 Property Tax Levy for the District

Taxing Unit	2023 Tax Rate ⁽¹⁾
Utah County	0.000781
Nebo School District	0.007425
Salem City	0.001237
Central Utah Water Conservancy District	<u>0.000400</u>
Total Sample Overlapping Property Tax Levy	0.009830
 District ⁽²⁾	 <u>0.003000</u>
Total Property Tax Levy⁽²⁾	0.011830

(1) Tax rates are per dollar of taxable value. Levy rates are certified in 2023 for the collection of ad valorem property taxes in 2023.

(2) The District did not impose a property tax levy in 2023 and will not impose the Senior Required Mill Levy or the Subordinate Required Mill Levy until 2025. The above total is included for illustrative purposes only.

(Source: Utah State Tax Commission, Utah Property Tax Division.)

Uniform Fees

An annual statewide uniform fee is levied on tangible personal property in lieu of the ad valorem tax. The uniform fee is 1.5% of the fair market value of motor vehicles that weigh 12,001 pounds or more, watercraft, recreational vehicles and all other tangible personal property required to be registered with the State, excluding exempt property such as aircraft and property subject to a fixed age-based fee. Motor vehicles weighing 12,000 pounds or less and certain other vehicles are subject to an age-based fee that is due each time the vehicle is registered. The revenues collected from the various uniform fees are distributed by the county to the taxing entity in which the property is located in the same proportion in which revenue collected from ad valorem real property is distributed.

Any uniform fees received by the District from the imposition of the Senior Required Mill Levy and the Subordinate Required Mill levy are included as Senior Property Tax Revenues and Subordinate Property Tax Revenues, respectively.

Funding of Administration; Other Revenue Sources

Administrative Expenses of the District are paid from Senior Pledged Revenue and Subordinate Pledged Revenue prior to application thereof for any other purpose. The Indentures define “**Administrative Expenses**” as an amount reasonably determined by the District as being necessary to pay the District’s expenses reasonably incurred in connection with the administration and operation of the District, including accounting fees, audit expenses, legal fees, insurance premiums, management expenses, board member compensation, and generally all expenses, under which generally accepted accounting practices are properly allocable to administration; however, only such expenses as are reasonably and properly necessary to the efficient administration and operation of the District and permitted under the District Act shall be included, but not in excess of the following: (i) for calendar year 2024, the amount of \$50,000, (ii) for each calendar year thereafter, an additional 2%; and (iii) in the event of a claim by a third-party challenging (A) the creation or existence of the District; (B) the Bonds, any other Senior Obligations, any other Subordinate Obligations, or Junior Lien Obligations; and (C) the District’s ability to perform its obligations under this Indenture or any resolution, indenture, or other document relating to the issuance of Senior Obligations, Subordinate Obligations, or Junior Lien Obligations; the amount reasonably necessary to defend the District from such claim to the extent such amount exceeds the limit established in (i) and (ii).

No assurance is provided, however, that the foregoing will be sufficient to cover operations and administrative expenses of the District for a given year and no assurance is provided that the District would have adequate financial resources to pay such excess costs.

The District may apply other legally available funds and revenues to the payment of debt service on the Bonds, and upon the application of such other funds and revenues, the property tax levy imposed for payment of the Bonds may, to that extent, be diminished, subject to the requirements of the applicable Required Mill Levy. However, the Bonds do not constitute a lien or encumbrance on such revenues.

Financial Statements and District Funds

Due to the District's limited financial activity to date, no audited financial information is available for inclusion herein. In accordance with the Special District Act, the District is required to prepare an annual financial report in accordance with generally accepted accounting principles within 180 days after the close of each fiscal year. Such financial report is required to be audited by a competent certified public accountant if the District's revenues or expenditures of all funds is \$1,000,000 or more. Pursuant to the Indentures, the District has covenanted to cause an annual audit to be performed each year commencing with fiscal year 2024 notwithstanding any state law audit exemptions that may be available.

The District is to maintain, according to its accounting needs, some or all of the accounts prescribed in the Uniform Accounting Manual for Local and Special Districts. The District uses three funds, the General Fund, the Debt Service Fund, and Capital Projects Fund. The General Fund is the primary operating fund of the District and is used to account for all financial resources except those required to be accounted for in another fund, and also to provide for transfers to the District. The Debt Service Fund accounts for the resources accumulated and payments made for proposed general obligation debt, and the Capital Projects Fund accounts for financial resources for the estimated infrastructure costs that are to be built for the benefit of the District.

Budget and Appropriation Procedure

The Board has determined that the District will operate on a calendar year fiscal year. Under the Special District Act, the District is required to prepare an annual budget for each of its funds. Each budget shall specify estimates of all anticipated revenues and expenditures and requires that total anticipated revenues are equal to the total of appropriated expenditures. The District is required to appoint a person to prepare the budget for the District (the "**Budget Officer**"), the Board has appointed CliftonLarsonAllen, LLP, as the initial Budget Officer.

On or before the first regularly scheduled meeting of the Board in November of each year a tentative budget for each fund for which a budget is required must be prepared by the Budget Officer and filed with the Board. Each tentative budget must provide actual revenues and expenditures for the last completed fiscal year, estimated total revenues and expenditures for the current fiscal year, and estimates of revenues and expenditures for the budget year. The Budget Officer estimates the amount of revenue available to serve the needs of each fund and estimates the portion that shall be derived from general property taxes. The Board is to then review, consider, and tentatively adopt the tentative budget in any regular or special meeting called for that purpose and may amend or revise the tentative budget in any manner the Board considers advisable prior to public hearings, but no appropriation required for debt retirement and interest or reduction of existing deficits may be reduced below the minimums so required.

After adoption of the tentative budget, the Board shall make a tentative budget available to the public at least 7 days before adoption of the final budget, and establish a time and place of a public hearing to consider its adoption and give notice of such public hearing. At the public hearing, the Board is required

to give all interested persons in attendance an opportunity to be heard on the estimates of revenue and expenditures or any item in the tentative budget of any fund. At the conclusion of the public hearing the Board (i) may continue to review the tentative budget, insert any new items, or increase or decrease items of expenditure that were the proper subject of consideration at the public hearing; (ii) may not decrease the amount appropriated for debt retirement and interest reduction of any existing deficits; and (iii) must increase or decrease the total anticipated revenue to equal the next change in proposed expenditures in the budget of each fund. Public infrastructure districts may accumulate retained earnings or fund balances, as appropriate, in any fund, subject to certain limitations. Prior to the beginning of the District's fiscal year the Board is required to adopt a resolution adopting a budget for such fiscal year. The Budget Officer is required to certify a copy of the final budget and file it with the State Auditor of the State within 30 days after adoption. The amount stated in the budget as the amount of estimated revenue from property taxes constitutes the basis for determining the property tax levy to be set by the Board for the corresponding tax year, subject to applicable limitations by law.

New public infrastructure districts, such as the District, are required to prepare a budget covering the period of incorporation to the end of the fiscal year, substantially comply with all other provisions relating to notices and hearings, and pass the budget as soon after incorporation as feasible. It is possible that a failure by the District to timely adopt budgets or otherwise comply with State laws could impact the District's ability to receive and access funds of the District, including Pledged Revenues, or timely pay debt service on the Bonds. See "RISK FACTORS—Withholding of Revenues by State Auditor." As of the date of this Limited Offering Memorandum, the District has not yet adopted a budget, but anticipates adopting a budget after the issuance of the Bonds.

Limitation on Certain Tax Revenues. It is through the preparation of the budget and by taking into consideration all sources of revenue, costs of construction, expenses of administration of the District, and the debt service requirements of the District's outstanding bonds and the other obligations of the District that the rate of property tax levy is determined each year.

Budgeted Financial Information. The District anticipates adopting a budget after the issuance of the Bonds. It is possible that a failure by the District to timely adopt budgets or otherwise comply with State laws could impact the District's ability to receive and access funds of the District, including Pledged Revenues, or timely pay debt service on the Bonds. See "RISK FACTORS—Withholding of Revenues by State Auditor." No budgets were approved with respect to the Capital Projects Fund or Debt Service Fund in the District's 2024 budget. *It is anticipated that the District will adopt an amendment to its final budget subsequent to the closing of the Bonds to reflect the final pricing of the Bonds.*

According to the District's accountant, as of September 1, 2024, there has not been any activity in the District's General Fund, Debt Service Fund, or Capital Projects Fund.

Historical Financial Information

As a new entity, the District does not have any prior financial history.

Deposit and Investment of District Funds

The Indentures require the District's funds to be invested in Permitted Investments (as defined in the Indentures). The investment of the proceeds of the Bonds is also subject to the provisions of the federal Tax Code. See "TAX MATTERS."

DISTRICT DEBT STRUCTURE

The following is a discussion of the District's authority to incur general obligation indebtedness and other financial obligations and the amount of such obligations presently outstanding.

Debt Restrictions

The issuance of additional bonds is restricted by: (a) elections held within the District and (b) the debt limitations in the Governing Document. Each restriction is described below and in “—General Obligation Debt—*Outstanding and Authorized but Unissued Debt*” below.

Statutory Debt Limit. A public infrastructure district is not considered a municipal corporation for purposes of the debt limitation of the Utah Constitution, Article XIV, Section 4, and limited tax bonds issued by a public infrastructure district are not subject to any statutory debt limitations.

Required Elections. Various State constitutional and statutory provisions require voter approval prior to the incurrence of general obligation indebtedness by the District. Pursuant to Section 17D-4-301(3) of the Public Infrastructure District Act, the District may issue limited tax bonds with the consent of 100% of surface property owners and registered voters, if any, within the boundaries of the District. On or before August 28, 2024, the Developer and GRNOBL, as 100% owners of surface property within the boundaries of the Districts, consented to the issuance of an aggregate amount of \$35,000,000 of limited tax bonds (as previously defined, the “**Property Owner Consent**”). There are no registered voters residing within the boundaries of the District. Pursuant to the provisions of the Public Infrastructure District Act, the Property Owner Consent is sufficient to meet any statutory or constitutional election requirement necessary for the issuance of limited tax bonds.

Governing Document Debt Limitations. The Governing Document limits the issuance of general obligation and certain other revenue debt by all of the Districts to an aggregate principal amount of \$35,000,000 (referred to herein as the “**Aggregate Debt Limit**”). Under the Governing Document, refunding bonds and a District's pledge of its property tax revenues to the debt of one of the other Districts do not count against the Aggregate Debt Limit. See “THE DISTRICT—Governing Document Authorizations and Limitations.”

General Obligation Debt

Outstanding Debt. Upon issuance of the Bonds, the Bonds will constitute the District's only outstanding general obligation debt.

Outstanding and Authorized but Unissued Debt. The amount of the District's electoral authorization for indebtedness for public infrastructure costs pursuant to the Property Owner Consent (\$35,000,000) will be reduced by the principal amount of the 2024A Senior Bonds (\$5,645,000) and the 2024B Subordinate Bonds (\$1,000,000). As a result, upon issuance of the Bonds, the District will have approximately \$28,355,000 in remaining unused electoral authorization for indebtedness for public infrastructure costs.

Notwithstanding the foregoing, the District is also subject to the limitations of the Governing Document described above in “—Debt Restrictions—*Governing Document Debt Limitations*,” and upon issuance of the Bonds the Districts will have \$28,355,000 in remaining indebtedness authorized by the Governing Document.

Estimated Overlapping General Obligation Debt. Certain public entities whose boundaries may be entirely within, coterminous with, or partially within the District are also authorized to incur general obligation debt and, to the extent property within the District is also within such overlapping public entities, such property will be liable for an allocable portion of such debt. For purposes of this Limited Offering Memorandum, the percentage of each overlapping public entity’s outstanding debt chargeable to the District property owners, as applicable, is calculated by comparing the assessed valuation of the portion overlapping the District to the total assessed valuation of the overlapping entity. To the extent any of the District’s assessed valuation changes disproportionately with the assessed valuation of overlapping entities, the percentage of general obligation debt for which the applicable District’s property owners are responsible will also change.

The following table sets forth the estimated overlapping general obligation debt chargeable to properties within the District as of June 30, 2023, unless otherwise indicated below. The District is not financially or legally obligated with regard to any of the indebtedness shown on the immediately following tables. Although the District has attempted to obtain accurate information as to the outstanding debt of the entities which overlap the District, it does not warrant its completeness or accuracy as there is no central reporting entity which is responsible for compiling this information.

Estimated Overlapping General Obligation Debt of the District

Overlapping Public Entity⁽¹⁾	2022 Assessed Valuation⁽²⁾	Outstanding General Obligation Debt	Estimated Net Debt Chargeable to Properties in the District⁽³⁾	
			Percent	Amount
Nebo School District	\$17,481,622,495	\$278,505,000	0.0337%	\$93,911.10

⁽¹⁾ This table does not include the State or Central Utah Water Conservancy District’s general obligation debt since both entities do not currently levy a property tax for such debt.

⁽²⁾ Based on 2022 calendar year taxable values. For purposes of this table, taxable value excludes all tax equivalent property associated with motor vehicles, watercraft, recreational vehicles, and all other tangible personal property required to be registered with the State.

⁽³⁾ Based on 2024 estimated taxable value of the District. See “INTRODUCTION—Debt Ratios.”

(Source: Utah State Tax Commission as to taxable values. Amount of overlapping general obligation debt as reported in recent official statements and/or financial statements of overlapping entities.)

LEGAL MATTERS

Legal Representation

Legal matters incident to the authorization and issuance of the Bonds are subject to approval by Gilmore & Bell, P.C., Salt Lake City, Utah, as Bond and Disclosure Counsel. Certain legal matters will be passed upon by Snow Jensen & Reece, P.C., St. George, Utah, as counsel to the District. Kline Alvarado Veio, P.C., Denver, Colorado, is acting as counsel to the Underwriter. Gilmore & Bell, P.C. does not represent the Underwriter or any other party in connection with the issuance of the Bonds. Gilmore & Bell, P.C. represents the Underwriter from time to time on matters unrelated to the District or the Bonds.

The legal opinions to be delivered concurrently with the delivery of the Bonds express the professional judgment of the attorneys rendering the opinions as to legal issues expressly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of the result indicated by that expression of professional judgment, or of the transaction on which the opinion is

rendered, or of the future performance of parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

Pending and Threatened Litigation

District. In connection with the issuance of the Bonds, general counsel to the District is expected to render an opinion stating that, to the best of its actual knowledge there is no action, suit, or proceeding pending in which the District is a party.

In addition, it is anticipated that, in connection with the issuance of the Bonds, the District will execute a certificate stating that there is no action, suit, proceeding or investigation at law or in equity before or by any court, public board or body which has been served on the District or, to the knowledge of the District, threatened against or affecting the District: (a) to restrain or enjoin the District's participation in, or in any way contesting the existence of the District or the powers of the District with respect to, the consummation of the transactions contemplated by the Indentures and the Continuing Disclosure Agreement, including but not limited to the validity of the Property Owner Consent or the authority of the District to impose and collect ad valorem property taxes, or (b) which, if successful, would materially and adversely affect the financial condition or operations of the District, or the District's power to issue and deliver the Bonds or the District's power to perform its obligations under the Indentures and the Continuing Disclosure Agreement.

Developer. It is anticipated that, in connection with the issuance of the Bonds, the Developer will provide a certificate to the District that there is no litigation of any nature now pending, or to the knowledge of the Developer, threatened, which could reasonably be expected to have a material and adverse effect upon the ability of the Developer to continue developing the Development as described herein, materially and adversely affect the ability of the Developer pay the Assessment imposed against its Assessed Property with the Assessment Area, or materially and adversely affect the ability of the Developer to perform its various obligations described in this Limited Offering Memorandum.

Indentures to Constitute Contract

The Indentures provide that they constitute contracts among the District, the Trustee, and the Owners of the 2024A Senior Bonds or the 2024B Subordinate Bonds, as applicable, and that they will remain in full force and effect until the 2024A Senior Bonds or the 2024B Subordinate Bonds, as applicable, are no longer Outstanding.

Future Changes in Laws

Various State laws and constitutional provisions apply to the imposition, collection, and expenditure of ad valorem property taxes and the operation of the District. There is no assurance that there will not be any change in the interpretation of, or additions to applicable laws, provisions, and regulations which would have a material effect, directly or indirectly, on the affairs of the District and the imposition, collection, and expenditure of ad valorem property taxes and fees.

Limitations on Remedies, Available to Bondholders

The enforceability of the rights and remedies of the Owners, and the obligations incurred by the District in issuing the Bonds, are subject to the following: the federal bankruptcy code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect; usual equity principles which may limit the specific enforcement under State law of certain remedies; the exercise by the United States of America of the powers

granted to it by the federal Constitution; and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Under the current laws of the State, political subdivisions of the State, such as the District, are not permitted to seek protection from creditors under the United States Bankruptcy Code. The District cannot predict whether any future legislation by the legislature of the State would be adopted permitting political subdivisions of the State to seek protection under the United States Bankruptcy Code.

TAX MATTERS

The following is a summary of the material federal and State of Utah income tax consequences of holding and disposing of the Bonds. This summary is based upon laws, regulations, rulings and judicial decisions now in effect, all of which are subject to change (possibly on a retroactive basis). This summary does not discuss all aspects of federal income taxation that may be relevant to investors in light of their personal investment circumstances or describe the tax consequences to certain types of owners subject to special treatment under the federal income tax laws (for example, dealers in securities or other persons who do not hold the Bonds as a capital asset, tax-exempt organizations, individual retirement accounts and other tax deferred accounts, and foreign taxpayers), and, except for the income tax laws of the State of State of Utah, does not discuss the consequences to an owner under any state, local or foreign tax laws. The summary does not deal with the tax treatment of persons who purchase the Bonds in the secondary market. Prospective investors are advised to consult their own tax advisors regarding federal, state, local and other tax considerations of holding and disposing of the Bonds.

Opinion of Bond Counsel

In the opinion of Gilmore & Bell, P.C., Bond Counsel to the District, under the law existing as of the issue date of the Bonds:

Federal and State of State of Utah Tax Exemption. The interest on the Bonds is excludable from gross income for federal income tax purposes and is exempt from income taxation by the State.

Alternative Minimum Tax. The interest on the Bonds is not an item of tax preference for purposes of computing the federal alternative minimum tax.

Bank Qualification. The Bonds have not been designated as “qualified tax-exempt obligations” for purposes of Section 265(b)(3) of the Code.

Bond Counsel’s opinions are provided as of the date of the original issue of the Bonds, subject to the condition that the District comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The District has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause the inclusion of interest on the Bonds in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. Bond Counsel is expressing no opinion regarding other federal, state or local tax consequences arising with respect to the Bonds, but has reviewed the discussion under the heading “TAX MATTERS.”

Other Tax Consequences

Sale, Exchange, or Retirement of Bonds. Upon the sale, exchange, or retirement (including redemption) of a Bond, an owner of the Bond generally will recognize gain or loss in an amount equal to the difference between the amount of cash and the fair market value of any property actually or

constructively received on the sale, exchange, or retirement of the Bond (other than in respect of accrued and unpaid interest) and such owner's adjusted tax basis in the Bond. To the extent a Bond is held as a capital asset, such gain or loss will be capital gain or loss and will be long-term capital gain or loss if the Bond has been held for more than twelve (12) months at the time of sale, exchange or retirement.

Reporting Requirements. In general, information reporting requirements will apply to certain payments of principal, interest and premium paid on the Bonds, and to the proceeds paid on the sale of the Bonds, other than certain exempt recipients (such as corporations and foreign entities). A backup withholding tax will apply to such payments if the owner fails to provide a taxpayer identification number or certification of foreign or other exempt status or fails to report in full dividend and interest income. The amount of any backup withholding from a payment to an owner will be allowed as a credit against the owner's federal income tax liability.

Collateral Federal Income Tax Consequences. Prospective purchasers of the Bonds should be aware that ownership of the Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, certain applicable corporations subject to the corporate alternative minimum tax, financial institutions, property and casualty insurance companies, individual recipients of Social Security or Railroad Retirement benefits, certain S corporations with "excess net passive income," foreign corporations subject to the branch profits tax, life insurance companies, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry or have paid or incurred certain expenses allocable to the Bonds. Bond Counsel expresses no opinion regarding these tax consequences. Purchasers of Bonds should consult their tax advisors as to the applicability of these tax consequences and other federal income tax consequences of the purchase, ownership and disposition of the Bonds, including the possible application of state, local, foreign and other tax laws.

Bond Counsel notes that interest on the Bonds may be included in adjusted financial statement income of applicable corporations for purposes of determining the applicability and amount of the federal corporate alternative minimum tax.

MISCELLANEOUS

No Rating

No rating has been or will be applied for with respect to this financing.

Registration of Bonds

Registration or qualification of the offer and sale of the Bonds (as distinguished from registration of the ownership of the Bonds) is not required under the Federal Securities Act of 1933, as amended, pursuant to the exemptions from registration provided in such act. THE DISTRICT ASSUMES NO RESPONSIBILITY FOR QUALIFICATION OR REGISTRATION OF THE BONDS FOR SALE UNDER THE SECURITIES LAWS OF ANY JURISDICTION IN WHICH THE BONDS MAY BE SOLD, ASSIGNED, PLEDGED, HYPOTHECATED, OR OTHERWISE TRANSFERRED.

Interest of Certain Persons Named in this Limited Offering Memorandum

The legal fees to be paid to Bond Counsel, Disclosure Counsel, and counsel to the Underwriter are contingent upon the sale and delivery of the Bonds.

Agreement to Provide Continuing Disclosure

Although the Bonds have been structured in a manner designed to qualify for an exemption to Securities and Exchange Commission Rule 15c2-12 (17 CFR Part 240, Section 240.15c2-12) (“**SEC Rule 15c2-12**”) in reliance on the Limited Offering Exemption in SEC Rule 15c2-12, and the Indentures prevent the sale or transfer of the Bonds in principal amounts of less than \$500,000 other than through a primary offering, the District, the Developer, and UMB Bank, n.a., as Dissemination Agent, have agreed, pursuant to the provisions of a Continuing Disclosure Agreement dated as of the date of delivery of the Bonds (the “**Continuing Disclosure Agreement**”) to obtain and to provide certain information on a quarterly and annual basis, and, as to certain other information, on an annual basis, to the Trustee (acting as dissemination agent) for dissemination to the Municipal Securities Rulemaking Board via its Electronic Municipal Market Access system. The District has also agreed to provide notices of certain enumerated events. A form of the Continuing Disclosure Agreement setting forth such obligations is attached as APPENDIX E to this Limited Offering Memorandum. The District has not previously entered into a continuing disclosure undertaking pursuant to the SEC Rule 15c2-12.

Underwriting

Wells Fargo Securities, LLC, Denver, Colorado (the “**Underwriter**”) has agreed to purchase the Bonds from the District under a Bond Purchase Agreement between the District and the Underwriter (the “**Bond Purchase Agreement**”). The Bond Purchase Agreement provides that the Underwriter will purchase all the Bonds if any are purchased, and that the obligation to make such purchase is subject to certain terms and conditions set forth in the Bond Purchase Agreement, including, among others, the approval of certain legal matters by counsel.

Under the Bond Purchase Agreement, the Underwriter has agreed to purchase (1) the 2024A Senior Bonds for a purchase price equal to \$5,586,475.84 (which is equal to the aggregate par amount of the 2024A Senior Bonds, less the Underwriter’s discount of \$58,524.16) and (2) the 2024B Subordinate Bonds for a purchase price equal to \$984,632.56 (which is equal to the aggregate par amount of the 2024B Subordinate Bonds, less the Underwriter’s discount of \$15,367.44. See “Use of Proceeds and Debt Service Requirements—Application of Bond Proceeds.”

Expenses associated with the issuance of the Bonds are being paid by the District from proceeds of the issue. The right of the Underwriter to receive compensation in connection with this issue is contingent upon the actual sale and delivery of the Bonds. The Underwriter has initially offered the Bonds at the prices or yields set forth on the inside cover of this Limited Offering Memorandum. The initial public offering price of the Bonds may be changed from time to time by the Underwriter without any requirement of prior notice. The Underwriter reserves the right to join with dealers and other investment banking firms in offering the Bonds.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Securities, LLC (“WFSLLC”), a U.S. broker-dealer registered with the United States Securities and Exchange Commission and a member of NYSE, FINRA, National Futures Association and SIPC. Wells Fargo Securities, LLC, the sole underwriter of the Bonds, has entered into an agreement (the “**WFA Distribution Agreement**”) with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name “Wells Fargo Advisors”) (“**WFA**”) for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFSLLC will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Bonds with WFA. WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

Municipal Advisor

Tierra Financial Advisors, LLC, Arlington, Texas, is acting as municipal advisor (the “**Municipal Advisor**”) to the District in connection with the issuance of the Bonds. The Municipal Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume responsibility for the accuracy, completeness, or fairness of the information contained in this Limited Offering Memorandum. The Municipal Advisor will act as an independent advisory firm and will not be engaged in underwriting or distributing the Bonds.

Additional Information

Copies of statutes, resolutions, opinions, contracts, agreements, financial and statistical data, and other related reports and documents described in this Limited Offering Memorandum are either publicly available or available upon request and the payment of a reasonable copying, mailing, and handling charge from the sources noted in the Introduction hereto.

Limited Offering Memorandum Certification

The preparation of this Limited Offering Memorandum and its distribution has been authorized by the Board. This Limited Offering Memorandum is hereby duly approved by the Board as of the date on the cover page hereof. This Limited Offering Memorandum is not to be construed as an agreement or contract between the District and the purchasers or owners of any Bond.

**VIRIDIAN FARM PUBLIC INFRASTRUCTURE
DISTRICT NO. 1**

APPENDIX A
FINANCIAL FORECAST

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VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

FORECASTED SURPLUS CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS

**FOR THE YEARS ENDING
DECEMBER 31, 2024 THROUGH 2054**

September 17, 2024

Board of Directors
Viridian Farm Public Infrastructure District No. 1
Salem City, Utah

Management (as defined herein) is responsible for the accompanying forecast of surplus cash balances, cash receipts and disbursements of the Viridian Farm Public Infrastructure District No. 1 (herein referred to as the "District") for the years ending December 31, 2024 through 2054, and the related summaries of significant assumptions and accounting policies. Such forecast was prepared in accordance with guidelines for the presentation of a financial forecast established by the American Institute of Certified Public Accountants (AICPA). We have performed a compilation engagement in accordance with the Statements on Standards for Accounting and Review Services Committee of the AICPA. We did not examine or review the financial forecast nor were we required to perform any procedures to verify the accuracy or completeness of the assumptions and information provided by Management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on this forecast.

The accompanying presentation of projected surplus cash balances and cash receipts and disbursements for the years ending December 31, 2024 through 2054 under the hypothetical assumptions described in Note 7 are presented as an alternative to the forecast and are not part of the forecast. The projections are provided for additional analysis only and should not be used for any other purpose. We express no assurance of any kind on the projections.

The forecasted results may not be achieved as there will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and these differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

Causey Demgen & Moore P.C.

Viridian Farm Public Infrastructure District No. 1
Summary of Significant Assumptions and Accounting Policies

NOTE 1

Purpose and limitations of forecast: The following forecast is based on information provided by representatives of the Board of Directors of the District, collectively referred to herein as “Management”. The forecast was prepared for the purpose of showing the amount of funds available to pay the debt service requirements of Limited Tax General Obligation Bonds, Series 2024A (herein referred to as the “2024A Bonds”) and the Subordinate Limited Tax General Obligation Bonds, Series 2024B (herein referred to as the “2024B Bonds”, and collectively with the 2024A Bonds, the “Bonds”) to be issued by the District. The Bonds will be secured by and payable from moneys derived by the District from ad valorem property taxes more specifically described in Note 3 below. The forecast displays how the proposed Bonds will be repaid from forecasted cash receipts and disbursements. The forecast presents, to the best of Management’s knowledge and belief, the expected cash receipts and disbursements for the forecast period for the Debt Service Fund of the District. Accordingly, the forecast reflects Management’s judgement as of September 17, 2024 of the expected conditions within the District and the District’s expected course of action.

The assumptions disclosed herein are those that Management believes are significant to the forecast, however, they are not all-inclusive. There will usually be differences between forecasted and actual results because circumstances and events frequently do not occur as planned and those differences may be material. Certain assumptions relating to the market values of property, the development schedule for properties and the rate of inflation for property values are particularly sensitive. A small variation in these assumptions could have a large effect on the forecasted results and there is a high probability that the forecasted assessed values derived from these assumptions will differ from the actual future assessed values.

The forecast includes assessed value for new construction of residential properties assumed to occur within the Development (defined herein). The absorption schedules for the properties are consistent with the development schedule presented in the Market Study. The market values of properties are based on real values as provided in the Market Study and adjusted for inflation consistent with inflation estimates as provided by Management, assumed to be 3% annually during the construction period. The market value for each property is multiplied by the number of residential units completed during the year to determine the market value of property at completion. Upon completion of construction, the value of the corresponding unfinished land is reduced, and the market value of the finished property is added to the cumulative market value of developed properties. Such cumulative market values of developed properties are assumed to increase at a rate of 1.0% annually. Market values of vacant land are assessed at 100% of market value and do not inflate. The forecast includes an adjustment to the value of unfinished land so as to bring the cumulative value of unfinished land to zero at the end of the build out period.

NOTE 2

The District Interlocal Agreement and The Development: The District is a special district formed pursuant to Title 17D, Chapter 4, Utah Code Annotated 1953, as amended, and relevant portions of Title 17B, Chapter 1, Utah Code, formed pursuant to a resolution entered by the City Council of Salem City, Utah (herein referred to as the “City”) on September 20, 2023, and recorded in the real property records of the Utah County Recorder on November 20, 2023. The District was formed for the primary purpose of providing financing for public infrastructure improvements, all to support the needs of a primarily residential development known as Viridian

Viridian Farm Public Infrastructure District No. 1
Summary of Significant Assumptions and Accounting Policies

Farms (herein referred to as the “Development”). The District and the City entered into an Interlocal Agreement dated September 20, 2023 (herein referred to as the “Interlocal Agreement”) which provides that some or all of the Public Improvements constructed within the District will be transferred to the City or other appropriate entity.

The District is located on the east bench within Salem City, Utah, southeast of U.S. Highway 15 and east of State Route 198. The District sits approximately 13 miles south of Provo, Utah, 35 miles south of the Silicon Slopes in Lehi, Utah, and 56 miles south of Salt Lake City, Utah. For purposes of this forecast, the planned building projects of the Development consists of 716 residential units. The District includes approximately 177 acres within the overall Development.

NOTE 3

Ad Valorem Taxes: The primary source of revenue pledged for payment of debt service is the collection of ad valorem property taxes. Specifically, the Bonds are secured by the Pledged Revenue as described in the Indentures (as defined herein) consisting of (i) property tax revenues derived from the imposition of a Senior Required Mill Levy and Subordinate Required Mill Levy, (as defined in the Indentures) consisting generally of (a) a combined maximum 3.00 mills for the District, (ii) the Senior Pioneering Agreement Revenues and Subordinate Pioneering Agreement Revenues, (as defined in the Indentures) and (iii) the any other legally available moneys which the District determines. The levy is based upon assessed values of property as determined by the County Assessor. Residential property is assessed at 55.00% of its market value. Unfinished land for property in development is assessed at 100.00% of its market value. Property absorbed is assumed to be assessed on November 1st following the year it is absorbed and the forecast recognizes the related property taxes as revenue in the subsequent year (i.e., property absorbed in 2024 is assumed to be assessed in 2025 with the related tax revenue collected in 2026).

For the purposes of the forecast it is assumed that (1) the maximum mill levy of 3.00 mills will be imposed throughout the forecast period, (2) the District has not engaged in any discussions with the City concerning a Pioneering Agreement, and it is not anticipated that the City and the District will enter into any Pioneering Agreement and therefore will not collect any revenues related to the Senior Pioneering Agreement Revenues or the Subordinate Pioneering Agreement Revenues.

Property within the District is assumed to be assessed annually as of November 1st and the related tax revenue is assumed to be received in the subsequent year. Thus, the assessed values for collection year 2024 are assumed to be equal to the actual assessed value for the District for calendar year 2023.

The 2023 assessed valuation of property within the District is estimated at \$13,061,550. However, due to the recent creation of the District, no certified taxable value is available from the Assessor specifically for the property within the District. As such, the forecast assumes the 2023 assessed value (collection year 2024) of the District to be zero.

NOTE 4

Trustee Fees and Administrative Expenses: The District will pay Trustee fees in the amount of \$4,000 for the 2024A Bonds and \$3,000 for the 2024B Bonds beginning in 2024 and annually each year thereafter until the Bonds are repaid in full. The Trustee Fees for 2024 will be paid with proceeds of the Bonds.

Viridian Farm Public Infrastructure District No. 1
Summary of Significant Assumptions and Accounting Policies

The forecast includes an annual amount for Administrative Expenses which are payable from Pledged Revenues. Administrative Expenses are limited (i) in calendar year 2024 to the amount of \$50,000, and (ii) for each calendar year thereafter, an additional 2%. The District has entered into an Administration Funding Agreement with the Developer, but the obligation of the Developer to advance funds thereunder for Administrative Expenses terminates on January 1, 2026. As such, the forecast excludes the annual payment of the Administrative Expense until after collection year 2026.

NOTE 5

Bond Assumptions: The 2024A Bonds are assumed to be issued on September 26, 2024 in the principal amount of \$5,645,000. Concurrently with the issuance of the 2024A Bonds, the District anticipates issuing the 2024B Bonds in the principal amount of \$1,000,000.

Proceeds of the 2024A Bonds will be used to (i) finance or reimburse public improvements related to the Development; and (ii) pay other costs in connection with the issuance of the Bonds. Proceeds of the 2024B Bonds will be used to finance or reimburse additional Public Improvements related to the Development and (ii) pay other costs in connection with the issuance of the Bonds.

The 2024A Bonds are secured by the ad valorem taxes described in Note 3, as well as a debt service reserve fund in the amount of approximately \$564,500, and a capitalized interest fund in the amount of approximately \$916,627. The 2024A Bonds are assumed to bear interest at a rate of 5.875% per annum (as shown in Exhibit A-4 attached hereto) until March 1, 2054, which is the scheduled final maturity date of the 2024A Bonds. Interest is payable semi-annually on March 1 and September 1 (each herein referred to as a “Senior Interest Payment Date”) with the first such interest payment due on March 1, 2025. Annual payments of principal are due on March 1 of each year beginning March 1, 2030 until the 2024A Bonds are repaid in full. The 2024A Bonds are subject to optional prepayment beginning on March 1, 2029 at 103%, declining to par in 2032. The forecast assumes no such prepayment to occur. The final discharge date for the 2024A Bonds is March 1, 2065.

The 2024B Bonds are secured by the ad valorem taxes described in Note 3 and are assumed to bear interest at a rate of 8.375% per annum from the issuance date until the 2024B Bonds are repaid in full. Interest is payable annually on each March 15, (each herein referred to as a “Subordinate Interest Payment Date”) beginning March 15, 2025. Interest on the 2024B Bonds is payable on each Subordinate Interest Payment Date to the extent of any available Pledged Revenue. To the extent any interest payment on the 2024B Bonds is not paid when due, such unpaid interest will compound annually on each Subordinate Interest Payment Date and be payable from available Pledged Revenue before any principal of the 2024B Bonds can be repaid. The 2024B Bonds are structured as “cash flow” bonds, meaning there are no regularly scheduled principal payments due on the 2024B Bonds prior to their scheduled maturity date, but rather the 2024B Bonds are subject to mandatory redemption on March 15 of each year to the extent of available Pledged Revenues. The 2024B Bonds are subject to optional redemption beginning March 1, 2029 at 103%, declining to par in 2032. The forecast assumes no such optional redemption to occur. The final discharge date for the 2024B Bonds is March 15, 2065.

Viridian Farm Public Infrastructure District No. 1
Summary of Significant Assumptions and Accounting Policies

The 2024A Bonds are secured by the Pledged Revenues pursuant to that certain Indenture of Trust (Senior) dated as of September 1, 2024 (herein referred to as the “Senior Indenture”) between the District and UMB Bank, N.A., as trustee. The 2024B Bonds are being issued pursuant to that certain Indenture of Trust (Subordinate) dated as of September 1, 2024 by and between the District UMB Bank, N.A., as trustee (herein referred to as the “Subordinate Indenture” and collectively with the Senior Indenture as the “Indentures”). The Subordinate Bonds constitute “Subordinate Bonds” as defined under the Indentures. Accordingly, to the extent any revenues are pledged under the Indentures to both the 2024A Bonds and the 2024B Bonds, the lien of the 2024B Bonds is junior and subordinate in all respects to the lien of the 2024A Bonds and any other bonds issued hereafter under the Senior Indenture. Users of this forecast are encouraged to read the Indentures in conjunction with such use.

NOTE 6

Market Study: The District retained Zonda to provide an independent market study and absorption forecast (herein referred to as the “Market Study”) of residential development to occur within the District. The Market Study provided estimates related to (a) the reasonableness of planned land uses in the District, the schedule of construction and estimated market value of homes to be built in the District. The assumptions used in the forecast are consistent with the assumptions presented in the Market Study. Users of this forecast are encouraged to read the Market Study in conjunction with such use.

NOTE 7

Hypothetical Alternative Scenario A: Under the Alternative Scenario, the projection assumes (1) a reduced pace of development for the single family residential units (approximately 64% of the forecasted pace) within the Development and (2) that the Developer payment of Administrative Expenses will extend through collection year 2027. The slowdown in development results in generally lower taxable assessed values in the District and reductions in available Pledged Revenues. There are insufficient revenues in 2028 and 2029 to pay debt service of the 2024A Bonds and the debt service reserve fund is drawn down to pay debt service in such years. The 2024A Bonds are repaid on their scheduled final maturity date. The 2024B Bonds are projected to be paid in full on March 15, 2052. The projected cash flows under Alternative Scenario A are presented in Exhibits B through B-5 attached hereto.

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

SUMMARY OF DEBT SERVICE FUND ACTIVITY

Collection Year	Cash Receipts						Cash Disbursements				Cash Balances			Debt Service Coverage
	Assessed Valuation (Exhibit A-1)	Residential Net Tax Revenue (Exhibit A-1)	Annual Trustee Fee \$ 7,000	Transfers from Cost of Issuance (1)	Excess DSRF Earnings (Exhibit A-4)	Net Revenue Receipts	Senior Bonds Debt Service (Exhibit A-4)	DSRF Fund Transfers to (from) DSRF Fund	Cash Available for Subordinate Debt	Subordinate Bonds Debt Service (Exhibit A-5)	Total Disbursements	Annual Surplus (Deficit)	Cumulative Surplus Cash Balance	
2024	-	-				-	-		-		-	-	-	N/A
2025	\$239,850	\$706	\$ (7,000)	\$ 218	\$6,076	-	-		-		-	-	-	N/A
2026	9,732,176	28,613	(7,000)		14,113	\$35,726	-		\$35,726	\$35,726	\$35,726	-	-	N/A
2027	58,581,744	119,170	(7,000)		14,113	126,282	-		126,282	126,282	126,282	-	-	N/A
2028	111,980,577	275,102	(7,000)			268,102	\$206,983		61,118	61,118	268,102	-	-	129.5%
2029	149,606,835	384,641	(7,000)			377,641	317,531		60,109	60,109	377,641	-	-	118.9%
2030	174,335,800	456,239	(7,000)			449,239	337,531		111,707	111,707	449,239	-	-	133.1%
2031	195,362,877	516,933	(7,000)			509,933	386,356		123,577	123,577	509,933	-	-	132.0%
2032	197,316,506	521,528	(7,000)			514,528	387,244		127,284	127,284	514,528	-	-	132.9%
2033	199,289,671	526,157	(7,000)			519,157	392,838		126,319	125,886	518,723	\$434	\$434	132.2%
2034	201,282,568	530,821	(7,000)			523,821	397,844		125,978	125,494	523,338	484	918	131.7%
2035	203,295,393	535,520	(7,000)			528,520	397,263		131,257	131,893	529,155	(635)	282	133.0%
2036	205,328,347	540,253	(7,000)			533,253	401,388		131,866	131,454	532,841	412	694	132.9%
2037	207,381,631	545,022	(7,000)			538,022	404,925		133,097	133,680	538,605	(583)	111	132.9%
2038	209,455,447	549,825	(7,000)			542,825	407,875		134,950	134,320	542,195	630	741	133.1%
2039	211,550,001	554,664	(7,000)			547,664	415,238		132,426	132,458	547,695	(31)	709	131.9%
2040	213,665,501	559,538	(7,000)			552,538	416,719		135,819	136,260	552,979	(441)	268	132.6%
2041	215,802,156	564,446	(7,000)			557,446	422,613		134,833	134,225	556,838	608	877	131.9%
2042	217,960,178	569,391	(7,000)			562,391	422,625		139,766	139,771	562,396	(5)	871	133.1%
2043	220,139,780	574,370	(7,000)			567,370	427,050		140,320	140,229	567,279	91	963	132.9%
2044	222,341,178	579,386	(7,000)			572,386	430,594		141,792	141,933	572,526	(140)	823	132.9%
2045	224,564,589	584,437	(7,000)			577,437	438,256		139,181	125,715	563,971	13,466	14,288	131.8%
2046	226,810,235	589,523	(4,000)			585,523	444,744		140,780	-	444,744	140,780	155,068	131.7%
2047	229,078,338	594,645	(4,000)			590,645	445,056		145,589	-	445,056	145,589	300,657	132.7%
2048	231,369,121	599,803	(4,000)			595,803	449,488		146,315	-	449,488	146,315	446,972	132.6%
2049	233,682,812	604,997	(4,000)			600,997	452,744		148,253	-	452,744	148,253	595,225	132.7%
2050	236,019,640	610,227	(4,000)			606,227	459,825		146,402	-	459,825	146,402	741,627	131.8%
2051	238,379,837	615,493	(4,000)			611,493	460,438		151,055	-	460,438	151,055	892,683	132.8%
2052	240,763,635	620,794	(4,000)			616,794	464,875		151,919	-	464,875	151,919	1,044,602	132.7%
2053	243,171,271	626,131	(4,000)			622,131	467,844		154,288	-	467,844	154,288	1,198,889	133.0%
2054	245,602,984	631,505	(4,000)			627,505	474,844		152,661	-	474,844	152,661	1,351,550	132.1%
	<u>\$ 5,774,090,678</u>	<u>\$ 15,009,877</u>	<u>\$ (183,000)</u>	<u>\$ 218</u>	<u>\$ 34,301</u>	<u>\$ 14,861,397</u>	<u>\$ 11,130,727</u>	<u>\$ -</u>	<u>\$ 2,379,119</u>	<u>\$ 13,509,846</u>				

(1) Assumes Developer will fund any excess amount of 2025 trustee fees from cost of issuance.

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

SCHEDULE OF ESTIMATED ASSESSED VALUATION - RESIDENTIAL

Collection Year	Market Value of New Units (Exhibit A-3)	Estimated Annual Valuation Increases 1.00%	Cumulative Market Value of Existing plus New Units	Assessment Ratio 55.00%	Residential Assessed Valuation	Assessed Value of Vacant Land at 55.00% of Market (Exhibit A-2)	Total Assessed Value	Debt Mill Levy 3.0000	Debt Mill Levy Collections 98.00%	Annual Administrative Expenses (1) \$ 50,000	Net Tax Revenue
2024	-	-	-	55.00%	-	-	-	3.0000	-	-	-
2025	-	-	-	55.00%	-	\$239,850	\$239,850	3.0000	\$706		\$706
2026	\$2,398,500		\$2,398,500	55.00%	\$1,319,175	8,413,001	9,732,176	3.0000	28,613		28,613
2027	86,653,909	\$23,985	89,076,394	55.00%	48,992,017	9,589,727	58,581,744	3.0000	172,230	(\$53,060)	119,170
2028	101,737,409	890,764	191,704,568	55.00%	105,437,512	6,543,065	111,980,577	3.0000	329,223	(54,122)	275,102
2029	71,497,839	1,917,046	265,119,452	55.00%	145,815,699	3,791,136	149,606,835	3.0000	439,845	(55,204)	384,641
2030	42,669,570	2,651,195	310,440,217	55.00%	170,742,119	3,593,681	174,335,800	3.0000	512,547	(56,308)	456,239
2031	41,660,612	3,104,402	355,205,231	55.00%	195,362,877	-	195,362,877	3.0000	574,367	(57,434)	516,933
2032	-	3,552,052	358,757,283	55.00%	197,316,506	-	197,316,506	3.0000	580,111	(58,583)	521,528
2033	-	3,587,573	362,344,856	55.00%	199,289,671	-	199,289,671	3.0000	585,912	(59,755)	526,157
2034	-	3,623,449	365,968,305	55.00%	201,282,568	-	201,282,568	3.0000	591,771	(60,950)	530,821
2035	-	3,659,683	369,627,988	55.00%	203,295,393	-	203,295,393	3.0000	597,688	(62,169)	535,520
2036	-	3,696,280	373,324,268	55.00%	205,328,347	-	205,328,347	3.0000	603,665	(63,412)	540,253
2037	-	3,733,243	377,057,510	55.00%	207,381,631	-	207,381,631	3.0000	609,702	(64,680)	545,022
2038	-	3,770,575	380,828,085	55.00%	209,455,447	-	209,455,447	3.0000	615,799	(65,974)	549,825
2039	-	3,808,281	384,636,366	55.00%	211,550,001	-	211,550,001	3.0000	621,957	(67,293)	554,664
2040	-	3,846,364	388,482,730	55.00%	213,665,501	-	213,665,501	3.0000	628,177	(68,639)	559,538
2041	-	3,884,827	392,367,557	55.00%	215,802,156	-	215,802,156	3.0000	634,458	(70,012)	564,446
2042	-	3,923,676	396,291,233	55.00%	217,960,178	-	217,960,178	3.0000	640,803	(71,412)	569,391
2043	-	3,962,912	400,254,145	55.00%	220,139,780	-	220,139,780	3.0000	647,211	(72,841)	574,370
2044	-	4,002,541	404,256,686	55.00%	222,341,178	-	222,341,178	3.0000	653,684	(74,297)	579,386
2045	-	4,042,567	408,299,253	55.00%	224,564,589	-	224,564,589	3.0000	660,220	(75,783)	584,437
2046	-	4,082,993	412,382,246	55.00%	226,810,235	-	226,810,235	3.0000	666,822	(77,299)	589,523
2047	-	4,123,822	416,506,068	55.00%	229,078,338	-	229,078,338	3.0000	673,490	(78,845)	594,645
2048	-	4,165,061	420,671,129	55.00%	231,369,121	-	231,369,121	3.0000	680,225	(80,422)	599,803
2049	-	4,206,711	424,877,840	55.00%	233,682,812	-	233,682,812	3.0000	687,027	(82,030)	604,997
2050	-	4,248,778	429,126,619	55.00%	236,019,640	-	236,019,640	3.0000	693,898	(83,671)	610,227
2051	-	4,291,266	433,417,885	55.00%	238,379,837	-	238,379,837	3.0000	700,837	(85,344)	615,493
2052	-	4,334,179	437,752,064	55.00%	240,763,635	-	240,763,635	3.0000	707,845	(87,051)	620,794
2053	-	4,377,521	442,129,584	55.00%	243,171,271	-	243,171,271	3.0000	714,924	(88,792)	626,131
2054	-	4,421,296	446,550,880	55.00%	245,602,984	-	245,602,984	3.0000	722,073	(90,568)	631,505
	<u>\$ 346,617,840</u>	<u>\$ 99,933,041</u>					-		<u>\$16,975,830</u>	<u>(\$1,965,952)</u>	<u>\$15,009,877</u>

(1) Administrative Expenses are limited (i) in calendar year 2024 to the amount of \$50,000, and (ii) for each calendar year thereafter, an additional 2%. Developer is obligated to pay expenses prior to January 2026

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

SCHEDULE OF ESTIMATED ASSESSED VALUATION - RESIDENTIAL VACANT LAND

Collection Year	Assessed Value of Vacant Land		
	Net Additions to Vacant Land Value (Exhibit A-3)	Cumulative Land Market Value	Cumulative Land Assessed Value at 100.00%
2024	-	-	-
2025	\$239,850	\$239,850	\$239,850
2026	8,173,151	8,413,001	8,413,001
2027	1,176,726	9,589,727	9,589,727
2028	(3,046,662)	6,543,065	6,543,065
2029	(2,751,929)	3,791,136	3,791,136
2030	(197,455)	3,593,681	3,593,681
2031	(3,593,681)	-	-
2032	-	-	-
2033	-	-	-
	(\$0)	\$32,170,460	\$32,170,460

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Farm Alley Load						Farm Front Load					Cottages Front				
	Collection Year	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence	Market Value of New Units
					\$ 365,620					\$ 394,910					\$ 492,150	
					3.00%					3.00%					3.00%	
2022	2024				-					-						-
2023	2025		-		-				-				-		-	-
2024	2026		\$1,389,356	-	\$ 365,620		\$1,105,748		\$ 394,910				\$984,300	-	\$ 492,150	-
2025	2027	38	2,193,720	(\$1,389,356)	376,589	\$14,310,367	28	1,895,568	(\$1,105,748)	406,757	\$11,389,204	20	1,771,740	(\$984,300)	506,915	\$10,138,290
2026	2028	60	1,499,042	(2,193,720)	387,886	23,273,175	48	2,527,424	(1,895,568)	418,960	20,110,081	36	1,574,880	(1,771,740)	522,122	18,796,390
2027	2029	41	-	(1,499,042)	399,523	16,380,437	64	3,791,136	(2,527,424)	431,529	27,617,844	32	-	(1,574,880)	537,786	17,209,139
2028	2030		-	-	411,509	-	96	3,593,681	(3,791,136)	444,475	42,669,570		-	-	553,919	-
2029	2031		-	-	423,854	-	91	-	(3,593,681)	457,809	41,660,612		-	-	570,537	-
2030	2032		-	-	436,569	-		-	-	471,543	-		-	-	587,653	-
2031	2033		-	-	449,666	-		-	-	485,689	-		-	-	605,282	-
		139	\$ 5,082,118	\$ (5,082,118)		\$ 53,963,979	327	\$ 12,913,557	\$ (12,913,557)		\$ 143,447,312	88	\$ 4,330,920	\$ (4,330,920)		\$ 46,143,819

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VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Collection Year	Farm 8k					Farm 12k					Farm 18k				
		Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 563,750 3.00%	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 635,500 3.00%	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 709,813 3.00%	Market Value of New Units
2022	2024		-		-					-						-
2023	2025		\$112,750	-		-		\$127,100			-		-			-
2024	2026	2	1,183,875	(\$112,750)	\$ 563,750	\$1,127,500	2	\$1,779,400	(\$127,100)	\$ 635,500	\$1,271,000		\$851,776	-	\$ 709,813	-
2025	2027	21	-	(1,183,875)	580,663	12,193,913	28	1,906,500	(\$1,779,400)	654,565	\$18,327,820	12	1,561,589	(\$851,776)	731,107	\$8,773,289
2026	2028		-	-	598,082	-	30	444,850	(1,906,500)	674,202	20,226,059	22	496,869	(1,561,589)	753,041	16,566,893
2027	2029		-	-	616,025	-	7	-	(444,850)	694,428	4,860,996	7	-	(496,869)	775,632	5,429,423
2028	2030		-	-	634,506	-		-	-	715,261	-		-	-	798,901	-
2029	2031		-	-	653,541	-		-	-	736,719	-		-	-	822,868	-
2030	2032		-	-	673,147	-		-	-	758,820	-		-	-	847,554	-
2031	2033		-	-	693,341	-		-	-	781,585	-		-	-	872,980	-
		23	\$ 1,296,625	\$ (1,296,625)		\$ 13,321,413	67	\$ 4,257,850	\$ (4,257,850)		\$ 44,685,875	41	\$ 2,910,233	\$ (2,910,233)		\$ 30,769,605

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VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Collection Year	Farm 1/2 Acre						Cottages Alley					Totals of New Residential Development		
		Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 761,063 3.00%	Market Value of New Units		Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 434,350 3%	Market Value of New Units	Total Units Completed	Annual Value of New Units	Additions to Annual Value of Land
2022	2024					-						-	-	-	-
2023	2025		-			-		-				-	-	-	\$239,850
2024	2026		\$76,106	-	\$ 761,063	-		\$1,042,440	-	\$ 434,350		-	4	\$2,398,500	8,173,151
2025	2027	1	-	(\$76,106)	783,895	\$783,895	24	260,610	(\$1,042,440)	447,381	\$10,737,132	172	86,653,909	1,176,726	
2026	2028		-	-	807,412	-	6	-	(260,610)	460,802	2,764,811	202	101,737,409	(3,046,662)	
2027	2029		-	-	831,634	-		-	-	474,626		-	151	71,497,839	(2,751,929)
2028	2030		-	-	856,583	-		-	-	488,865		-	96	42,669,570	(197,455)
2029	2031		-	-	882,281	-		-	-	503,531		-	91	41,660,612	(3,593,681)
2030	2032		-	-	908,749	-		-	-	518,637		-	-	-	-
2031	2033		-	-	936,011	-		-	-	534,196		-	-	-	-
		1	\$ 76,106	\$ (76,106)		\$ 783,895	30	\$ 1,303,050	\$ (1,303,050)		\$ 13,501,943	716	\$ 346,617,840	\$ (0)	

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VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

**SCHEDULE OF ESTIMATED 2024A BONDS DEBT SERVICE REQUIREMENTS
ASSUMING A SETTLEMENT OF SEPTEMBER 26, 2024**

Payment Date	Rate	Payment For		Capitalized Interest Fund Adjustments	Debt Service Reserve Fund Adjustments	Total Debt Payment	Principal Outstanding	Net Annual Debt Service
		Principal	Interest					
01-Mar-25			\$142,791	(\$142,791)	(\$6,076)	(\$6,076)	\$5,645,000	(\$6,076)
01-Sep-25			165,822	(165,822)	(7,056)	(7,056)	5,645,000	
01-Mar-26			165,822	(165,822)	(7,056)	(7,056)	5,645,000	(14,113)
01-Sep-26			165,822	(165,822)	(7,056)	(7,056)	5,645,000	
01-Mar-27			165,822	(165,822)	(7,056)	(7,056)	5,645,000	(14,113)
01-Sep-27			165,822	(110,548)	(7,056)	48,218	5,645,000	
01-Mar-28			165,822		(7,056)	158,766	5,645,000	206,983
01-Sep-28			165,822		(7,056)	158,766	5,645,000	
01-Mar-29			165,822		(7,056)	158,766	5,645,000	317,531
01-Sep-29			165,822		(7,056)	158,766	5,645,000	
01-Mar-30	5.875%	\$20,000	165,822		(7,056)	178,766	5,625,000	337,531
01-Sep-30			165,234		(7,056)	158,178	5,625,000	
01-Mar-31	5.875%	70,000	165,234		(7,056)	228,178	5,555,000	386,356
01-Sep-31			163,178		(7,056)	156,122	5,555,000	
01-Mar-32	5.875%	75,000	163,178		(7,056)	231,122	5,480,000	387,244
01-Sep-32			160,975		(7,056)	153,919	5,480,000	
01-Mar-33	5.875%	85,000	160,975		(7,056)	238,919	5,395,000	392,838
01-Sep-33			158,478		(7,056)	151,422	5,395,000	
01-Mar-34	5.875%	95,000	158,478		(7,056)	246,422	5,300,000	397,844
01-Sep-34			155,688		(7,056)	148,631	5,300,000	
01-Mar-35	5.875%	100,000	155,688		(7,056)	248,631	5,200,000	397,263
01-Sep-35			152,750		(7,056)	145,694	5,200,000	
01-Mar-36	5.875%	110,000	152,750		(7,056)	255,694	5,090,000	401,388
01-Sep-36			149,519		(7,056)	142,463	5,090,000	
01-Mar-37	5.875%	120,000	149,519		(7,056)	262,463	4,970,000	404,925
01-Sep-37			145,994		(7,056)	138,938	4,970,000	
01-Mar-38	5.875%	130,000	145,994		(7,056)	268,938	4,840,000	407,875
01-Sep-38			142,175		(7,056)	135,119	4,840,000	
01-Mar-39	5.875%	145,000	142,175		(7,056)	280,119	4,695,000	415,238
01-Sep-39			137,916		(7,056)	130,859	4,695,000	
01-Mar-40	5.875%	155,000	137,916		(7,056)	285,859	4,540,000	416,719
01-Sep-40			133,363		(7,056)	126,306	4,540,000	
01-Mar-41	5.875%	170,000	133,363		(7,056)	296,306	4,370,000	422,613
01-Sep-41			128,369		(7,056)	121,313	4,370,000	
01-Mar-42	5.875%	180,000	128,369		(7,056)	301,313	4,190,000	422,625
01-Sep-42			123,081		(7,056)	116,025	4,190,000	
01-Mar-43	5.875%	195,000	123,081		(7,056)	311,025	3,995,000	427,050
01-Sep-43			117,353		(7,056)	110,297	3,995,000	
01-Mar-44	5.875%	210,000	117,353		(7,056)	320,297	3,785,000	430,594
01-Sep-44			111,184		(7,056)	104,128	3,785,000	
01-Mar-45	5.875%	230,000	111,184		(7,056)	334,128	3,555,000	438,256
01-Sep-45			104,428		(7,056)	97,372	3,555,000	
01-Mar-46	5.875%	250,000	104,428		(7,056)	347,372	3,305,000	444,744
01-Sep-46			97,084		(7,056)	90,028	3,305,000	
01-Mar-47	5.875%	265,000	97,084		(7,056)	355,028	3,040,000	445,056
01-Sep-47			89,300		(7,056)	82,244	3,040,000	
01-Mar-48	5.875%	285,000	89,300		(7,056)	367,244	2,755,000	449,488
01-Sep-48			80,928		(7,056)	73,872	2,755,000	
01-Mar-49	5.875%	305,000	80,928		(7,056)	378,872	2,450,000	452,744
01-Sep-49			71,969		(7,056)	64,913	2,450,000	
01-Mar-50	5.875%	330,000	71,969		(7,056)	394,913	2,120,000	459,825
01-Sep-50			62,275		(7,056)	55,219	2,120,000	
01-Mar-51	5.875%	350,000	62,275		(7,056)	405,219	1,770,000	460,438
01-Sep-51			51,994		(7,056)	44,938	1,770,000	
01-Mar-52	5.875%	375,000	51,994		(7,056)	419,938	1,395,000	464,875
01-Sep-52			40,978		(7,056)	33,922	1,395,000	
01-Mar-53	5.875%	400,000	40,978		(7,056)	433,922	995,000	467,844
01-Sep-53			29,228		(7,056)	22,172	995,000	
01-Mar-54	5.875%	995,000	29,228		(571,556)	452,672	0	474,844
		\$ 5,645,000	\$ 7,347,891	\$ (916,627)	\$ (979,839)	\$ 11,096,426		\$ 11,096,426

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

**SCHEDULE OF ESTIMATED 2024B BONDS DEBT SERVICE REQUIREMENTS
ASSUMING A SETTLEMENT OF SEPTEMBER 26, 2024**

Payment Date	Rate	Principal	Accrued Interest	Interest Paid	Cumulative Unpaid Interest	Total Debt Payment	Principal Outstanding	Outstanding Balance
								\$1,000,000
15-Mar-25		-	\$39,316	-	\$39,316	-	\$1,000,000	1,039,316
15-Mar-26		-	87,043	\$35,726	90,633	\$35,726	1,000,000	1,090,633
15-Mar-27		-	91,341	126,282	55,691	126,282	1,000,000	1,055,691
15-Mar-28		-	88,414	61,118	82,987	61,118	1,000,000	1,082,987
15-Mar-29		-	90,700	60,109	113,578	60,109	1,000,000	1,113,578
15-Mar-30		-	93,262	111,707	95,133	111,707	1,000,000	1,095,133
15-Mar-31		-	91,717	123,577	63,274	123,577	1,000,000	1,063,274
15-Mar-32		-	89,049	127,284	25,039	127,284	1,000,000	1,025,039
15-Mar-33	8.375%	\$15,000	85,847	110,886	-	125,886	985,000	985,000
15-Mar-34	8.375%	43,000	82,494	82,494	-	125,494	942,000	942,000
15-Mar-35	8.375%	53,000	78,893	78,893	-	131,893	889,000	889,000
15-Mar-36	8.375%	57,000	74,454	74,454	-	131,454	832,000	832,000
15-Mar-37	8.375%	64,000	69,680	69,680	-	133,680	768,000	768,000
15-Mar-38	8.375%	70,000	64,320	64,320	-	134,320	698,000	698,000
15-Mar-39	8.375%	74,000	58,458	58,458	-	132,458	624,000	624,000
15-Mar-40	8.375%	84,000	52,260	52,260	-	136,260	540,000	540,000
15-Mar-41	8.375%	89,000	45,225	45,225	-	134,225	451,000	451,000
15-Mar-42	8.375%	102,000	37,771	37,771	-	139,771	349,000	349,000
15-Mar-43	8.375%	111,000	29,229	29,229	-	140,229	238,000	238,000
15-Mar-44	8.375%	122,000	19,933	19,933	-	141,933	116,000	116,000
15-Mar-45	8.375%	116,000	9,715	9,715	-	125,715	-	(0)
		<u>\$1,000,000</u>	<u>\$1,379,119</u>	<u>\$1,379,119</u>		<u>\$2,379,119</u>		

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054**

ESTIMATED SOURCES AND USES OF FUND

	2024A	2024B	
	Bonds	Bonds	Total
Sources of Funds:			
Par Value of Bonds	\$ 5,645,000	\$ 1,000,000	\$ 6,645,000
Total Sources of Funds	<u>\$ 5,645,000</u>	<u>\$ 1,000,000</u>	<u>\$ 6,645,000</u>
Uses of Funds:			
Capitalized Interest Fund	\$ 916,627		\$ 916,627
Debt Service Reserve Fund	564,500		564,500
Underwriter's Discount	58,524	\$ 15,367	73,892
Issuance Costs	302,956	53,668	356,624
Project Fund Deposit	3,802,394	930,965	4,733,358
	<u>\$ 5,645,000</u>	<u>\$ 1,000,000</u>	<u>\$ 6,645,000</u>

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

ALTERNATIVE SCENARIO

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

SUMMARY OF DEBT SERVICE FUND ACTIVITY

Collection Year	Cash Receipts						Cash Disbursements				Cash Balances			Debt Service Coverage
	Assessed Valuation (Exhibit B-1)	Residential Net Tax Revenue (Exhibit B-1)	Annual Trustee Fee \$ 7,000	Transfers from Cost of Issuance (1)	Excess DSRF Earnings (Exhibit B-4)	Net Revenue Receipts	Senior Bonds Debt Service (Exhibit B-4)	DSRF Fund Transfers to (from) DSRF Fund	Cash Available for Subordinate Debt	Subordinate Bonds Debt Service (Exhibit B-5)	Total Disbursements	Annual Surplus (Deficit)	Cumulative Surplus Cash Balance	
2024	-	-	-	-	-	-	-	-	-	-	-	-	-	N/A
2025	-	-	\$ (7,000)	\$924	\$6,076	-	-	-	-	-	-	-	-	N/A
2026	\$5,101,034	\$14,997	(7,000)		14,113	\$22,109	-		\$22,109	\$22,109	\$22,109	-	-	N/A
2027	37,244,073	109,497	(7,000)		14,113	116,610	-		116,610	116,610	116,610	-	-	N/A
2028	85,020,438	195,838	(7,000)			188,838	\$206,983	(\$18,146)	-	-	188,838	-	-	91.2%
2029	127,646,572	320,077	(7,000)			313,077	317,758	(4,681)	-	-	313,077	-	-	98.5%
2030	163,409,954	424,117	(7,000)			417,117	338,043	22,827	56,247	56,247	417,117	-	-	123.4%
2031	182,424,262	478,893	(7,000)			471,893	386,642		85,251	85,251	471,893	-	-	122.0%
2032	197,833,193	523,047	(7,000)			516,047	387,244		128,803	128,803	516,047	-	-	133.3%
2033	200,947,742	531,031	(7,000)			524,031	392,838		131,194	131,194	524,031	-	-	133.4%
2034	202,957,219	535,744	(7,000)			528,744	397,844		130,901	130,901	528,744	-	-	132.9%
2035	204,986,791	540,492	(7,000)			533,492	397,263		136,229	136,229	533,492	-	-	134.3%
2036	207,036,659	545,275	(7,000)			538,275	401,388		136,888	136,888	538,275	-	-	134.1%
2037	209,107,026	550,094	(7,000)			543,094	404,925		138,169	138,169	543,094	-	-	134.1%
2038	211,198,096	554,948	(7,000)			547,948	407,875		140,073	140,073	547,948	-	-	134.3%
2039	213,310,077	559,837	(7,000)			552,837	415,238		137,600	137,600	552,837	-	-	133.1%
2040	215,443,178	564,764	(7,000)			557,764	416,719		141,045	141,045	557,764	-	-	133.8%
2041	217,597,610	569,725	(7,000)			562,725	422,613		140,112	140,112	562,725	-	-	133.2%
2042	219,773,586	574,722	(7,000)			567,722	422,625		145,097	145,035	567,660	\$62	\$62	134.3%
2043	221,971,322	579,755	(7,000)			572,755	427,050		145,705	145,479	572,529	226	288	134.1%
2044	224,191,035	584,824	(7,000)			577,824	430,594		147,230	146,951	577,545	279	566	134.2%
2045	226,432,945	589,929	(7,000)			582,929	438,256		144,673	144,838	583,094	(165)	402	133.0%
2046	228,697,275	595,071	(7,000)			588,071	444,744		143,327	143,389	588,133	(62)	340	132.2%
2047	230,984,247	600,248	(7,000)			593,248	445,056		148,192	148,521	593,578	(329)	11	133.3%
2048	233,294,090	605,462	(7,000)			598,462	449,488		148,974	148,649	598,136	326	336	133.1%
2049	235,627,031	610,712	(7,000)			603,712	452,744		150,969	151,106	603,850	(138)	199	133.3%
2050	237,983,301	615,999	(7,000)			608,999	459,825		149,174	148,643	608,468	532	731	132.4%
2051	240,363,134	621,322	(7,000)			614,322	460,438		153,885	154,593	615,030	(708)	23	133.4%
2052	242,766,765	626,682	(7,000)			619,682	464,875		154,807	93,203	558,078	61,605	61,628	133.3%
2053	245,194,433	632,078	(4,000)			628,078	467,844		160,235	-	467,844	160,235	221,863	134.2%
2054	247,646,377	637,511	(4,000)			633,511	474,844		158,668	-	474,844	158,668	380,530	133.4%
	<u>\$ 5,716,189,465</u>	<u>\$ 14,892,691</u>	<u>\$ (204,000)</u>	<u>\$ 924</u>	<u>\$ 34,301</u>	<u>\$ 14,723,916</u>	<u>\$ 11,131,752</u>	<u>\$ -</u>	<u>\$ 3,211,634</u>	<u>\$ 14,343,386</u>				

(1) Assumes the Developer will fund any excess amount of 2025 trustee fees from cost of issuance.

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

SCHEDULE OF ESTIMATED ASSESSED VALUATION - RESIDENTIAL

Collection Year	Market Value of New Units (Exhibit B-3)	Estimated Annual Valuation Increases 1.00%	Cumulative Market Value of Existing plus New Units	Assessment Ratio 55.00%	Residential Assessed Valuation	Assessed Value of Vacant Land at 55.00% of Market (Exhibit B-2)	Total Assessed Value	Debt Mill Levy 3.0000	Debt Levy Collections 98.00%	Annual Administrative Expenses (1) \$ 50,000	Net Tax Revenue
2024	-	-	-	55.00%	-	-	-	3.0000	-	-	-
2025	-	-	-	55.00%	-	-	-	3.0000	-	-	-
2026	-	-	-	55.00%	-	\$5,101,034	\$5,101,034	3.0000	\$14,997	-	\$14,997
2027	\$52,540,651	-	\$52,540,651	55.00%	\$28,897,358	8,346,715	37,244,073	3.0000	109,497	-	109,497
2028	88,550,302	\$525,407	141,616,359	55.00%	77,888,998	7,131,440	85,020,438	3.0000	249,960	(\$54,122)	195,838
2029	77,927,173	1,416,164	220,959,695	55.00%	121,527,832	6,118,740	127,646,572	3.0000	375,281	(55,204)	320,077
2030	68,866,956	2,209,597	292,036,248	55.00%	160,619,936	2,790,018	163,409,954	3.0000	480,425	(56,309)	424,117
2031	32,343,955	2,920,362	327,300,566	55.00%	180,015,311	2,408,951	182,424,262	3.0000	536,328	(57,435)	478,893
2032	28,764,135	3,273,006	359,337,706	55.00%	197,635,738	197,455	197,833,193	3.0000	581,630	(58,583)	523,047
2033	2,428,447	3,593,377	365,359,531	55.00%	200,947,742	-	200,947,742	3.0000	590,786	(59,755)	531,031
2034	-	3,653,595	369,013,126	55.00%	202,957,219	-	202,957,219	3.0000	596,695	(60,950)	535,744
2035	-	3,690,131	372,703,257	55.00%	204,986,791	-	204,986,791	3.0000	602,661	(62,169)	540,492
2036	-	3,727,033	376,430,290	55.00%	207,036,659	-	207,036,659	3.0000	608,688	(63,413)	545,275
2037	-	3,764,303	380,194,593	55.00%	209,107,026	-	209,107,026	3.0000	614,775	(64,681)	550,094
2038	-	3,801,946	383,996,539	55.00%	211,198,096	-	211,198,096	3.0000	620,922	(65,974)	554,948
2039	-	3,839,965	387,836,504	55.00%	213,310,077	-	213,310,077	3.0000	627,131	(67,294)	559,837
2040	-	3,878,365	391,714,869	55.00%	215,443,178	-	215,443,178	3.0000	633,403	(68,640)	564,764
2041	-	3,917,149	395,632,018	55.00%	217,597,610	-	217,597,610	3.0000	639,737	(70,013)	569,725
2042	-	3,956,320	399,588,338	55.00%	219,773,586	-	219,773,586	3.0000	646,135	(71,413)	574,722
2043	-	3,995,883	403,584,221	55.00%	221,971,322	-	221,971,322	3.0000	652,596	(72,841)	579,755
2044	-	4,035,842	407,620,063	55.00%	224,191,035	-	224,191,035	3.0000	659,122	(74,298)	584,824
2045	-	4,076,201	411,696,264	55.00%	226,432,945	-	226,432,945	3.0000	665,713	(75,784)	589,929
2046	-	4,116,963	415,813,227	55.00%	228,697,275	-	228,697,275	3.0000	672,370	(77,300)	595,071
2047	-	4,158,132	419,971,359	55.00%	230,984,247	-	230,984,247	3.0000	679,094	(78,846)	600,248
2048	-	4,199,714	424,171,073	55.00%	233,294,090	-	233,294,090	3.0000	685,884	(80,422)	605,462
2049	-	4,241,711	428,412,783	55.00%	235,627,031	-	235,627,031	3.0000	692,743	(82,031)	610,712
2050	-	4,284,128	432,696,911	55.00%	237,983,301	-	237,983,301	3.0000	699,671	(83,672)	615,999
2051	-	4,326,969	437,023,880	55.00%	240,363,134	-	240,363,134	3.0000	706,667	(85,345)	621,322
2052	-	4,370,239	441,394,119	55.00%	242,766,765	-	242,766,765	3.0000	713,734	(87,052)	626,682
2053	-	4,413,941	445,808,060	55.00%	245,194,433	-	245,194,433	3.0000	720,871	(88,793)	632,078
2054	-	4,458,081	450,266,141	55.00%	247,646,377	-	247,646,377	3.0000	728,080	(90,569)	637,511
	<u>\$ 351,421,618</u>	<u>\$ 98,844,523</u>							<u>\$16,805,597</u>	<u>(\$1,912,905)</u>	<u>\$14,892,691</u>

(1) Administrative Expenses are limited (i) in calendar year 2024 to the amount of \$50,000, and (ii) for each calendar year thereafter, an additional 2%. Projection assumes Developer is obligated to pay expenses prior to January 2027.

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

SCHEDULE OF ESTIMATED ASSESSED VALUATION - RESIDENTIAL VACANT LAND

Collection Year	Assessed Value of Vacant Land		
	Net Additions to Vacant Land Value (Exhibit B-3)	Cumulative Land Market Value	Cumulative Land Assessed Value at 100.00%
2024	-	-	-
2025	-	-	-
2026	\$5,101,034	\$5,101,034	\$5,101,034
2027	3,245,681	8,346,715	8,346,715
2028	(1,215,275)	7,131,440	7,131,440
2029	(1,012,700)	6,118,740	6,118,740
2030	(3,328,722)	2,790,018	2,790,018
2031	(381,067)	2,408,951	2,408,951
2032	(2,211,496)	197,455	197,455
2033	(197,455)	-	-
2034	-	-	-
	<u>\$0</u>	<u>\$32,094,353</u>	<u>\$32,094,353</u>

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Collection Year	Farm Alley Load					Farm Front Load					Cottages Front				
		Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 365,620 3.00%	Market Value of New Units	Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 394,910 3.00%	Market Value of New Units	Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 492,150 3.00%	Market Value of New Units
2022	2024					-					-					-
2023	2025					-					-					-
2024	2026		\$877,488	-	\$ 365,620	-		\$671,347	-	\$ 394,910	-		\$590,580	-	\$ 492,150	-
2025	2027	24	1,389,356	(\$877,488)	376,589	\$9,038,126	17	2,408,951	(\$671,347)	406,757	\$6,914,874	12	1,131,945	(\$590,580)	506,915	\$6,082,974
2026	2028	38	1,389,356	(1,389,356)	387,886	14,739,678	61	2,408,951	(2,408,951)	418,960	25,556,561	23	1,131,945	(1,131,945)	522,122	12,008,805
2027	2029	38	1,389,356	(1,389,356)	399,523	15,181,868	61	2,408,951	(2,408,951)	431,529	26,323,258	23	1,131,945	(1,131,945)	537,786	12,369,069
2028	2030	38	36,562	(1,389,356)	411,509	15,637,324	61	2,408,951	(2,408,951)	444,475	27,112,956	23	344,505	(1,131,945)	553,919	12,740,141
2029	2031	1	-	(36,562)	423,854	423,854	61	2,408,951	(2,408,951)	457,809	27,926,344	7	-	(344,505)	570,537	3,993,757
2030	2032		-	-	436,569	-	61	197,455	(2,408,951)	471,543	28,764,135		-	-	587,653	-
2031	2033		-	-	449,666	-	5	-	(197,455)	485,689	2,428,447		-	-	605,282	-
2032	2034		-	-	463,156	-		-	-	500,260	-		-	-	623,441	-
		139	\$ 5,082,118	\$ (5,082,118)		\$ 55,020,850	327	\$ 12,913,557	\$ (12,913,557)		\$ 145,026,576	88	\$ 4,330,920	\$ (4,330,920)		\$ 47,194,745

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VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Collection Year	Farm 8k					Farm 12k					Farm 18k				
		Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 563,750 3.00%	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 635,500 3.00%	Market Value of New Units	Units Completed	Vacant Land Value	Value of Land Moved to Finished Inventory	Market Value per Residence \$ 709,813 3.00%	Market Value of New Units
2022	2024		-	-	-		-	-	-	-		-	-	-	-	-
2023	2025		-	-	-		-	-	-	-		-	-	-	-	-
2024	2026		\$732,875	-	\$ 563,750	-	\$1,080,350	-	\$ 635,500	-		\$496,869	-	\$ 709,813	-	-
2025	2027	13	563,750	(\$732,875)	580,663	\$7,548,613	17	1,207,450	(\$1,080,350)	654,565	\$11,127,605	7	993,738	(\$496,869)	731,107	\$5,117,752
2026	2028	10	-	(563,750)	598,082	5,980,824	19	1,207,450	(1,207,450)	674,202	12,809,837	14	993,738	(993,738)	753,041	10,542,569
2027	2029		-	-	616,025	-	19	762,600	(1,207,450)	694,428	13,194,132	14	425,888	(993,738)	775,632	10,858,846
2028	2030		-	-	634,506	-	12	-	(762,600)	715,261	8,583,130	6	-	(425,888)	798,901	4,793,405
2029	2031		-	-	653,541	-		-	-	736,719	-	-	-	-	822,868	-
2030	2032		-	-	673,147	-		-	-	758,820	-	-	-	-	847,554	-
2031	2033		-	-	693,341	-		-	-	781,585	-	-	-	-	872,980	-
2032	2034		-	-	714,142	-		-	-	805,032	-	-	-	-	899,170	-
		23	\$ 1,296,625	\$ (1,296,625)		\$ 13,529,436	67	\$ 4,257,850	\$ (4,257,850)		\$ 45,714,704	41	\$ 2,910,233	\$ (2,910,233)		\$ 31,312,571

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

SCHEDULE OF ESTIMATED MARKET VALUE - RESIDENTIAL DEVELOPMENT

Calendar/ Construction Year	Cottages Alley						Totals of New Residential Development		
	Collection Year	Units Completed	Vacant Land Value 10%	Value of Land Moved to Finished Inventory	Market	Market Value of New Units	Total Units Completed	Annual Value of New Units	Additions to Annual Value of Land
					Value per				
					\$ 434,350 3%				
2022	2024					-	-	-	-
2023	2025		-			-	-	-	-
2024	2026		\$651,525	-	\$ 434,350	-	-	-	\$5,101,034
2025	2027	15	651,525	(\$651,525)	447,381	\$6,710,708	105	\$52,540,651	3,245,681
2026	2028	15	-	(651,525)	460,802	6,912,029	180	88,550,302	(1,215,275)
2027	2029		-	-	474,626	-	155	77,927,173	(1,012,700)
2028	2030		-	-	488,865	-	140	68,866,956	(3,328,722)
2029	2031		-	-	503,531	-	69	32,343,955	(381,067)
2030	2032		-	-	518,637	-	61	28,764,135	(2,211,496)
2031	2033		-	-	534,196	-	5	2,428,447	(197,455)
2032	2034		-	-	550,222	-	-	-	-
		30	\$ 1,303,050	\$ (1,303,050)		\$ 13,622,736	715	\$ 351,421,618	\$ 0

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

**SCHEDULE OF ESTIMATED 2024A BONDS DEBT SERVICE REQUIREMENTS
ASSUMING A SETTLEMENT OF SEPTEMBER 26, 2024**

Payment Date	Rate	Payment For		Capitalized Interest Fund Adjustments	Debt Service Reserve Fund Adjustments	Total Debt Payment	Principal Outstanding	Net Annual Debt Service
		Principal	Interest					
01-Mar-25			\$142,791	(\$142,791)	(\$6,076)	(\$6,076)	\$5,645,000	(\$6,076)
01-Sep-25			165,822	(165,822)	(7,056)	(7,056)	5,645,000	
01-Mar-26			165,822	(165,822)	(7,056)	(7,056)	5,645,000	(14,113)
01-Sep-26			165,822	(165,822)	(7,056)	(7,056)	5,645,000	
01-Mar-27			165,822	(165,822)	(7,056)	(7,056)	5,645,000	(14,113)
01-Sep-27			165,822	(110,548)	(7,056)	48,218	5,645,000	
01-Mar-28			165,822		(7,056)	158,766	5,645,000	206,983
01-Sep-28			165,822		(7,056)	158,766	5,645,000	
01-Mar-29			165,822		(6,829)	158,992	5,645,000	317,758
01-Sep-29			165,822		(6,829)	158,992	5,645,000	
01-Mar-30	5.875%	\$20,000	165,822		(6,771)	179,051	5,625,000	338,043
01-Sep-30			165,234		(6,771)	158,463	5,625,000	
01-Mar-31	5.875%	70,000	165,234		(7,056)	228,178	5,555,000	386,642
01-Sep-31			163,178		(7,056)	156,122	5,555,000	
01-Mar-32	5.875%	75,000	163,178		(7,056)	231,122	5,480,000	387,244
01-Sep-32			160,975		(7,056)	153,919	5,480,000	
01-Mar-33	5.875%	85,000	160,975		(7,056)	238,919	5,395,000	392,838
01-Sep-33			158,478		(7,056)	151,422	5,395,000	
01-Mar-34	5.875%	95,000	158,478		(7,056)	246,422	5,300,000	397,844
01-Sep-34			155,688		(7,056)	148,631	5,300,000	
01-Mar-35	5.875%	100,000	155,688		(7,056)	248,631	5,200,000	397,263
01-Sep-35			152,750		(7,056)	145,694	5,200,000	
01-Mar-36	5.875%	110,000	152,750		(7,056)	255,694	5,090,000	401,388
01-Sep-36			149,519		(7,056)	142,463	5,090,000	
01-Mar-37	5.875%	120,000	149,519		(7,056)	262,463	4,970,000	404,925
01-Sep-37			145,994		(7,056)	138,938	4,970,000	
01-Mar-38	5.875%	130,000	145,994		(7,056)	268,938	4,840,000	407,875
01-Sep-38			142,175		(7,056)	135,119	4,840,000	
01-Mar-39	5.875%	145,000	142,175		(7,056)	280,119	4,695,000	415,238
01-Sep-39			137,916		(7,056)	130,859	4,695,000	
01-Mar-40	5.875%	155,000	137,916		(7,056)	285,859	4,540,000	416,719
01-Sep-40			133,363		(7,056)	126,306	4,540,000	
01-Mar-41	5.875%	170,000	133,363		(7,056)	296,306	4,370,000	422,613
01-Sep-41			128,369		(7,056)	121,313	4,370,000	
01-Mar-42	5.875%	180,000	128,369		(7,056)	301,313	4,190,000	422,625
01-Sep-42			123,081		(7,056)	116,025	4,190,000	
01-Mar-43	5.875%	195,000	123,081		(7,056)	311,025	3,995,000	427,050
01-Sep-43			117,353		(7,056)	110,297	3,995,000	
01-Mar-44	5.875%	210,000	117,353		(7,056)	320,297	3,785,000	430,594
01-Sep-44			111,184		(7,056)	104,128	3,785,000	
01-Mar-45	5.875%	230,000	111,184		(7,056)	334,128	3,555,000	438,256
01-Sep-45			104,428		(7,056)	97,372	3,555,000	
01-Mar-46	5.875%	250,000	104,428		(7,056)	347,372	3,305,000	444,744
01-Sep-46			97,084		(7,056)	90,028	3,305,000	
01-Mar-47	5.875%	265,000	97,084		(7,056)	355,028	3,040,000	445,056
01-Sep-47			89,300		(7,056)	82,244	3,040,000	
01-Mar-48	5.875%	285,000	89,300		(7,056)	367,244	2,755,000	449,488
01-Sep-48			80,928		(7,056)	73,872	2,755,000	
01-Mar-49	5.875%	305,000	80,928		(7,056)	378,872	2,450,000	452,744
01-Sep-49			71,969		(7,056)	64,913	2,450,000	
01-Mar-50	5.875%	330,000	71,969		(7,056)	394,913	2,120,000	459,825
01-Sep-50			62,275		(7,056)	55,219	2,120,000	
01-Mar-51	5.875%	350,000	62,275		(7,056)	405,219	1,770,000	460,438
01-Sep-51			51,994		(7,056)	44,938	1,770,000	
01-Mar-52	5.875%	375,000	51,994		(7,056)	419,938	1,395,000	464,875
01-Sep-52			40,978		(7,056)	33,922	1,395,000	
01-Mar-53	5.875%	400,000	40,978		(7,056)	433,922	995,000	467,844
01-Sep-53			29,228		(7,056)	22,172	995,000	
01-Mar-54	5.875%	995,000	29,228		(571,556)	452,672	0	474,844
		\$ 5,645,000	\$ 7,347,891	\$ (916,627)	\$ (978,814)	\$ 11,097,450		\$ 11,097,450

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1

**FORECAST OF CASH BALANCES AND CASH RECEIPTS AND DISBURSEMENTS
FOR DEBT SERVICE FUND ONLY
FOR CALENDAR YEARS ENDING 2024 THROUGH 2054 - ALTERNATE SCENARIO**

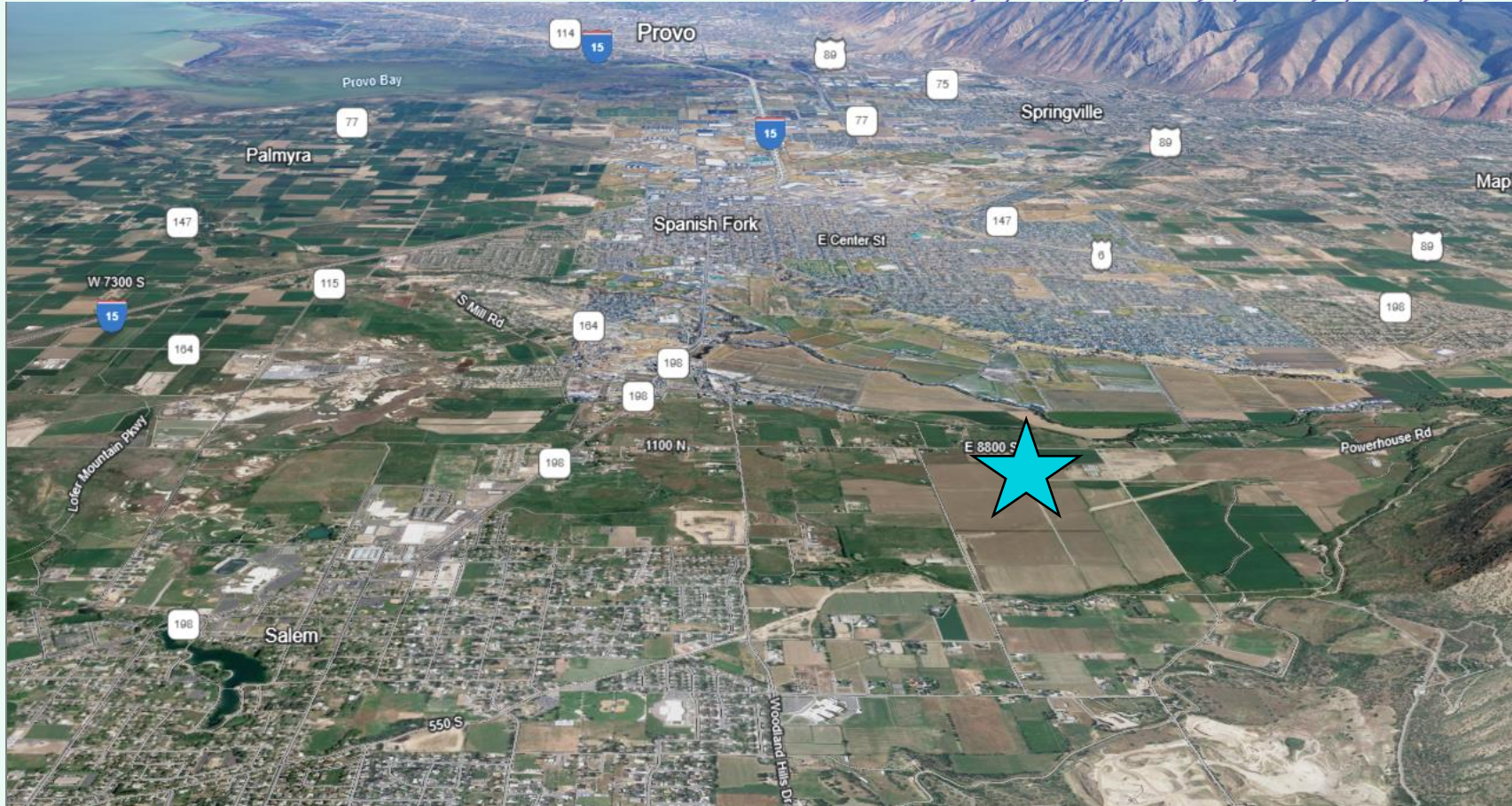
**SCHEDULE OF ESTIMATED 2024B BONDS DEBT SERVICE REQUIREMENTS
ASSUMING A SETTLEMENT OF SEPTEMBER 26, 2024**

Payment Date	Rate	Principal	Accrued Interest	Interest Paid	Cumulative Unpaid Interest	Total Debt Payment	Principal Outstanding	Outstanding Balance
								\$1,000,000
15-Mar-25		-	\$39,316	-	\$39,316	-	\$1,000,000	1,039,316
15-Mar-26		-	87,043	\$22,109	104,249	\$22,109	1,000,000	1,104,249
15-Mar-27		-	92,481	116,610	80,120	116,610	1,000,000	1,080,120
15-Mar-28		-	90,460	-	170,580	-	1,000,000	1,170,580
15-Mar-29		-	98,036	-	268,616	-	1,000,000	1,268,616
15-Mar-30		-	106,247	56,247	318,616	56,247	1,000,000	1,318,616
15-Mar-31		-	110,434	85,251	343,799	85,251	1,000,000	1,343,799
15-Mar-32		-	112,543	128,803	327,540	128,803	1,000,000	1,327,540
15-Mar-33		-	111,181	131,194	307,528	131,194	1,000,000	1,307,528
15-Mar-34		-	109,505	130,901	286,132	130,901	1,000,000	1,286,132
15-Mar-35		-	107,714	136,229	257,617	136,229	1,000,000	1,257,617
15-Mar-36		-	105,325	136,888	226,055	136,888	1,000,000	1,226,055
15-Mar-37		-	102,682	138,169	190,568	138,169	1,000,000	1,190,568
15-Mar-38		-	99,710	140,073	150,205	140,073	1,000,000	1,150,205
15-Mar-39		-	96,330	137,600	108,935	137,600	1,000,000	1,108,935
15-Mar-40		-	92,873	141,045	60,763	141,045	1,000,000	1,060,763
15-Mar-41		-	88,839	140,112	9,490	140,112	1,000,000	1,009,490
15-Mar-42	8.375%	\$51,000	84,545	94,035	-	145,035	949,000	949,000
15-Mar-43	8.375%	66,000	79,479	79,479	-	145,479	883,000	883,000
15-Mar-44	8.375%	73,000	73,951	73,951	-	146,951	810,000	810,000
15-Mar-45	8.375%	77,000	67,838	67,838	-	144,838	733,000	733,000
15-Mar-46	8.375%	82,000	61,389	61,389	-	143,389	651,000	651,000
15-Mar-47	8.375%	94,000	54,521	54,521	-	148,521	557,000	557,000
15-Mar-48	8.375%	102,000	46,649	46,649	-	148,649	455,000	455,000
15-Mar-49	8.375%	113,000	38,106	38,106	-	151,106	342,000	342,000
15-Mar-50	8.375%	120,000	28,643	28,643	-	148,643	222,000	222,000
15-Mar-51	8.375%	136,000	18,593	18,593	-	154,593	86,000	86,000
15-Mar-52	8.375%	86,000	7,203	7,203	-	93,203	-	(0)
		<u>\$1,000,000</u>	<u>\$2,211,634</u>	<u>\$2,211,634</u>		<u>\$3,211,634</u>		

This financial information should be read only in connection with the accompanying Summary of Significant Assumptions and Accounting Policies

APPENDIX B
MARKET STUDY

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Viridian in Salem, Utah

Prepared for:

Viridian Farm Public Infrastructure District No. 1

June 2024

% Zonda Viridian Farm Public Infrastructure District No. 1 – Salem, Utah

June 25, 2024

July 2, 2024 – Unit Count Updates

Viridian Farm Public Infrastructure District No. 1

c/o Jeff Stephenson

12351 S Gateway Park

Draper, Utah 84020

RE: Viridian Farm Public Infrastructure District No. 1 Market Study

Dear District Representatives:

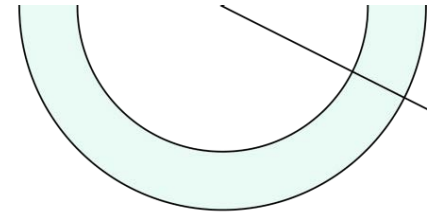
Zonda Advisory is pleased to present this market analysis and absorption forecast for the Viridian Farm Public Infrastructure District No. 1. We have evaluated the Provo-Orem Market area as well as the competitive area around the community and rendered our conclusions in the following report. Zonda Advisory has reviewed the financial projections utilized in sizing the proposed Bond issuance and the District's ability to meet the debt service requirements of such Bonds including absorption rates, valuation, growth, and inflation rates, and has evaluated the same in comparison to current and projected market conditions for the Provo-Orem Market and the Viridian Farm Competitive Market Area.

Evan Forrest, Vice President conducted this report, with participation from Tim Sullivan, Chief Advisory Officer, and Haley Krohn, Consultant. Zonda Advisory (previously noted under Metrostudy) has been engaged in analyzing residential market conditions since 1975 with its proprietary lot-by-lot survey, and locally within the Wasatch Market since 2002.

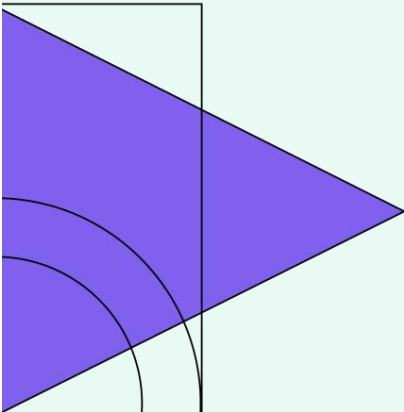
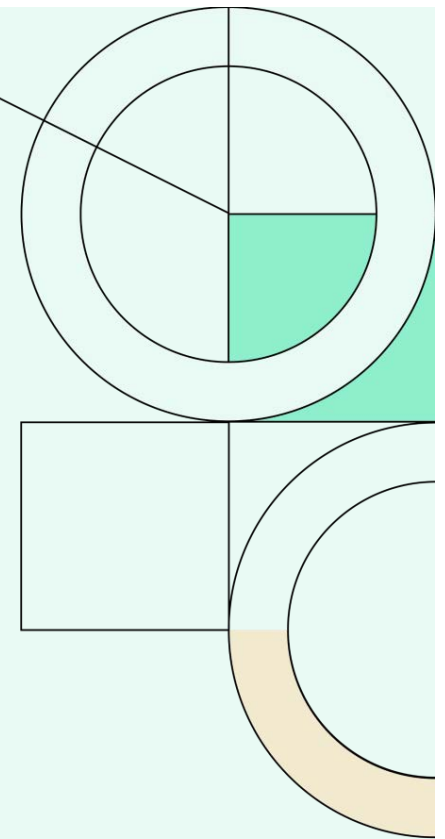
Please contact us at your convenience with any comments or questions regarding this report, or any other matter relevant to your real estate market research needs.

Respectfully Submitted,

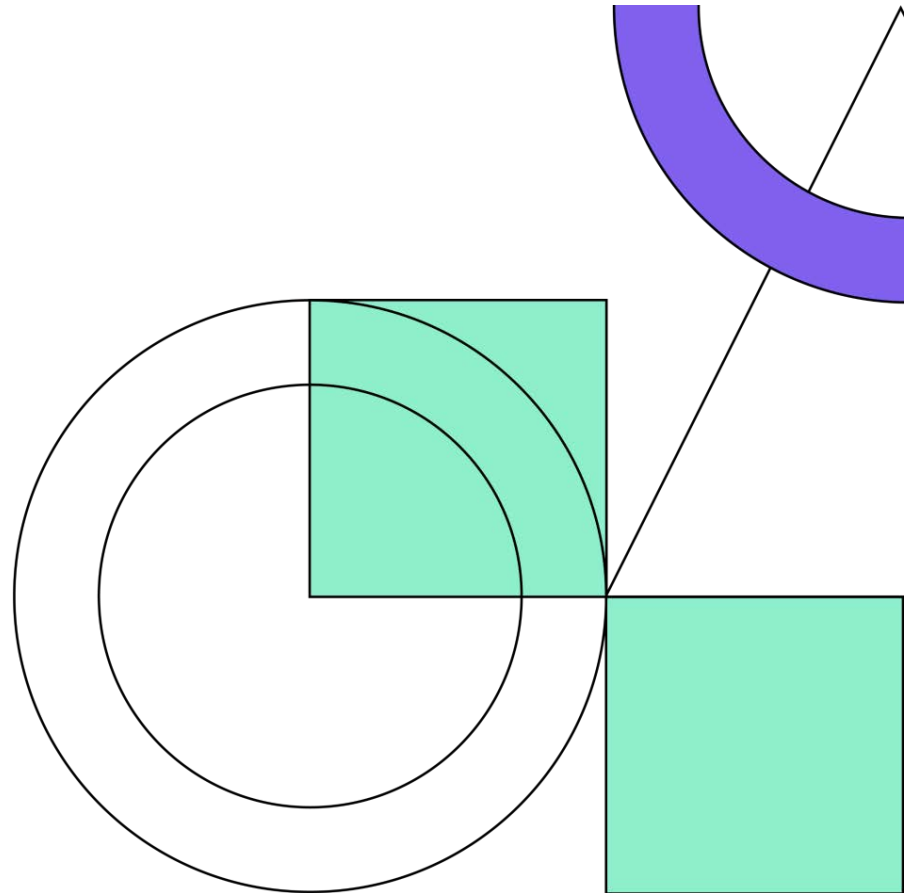
Zonda Advisory



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Introduction	15
Housing Market Statistics and Analysis	22
Competitive Market Analysis	26
Conclusions	33
Appendix	39



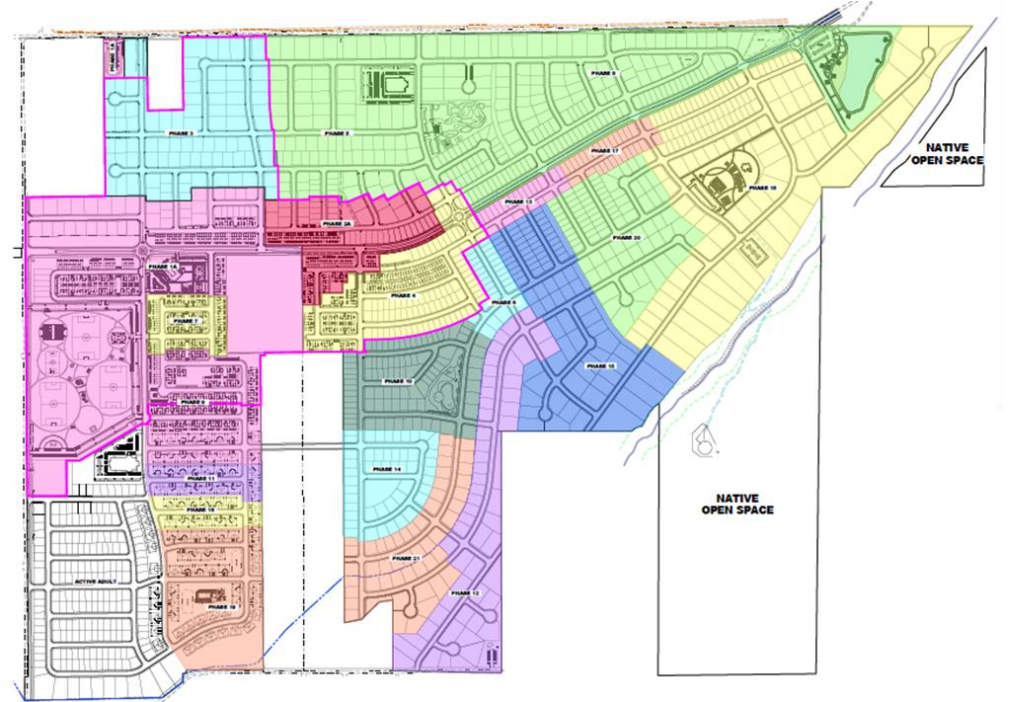
Executive Summary



Project Overview

Executive Summary

The purpose of this report is to provide the Viridian Farm Public Infrastructure District No. 1 (“Subject Property”, “Viridian”) with an overview of the Provo-Orem Market (“Provo-Orem”, “Market”) economy and the Competitive Market Area (“Viridian Farm CMA”, “CMA”) surrounding the Subject Property to provide insights about the positioning and absorption potential of the product within the District. The Viridian Farm Public Infrastructure District No. 1 planned development includes 716 for-sale units including 466 attached townhomes, and 250 single-family detached home sites with lot sizes ranging from 5,400 square feet to 1 acre. The District is a portion of the larger Viridian Farm development. The Viridian Farm development is planned on over 725 acres with +/- 2,020 total units. This market study will only focus on the first 716 units planned for Public Infrastructure District No. 1. Per the Developer, the first planned closings will occur in 4Q of 2024.

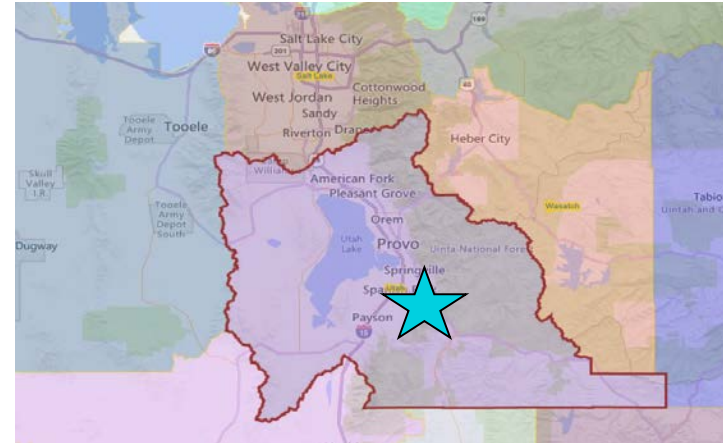


Zonda Advisory analyzed the competitive position of the for-sale product offering in the Viridian Farm Competitive Market Area as it relates to other for-sale communities in the Provo-Orem Market area. We have collected and reviewed data on the activity levels on new and resale for-sale housing. Zonda Advisory compiled data on the Provo-Orem Market economy, including demographics for the overall Market and the Viridian Farm CMA. Utilizing this data and research, Zonda Advisory has provided its conclusions about the marketability, competitive positioning, product mix, and absorption levels that should be achievable within the Subject Property’s boundaries.

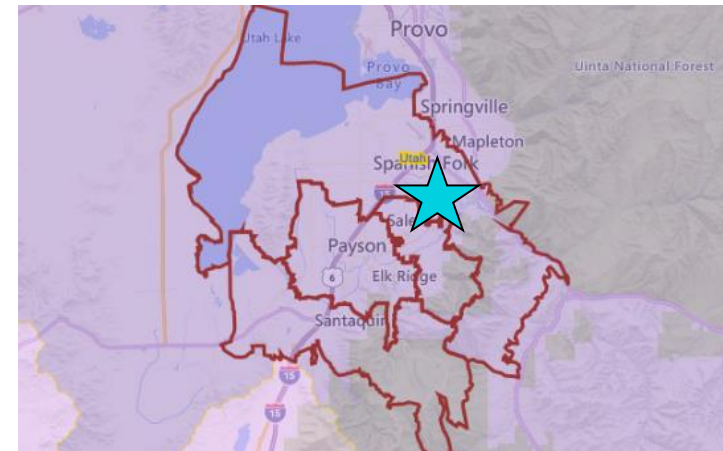
Market Area and Viridian Farm CMA Definitions

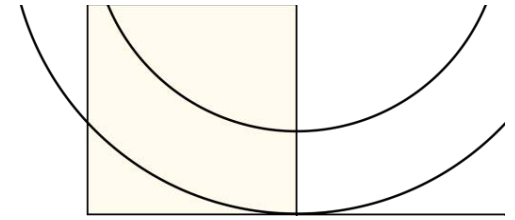
Introduction

- **Provo-Orem Market:** The Provo-Orem Market (“The Market”, “Market”) includes all of Utah County.



- **Viridian Farm CMA:** The Competitive Market Area (“Viridian Farm CMA,” “CMA”) has been defined to encompass a territory that includes a representative portion of the competitive new housing market in the southern area of the Provo-Orem Market. The polygon is focused on new housing development within southern Utah County along the I-15 corridor. The CMA consists of the cities of Payson, Salem, Santaquin, and Spanish Fork and includes competitive developments that are comparable to the Subject Property’s product types being proposed. The boundary considers drive times, school districts, county lines, infrastructure, and other socioeconomic factors.





Socioeconomic Overview

Executive Summary

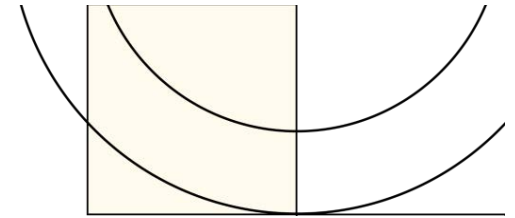
As of March 2024, employment figures by the U.S. Bureau of Labor Statistics showed that the Provo-Orem Market (Utah County) grew year-over-year (“YOY”) at a rate of 0.9%. The average growth rate was the 45th consecutive month of net job growth. The growth rate has slowed compared to 2022 but has remained positive and steady in the +/- 1.5% - 2.0% range over the past year. Provo-Orem Market employers recorded a 6,200 annual job gain to their payrolls over the past twelve months ending in March and raised total employment levels in the Market to 315,700 workers.

The Education & Health Services (+3,800), Mining, Logging & Construction (+2,400 jobs), Government (+1,700), Other Services (+400 jobs), Retail Services (+300 jobs), and Leisure & Hospitality (+200 jobs) sectors have provided the most growth over the past year. Over the past twelve months Professional & Business Services showed the greatest decline.

The unemployment rate in Utah County was at 2.7% as of March 2024, up from the 2.5% posted a year ago, and up from the 2.4% reported in pre-pandemic February 2020. The County’s unemployment rate was just below the 2.7% statewide rate and the 3.8% national rate. Utah County was in-line with most of the unemployment rates in the surrounding counties that ranged from 2.1% - 3.0% and was just above the 5-year average of 2.4%.

Looking ahead, the Market’s population is anticipated to continue to grow into the future, with current estimates expecting the area to surpass 818,000 by 2028. Household formations are expected to rise 5.9% over the next five years. The CMA’s population is estimated to have 14.3% household market share by 2028. Estimates indicate the CMA population will rise at an annual rate of 2.1% by 2028. The CMA is slightly older in age and more affluent compared to the Provo-Orem Market overall, with a median age of 28 years (Provo-Orem Market = 26) and median household income of \$91,177 (Provo-Orem Market = \$89,462).

Within the CMA, the greatest percentage increases are forecasted to occur in the 65+ age groups (+1.3% by 2028) however they only make up 10.6% of the population, though the 35 – 54 segment is also expected to increase (+0.3%) but make up 24.2% of the total population. In terms of household incomes within the CMA, the largest gains are forecasted for the \$100,000+ income ranges (approximately +4,237 households over the next five years).



Provo-Orem Market

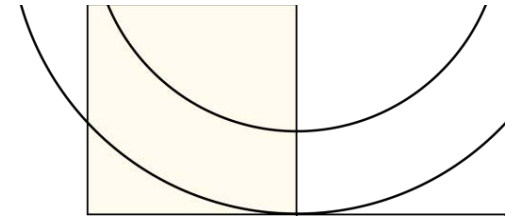
Executive Summary

Since the Great Recession, Provo-Orem’s housing market had been on a steady climb in both volume and pricing. The COVID-19 pandemic squeezed a tight supply of housing to low levels, accelerating pent-up demand and pushing home prices. A strong economic growth base, steady in-migration, and supply-restricted housing on the resale side, the imbalance between demand and supply has created a gap between owning and renting. The previous escalation of inflation and mortgage interest rate hikes magnified attention on the gap as monthly payments increased sharply, and some buyers lost their mortgage eligibility, while others moved to the sidelines hoping for price adjustments. Demand has remained high, but supply is low. As a result, new home community sales contracts trended down in 2022 and before rising in 2023 and 2024. Overall, the historically hot run in the housing market has come to an end. However, coupled with many “rate locked-in” homeowners which translates into both demand and supply factors, many new home community housing prices have maintained, or remained flat. Like the rest of the markets across the Wasatch Front, Provo-Orem is continuing to operate under an imbalance between demand and available supply levels.

The Market experienced a 2.8% increase in annual starts corresponding to a 19.1% decrease in annual closings from 1Q23 to 1Q24. A total of 5,150 new homes were started in the Market over the trailing four quarters, compared to 5,010 new homes recorded in 1Q23. A total of 5,918 new homes were closed over the trailing four quarters, compared to 7,318 closings in the preceding four quarters.

The Market reported 2,827 single-family detached annual starts over the four quarters ended 1Q24, a 0.4% increase from the 2,815 single-family detached homes started the preceding year. The 3,024 single-family detached home closings from 2Q23 to 1Q24 was a -29.8% decline over the 4,309 closings over the same period a year earlier. The single-family detached market experienced a 0.3% increase in Vacant Developed Lots (“VDL”), up from 5,697 home sites at the end of 1Q23 to 5,715 home sites at the end of 1Q24. With the increase in detached annual starts and increase in VDL, the months-of-supply remained at 24.3 months-of-supply from 1Q23 to 1Q24, which is largely a response to the more normalized Spring selling season in 2023 and 2024. As the Market continues to normalize, sales, and start are expected to increase in 2Q24 per historical norms. While VDL is currently in equilibrium, those segments that are in demand are generally under-supplied causing under-supply in certain segments of the market.

As single-family detached home prices escalated across the Market, attached housing demand increased its market share. The Market reported 2,323 attached annual starts as of 1Q24, up 5.8% from a year ago. Annual closings decreased slightly to 2,894 attached homes closed compared to 3,009 attached home closings a year ago, marking a steadily increasing number of closings over the average of the past five years to 2,150. The Market experienced a decline in the number of VDL designated for attached housing from 2,075 (1Q23) to 1,975 as of 1Q24. The months-of-supply decreased from 11.3 months in 1Q23 to a 10.2-month supply as of 1Q24. This represents an under-supplied portion of the market.



Viridian Farm Public Infrastructure District No. 1 CMA

Executive Summary

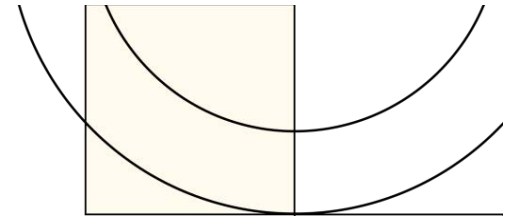
Historically, the CMA, driven by employment growth in Provo-Orem, easily accessible transportation routes, and strong school districts, has been a growing area for new housing demand within the Market. As developable land has become limited in the northern areas of Utah County, development has been pushed either west to Eagle Mountain or south towards the CMA. The CMA is seeing several larger projects such as the Subject Property being planned for the growing demand coming to the southern Utah County area.

Annual new contract sales estimates hit a trough in May 2023 before steadily rising 8.8% over the past year. This is despite a decline in actively selling neighborhoods over that same time. This has resulted in average sales of 3.6 sales per neighborhood in April 2024, which is an increase from the 2.4 reported in April 2023. However, as the seasonality emerges, annual sales are expected to begin to level off in the 3rd and 4th quarters of the 2024 before rising again in 2025.

At 582 single-family detached and 609 attached home starts through the four quarters ended 1Q24 (1,191 total annual starts), the CMA reported a 40.4% production increase over the past year from the 848 total annual starts noted in 1Q23, below both the 5-year (1,092) and the 10-year (867) averages. Through 1Q24, annual closings were up 7.7% to 1,290 homes closed from 1,198 home closings the previous year.

Annual lot deliveries through 1Q24 totaled 1,024 home sites, below the 1,747 annual lots delivered in 1Q23 (16.8% were attached deliveries has been slowly declining over the past three quarters). Annual lot deliveries in 1Q24 were 14.0% below the pace of home production (1,191 home starts). With the recent trend in lot development against starts, the 1Q24 VDL months-of-supply registered a 17.8-month supply, down from 27.4 months as noted in 1Q23.

A total of 130 new lots were delivered in 1Q24. The 231 home starts in the quarter were below the two-year historical average pace. The majority of all activity was single-family detached (130 lot deliveries and 118 starts). The CMA's annual starts are 23.1% of the Market with lot deliveries obtaining 20.2% of the Market, both above the 10-year average of 17.7% and 17.6%, respectively. Coupling these two factors together exhibits the increasing shift in demand towards the CMA from the overall Market. The CMA is positioned to increase its share as demand shifts towards the CMA from the overall Market.



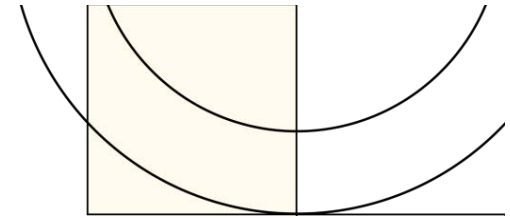
Market Forecast

Executive Summary

The post-pandemic housing rally of 2020 and 2021 will be remembered for its extremely low inventory, historically low mortgage rates, and skyrocketing home prices. With an initial grim outlook for economic collapse during the COVID-19 health crisis, the market was suddenly flush with borrowed money and pent-up demand. Home sales boomed. However, supply chains and labor markets did not escape unscathed, forcing many homebuilders to recalculate operations while facing uncertain rising material costs and increased production times, as well as strategically metering out lot releases and sales, raising base prices, and accommodating delayed supply orders, all to protect margins and their future lot pipeline. Basic demand-supply fundamentals became sharply imbalanced.

At levels above the preferred 2.0%, inflation became the primary focus in 2022 and 2023. Based on the Federal Reserve's outlined path forward, the economy has slowed as it ended pandemic-era "easy money" policies with a focus on reducing inflation. Many economic measurements have moved to correct themselves, all at different paces. But for housing, these policy moves resulted in higher mortgage rates, that reduced housing affordability further by increasing consumer sensitivities to the serious price gains in recent years. During much of the pandemic's housing surge, the low mortgage rates and government incentives shielded most homebuyers from the rising overall home price. As mortgage rates rose at a historic pace, buyers saw their monthly payments increase with many moving to the sidelines to wait it out. Rates have increased over the past few months as inflation stayed just above the Federal Reserve's targets with the expectation there will still be a rate cut in the 2nd half of 2024.

Still, the shortage of available housing counters demand. The lack of housing inventory in the resale market over the past two years is now further reduced by "locked-in" households who financed their mortgages at low rates and are not enticed to move at higher prices and rates combined. On the new home side, homebuilders slowed start production sharply in Fall 2022 as cancellations ramped up to focus on their inventory because of the extended build and delivery times builders faced in 2020-2021. This is no longer the case in the Market as builders generally protected their backlog and limited build-up of inventory homes. As housing inventory is no longer at elevated levels, homebuilders have seen build times begin to return to more normalized levels while sales have appeared to found a bottom after the 2023 Spring selling season. All of this process, without a full recession and job losses (in fact job gains have occurred), is creating a reserve of pent-up would-be homebuyers who may wait for downward sign on mortgage rates. As higher mortgage rates price out some of these potential buyers, there are still others waiting to move up in line with cash and rollover equity. **This process will need to work itself out to determine the true extent of the demand-supply imbalance.** Many homebuyers appear to be getting used to the higher mortgage rates with some incentives by the homebuilders and are actively pursuing home purchases as shown by the increase in annual sales and starts. As the market turns back towards market equilibrium, a more normalized market is expected to emerge.



Market Forecast (cont.)

Executive Summary

The highest short-term risk for builders was standing inventory, which resulted in more aggressive incentives to keep prospective buyers engaged. Price strategies are wide in variety, with lowering prices no longer the main option, some builders have been altering their product, and still others maintaining prices but offering incentives that can be pushed back into the home with such things as mortgage rate buydowns. As a result, closing prices have remained steady and in some cases increased, though there are typically more “goods” included within the price (option/upgrades, mortgage rate buydowns). Home start production began to improve in the second half of 2023, and builders have begun to move on land acquisitions with limited housing inventory as demand has continued to increase.

Markets that have a positive migratory trend, restricted supply, and a strong labor market will have the best housing market conditions going forward like the Wasatch Front. Locally, all markets remain attractive long term especially given the growth of a diverse and strong job base. Relocation buyers from expensive coastal markets are willing to purchase homes at the increased levels, while native/long term residents and relocations from other traditional, more affordable market areas are becoming more frustrated at the costs of living. Other shifting home buying demands include the need for new home designs that can accommodate working remotely, including quiet work and study areas, exercise space, and multi-generational house sharing. In addition, there are increased requirements for better in-home technology (work and school-related) and better in-home wellness standards (health-related). All further influenced by the continued advancement of the millennial generation entering life stages that encourage home ownership.

The Market’s new housing levels saw a +/-32.4% decrease in new home starts and an +/-14.7% decline in annual new home closings from 2022 volume levels to 2023. This means that there are still declines to come for annual closings. Start production increased after a more normalized spring selling season. Annual reported sales appear to have found a bottom in the Spring of 2023 with continual increases into 2024. Zonda expects closings to follow suit finding a bottom by the middle of 2024. The outstanding questions for 2024 are when inflation declines to reasonable levels, mortgage rates level off, build cycles improve, and what price adjustments could occur.

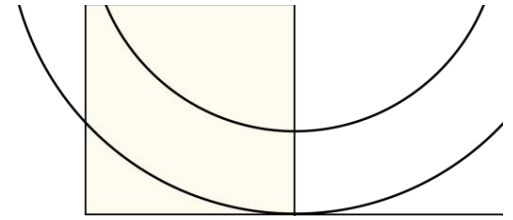
Market and CMA Closing Forecasts													
	10-Yr Avg	2022	2023	2024F	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F
Market	4,878	7,213	6,155	5,232	5,363	5,765	6,197	6,507	6,832	7,174	7,533	7,909	8,305
CMA	834	1,210	1,197	1,059	1,156	1,262	1,389	1,451	1,597	1,633	1,718	1,823	1,927
CMA %	17%	17%	19%	20%	22%	22%	22%	22%	23%	23%	23%	23%	23%

Market Forecast (cont.)

Executive Summary

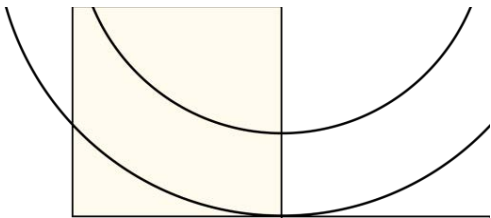
The Subject Property and the CMA have the following positive features:

- Easy access to Interstate 15, and major arterials offer short travel time to major attractions and employment centers.
- The demand for for-sale housing adjacent to the Subject Property bodes well to exhibit potential future demand at the Subject Property.
- The residential product is well placed to take advantage of pricing gaps in the marketplace as well as potential product shortages including declining available attached product.
- The project should secure sufficient water rights for development. As water rights become scarcer and more expensive, new competing projects may face additional delays, or cancellations, if rights are not already in place.
- The Subject Property is in one of the growing and in-demand areas of the Wasatch Front.
- There are limited current options within the CMA and Market that have a diverse array of products to attract homebuyers.
- Annual new contract sales estimates hit a trough in May 2023 before steadily rising 8.8% over the past year. This is despite a decline in actively selling neighborhoods over that same period. This has seen average sales per neighborhood 3.6 sales per neighborhood in April 2024, which is an increase from the 2.4 reported in April 2023. However, as the seasonality emerges, annual sales are expected to begin to level off in the 3rd and 4th quarters of the 2024 before rising again in 2025.
- The CMA has shown a recent history of having many multi-product neighborhoods selling with success over the past five years.
- Future development within the Provo – Orem market is pushing west to Eagle Mountain or south to the Subject Property. The CMA should see market share increase over the next ten years as developable land to the north becomes more limited. This increased demand will see stronger potential closings demand in the CMA.



Market Forecast (cont.)

Executive Summary



Some potential challenges and concerns associated with the project are:

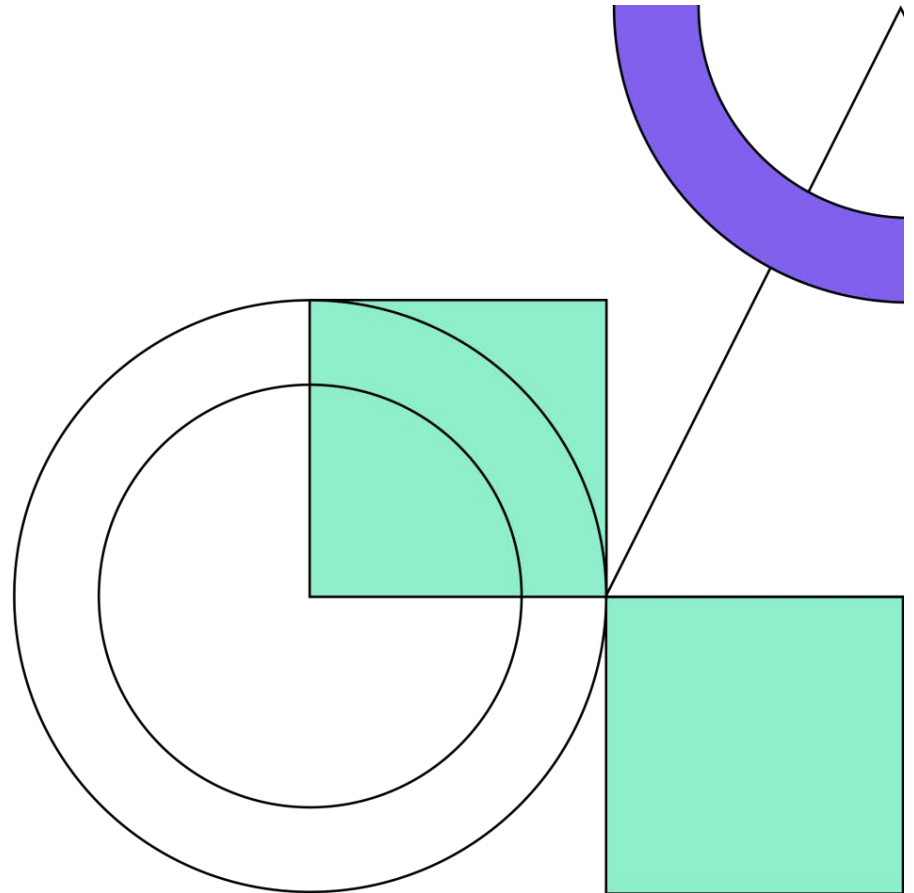
- Economic Influenced Events as discussed in the market forecast.
- Mortgage interest rates were at all-time lows for the past five years but have risen since March 2022. Every uptick in the mortgage rate reduces purchasing power, compounded by the rising costs of living. The degree to which the affordability imbalance hurts for-sale housing demand will be influenced by wage growth. However, the Federal Reserve has been inferring that a rate cut will occur at least once in 2024.
- Impacting all developers today is navigating through the challenging mix of shortages in labor and materials, delays in development processes, and extended build times that has generated higher than normal backlogs of contracts to work through to fulfillment.

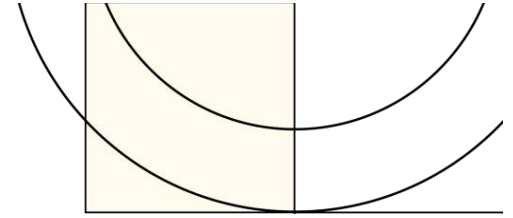
Based on the proposed product offerings and trends in the surrounding CMA, Zonda Advisory believes the District has the potential to absorb up to an estimated 202 for-sale homes during its anticipated remaining peak year of 2026 with multiple product lines actively selling. This rate is based upon projected growth of the Provo-Orem Market and forecasted levels of production in the Market, the Viridian Farm CMA capture rate of the Market, and the Subject Property's capture rate within the CMA. This would position the District as one of the top producing communities in the Market.

CMA Absorption Projection Summary (Home Closings)										
	2024F	2025F	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F
Viridian Farm No. 1	4	172	202	151	96	91	0	0	0	0
Viridian Farm - Other	0	0	0	0	50	125	200	200	200	152
Viridian Farm Total	4	172	202	151	146	216	200	200	200	152
Viridian Share of CMA	0%	15%	16%	11%	10%	14%	12%	12%	11%	8%

Additional information utilized in this analysis and our conclusions for the Subject Property are included within the context of the report beginning on the next page, as well as the Appendix.

Introduction

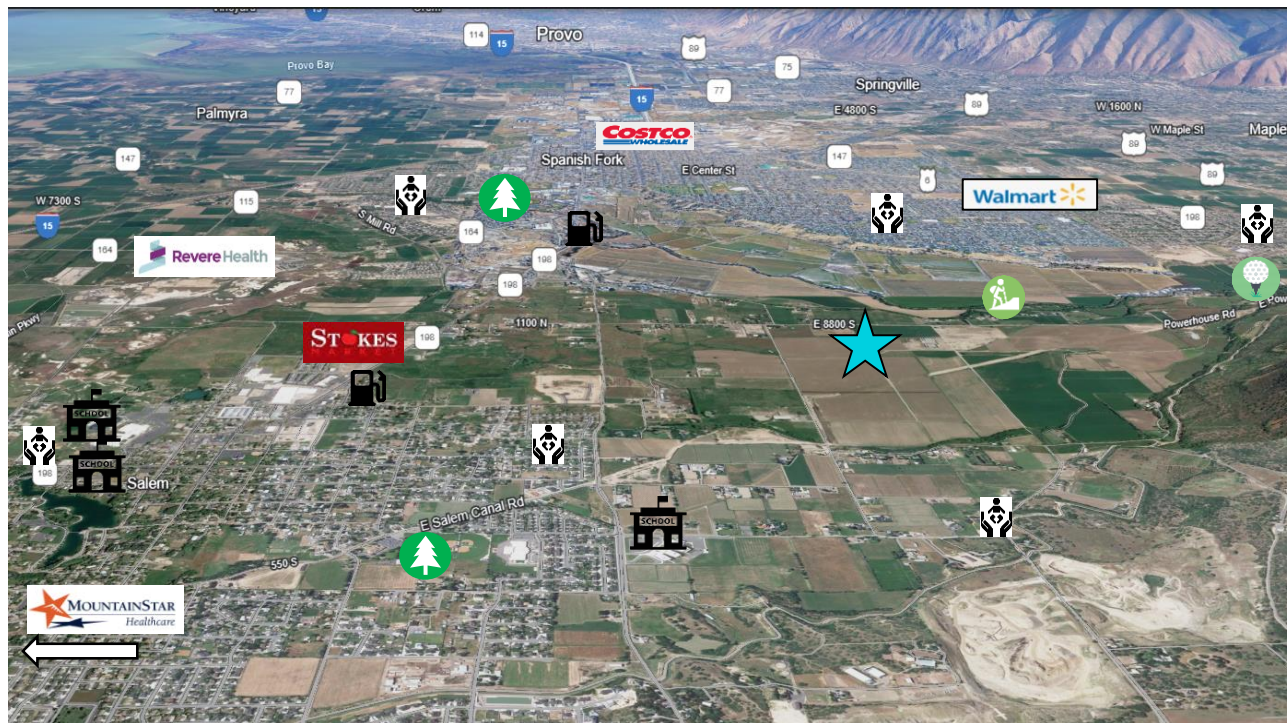




Property Overview

Introduction

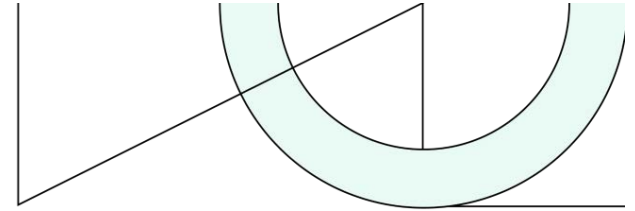
The purpose of this report is to provide the Viridian Farm Public Infrastructure District No. 1 with an overview of the Provo-Orem Market (“Provo-Orem”, “Market”) economy and the Competitive Market Area (“Viridian Farm CMA”, “CMA”) surrounding the Subject Property to provide insights about the positioning and absorption potential of the product within the District. The Viridian Farm Public Infrastructure District No. 1 planned development includes 716 for-sale units including 466 attached townhomes, and 250 single-family detached home sites with lot sizes ranging from 5,400 square feet to +/- 21,000 square foot lots. The District is a portion of the larger Viridian Farm development. The Viridian Farm development is planned on over 725 acres with +/- 2,020 total units. This market study will only focus on the first 716 units planned for Public Infrastructure District No. 1. Per the Developer, the first planned closings will occur in 4Q of 2024.



Surrounding Services and Amenities

Introduction

Viridian is located in-between Interstate 15 and US Highway 89, providing convenient access to the desirable amenities and retail centers.



A variety of major grocery stores are located in proximity including Stoke's (1.9 miles), Costco (5.1 miles), and Walmart (3.2 miles).



The Oaks at Spanish Fork is 2.4 miles to the east (5 minutes) and Gladstan Golf Course is 7.0 miles south (15 minutes). There are multiple disc-golf courses within 10 miles as well as several simulated golf facilities.



There are a variety of nearby gas stations including multiple Chevrons (2.3 and 3.1 miles), Exxon (2.5 miles), and Sinclair Gas Station (3.7 miles).



There are multiple parks and trail heads within proximity to the Subject Property. Poplar Lane Trailhead is just one mile north and Spanish Fork River Trailhead is 2.6 miles north. Spanish Fork Sports Park (3.4 miles) features 10 baseball fields, 6 tennis courts, 16 pickleball courts, and sports fields



Boutique retail shopping can be found along Main Street in Payson to the southwest, while big box retail and entertainment is available in the nearby Provo Town Center, 12 miles north.



The 124-bed Mountain View Hospital is located 5.1 miles southwest in Payson. Utah Valley Hospital, a 395-bed Level II Trauma Center is 14.7 miles north in Provo. There is a Revere Health Family Medicine and Urgent Care located 3.5 miles from the site.



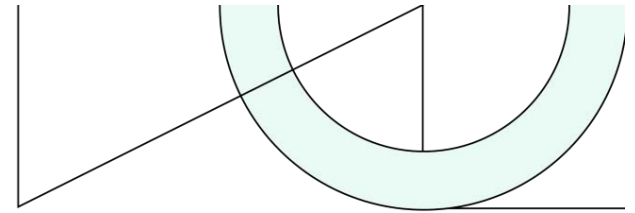
Downtown Salem is just over a 5-minute drive from the community, offering both quick serve and sit-down dining options. There are more options in Payson, 15 minutes southwest.



There are multiple daycare and preschool options available in the surrounding area.

Surrounding Services and Amenities

Introduction



Park City is within convenient access to the east. Park City is home to world class skiing all within one hour of the Subject Site.



The Wasatch Front is home to professional sports teams including the Utah Jazz of the National Basketball Association. The Wasatch Front is also home to two professional soccer teams with Real Salt Lake of the MLS and the Utah Royals FC of the NWSL. Utah Hockey Club begins their inaugural season in the NHL in 2024.



Salt Lake City International Airport is the 21st busiest airport in the United States and is currently under-going a \$5.1 billion redevelopment program as the Wasatch Region continues to grow.



Silicon Slopes is located within an hour up Interstate 15 and is a growing technology corridor that is attracting business to the Wasatch Front region as well as serving as a draw for ancillary business.



The site is under the authority of the Nebo School District, which is ranked 54th among 100 reporting school districts in the State of Utah (according to Schooldigger.com). The schools serving the site are:

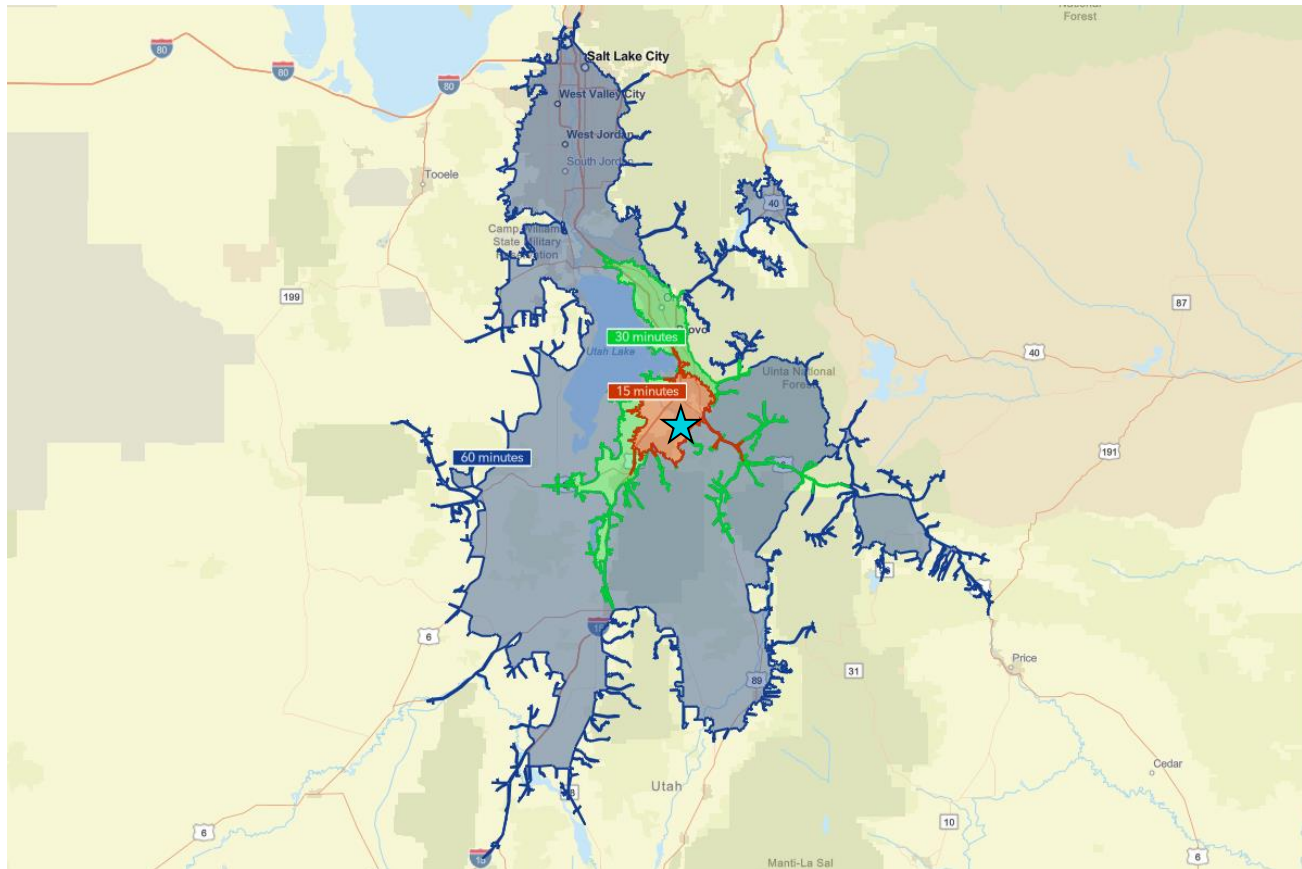
- Salem Elementary (PK-6; 453 students, 3.0 miles to the southwest, with an individual rank of 303 of 561 schools),
- Valley View Middle School (6-7; 887 students, 2.7 miles to the southwest, with an individual rank of 128 of 216 schools), and
- Salem Hills High School (9-12; 1,493 students, 2.9 miles to the southwest, with an individual rank of 59 out of 139 schools).

Site Drive – Time Analysis Map

Introduction

Access to employment is convenient with access to State Highway 89 and Interstate 15. Major employment centers are located to the north in Provo and Orem as well as the rapidly growing Silicon Slopes technology corridor (32.2 miles) and provides high quality jobs as an employment hub in the region.

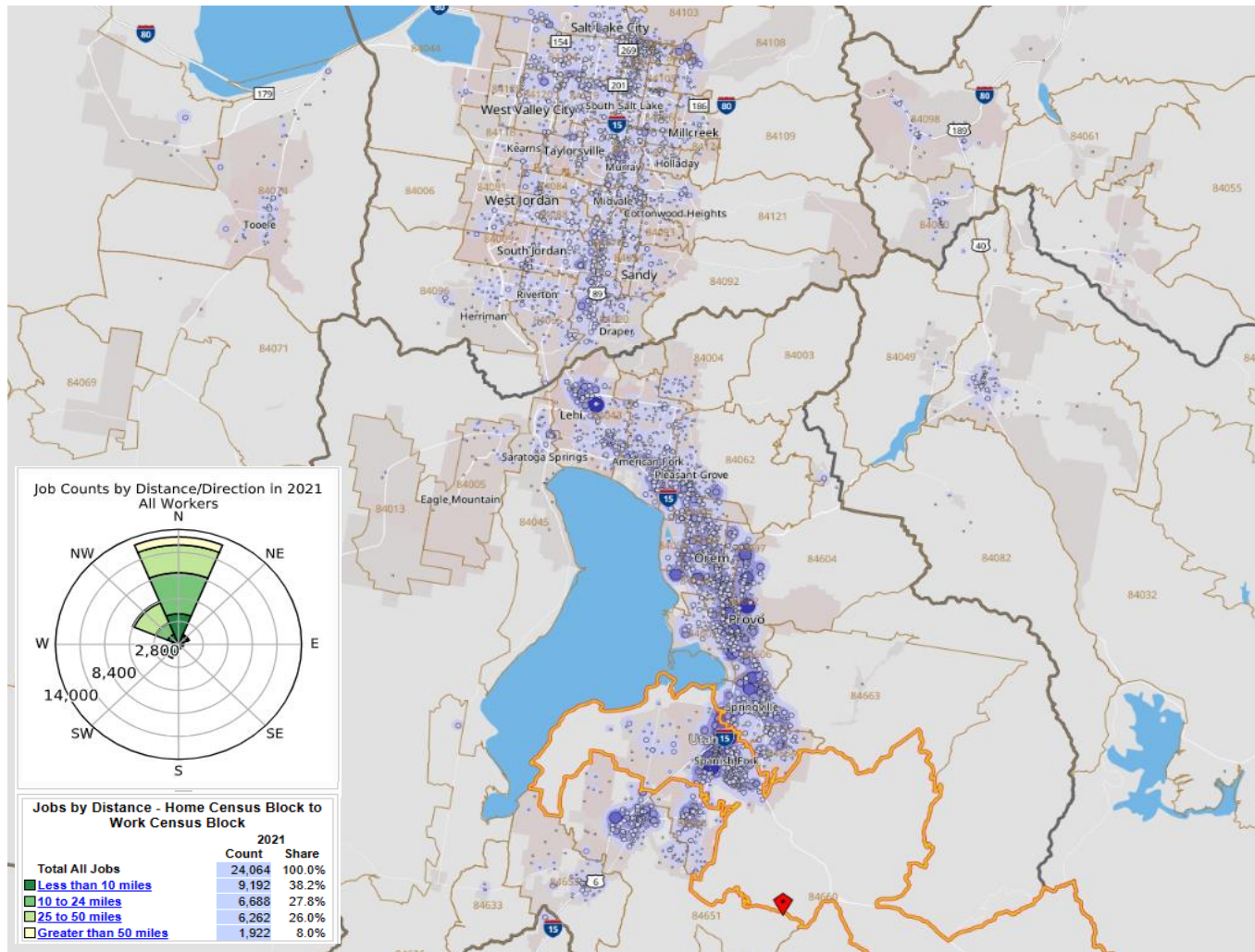
With these and local transit routes, nearly all locations within the Salt Lake and Provo – Orem are within about a 60-minute drive (minus high traffic volume time periods).



Employment Location Map

Introduction

Currently, 28% of residents within the 84660-zip code (where Viridian is located) have a 10–24-mile commute into employment and 38% commute less than 10 miles, so the drive time to the employment centers mentioned previously, will mirror the typical commute time from competitive projects, and should also be compatible with homebuyer expectations.

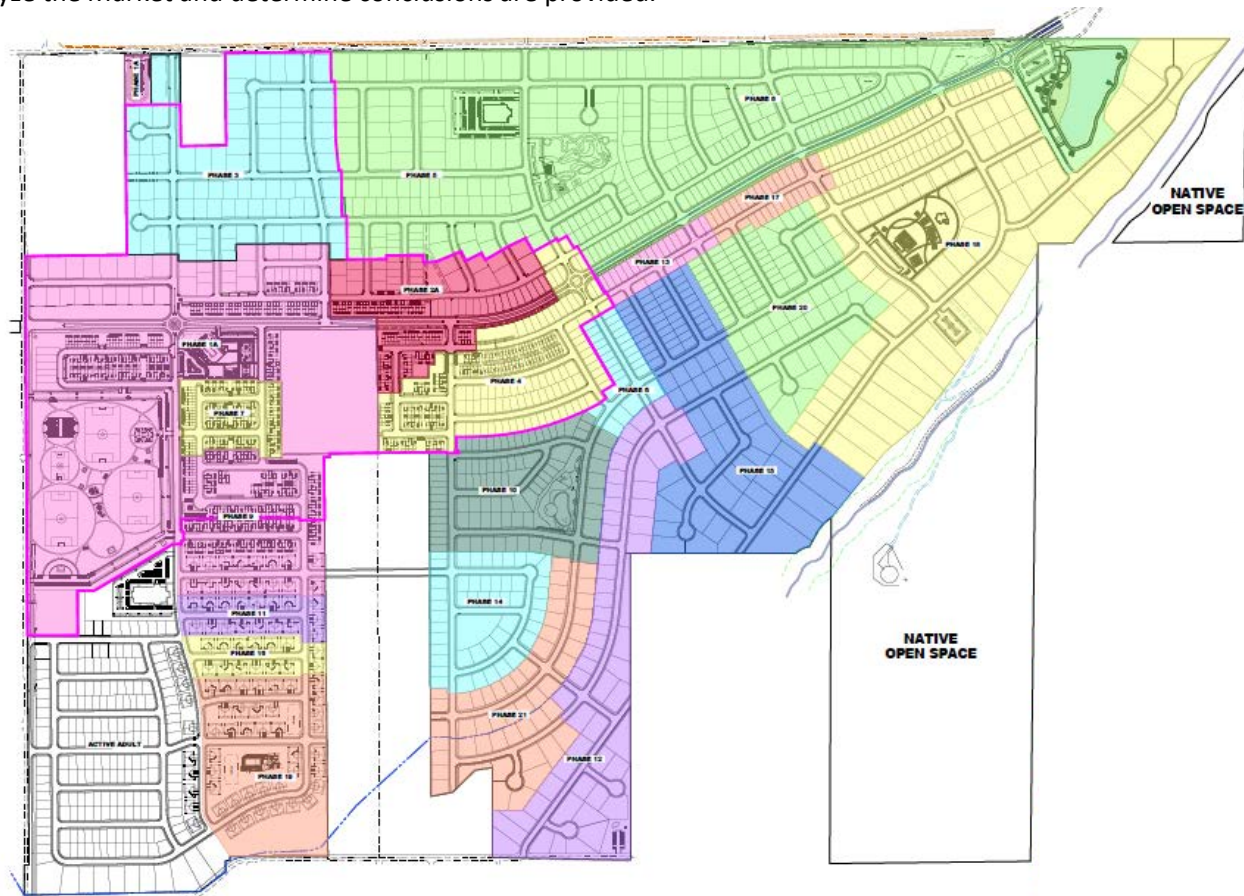


Subject Property Site Map

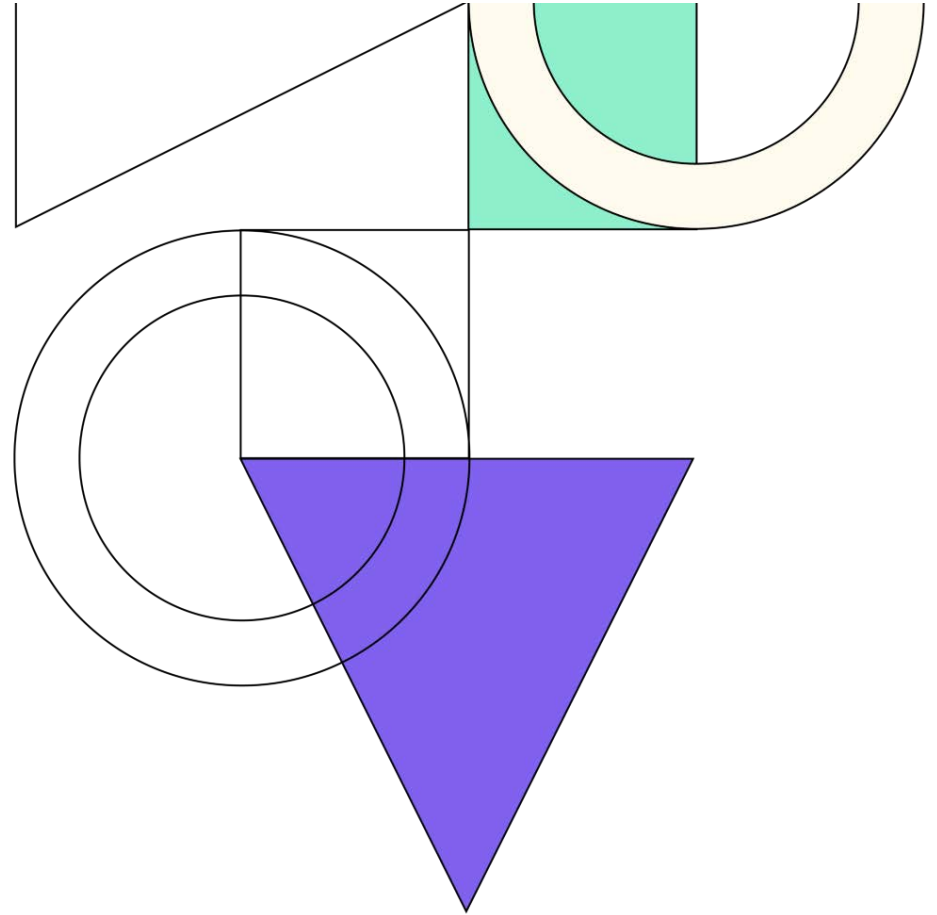
Introduction

Viridian is located in Salem with potentially up to 2,020 residential units with various amenities at complete community build-out. The map below shows the community layout. The focus of this study is District No. 1, which includes 716 total residential units including attached and detached for-sale product lines. Per the District multiple homebuilders have been targeted with DR Horton presently retained to build two planned product lines. Lot deliveries are expected in 2024 with first closings occurring at the end of 2024.

At the end of the narrative of the report, an Exhibit Package has been included in the Appendix. In this package, additional exhibits and information utilized to analyze the Market and determine conclusions are provided.



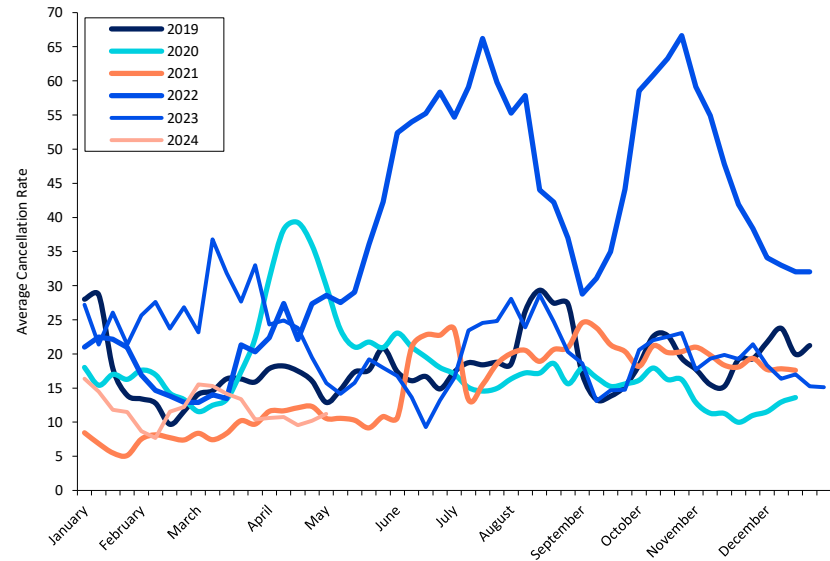
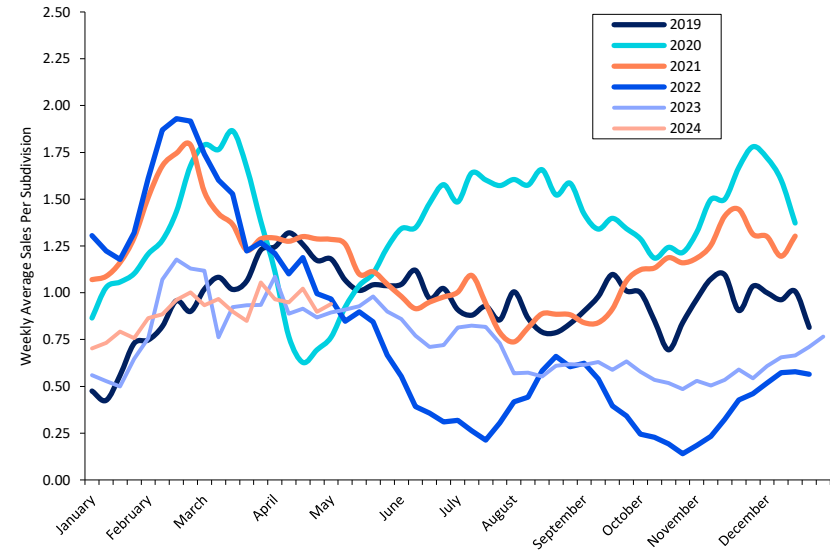
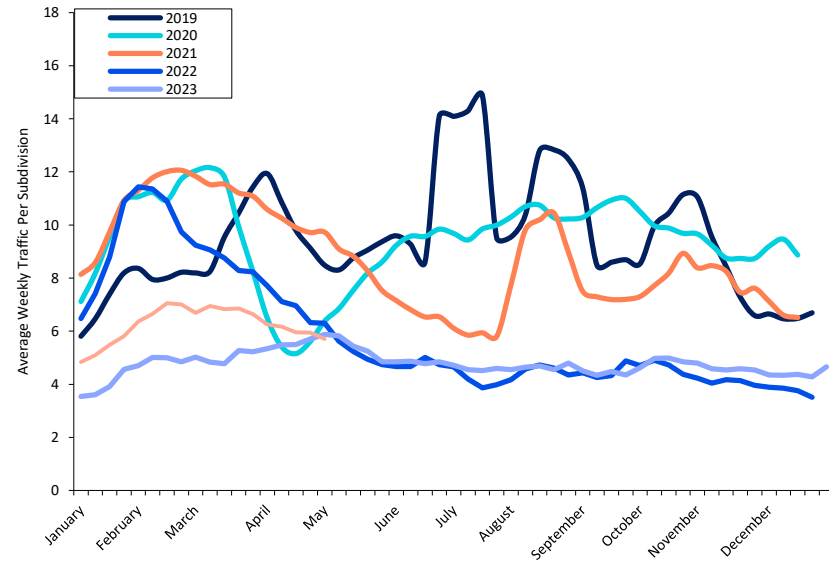
Housing Market Statistics and Analysis



Weekly Traffic and Sales Trends

Housing Market Statistics and Analysis

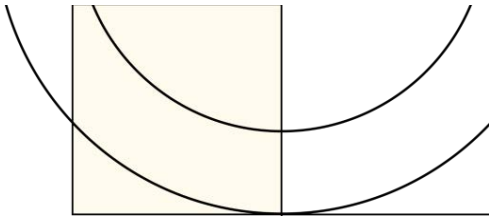
To the right, Zonda's Traffic and Contracts reporting provides another leading indicator of consumer sentiment and activity moving forward. While both consumer traffic (i.e., groups visiting a sales community) and sales contracts dropped precipitously with the rise in mortgage rates in 2022, they improved to during the Spring of 2023 and began to normalize. Contract cancellations also inversely rose sharply but similarly have declined to below historical norms. Traffic per subdivision has remained low as most homebuyers begin the purchasing journey on-line, which is providing a stronger conversion rate with homebuyers.



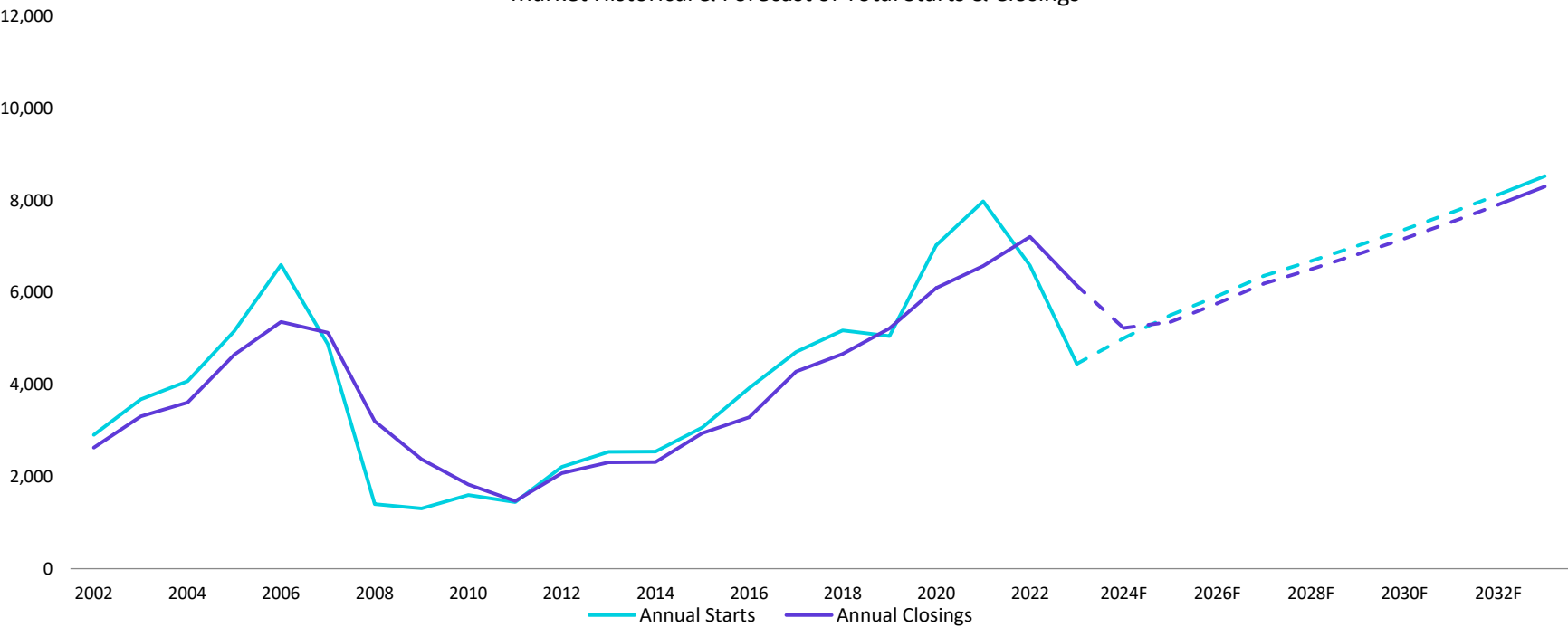
Market Forecast

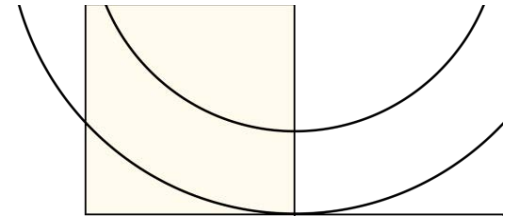
Housing Market Statistics and Analysis

The Provo – Orem Market’s new housing levels saw a +/-32.4% decrease in new home starts and an +/-14.7% decline in annual new home closings from 2022 volume levels to 2023. Start production, however, increased after a more normalized spring selling season with annual starts increasing 25.8% since 3Q23. Annual reported sales appear to have found a bottom in the Spring of 2023 and increased through March 2024. Zonda expects closings to follow suit and find a bottom towards 2Q24 and begin rising through 2024 barring unforeseen events. Still, this drop in volume would mark the lowest closings levels for the Market since 2019, reflecting the shifting dynamics across the Wasatch Front given the changes in the economy. The outstanding questions for 2024 are when inflation declines to reasonable levels, mortgage rates level off, and what price adjustments could occur.



Market Historical & Forecast of Total Starts & Closings

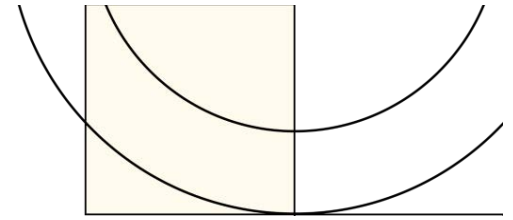




Ongoing Market Influences

Housing Market Statistics and Analysis

- Inflation is trending down but remains above the 2.0% target by the Federal Reserve. This has consumers facing high costs for food, energy, rent, and a range of other goods. The longer it continues to remain high, purchasing power will continue to decrease. However, there have been signs of consumers beginning to get more comfortable with higher prices. Additionally, the Federal Reserve has been sending signals about potential rate cuts later in 2024 but caution still remains.
- With the tightening on borrowing costs, mortgage interest rates have risen sharply in the past year, with a 30-year FRM rising from 3.22% in January 2022 to 6.75% in mid-March 2024. This has diminished purchasing power for many and increases the financial needs to qualify and provide a down payment for a new home, slowing a sensitive housing industry that must adjust to a reality of 6.0-7.0%+ mortgage rates.
- Population growth is slowing. Migration inflow has slowed as housing affordability concerns elevate, while the overall net population like the nation, have turned down with rising death counts, fewer births, and stalled international in-migration as an impact from the pandemic. As affordability diminishes, more transient households find barriers to home ownership and will look towards more affordable locations. However, the Market is still expected to grow over the next five years at an average rate of 2.2% per year or over 16,500 new residents.
- Geopolitical uncertainty. The Russian-Ukrainian and Middle East conflicts and related Western response has moved the global economy into greater potential for uncertainty increasing the potential of recessionary influences across the world.
- Job growth and low unemployment rate levels remain the strongest economic factors against a potential recession, but they also tend to be lag indicators, particularly unemployment. The Market continue to add jobs, however, at more normalized rates of annual growth.

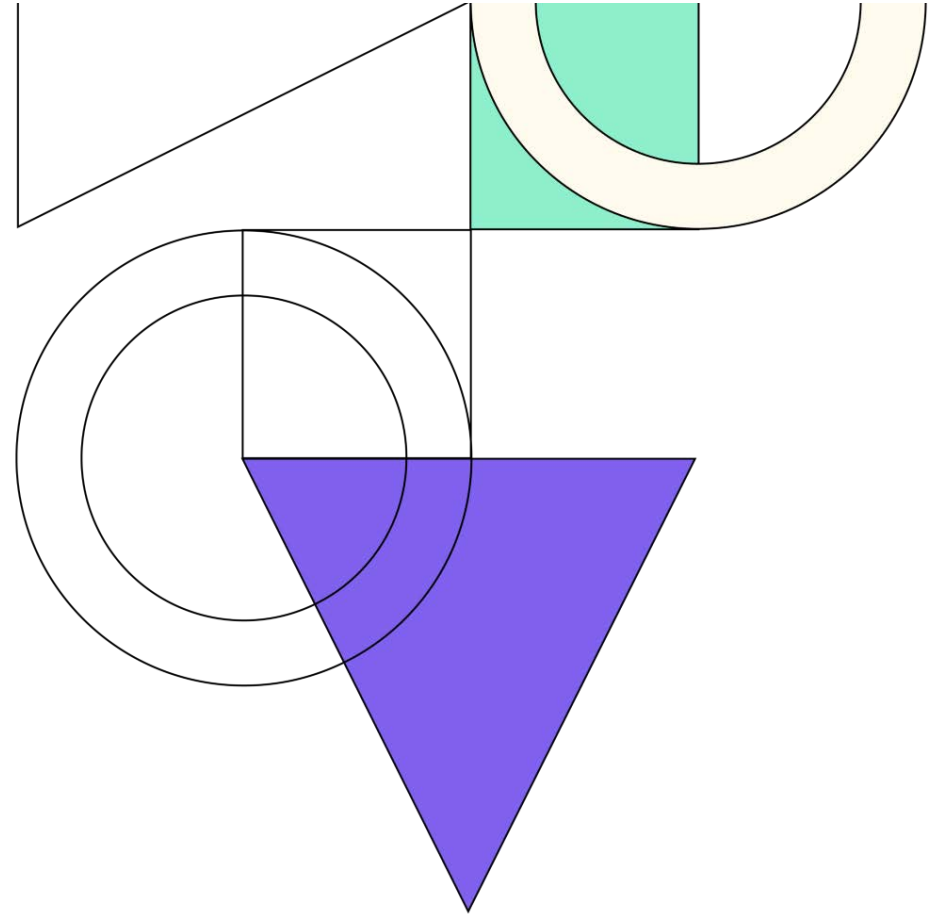


Ongoing Market Influences (continued)

Housing Market Statistics and Analysis

- The duration and depth of the significant supply/demand imbalance. Concerns about a recession, diminished affordability, and price corrections have kept sales contracts low at the end of 2022 and the start of 2023 before beginning to normalize during the Spring selling season. New home builders will continue to keep start production low and focus on inventory management in the short term. Spring 2023 saw an increase in sales that correlated to an increase in start production, but the potential of a gap in supply still exists. Potential declines in demand will decrease pressure on the supply side, allowing operational efficiency to get a foothold and cycle times should improve.
- While still early in the Market with many communities considering the option, but only a few actively open, the rise of Build-for-Rent (“BFR”) community development figures to delay and shift some demand away from home purchases. This may be a welcome addition if it serves as a bridge between renting and buying while monthly mortgage payments trend up. Given the current market, the BFR impact is likely to be delayed as those not yet constructed adjust to the new economic environment.
- Millennial demand continues to enter the market. This generation is now in traditional home-buying ages (life cycle/families); and with little-to-no debt and low (albeit rising) mortgage rates, will continue expanding their share of the buyer population in the years to come. Additionally, over the next few years Generation Z will begin entering the early phases of homebuying adding more potential buyers to the Market.
- High municipal, raw water, and land costs.
- Stock market volatility.
- Zonda Advisory will continue to monitor the market and update our Economic Indicators Addendum as further events unfold.

Competitive Market Analysis

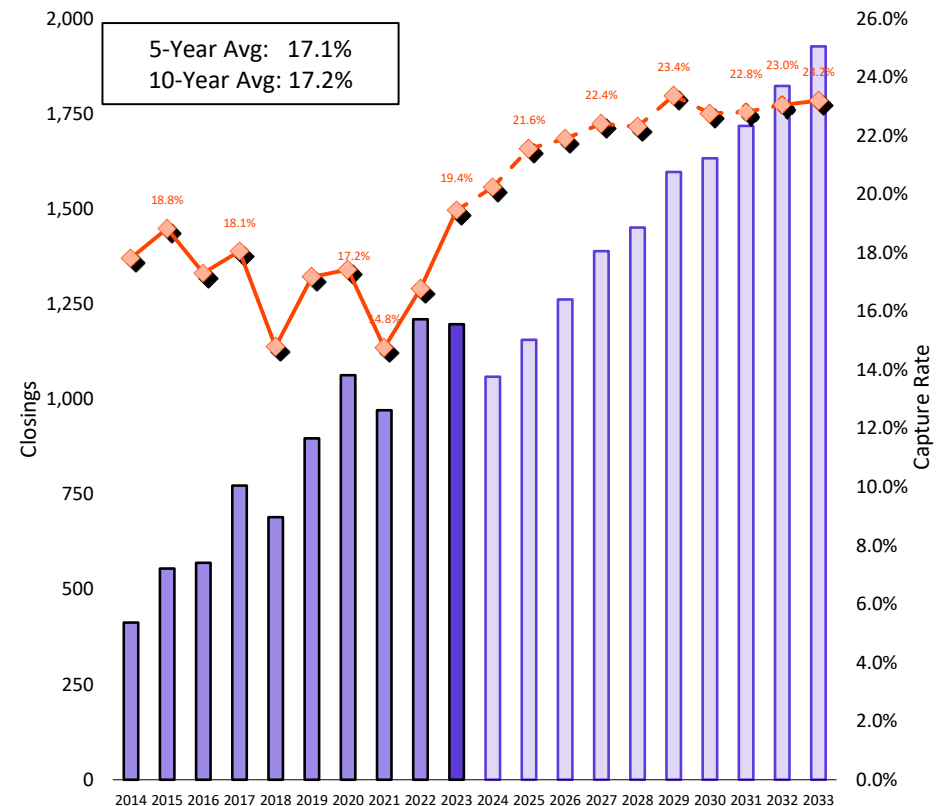


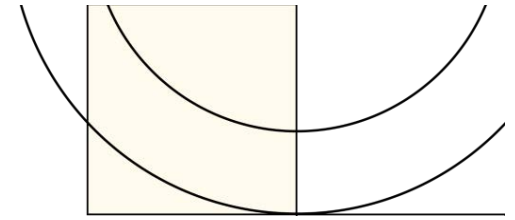
CMA Ten – Year Forecast & Market Capture

Competitive Market Analysis

In reviewing the most competitive master planned communities and subdivisions within the CMA, Zonda Advisory coupled data obtained from its quarterly survey database with field research, wherein the various developments and site locations were inspected, and sales agents and developers were interviewed.

- Historically, the CMA has been one of the top growing sub-areas of the Wasatch Front due to drive time, economic growth, and specifically, the housing market. As areas north along Interstate 15 continue to build out, development will be pushed east to Eagle Mountain, and south towards the Subject Property.
- Over a five-year period between 2003 and 2007, the CMA averaged 599 annual home closings, its peak year since our survey began, at 805 homes in 2007.
- By the end of 2007, the CMA began experiencing annual closings drop with quarterly closings beginning to drop in 2Q07. The CMA also saw its market share stay below 15% as the economy began to turn.
- Following continued declines in annual starts, the CMA hit a trough of 211 in 4Q11 before embarking on a slow upward trajectory through the next ten years. There were only two quarters (1Q18 and 4Q19) where annual starts declined nominally prior to 2022 starts dropping to 966 by 3Q23 from 1,473 in 4Q21.





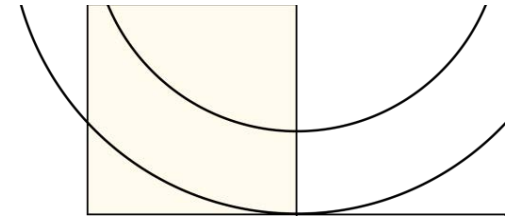
CMA Ten – Year Forecast & Market Capture (cont.)

Competitive Market Analysis

- Annual starts began to increase after hitting a trough in 1Q23 at 848 and rising to 1,191 by 1Q24. Quarterly starts within the CMA have also been increasing after only showing 141 total starts in 1Q23. As the market began to normalize starts have been increasing along with sales when lots have been available to the CMA.
- Annual new home closings followed a similar path to annual starts with closings hitting a trough in 4Q11. Closings continued their upward trajectory peaking in 4Q22 before experiencing a potential bottom in 3Q23 with 1,169 annual closings. Through 1Q24, annual closings have been rising with an increase of 10.4% from 3Q23 to 1Q24.
- Annual lot deliveries peaked in 3Q21 at 1,610 as the high-water mark since Zonda began tracking the market before seeing a decline to 1,072 by 3Q22 before rising to 1,902 in 3Q23. This shows the up and down nature of lot deliveries in the CMA. Annual lot deliveries are at 1,024 as of 1Q24 down from 1,747 in 1Q23, which is a decline of 41.4% YoY. As sales and starts increase more lots will be needed in the CMA with months of supply declining to 17.8 months as of 1Q24 from 27.4 months one year prior.

On the previous page is an illustration of the CMA's historical and projected closings volumes and capture rates of the Market. Actual annual closings within the CMA are noted from 2014 through 2023 in the solid purple columns. The solid orange line represents the CMA's capture of all annual closings within the Market. A housing forecast for 2024 through 2033 is provided, identified by the light purple columns. More discussion of these figures is offered in the following pages concentrating on the CMA's Housing and Lot Supply Build-out model. The forecasted annual closings totals are derived from the Market housing forecasts. Zonda Advisory believes that as the Market's new housing activity moves forward, the CMA is likely to maintain a high share of market activity, if developable land can keep pace with demand. This conclusion is based on the economic trends outlined within this analysis and existing supply constraints in other areas of the Market, which continue to push demand into the CMA.

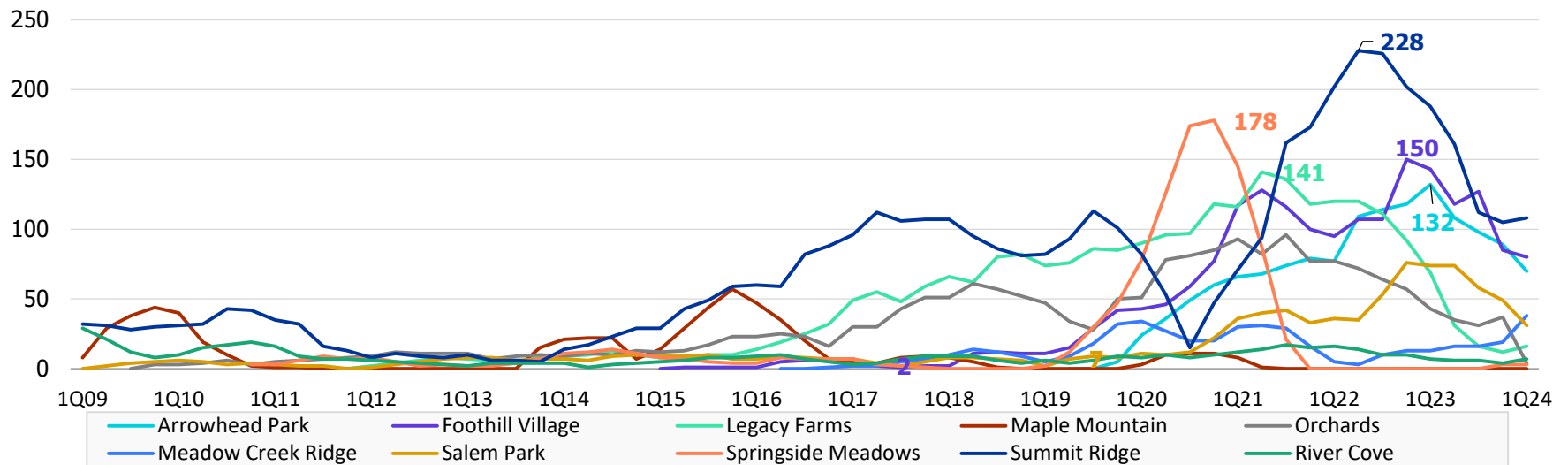
As can be seen within the following exhibits, the CMA is composed primarily of mid-size master planned communities with a mix of single and multiple builder-controlled developments. In addition, as shown on the following exhibit, individual project volumes fluctuate from year to year depending on the life stage of the community (introduction, growth, maturity, and closeout), as well as when lots are delivered and made available in the individual communities.



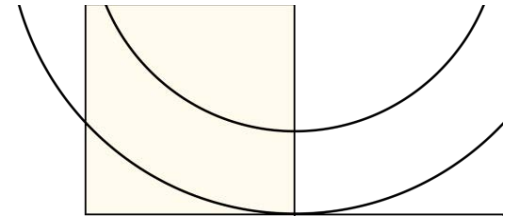
CMA Communities Historical Trends & Peak

Competitive Market Analysis

Summit Ridge (108 closings, 8.4% capture rate), Foothill Village (80 closings, 6.2% capture rate), Arrowhead Park (70 closings, 5.4% capture rate), and Meadow Creek Ridge (38 closings, 2.9% capture rate) have been the most active communities in the CMA in terms of velocity through 1Q24, combining for nearly 23% of the market.



MPCs	Built-Out	Lots Remain	VDL	Home Inv	Ann Starts Capture	Historical Capture Peak & Qtr.	Ann Close Capture	Historical Capture Peak & Qtr.
Arrowhead Park	13.5%	2,368	107	15	6.1%	10.5% 4Q22	5.4%	11.0% 1Q23
Foothill Village	93.3%	36	13	23	6.0%	12.3% 4Q20	6.2%	12.4% 4Q22
Legacy Farms	97.4%	17	14	3	0.8%	13.8% 3Q18	1.2%	12.9% 2Q21
Maple Mountain	100.0%	0	0	0	0.0%	12.8% 3Q09	0.0%	10.3% 4Q15
Orchards	46.0%	361	6	1	0.1%	11.5% 4Q20	0.3%	9.0% 3Q21
Meadow Creek Ridge	49.0%	152	76	37	3.7%	3.7% 1Q24	2.9%	3.6% 1Q20
Salem Park	96.1%	9	5	4	2.3%	6.0% 1Q22	2.4%	6.3% 4Q22
Springside Meadows	96.1%	11	5	0	0.3%	18.8% 1Q20	0.2%	17.3% 3Q20
Summit Ridge	66.7%	626	205	97	13.4%	22.3% 4Q21	8.4%	21.4% 2Q22
River Cove	92.7%	16	15	1	0.2%	6.0% 4Q10	0.5%	7.2% 3Q08
Combined Total	---	3,596	446	181				



Lot Supplies

Competitive Market Analysis

Through the end of 1Q24, there were 1,770 vacant developed lots and an estimated 4,210 undeveloped future lots in actively selling communities within the CMA. In addition, future projects currently moving through the development process will continue to enter the market in the next decade, pending entitlement approvals, development financing and ultimately, land development. These future proposed communities have an additional 12,615 potential lots (many of these lots are conceptual and still raw land). Based on the closing pace of 1,290 new homes closed in the CMA through 1Q24, the lots identified in the active communities equate to 4.6 years of potential supply. The future proposed lots equate to another 9.8 years of potential supply.

For the purpose of understanding market supply in the years ahead, we have projected a build-out of active CMA communities' remaining lots, as well as estimated future projects' lots. This build-out model helps to identify when demand for lots and new home options in this portion of the Provo-Orem Market will no longer be met within the CMA within the framework of the currently active developments. This is a comprehensive list of all known lots in this CMA at the present time, featuring larger communities while grouping together the smaller scale communities. Projected absorptions for 2024 through 2033 are based on reasonable absorption projections of their remaining supply based on past performance and the stage of the community (introduction, growth, mature, close-out). In addition to detached home sites, attached units including townhome, duplex, and condominiums are also reflected within this model.

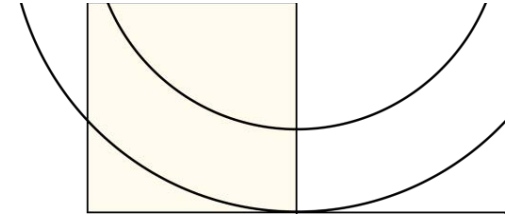
In our model, we have listed the competitive communities with their current housing trends, build-out percentage (highlighted in blue), historical absorption and projected an annual future absorption based on projected growth in the CMA, product segmentation, location strength analysis, and their overall anticipated position within the CMA housing market segment.

Known future planned communities are also represented within the model. All reasonable efforts have been made to determine the conceptual plans of these future communities, but many of these communities, even those fully platted, could face potential delays of one kind or another, changes in product segmentation to reflect market conditions, financing and other variables that could affect their market entry timeline. It is important to remember many are still conceptual and undefined future communities, while seeking a more macro view of the future lot supply within the CMA.

At the bottom of the exhibit, we have listed the CMA communities combined annual closings, as well as their combined historical and projected closing totals, representing the CMA totals based on these community absorptions, and further tracking the forecasted CMA capture rate of closings within the overall Provo-Orem Market. This has been done in coordination with Zonda Advisory's Provo-Orem Market housing forecast. The Provo-Orem Market actual and projected annual closings are also provided.

CMA Projected Buildout Model

Competitive Market Analysis



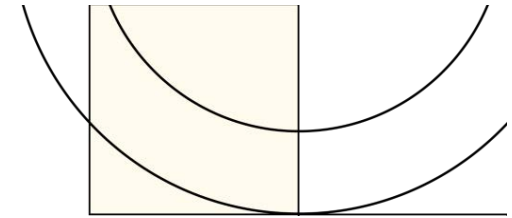
Total New Housing								Actual Historical Closings Volume										Projected Closings Volume											
CMA Selected MPCs	Ann Lot	Ann St	Ann Cl	Hm Inv	VDL Inv	Future¹	Built-Out %	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	Beyond	
Viridian Farms District No. 1	0	0	0	0	0	1,093	0.0%	0	0	0	0	0	0	0	0	0	0	4	172	202	151	96	91	0	0	0	0	377	
Viridian Farms Future Districts	0	0	0	0	0	927	0.0%	0	0	0	0	0	0	0	0	0	0	0	0	0	0	50	125	200	200	200	152	0	
Viridian Farms Total	0	0	0	0	0	2,020	0.0%	0	0	0	0	0	0	0	0	0	0	4	172	202	151	146	216	200	200	200	152	377	
Subject Capture of the CMA	0%	0%	0%	0%	0%	48%	---	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	15%	16%	11%	10%	14%	12%	12%	11%	8%	---	
Active Development	Arrowhead Springs	0	0	0	0	101	1,414	0.0%	0	0	0	0	0	0	0	0	0	25	75	75	100	150	150	150	150	200	250	190	
	Foothill Village	0	71	80	23	13	0	93.3%	0	1	6	2	11	42	77	100	150	85	100	16								0	
	Legacy Farms of Spanish Fork	0	10	16	3	14	0	97.4%	10	10	32	59	82	85	118	118	92	12	25	8								0	
	Mapleton Village	49	81	91	5	59	174	27.7%	0	0	0	0	0	0	0	0	0	78	50	50	50	50	50	29				0	
	Orchards of Santaquin	7	1	4	1	6	354	46.0%	13	23	16	51	52	50	85	77	57	37	25	25	25	50	50	50	50	40		0	
	Payson View Estates	0	5	6	3	17	382	23.1%	0	1	2	2	2	7	3	0	1	4	5	10	10	50	50	50	75	75	83		0
	Quiet Valley	286	307	282	123	58	0	61.8%	0	0	0	0	0	0	0	0	0	183	150	150	150	13						0	
	River Run	70	35	19	35	45	237	10.7%	0	0	0	0	0	0	0	0	17	19	50	75	75	75	61					0	
	Salem Park	0	6	9	5	21	120	53.9%	10	7	7	5	6	8	22	33	76	49	25	25	25	25	25	30					0
	Skye Meadows at Fritz	0	13	2	11	36	270	0.6%	0	0	0	0	0	0	0	0	0	1	25	50	50	50	50	75	69				0
	Summit Ridge	192	159	108	97	205	324	66.7%	29	59	88	107	81	101	47	173	202	105	125	125	125	125	125	109					0
	Villages at Arrowhead Park	0	73	70	15	6	264	56.4%	0	0	0	0	0	5	60	79	118	89	75	75	75	75	55						0
Other (Combined)*	420	430	603	289	1,189	671	84.1%	351	454	419	547	456	599	651	391	497	535	350	100	50	100	100	250	375	425	500	502	0	
Active Summary	1,024	1,191	1,290	610	1,770	4,210	69.7%	413	555	570	773	690	897	1,063	971	1,210	1,197	1,030	784	710	713	741	758	679	700	823	752	190	
Future Development	Arrowhead at Weavers Vineyard	0	0	0	0	0	198	0.0%	0	0	0	0	0	0	0	0	0	0	25	25	50	50	48					0	
	Arrowhead Ranch	0	0	0	0	0	568	0.0%	0	0	0	0	0	0	0	0	0	0	25	50	50	75	75	100	100	93		0	
	Harmony Ridge	0	0	0	0	0	990	0.0%	0	0	0	0	0	0	0	0	0	0		25	50	100	150	150	175	200	290		0
	Hiatt Creek	0	0	0	0	0	204	0.0%	0	0	0	0	0	0	0	0	0	0		25	25	25	50	50	29				0
	Moonlight Village	0	0	0	0	0	808	0.0%	0	0	0	0	0	0	0	0	0	0			50	50	75	125	200	200	108		0
	Fields Estates	0	0	0	0	0	339	0.0%	0	0	0	0	0	0	0	0	0	0		100	125	75	39						0
	New Salem	0	0	0	0	0	2,412	0.0%	0	0	0	0	0	0	0	0	0	0		125	125	150	150	150	150	150	200	1,212	
	Other (Combined)*	0	0	0	0	0	4,161	0.0%	0	0	0	0	0	0	0	0	0	0			100	100	100	200	200	250	425	2,786	
Future Summary	0	0	0	0	0	11,700	0.0%	0	0	0	0	0	0	0	0	0	0	29	372	552	676	710	839	954	1,018	1,000	1,175	4,375	
CMA								413	555	570	773	690	897	1,063	971	1,210	1,197	1,059	1,156	1,262	1,389	1,451	1,597	1,633	1,718	1,823	1,927	NA	
Market								2,318	2,948	3,293	4,282	4,665	5,222	6,102	6,579	7,213	6,155	5,232	5,363	5,765	6,197	6,507	6,832	7,174	7,533	7,909	8,305	NA	
CMA Capture of Market:								17.8%	18.8%	17.3%	18.1%	14.8%	17.2%	17.4%	14.8%	16.8%	19.4%	20.2%	21.6%	21.9%	22.4%	22.3%	23.4%	22.8%	22.8%	23.0%	23.2%	NA	

Notes:

- ¹ Future lot counts are based on currently known breakouts of lots already identified within the Competitive Market Area. This figure may increase/decrease as future development parcel plans are realized.
- ² 2024 forecast is based on the actual preliminary housing trends through the first quarter of 2024 (based on Zonda's lot-by-lot survey) with projected results for the following quarters based on current activity and Zonda Advisory's research.
- ³ Information including total lots, closing pace and market entry time frames are estimated for all future communities based on information collected from developers and planners. Some of these future communities may have additional lot counts and sizes as several have not yet been platted. There may be additional future communities currently unknown at this time that enter the market during this time period; some of the communities listed may ultimately not enter the market. Actual lot counts and product type may prove different than information collected at this time.
- ⁴ Other (Combined) represent the combined total of remaining CMA subdivisions identified at this time, both within Active and Future segments.

This model tracks a moving target with many variables and requires amending over time as existing and future competition evolve. The CMA finished 2023 with a Market closing capture rate of 19.4%, above the last ten-year average of 17.2% as development and demand pushed south towards the CMA. Given the continued job growth in employment centers, desirability of the area, and demand for homes in the CMA and Market, demand is expected to increase if and when lots are available. **Further, based on the demand in the Market, homes that are marketed and priced within Market demands will have the opportunity to capture a consistent portion of the CMA amid declining lot availability.**

If some of the replacement communities fail to gain traction, due to challenges many developers/landowners face in trying to secure entitlements, water, services, and financing, the potential for existing communities to gain market volume exists. Success will be dependent on each of these communities' relevance to the consumer based on work commute times, price attainability, and lifestyle.



Demand Analysis

Competitive Market Analysis

The assessment of housing demand and market capture is an iterative process with numerous ever-changing variables to consider. We have approached demand using our projected new home closings forecast within the Market. We accounted for demand based on a review of all active and future lots within the CMA, and all the variables previously discussed to generate a supply-based CMA capture rate (as noted within the build-out model). From there, we reviewed the ratio of currently active to future planned lots, the transition of communities to build-out, and plausible timelines for new communities. We then reviewed demographic and economic trends and the outlook for new housing supply availability, and projected a CMA capture rate, estimated at an average of 21.73% over the next five years (22.4% over the next ten years) in a CMA beginning to see market share decline due to limited known lots. We then calculated a potential demand variance of +/- 3.0% to account for unknown factors that could cause a negative or positive market movement from our estimate. This demand analysis is consistent with historical trending and current projected upward growth within the CMA. While we believe that these figures represent a realistic view of the Market based on our experience, these types of demand models are best served as points of discussion.

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
	Actual					Forecast									
Market Closings Projections ¹	5,222	6,102	6,579	7,213	6,155	5,232	5,363	5,765	6,197	6,507	6,832	7,174	7,533	7,909	8,305
Total CMA Capture ²	897	1,063	971	1,210	1,197	1,059	1,156	1,262	1,389	1,451	1,597	1,633	1,718	1,823	1,927
	17.2%	17.4%	14.8%	16.8%	19.4%	20.2%	21.6%	21.9%	22.4%	22.3%	23.4%	22.8%	22.8%	23.0%	23.2%
Active Community Capture ³	897	1,063	971	1,210	1,197	1,030	784	710	713	741	758	679	700	823	752
	100%	100%	100%	100%	100%	97%	68%	56%	51%	51%	47%	42%	41%	45%	39%
Future Community Capture ⁴	0	0	0	0	0	29	372	552	676	710	839	954	1,018	1,000	1,175
	0%	0%	0%	0%	0%	3%	32%	44%	49%	49%	53%	58%	59%	55%	61%
Viridian Farm Total Closings & Capture	0	0	0	0	0	4	172	202	151	146	216	200	200	200	152
	0%	0%	0%	0%	0%	0%	15%	16%	11%	10%	14%	12%	12%	11%	8%
Potential Demand Variance ⁶															
CMA @ 19.4% Capture	NA	NA	NA	NA	NA	-46	-118	-146	-189	-191	-274	-244	-260	-292	-319
CMA @ 25.4% Capture	NA	NA	NA	NA	NA	268	204	200	183	199	136	186	192	183	179

Notes:

¹ Annual closings for 2019 to 2023 are based on the deed closing results for the CMA. Future annual closings between 2024 through 2033 are forecasted by Zonda Advisory. This level of sales can only be achieved if the housing market fundamentals continue to improve and homebuilders offer appropriately priced product in locations with price ranges in demand by the homebuying public.

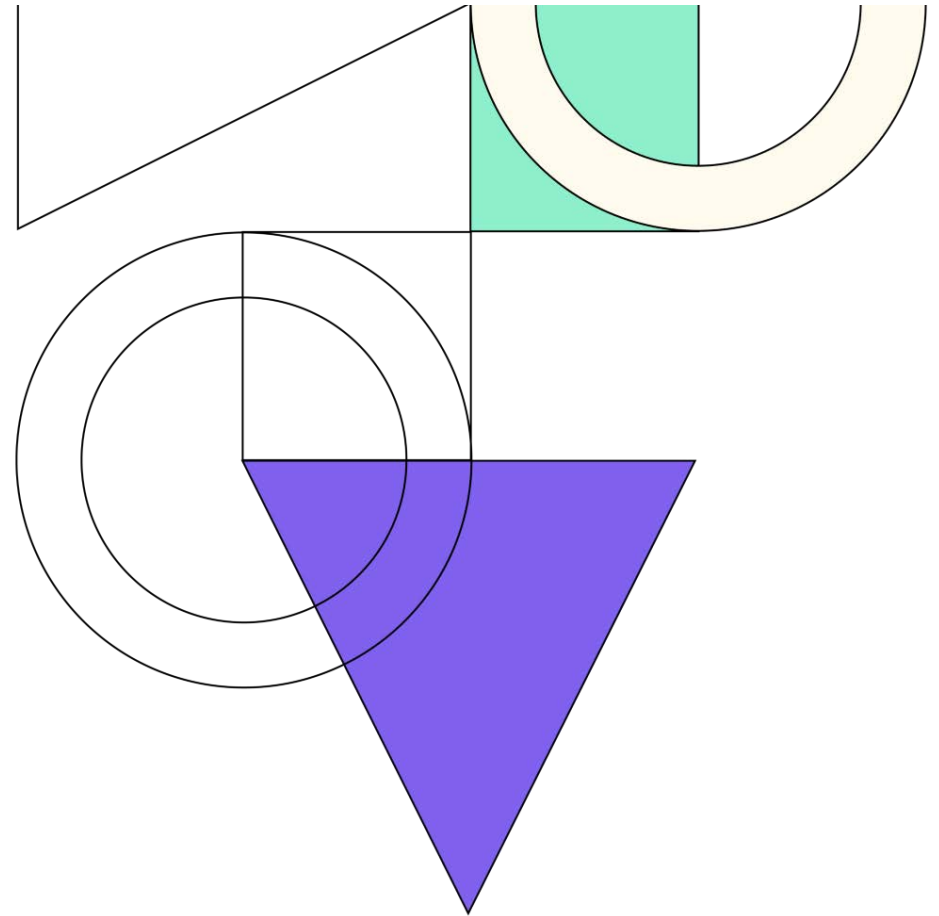
² Includes all annual closings within the CMA per Zonda Advisory. Market share percentages between 2019 and 2023 are actual capture rates. Future closings within this segment were forecasted based on estimated capture rates that follow established start production and closing trends which are consistent with those listed in previous exhibits.

³ The combined total of all currently active selling communities' related closings within the CMA. 2019 through 2023 figures are actual capture counts, therefore equal 100%. Future closings with this segment were forecasting based on historical and anticipated absorption of these same communities within the CMA up until their completion.

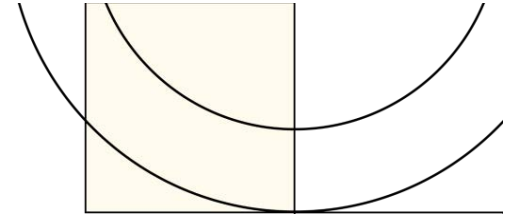
⁴ The combined total of all currently future planned communities and their closings within the CMA. Years 2019 through 2023 will not have any activity since these communities are yet to enter the market. Future closings within this segment were forecasted based on estimated market entry for each community and anticipated absorption given what is currently known about each potential community. As with any future plans, all estimates are subject to change. Given today's current housing development environment, it is very possible that some of these communities may never be fully realized, may enter the market at another time than projected, and/or that additional communities currently unknown may enter the market over the next ten years.

⁵ Based on the absorption analysis for the Subject Property, as shown within the build-out model.

⁶ Zonda Advisory acknowledges the possibilities of a variance in demand brought on by unforeseen circumstances such as interest rates spikes, gaps in lot deliveries and the ebb and flow of consumer confidence brought on by a variety of factors. Therefore, we have shown a +/- 3.0% variance from the average capture rate.



Conclusions



Absorption Conclusions

The District should continue to support significant demand in the CMA with its known and planned homebuilders, product offerings, and price points. It offers access to employment centers within a market area where increasing demand has been evident when homes are offered for sale. The community will appeal to multiple homebuying segments given the trends in the larger CMA. Competition should remain in-demand as neighboring projects in the CMA buildout during the life cycle of the Subject Property. Overall, Zonda Advisory believes Viridian Farm has the potential to be one of the top performing communities in the Wasatch Front.

Based on this review of the competitive market area and the information provided by the District regarding the Subject Property, lot deliveries and product concepts, Zonda Advisory has provided an absorption schedule forecast for the community (set forth below), which we believe is reasonable and supported within this report.

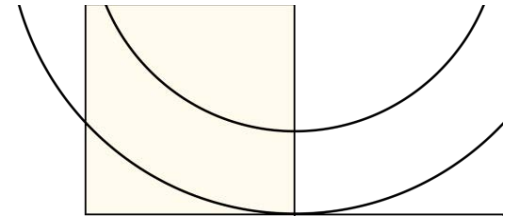
Product Type ³	Average Close Price ¹	Unit Mix ²		Pre- 2024	2024				2025				2026				2027				2028				2029				2030				2031				2032				2033			
		Lots	%		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4								
Rear-Load Tow nhome	\$365,620	139	19.4%	0					8	15	15	15	15	15	15	15	11																											
Front-Load Tow nhome	\$394,910	327	45.7%	0					4	12	12	12	12	12	12	12	16	24	24	24	24	24	24	24	24	24	19																	
Alley-Load Cottages (5,400 Lots)	\$434,350	30	4.2%	0					4	10	10	6																																
Front Load Cottages (5,400 Lots)	\$492,150	88	12.3%	0					2	9	9	9	9	9	9	12	12	8																										
8,000 Lots (DR Horton)	\$563,750	23	3.2%	0				2	8	8	5																																	
12,000 Lots (DR Horton)	\$635,500	67	9.4%	0				2	7	7	7	7	7	7	8	8	7																											
18,000 Lots	\$709,813	41	5.7%	0					2	5	5	5	5	5	6	6	5	2																										
21,000 Lots	\$761,063	1	0.1%	0						1																																		
Total		716	100.0%	0	0	0	0	4	15	36	63	58	54	48	50	50	51	41	35	24	24	24	24	24	24	24	19	0	0	0	0	0	0	0	0	0	0	0	0	0	0			
				0	4				172				202				151				96				91				0				0				0				0			

Notes:

¹ Average Close Price was calculated as the average among a representative sampling of builder floor plans (if available) selling as base prices with a lot premium average and option/upgrade package estimate based on all currently available information regarding the Subject Property as provided by the developer and homebuilder, and an analysis within the competitive market.

² Unit and product line mix is based upon market estimates, current, and preliminary information from the developer and rough estimates on unit counts. Market entry may need to be adjusted based on development timelines.

³ Product sizes and types have been estimated based on market demand.



Absorption (cont.)

Conclusions

Based on this product offering and trends in the surrounding CMA, Zonda Advisory believes that the District has the potential to absorb up to 202 homes during its peak year of 2026 with all product lines selling. With the current scheduled lot delivery, anticipated continuing sales and home closings, we estimate full District build-out to occur by 2032 barring any significant setbacks.

The CMA's capture rate of the Market has averaged 17.1% over the past five years (2019 to 2023), and finished 2023 at 19.5%, an indication of the increasing demand in the CMA. Looking ahead, the CMA share of start production market-wide was 23.9% through 4Q23, and closings accounted for 19.5%. Based on current economic and competitive conditions, land availability, and established history of the area, Zonda Advisory estimates the future capture rate of the CMA will increase as developable lots decrease without known replacement lots over time and has the potential to continue increasing closings as developable land dwindles in northern Provo – Orem. Zonda Advisory believes that the District has the potential to capture between 8.0% and 16.0% of the CMA's total home closings during the Districts development, which seems reasonable given previous capture rates by similar sized communities in the Market, and the potential demand for housing within the CMA.

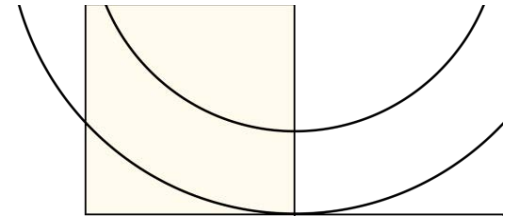
If the Market achieves greater volumes than those forecasted by Zonda Advisory, absorption potential would obviously increase. On the other hand, if a down cycle occurs within our current projection, Market volumes may fall off pace, resulting in potentially lower absorption. And finally, should other communities build-out earlier than expected, or run short on available lots, capture rates would also increase (at the same time, if other competition emerges sooner than expected, capture rates could potentially decline).

Price Positioning

Conclusions

Zonda Advisory has evaluated the CMA in terms of price positioning, absorption levels, and market share. The recommendations and conclusions of Zonda Advisory with respect to estimated pricing for the Subject Property, which are based on present competition and market conditions, are set forth on the following page. We have utilized plan and price information on product offerings at the community based on assumptions and plans as provided by the developer, coupled with fieldwork to evaluate the competitive area. Pricing for future releases may need adjustment as the Market continues to evolve.

These prices represent the current minimum base price for all active product lines within the Subject Property. These base prices were matched against other competitive offerings base prices within the CMA. To calculate average closing prices, past deed records were reviewed and values for lot premiums and options/upgrades were estimated based on field data collected from interviews with sales agents and a review of deed records. Premiums varied based on the product line offered and consumer targeted. Lot premium values are typically based on orientation, size, topography, and the quality of views and open space behind the home site. Typical options/upgrades are the addition and finishing of basements and improvements to kitchens, bathrooms, and floorings from the base offering by the homebuilder. These additional options and upgrades will assist the District in achieving strong additional revenue. For details per product line on estimated premiums and options/upgrades, please refer to the Pricing Program on the next page.

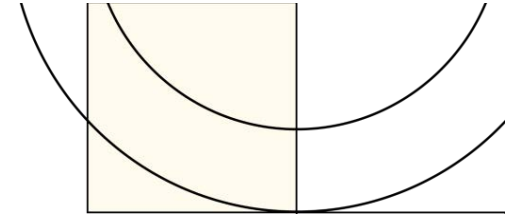


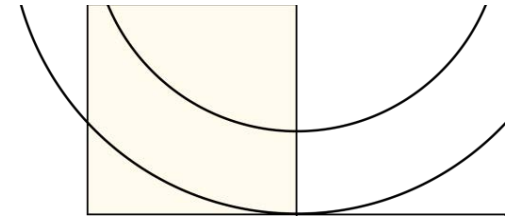
Price Positioning (cont.)

Conclusions

		— Typical Spending — Estimated				Est.	
Subject Property		Size	Base	Options /	Lot	Closing	Closing
Product Details		(SF)	Price	Upgrades	Premiums	Price	\$/SF
REAR-LOAD TOWNHOME TBD VIRIDIAN SALEM							
Product:	Townhomes	1,290	\$335,000	\$0	\$3,350	\$338,350	\$262
Configuration:	Attached	1,311	\$340,000	\$0	\$3,400	\$343,400	\$262
Lot Dimension:	Attached	1,399	\$350,000	\$0	\$3,500	\$353,500	\$253
Total Units:	139	2,187	\$390,000	\$0	\$3,900	\$393,900	\$180
		2,247	\$395,000	\$0	\$3,950	\$398,950	\$178
		1,687	\$362,000	\$0	\$3,620	\$365,620	\$217
FRONT-LOAD TOWNHOME TBD VIRIDIAN SALEM							
Product:	Townhomes	1,789	\$375,000	\$0	\$3,750	\$378,750	\$212
Configuration:	Attached	1,842	\$380,000	\$0	\$3,800	\$383,800	\$208
Lot Dimension:	Attached	1,870	\$385,000	\$0	\$3,850	\$388,850	\$208
Total Units:	394	2,187	\$405,000	\$0	\$4,050	\$409,050	\$187
		2,247	\$410,000	\$0	\$4,100	\$414,100	\$184
		1,987	\$391,000	\$0	\$3,910	\$394,910	\$199
ALLEY-LOAD COTTAGES (5,400 LOTS) TBD VIRIDIAN SALEM							
Product:	Single Family	1,690	\$410,000	\$0	\$8,200	\$418,200	\$247
Configuration:	Detached	1,816	\$425,000	\$0	\$8,500	\$433,500	\$239
Lot Dimension:	-	1,991	\$442,500	\$0	\$8,850	\$451,350	\$227
Total Units:	74						
		1,832	\$425,833	\$0	\$8,517	\$434,350	\$237
FRONT LOAD COTTAGES (5,400 LOTS) TBD VIRIDIAN SALEM							
Product:	Single Family	2,233	\$472,500	\$0	\$9,450	\$481,950	\$216
Configuration:	Detached	2,334	\$480,000	\$0	\$9,600	\$489,600	\$210
Lot Dimension:	5400	2,407	\$487,500	\$0	\$9,750	\$497,250	\$207
Total Units:	161	2,446	\$490,000	\$0	\$9,800	\$499,800	\$204
		2,355	\$482,500	\$0	\$9,650	\$492,150	\$209

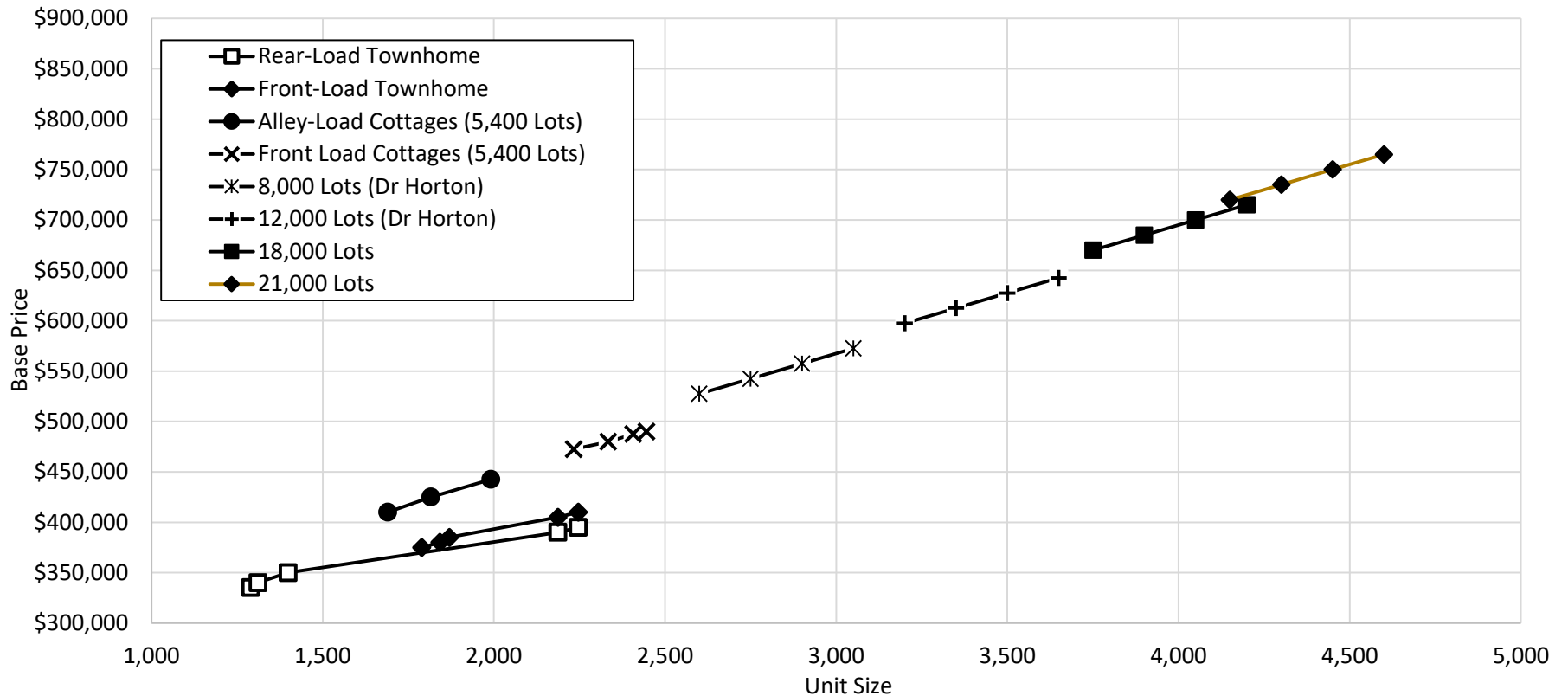
		— Typical Spending — Estimated Est.					
Subject Property		Size	Base	Options /	Lot	Closing	Closing
Product Details		(SF)	Price	Upgrades	Premiums	Price	\$/SF
8,000 LOTS (DR HORTON) DR HORTON VIRIDIAN SALEM							
Product:	Single Family	2,600	\$527,500	\$0	\$13,188	\$540,688	\$208
Configuration:	Detached	2,750	\$542,500	\$0	\$13,563	\$556,063	\$202
Lot Dimension:	8000	2,900	\$557,500	\$0	\$13,938	\$571,438	\$197
Total Units:	50	3,050	\$572,500	\$0	\$14,313	\$586,813	\$192
		2,825	\$550,000	\$0	\$13,750	\$563,750	\$200
12,000 LOTS (DR HORTON) DR HORTON VIRIDIAN SALEM							
Product:	Single Family	3,200	\$597,500	\$0	\$14,938	\$612,438	\$191
Configuration:	Detached	3,350	\$612,500	\$0	\$15,313	\$627,813	\$187
Lot Dimension:	12000	3,500	\$627,500	\$0	\$15,688	\$643,188	\$184
Total Units:	145	3,650	\$642,500	\$0	\$16,063	\$658,563	\$180
		3,425	\$620,000	\$0	\$15,500	\$635,500	\$186
18,000 LOTS TBD VIRIDIAN SALEM							
Product:	Single Family	3,750	\$670,000	\$0	\$16,750	\$686,750	\$183
Configuration:	Detached	3,900	\$685,000	\$0	\$17,125	\$702,125	\$180
Lot Dimension:	18000	4,050	\$700,000	\$0	\$17,500	\$717,500	\$177
Total Units:	75	4,200	\$715,000	\$0	\$17,875	\$732,875	\$174
		3,975	\$692,500	\$0	\$17,313	\$709,813	\$179
21,000 LOTS TBD VIRIDIAN SALEM							
Product:	Single Family	4,150	\$720,000	\$0	\$18,000	\$738,000	\$178
Configuration:	Detached	4,300	\$735,000	\$0	\$18,375	\$753,375	\$175
Lot Dimension:	21000	4,450	\$750,000	\$0	\$18,750	\$768,750	\$173
Total Units:	23	4,600	\$765,000	\$0	\$19,125	\$784,125	\$170
		4,375	\$742,500	\$0	\$18,563	\$761,063	\$174





Price Positioning (cont.)

Conclusions



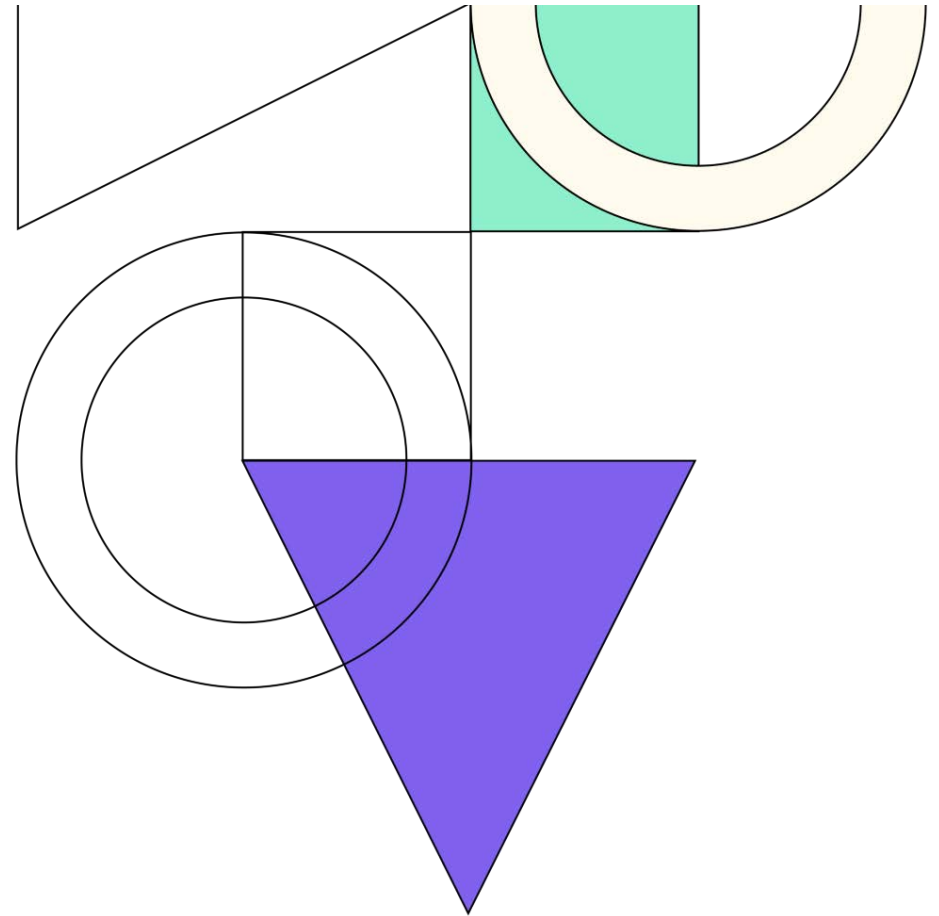
--- Notes ---

s Product prices and plan information for the Subject Property is based on all currently available information regarding the Subject Property as provided by the Developer, and identified homebuilder(s). Additional assumptions and estimates have been included based on an analysis within the competitive market to determine the most likely additional product information.

s Average prices for the Subject Property is based on all currently available information regarding the Subject Property, as provided by the Developer and Homebuilder(s). Plan information used was from actively selling product lines when available, and when not, from the developer and homebuilder(s), as well as a compilation of competitive market information for the most reasonable product comparison.

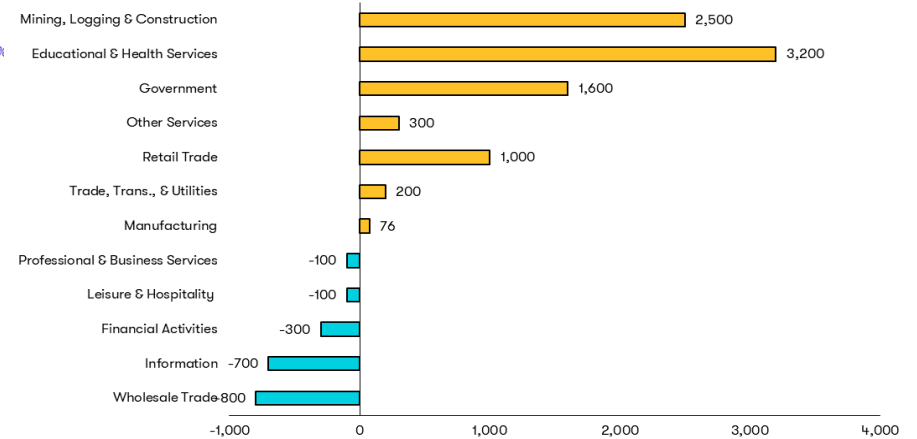
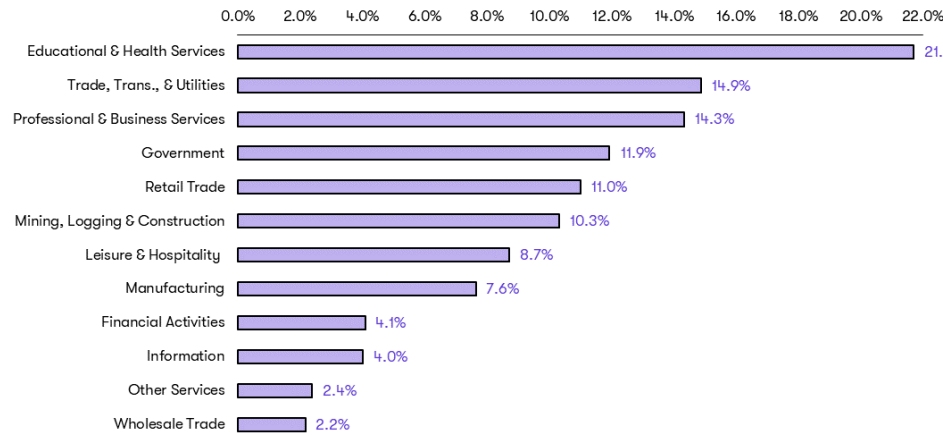
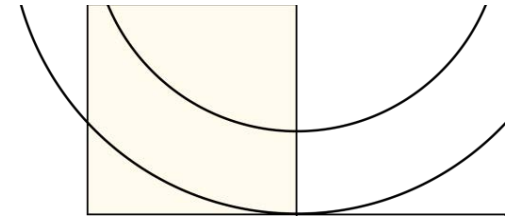
s All information is based on current market conditions. Pricing at the Subject Property's release may need adjustment. Zonda Advisory expects a minimum of 3% annual home value appreciation in the District.

Appendix



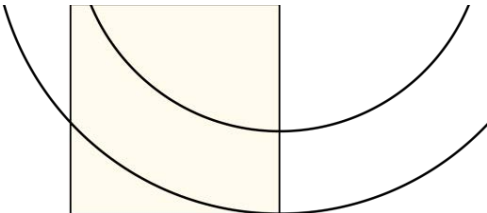
Employment and Job Growth

Economic Overview



Ranked by Current Industry Sector One-Year Growth

Sector	Apr 2024	Apr 2023	Net Jobs			Capture %	YOY %
			1-Yr	3-Yr	5-Yr		
Mining, Logging & Construction	32,800	30,300	2,500	5,500	8,000	10.3%	8.3%
Educational & Health Services	69,000	65,800	3,200	9,400	11,000	21.7%	4.9%
Government	37,900	36,300	1,600	3,400	4,100	11.9%	4.4%
Other Services	7,600	7,300	300	1,400	2,000	2.4%	4.1%
Retail Trade	35,000	34,000	1,000	0	2,100	11.0%	2.9%
Trade, Trans., & Utilities	47,300	47,100	200	-600	3,300	14.9%	0.4%
Manufacturing	24,300	24,200	76	2,700	4,000	7.6%	0.4%
Professional & Business Services	45,600	45,700	-100	2,500	6,800	14.3%	-0.2%
Leisure & Hospitality	27,700	27,800	-100	5,200	5,400	8.7%	-0.4%
Financial Activities	13,000	13,300	-300	200	3,900	4.1%	-2.3%
Information	12,800	13,500	-700	-1,500	-1,000	4.0%	-5.2%
Wholesale Trade	6,900	7,700	-800	-900	-300	2.2%	-10.4%
Total Non-Farm	318,000	311,300	6,700	28,200	47,500	100.0%	2.2%

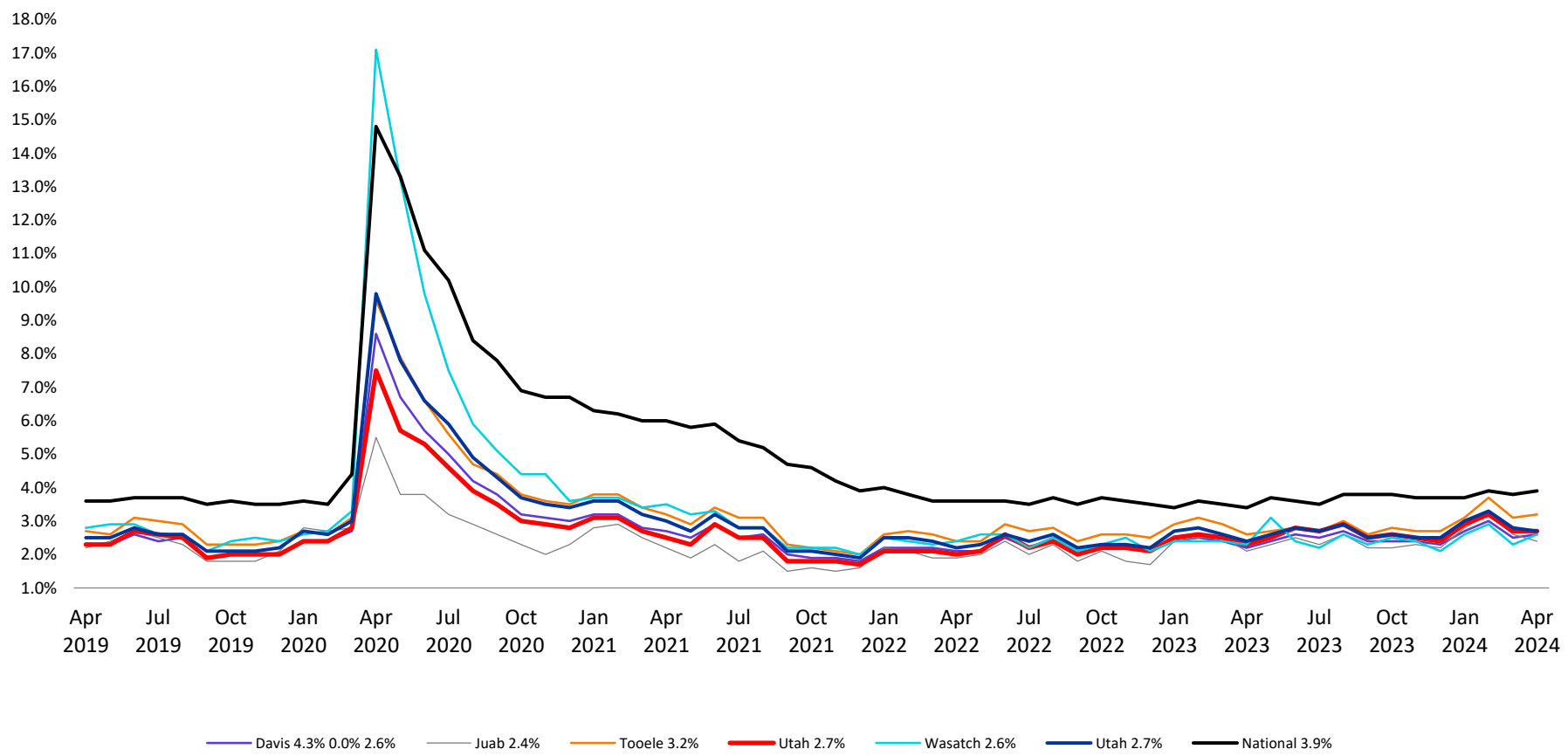


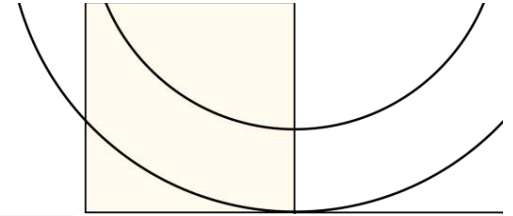
Unemployment Trends

Economic Overview

To further break down the economic characters of the area, Zonda Advisory has provided a historical look at select county unemployment rates, as well as against the state and national rates. As some rates begin to fall, there are some additional factors to consider when reviewing unemployment rate trends. These include fewer people looking for work and demographic shifts as workers who delayed retirement during the recession now begin to leave the workforce, leaving job openings to fill.

Utah County is represented by the red-colored line, where NS is located. The County’s unemployment rate stood at 2.7% through April, in-line with the State (2.7%), and below National (3.9%) rates.





Population and Households

Demographic Overview

	Total Population		
Provo-Orem Market	2020 Census	2023 Estimate	2028 Projection
Population	675,377	734,814	818,101
Total Numerical Change	---	59,437	83,287
Total Percent Change	---	8.8%	11.3%
Annual Number Change	---	19,812	16,657
Annual Percent Change	---	2.9%	2.2%
Households	189,289	199,377	211,239
Total Numerical Change	---	10,088	11,862
Total Percent Change	---	5.3%	5.9%
Annual Number Change	---	3,363	2,372
Annual Percent Change	---	1.7%	1.2%
Average Household Size	3.6	3.7	3.9

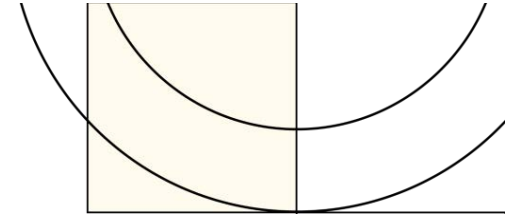
Source: Zonda/ U.S. Census Bureau

	Total Population		
CMA	2020 Census	2023 Estimate	2028 Projection
Population	98,076	105,451	117,116
Total Numerical Change	---	7,375	11,665
Total Percent Change	---	7.5%	11.1%
Annual Number Change	---	2,458	2,333
Annual Percent Change	---	2.4%	2.1%
Households	26,811	27,865	29,449
Total Numerical Change	---	1,054	1,584
Total Percent Change	---	3.9%	5.7%
Annual Number Change	---	351	317
Annual Percent Change	---	1.3%	1.1%
Average Household Size	3.7	3.8	4.0
Population	14.5%	14.4%	14.3%
Households	14.2%	14.0%	13.9%

Source: Zonda/ U.S. Census Bureau

Age Distribution

Demographic Overview

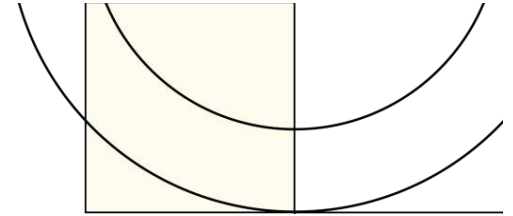


Provo-Orem Market		2020 Census		2023 Estimate		2028 Projection	
Age Group	Total	%	Total	%	Total	%	
0-24	325,964	48.3%	355,100	48.3%	388,229	47.5%	
25-34	102,322	15.2%	111,374	15.2%	120,670	14.8%	
35-44	86,138	12.8%	93,766	12.8%	108,136	13.2%	
45-54	59,703	8.8%	64,878	8.8%	73,399	9.0%	
55-64	46,066	6.8%	49,995	6.8%	52,787	6.5%	
65-74	32,643	4.8%	35,363	4.8%	42,339	5.2%	
75-84	16,575	2.5%	17,900	2.4%	24,068	2.9%	
85+	5,966	0.9%	6,438	0.9%	8,473	1.0%	
675,377		100.0%	734,814	100.0%	818,101	100.0%	
Annual Change							
0-24	-	-	9,712	2.9%	6,626	1.8%	
25-34	-	-	3,017	2.9%	1,859	1.6%	
35-44	-	-	2,543	2.9%	2,874	2.9%	
45-54	-	-	1,725	2.8%	1,704	2.5%	
55-64	-	-	1,310	2.8%	558	1.1%	
65-74	-	-	907	2.7%	1,395	3.7%	
75-84	-	-	442	2.6%	1,234	6.1%	
85+	-	-	157	2.6%	407	5.6%	
Median Age	26.0		26.0		26.0		

Source: Zonda/ U.S. Census Bureau

CMA	2020 Census		2023 Estimate		2028 Projection	
Age Group	Total	%	Total	%	Total	%
0-24	45,098	46.0%	48,616	46.1%	54,222	46.3%
25-34	12,782	13.0%	13,596	12.9%	13,488	11.5%
35-44	13,592	13.9%	14,601	13.8%	16,395	14.0%
45-54	9,839	10.0%	10,609	10.1%	11,932	10.2%
55-64	7,638	7.8%	8,250	7.8%	8,698	7.4%
65-74	5,673	5.8%	6,091	5.8%	7,291	6.2%
75-84	2,628	2.7%	2,804	2.7%	3,869	3.3%
85+	826	0.8%	884	0.8%	1,221	1.0%
	98,076	100.0%	105,451	100.0%	117,116	100.0%
Annual Change						
0-24	-	-	1,173	2.5%	1,121	2.2%
25-34	-	-	271	2.1%	-22	-0.2%
35-44	-	-	336	2.4%	359	2.3%
45-54	-	-	257	2.5%	265	2.4%
55-64	-	-	204	2.6%	90	1.1%
65-74	-	-	139	2.4%	240	3.7%
75-84	-	-	59	2.2%	213	6.7%
85+	-	-	19	2.3%	67	6.7%
Median Age	28.0		28.0		28.0	

Source: Zonda/U.S. Census Bureau



Household Income

Demographic Overview

Provo-Orem Market	2020 Census		2023 Estimate		2028 Projection	
Annual Household Inc.	Total HH	%	Total HH	%	Total HH	%
Under \$25,000	19,040	10%	18,809	10%	14,984	7%
\$25,000-\$34,000	11,693	6%	10,073	5%	7,614	4%
\$35,000-\$49,000	19,269	10%	19,044	10%	14,777	7%
\$50,000-\$74,000	33,609	18%	33,914	17%	28,571	14%
\$75,000-\$99,000	30,237	16%	30,854	16%	28,158	13%
\$100,000-\$149,000	40,081	21%	41,531	21%	46,916	22%
\$150,000 - \$199,999	17,997	10%	22,607	11%	29,583	14%
\$200,000+	17,363	9%	22,545	11%	40,636	19%
	189,289	100%	199,377	100%	211,239	100%
Household Income: Median	\$84,123		\$89,462		\$110,778	
Household income: Average	\$107,497		\$116,272		\$144,382	

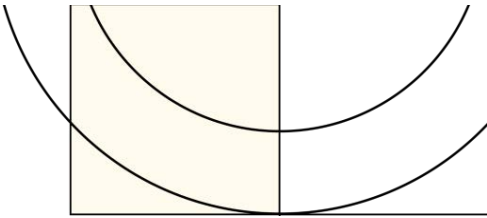
Source: Zonda/ U.S. Census Bureau

CMA	2020 Census		2023 Estimate		2028 Projection	
Annual Household Inc.	Total HH	%	Total HH	%	Total HH	%
Under \$25,000	1,867	7.0%	1,835	6.6%	1,546	5.2%
\$25,000-\$34,000	1,292	4.8%	1,086	3.9%	902	3.1%
\$35,000-\$49,000	2,318	8.6%	2,245	8.1%	1,366	4.6%
\$50,000-\$74,000	5,537	20.7%	5,415	19.4%	4,555	15.5%
\$75,000-\$99,000	4,992	18.6%	4,925	17.7%	4,484	15.2%
\$100,000-\$149,000	6,744	25.2%	6,869	24.7%	7,580	25.7%
\$150,000 - \$199,999	2,171	8.1%	2,927	10.5%	4,010	13.6%
\$200,000+	1,890	7.0%	2,563	9.2%	5,006	17.0%
	26,811	100.0%	27,865	100.0%	29,449	100.0%
Household Income: Median	\$86,694		\$91,177		\$111,567	
Household income: Average	\$104,208		\$111,954		\$136,289	

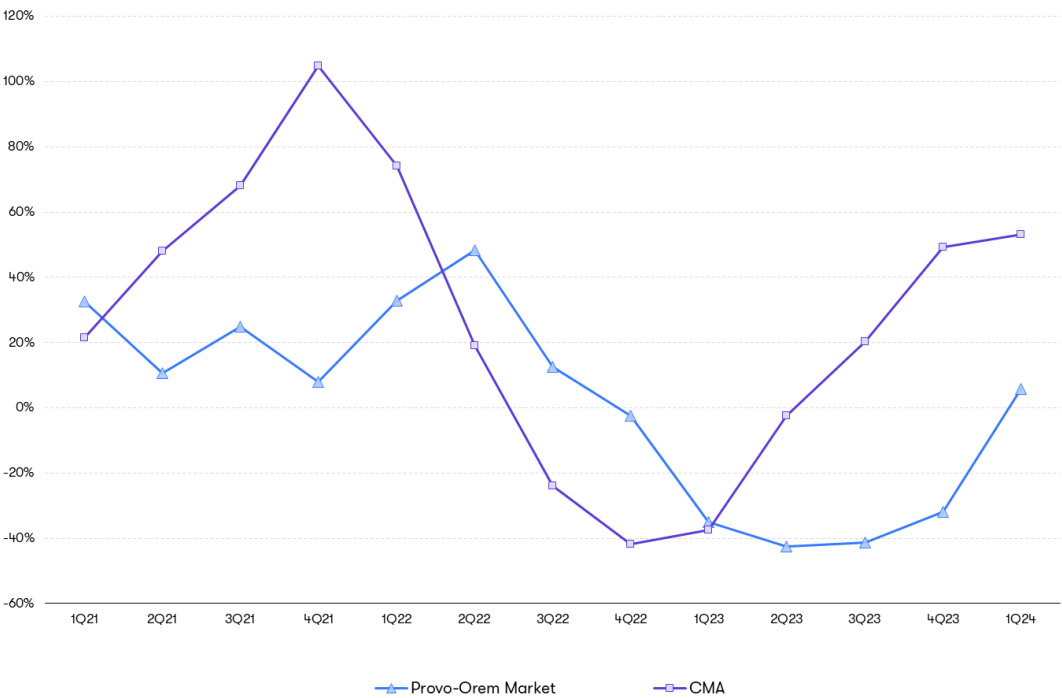
Source: Zonda/Neustar/U.S. Census Bureau

Housing Starts Activity - Attached

Housing Market Overview – New Home Production



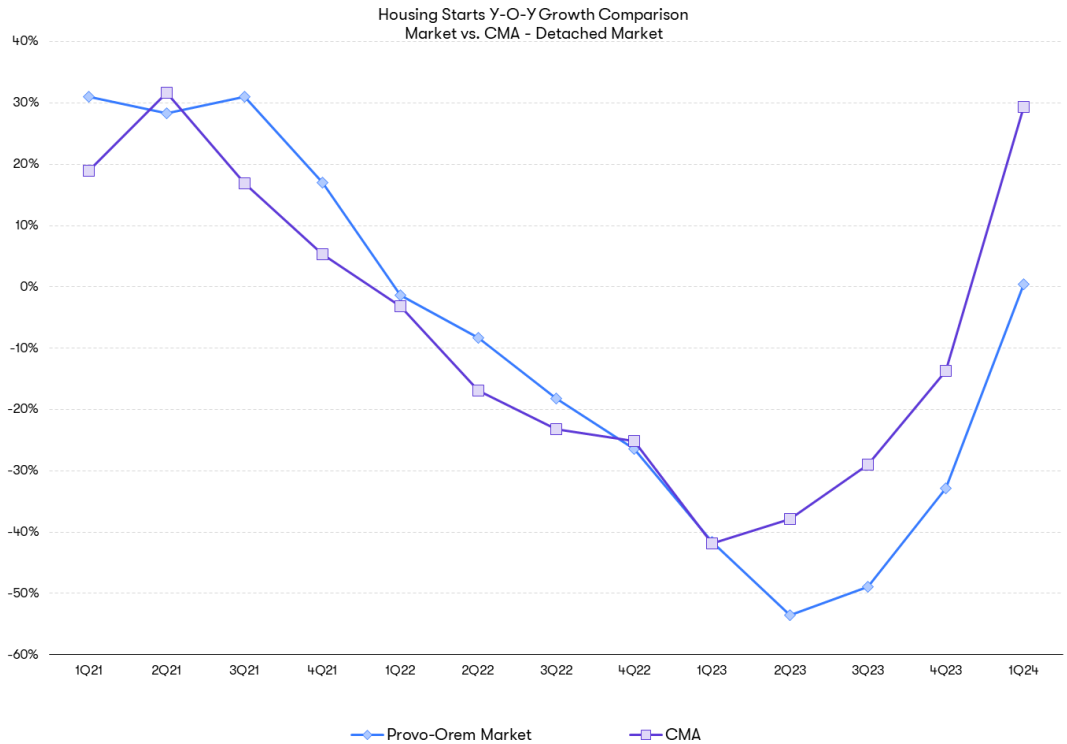
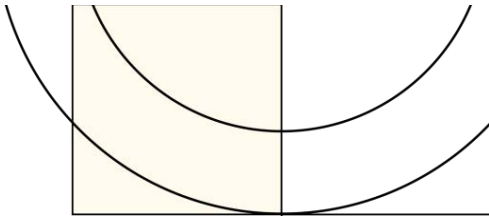
Housing Starts Y-O-Y Growth Comparison
Market vs. CMA - Attached Market



Quarter	Provo-Orem Market		CMA	
	Ann Starts	% YOY Growth	Ann Starts	% YOY Growth
1Q20	1,918	*	301	*
2Q20	2,189	*	318	*
3Q20	2,315	*	347	*
4Q20	2,754	*	332	*
1Q21	2,543	32.6%	366	21.6%
2Q21	2,419	10.5%	471	48.1%
3Q21	2,889	24.8%	583	68.0%
4Q21	2,975	8.0%	680	104.8%
1Q22	3,375	32.7%	637	74.0%
2Q22	3,588	48.3%	561	19.1%
3Q22	3,253	12.6%	444	-23.8%
4Q22	2,906	-2.3%	396	-41.8%
1Q23	2,195	-35.0%	398	-37.5%
2Q23	2,066	-42.4%	547	-2.5%
3Q23	1,910	-41.3%	534	20.3%
4Q23	1,979	-31.9%	591	49.2%
1Q24	2,323	5.8%	609	53.0%
Hist. Avg.	2,565	1.7%	477	27.1%

Housing Starts Activity - Detached

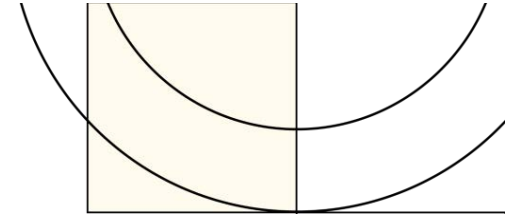
Housing Market Overview – New Home Production



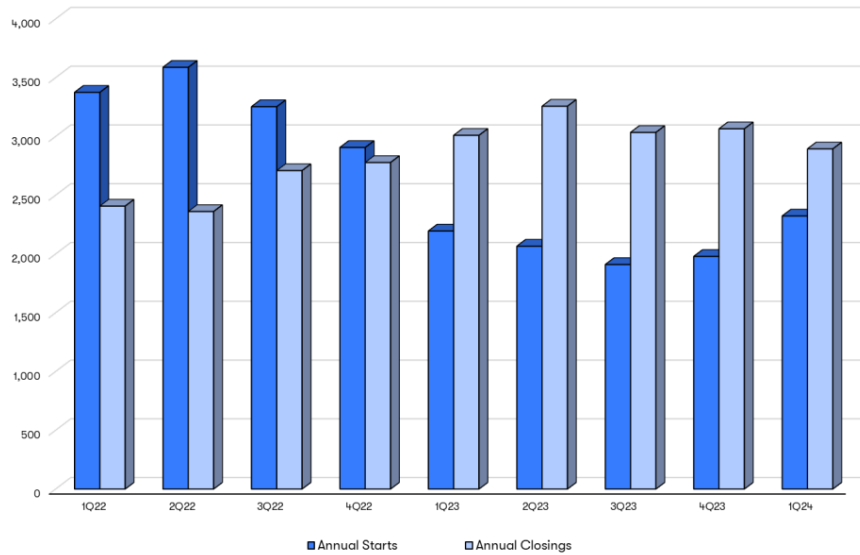
Quarter	Provo-Orem Market		CMA	
	Ann Starts	% YOY Growth	Ann Starts	% YOY Growth
1Q20	3,726	*	672	*
2Q20	3,966	*	652	*
3Q20	3,990	*	711	*
4Q20	4,279	*	749	*
1Q21	4,883	31.1%	799	18.9%
2Q21	5,087	28.3%	858	31.6%
3Q21	5,227	31.0%	831	16.9%
4Q21	5,009	17.1%	789	5.3%
1Q22	4,816	-1.4%	774	-3.1%
2Q22	4,662	-8.4%	713	-16.9%
3Q22	4,278	-18.2%	638	-23.2%
4Q22	3,682	-26.5%	591	-25.1%
1Q23	2,815	-41.5%	450	-41.9%
2Q23	2,168	-53.5%	443	-37.9%
3Q23	2,185	-48.9%	453	-29.0%
4Q23	2,473	-32.8%	510	-13.7%
1Q24	2,827	0.4%	582	29.3%
Hist. Avg.	3,887	-9.5%	660	-6.8%

New Housing Starts and Closings Activity Comparison - Attached

Housing Market Overview – New Home Production



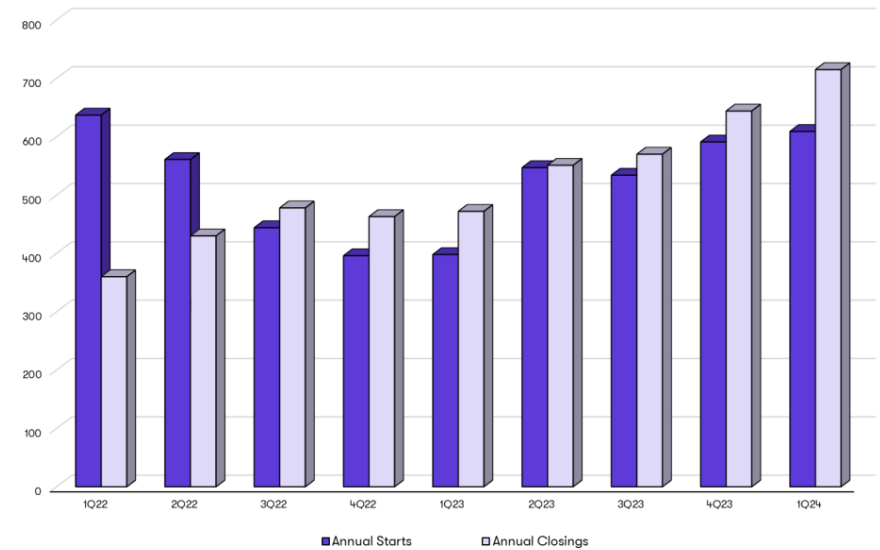
Attached Annual Starts & Closings - Market



Market - Attached

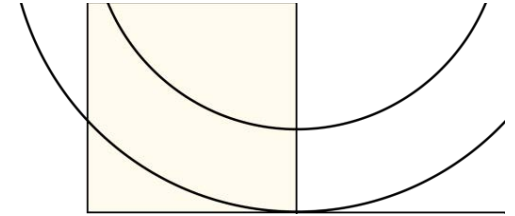
Quarter	Annual Starts	Annual Closings	Housing Inv	VDL Inv	Future Lots
1Q22	3,375	2,407	2,810	1,217	20,690
2Q22	3,588	2,361	2,961	1,513	20,843
3Q22	3,253	2,709	2,675	1,627	23,193
4Q22	2,906	2,778	2,532	1,854	20,036
1Q23	2,195	3,009	1,996	2,075	20,427
2Q23	2,066	3,257	1,770	2,059	20,546
3Q23	1,910	3,034	1,551	2,284	20,462
4Q23	1,979	3,065	1,446	2,125	20,567
1Q24	2,323	2,894	1,425	1,975	20,084
9 Qtr Hist. Avg.	2,622	2,835	2,130	1,859	20,761

Attached Annual Starts & Closings - CMA



CMA - Attached

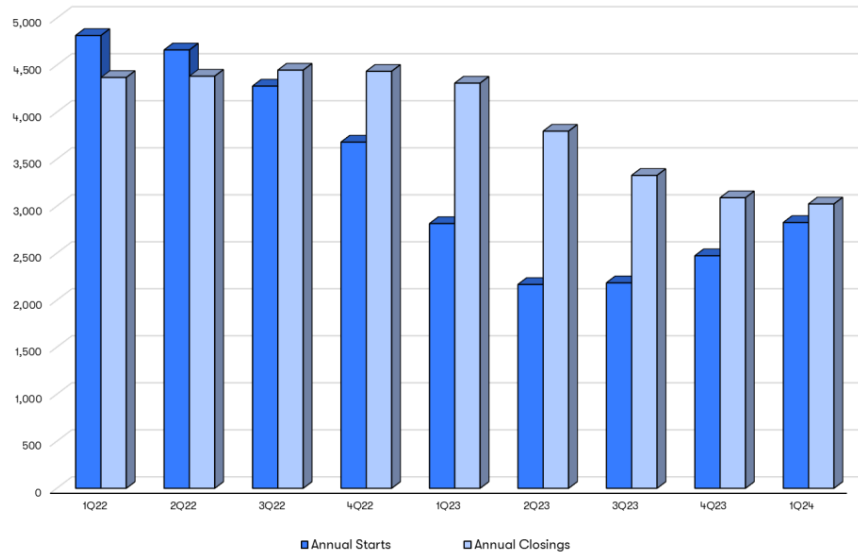
Quarter	Annual Starts	Annual Closings	Housing Inv	VDL Inv	Future Lots
1Q22	637	360	551	286	4,145
2Q22	561	430	519	288	4,480
3Q22	444	478	463	432	4,385
4Q22	396	463	510	513	5,162
1Q23	398	472	477	649	5,429
2Q23	547	551	515	645	5,528
3Q23	534	570	427	672	5,429
4Q23	591	644	457	526	5,645
1Q24	609	715	371	413	5,645
9 Qtr Hist. Avg.	524	520	477	492	5,094



New Housing Starts and Closings Activity Comparison - Detached

Housing Market Overview – New Home Production

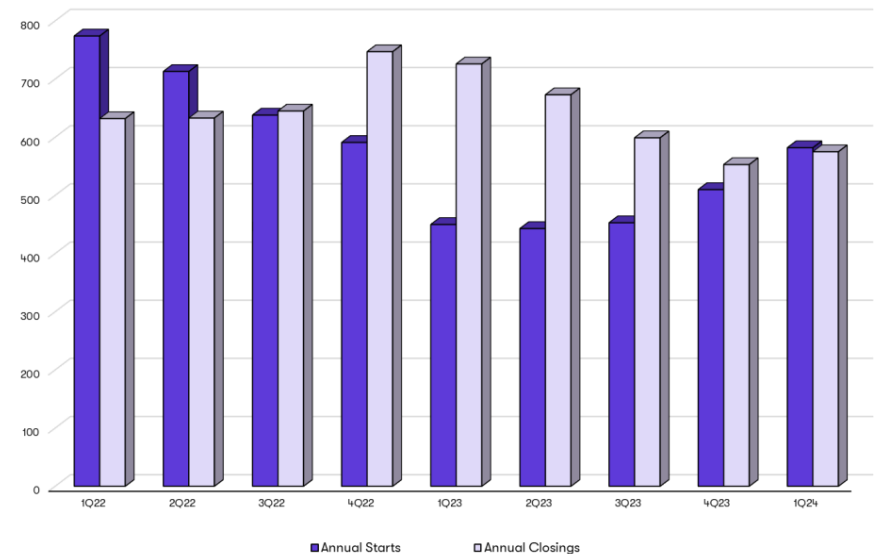
Detached Annual Starts & Closings - Market



Market - Detached

Quarter	Annual Starts	Annual Closings	Housing Inv	VDL Inv	Future Lots
1Q22	4,816	4,369	3,165	4,428	51,050
2Q22	4,662	4,383	3,180	4,241	50,047
3Q22	4,278	4,447	2,857	4,438	47,702
4Q22	3,682	4,435	2,220	5,101	44,650
1Q23	2,815	4,309	1,671	5,697	45,704
2Q23	2,168	3,798	1,550	5,629	46,156
3Q23	2,185	3,328	1,714	5,723	45,589
4Q23	2,473	3,090	1,603	5,335	45,687
1Q24	2,827	3,024	1,474	5,715	44,667
9 Qtr Hist. Avg.	3,323	3,909	2,159	5,145	46,806

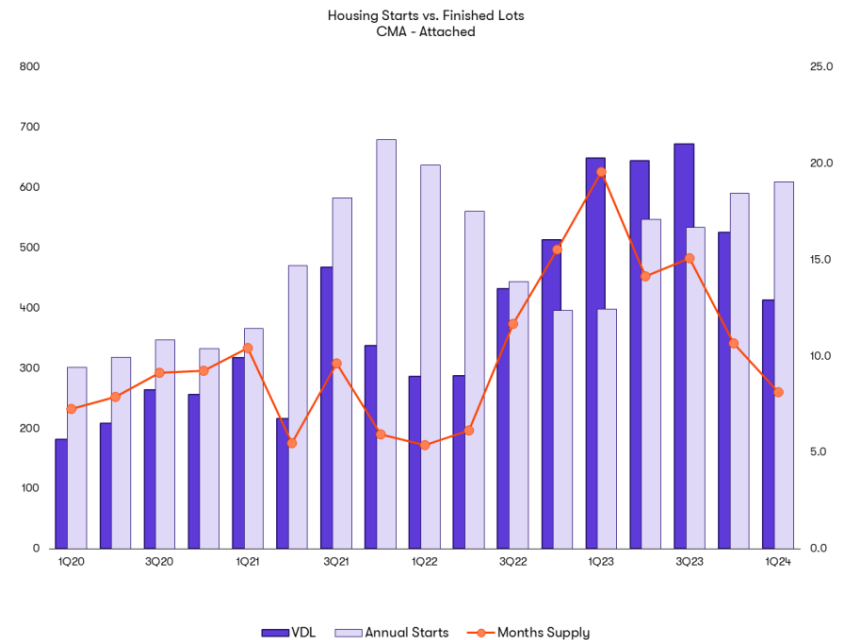
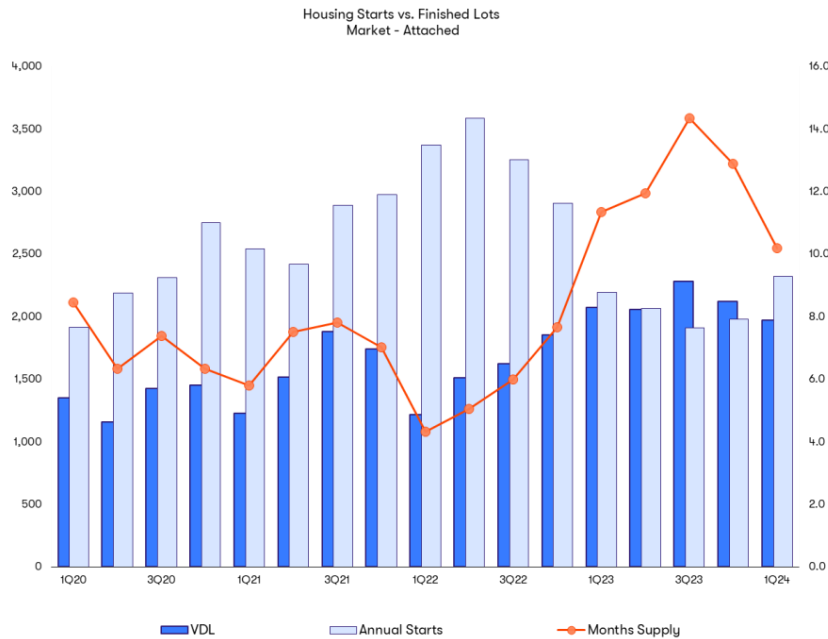
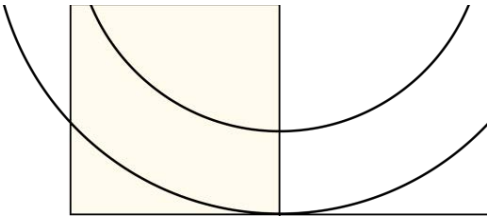
Detached Annual Starts & Closings - CMA



CMA - Detached

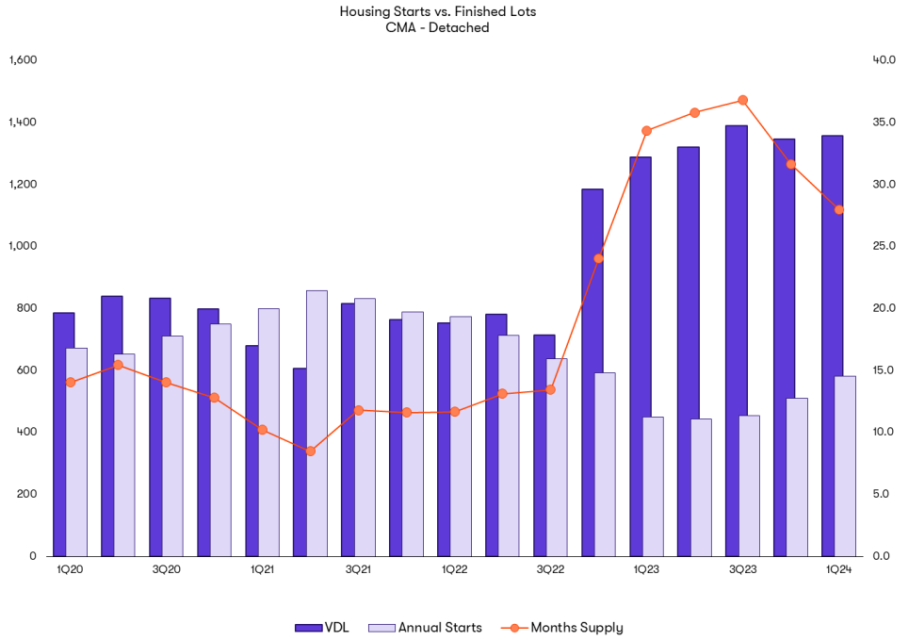
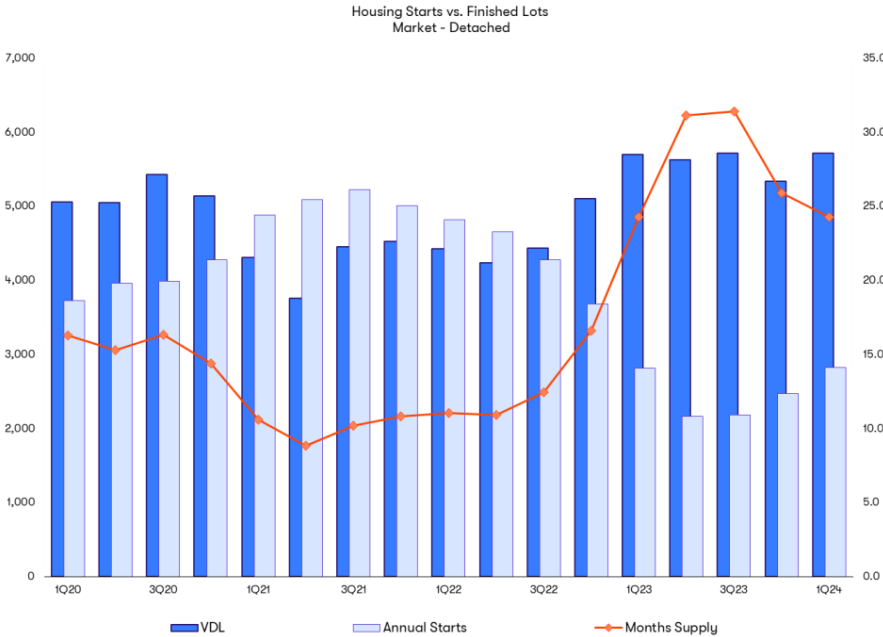
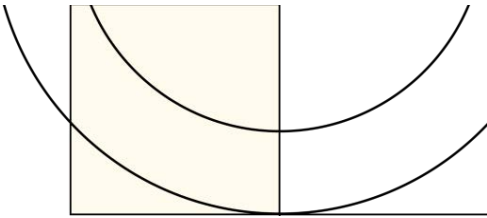
Quarter	Annual Starts	Annual Closings	Housing Inv	VDL Inv	Future Lots
1Q22	774	632	508	752	13,079
2Q22	713	633	482	780	12,954
3Q22	638	645	445	714	13,086
4Q22	591	747	329	1,184	11,038
1Q23	450	726	232	1,288	11,289
2Q23	443	673	252	1,321	11,511
3Q23	453	599	299	1,389	11,351
4Q23	510	553	286	1,345	11,310
1Q24	582	575	239	1,357	11,180
9 Qtr Hist. Avg.	573	643	341	1,126	11,866

Vacant Developed Lots and Months of Supply - Attached Lot Supply



Quarter	Market - Attached			CMA - Attached		
	VDL	Annual Starts	Months Supply	VDL	Annual Starts	Months Supply
1Q21	1,230	2,543	5.8	318	366	10.4
1Q22	1,217	3,375	4.3	286	637	5.4
1Q23	2,075	2,195	11.3	649	398	19.6
1Q24	1,975	2,323	10.2	413	609	8.1
Hist. Avg	1,676	2,565	7.8	393	477	9.9

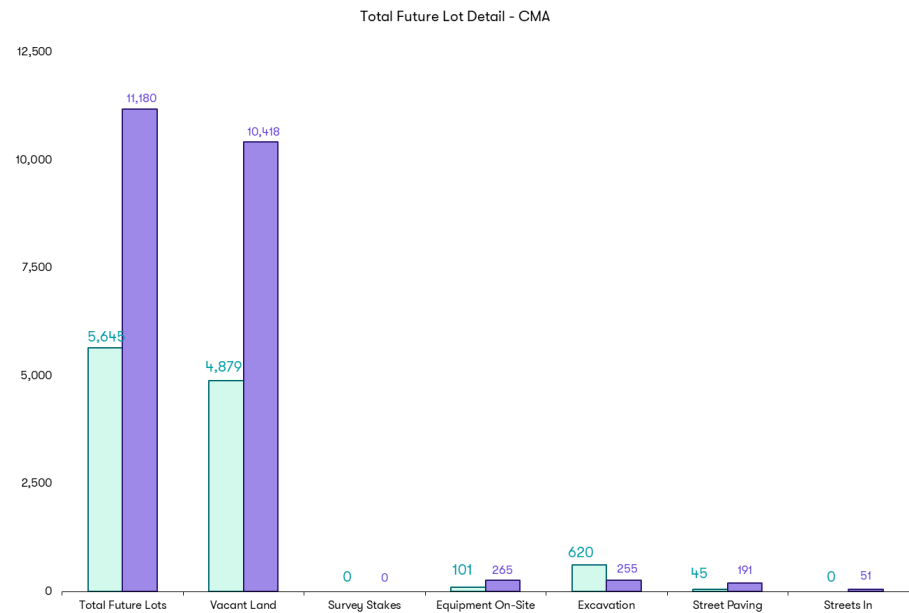
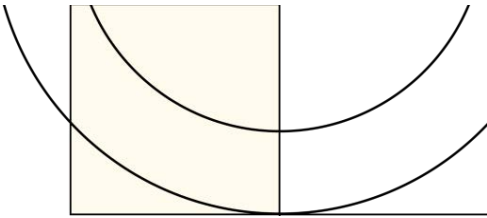
Vacant Developed Lots and Months of Supply - Detached



Quarter	Market - Detached			CMA - Detached		
	VDL	Annual Starts	Months Supply	VDL	Annual Starts	Months Supply
1Q21	4,313	4,883	10.6	680	799	10.2
1Q22	4,428	4,816	11.0	752	774	11.7
1Q23	5,697	2,815	24.3	1,288	450	34.3
1Q24	5,715	2,827	24.3	1,357	582	28.0
Hist. Avg	4,943	3,887	15.3	956	660	17.4

Development Status of Future Lots and Future Supply

Future Lot Supply

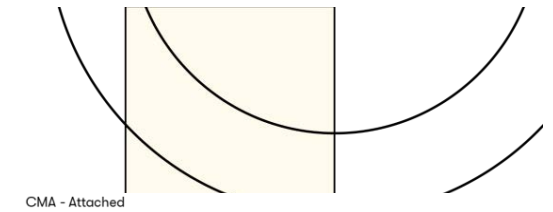
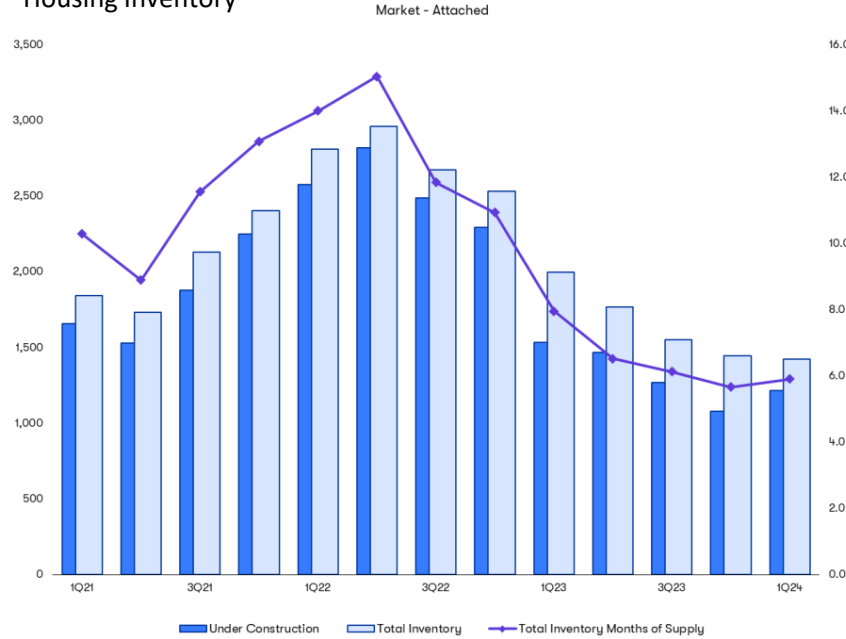


1Q24	Provo-Orem Market		CMA	
	Attached Future Lot Detail		Detached Future Lot Detail	
Total Future Lots	20,084	100.0%	5,645	100.0%
Vacant Land	16,615	82.7%	4,879	86.4%
Survey Stakes	0	0.0%	0	0.0%
Equipment On-Site	1,110	5.5%	101	1.8%
Excavation	1,848	9.2%	620	11.0%
Street Paving	511	2.5%	45	0.8%
Streets In	0	0.0%	0	0.0%
In-Process	3,469	17.3%	766	13.6%

Total Future Lots	44,667	100.0%	11,180	100.0%
Vacant Land	41,468	92.8%	10,418	93.2%
Survey Stakes	55	0.1%	0	0.0%
Equipment On-Site	1,266	2.8%	265	2.4%
Excavation	1,178	2.6%	255	2.3%
Street Paving	548	1.2%	191	1.7%
Streets In	152	0.3%	51	0.5%
In-Process	3,199	7.2%	762	6.8%

Total Housing Inventory - Attached

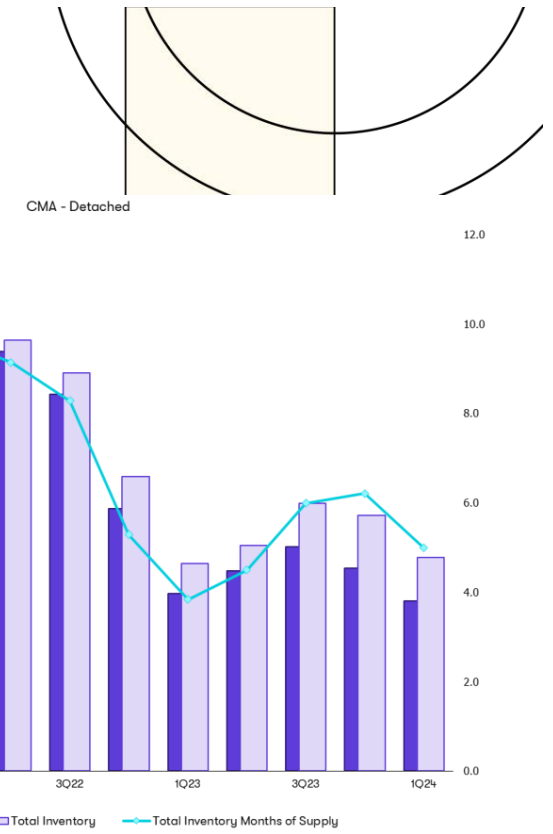
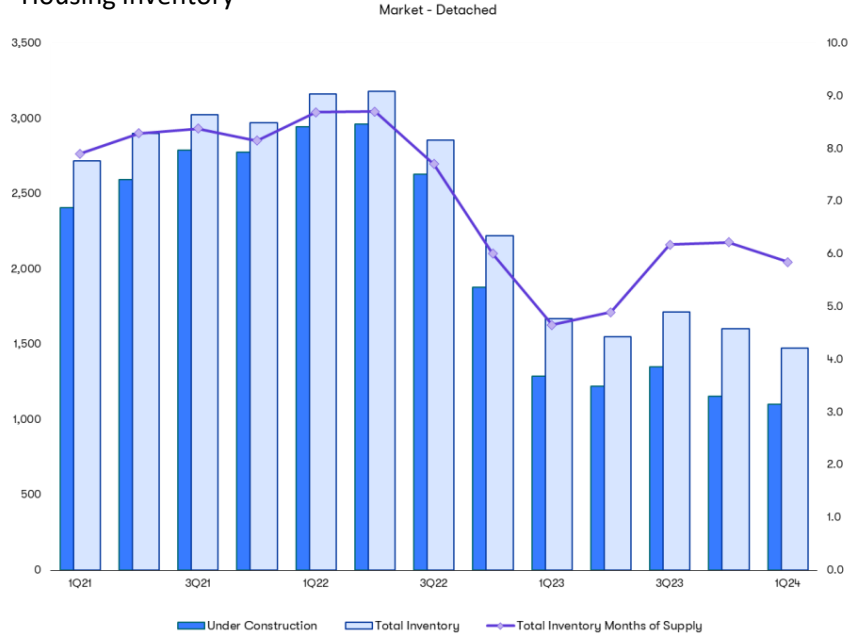
Housing Inventory



Quarter	Market - Attached					CMA - Attached				
	Finished Vacant	Under Construction	Models	Total Inventory	Total Inventory Months of Supply	Finished Vacant	Under Construction	Models	Total Inventory	Total Inventory Months of Supply
1Q21	132	1,660	50	1,842	10.3	17	250	7	274	9.0
2Q21	151	1,531	52	1,734	8.9	46	333	9	388	13.0
3Q21	201	1,879	51	2,131	11.6	34	454	9	497	19.2
4Q21	107	2,250	47	2,404	13.1	5	565	7	577	23.2
1Q22	183	2,575	52	2,810	14.0	12	531	8	551	18.4
2Q22	94	2,818	49	2,961	15.0	3	508	8	519	14.5
3Q22	146	2,490	39	2,675	11.8	25	431	7	463	11.6
4Q22	199	2,295	38	2,532	10.9	38	464	8	510	13.2
1Q23	418	1,535	43	1,996	8.0	120	346	11	477	12.1
2Q23	258	1,468	44	1,770	6.5	91	413	11	515	11.2
3Q23	245	1,268	38	1,551	6.1	85	331	11	427	9.0
4Q23	327	1,079	40	1,446	5.7	101	345	11	457	8.5
1Q24	172	1,216	37	1,425	5.9	50	312	9	371	6.2
Hist. Avg	203	1,851		2,098	9.8	48	406		464	13.0

Total Housing Inventory - Detached

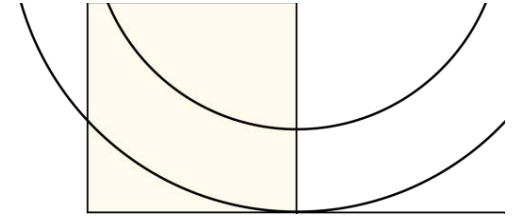
Housing Inventory



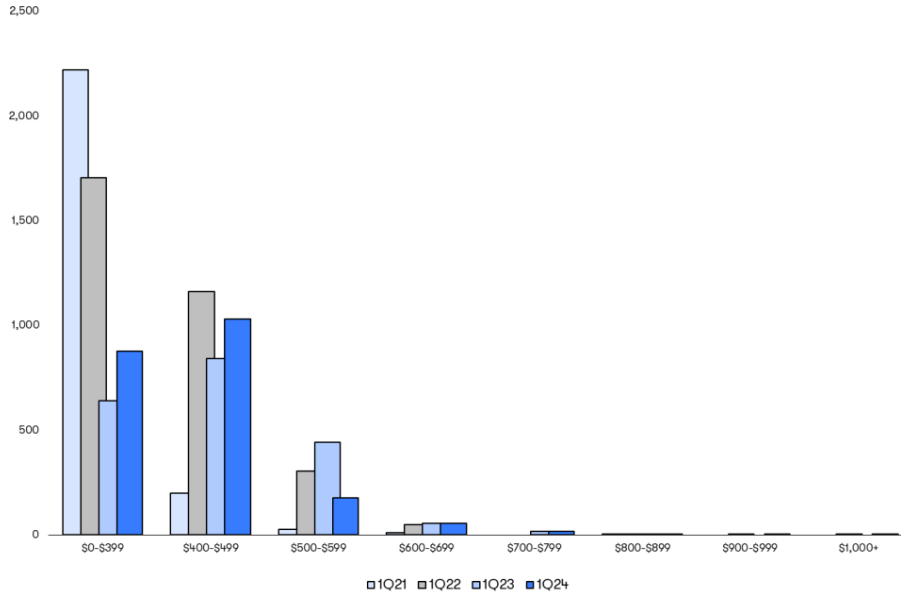
Quarter	Market - Detached					CMA - Detached				
	Finished Vacant	Under Construction	Models	Total Inventory	Total Inventory Months of Supply	Finished Vacant	Under Construction	Models	Total Inventory	Total Inventory Months of Supply
1Q21	203	2,408	107	2,718	7.9	18	339	9	366	5.8
2Q21	204	2,596	101	2,901	8.3	16	379	7	402	6.6
3Q21	144	2,791	91	3,026	8.4	14	430	8	452	7.1
4Q21	112	2,778	83	2,973	8.2	12	465	8	485	8.7
1Q22	138	2,945	82	3,165	8.7	12	491	5	508	9.6
2Q22	140	2,961	79	3,180	8.7	7	469	6	482	9.1
3Q22	151	2,630	76	2,857	7.7	19	421	5	445	8.3
4Q22	263	1,878	79	2,220	6.0	30	293	6	329	5.3
1Q23	302	1,290	79	1,671	4.7	29	198	5	232	3.8
2Q23	244	1,220	86	1,550	4.9	21	224	7	252	4.5
3Q23	274	1,351	89	1,714	6.2	41	251	7	299	6.0
4Q23	346	1,155	102	1,603	6.2	51	227	8	286	6.2
1Q24	265	1,103	106	1,474	5.8	39	190	10	239	5.0
Hist. Avg	214	2,085		2,389	7.0	24	337		367	6.6

12-Month Starts by Price - Attached

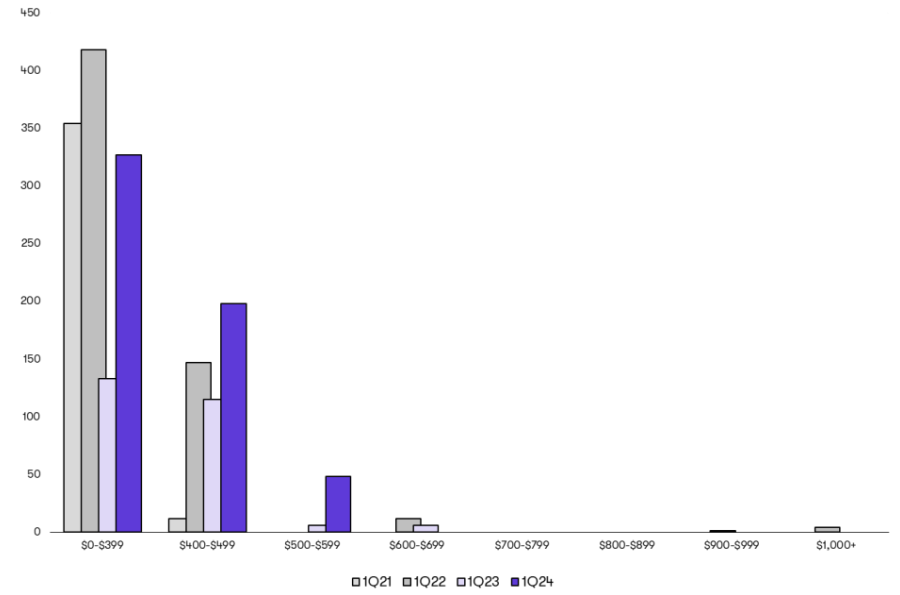
Price Distribution



Rolling 12-Month Starts By Price
Market - Attached



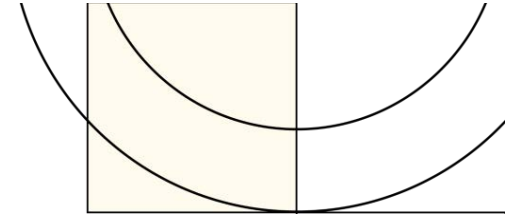
Rolling 12-Month Starts By Price
CMA - Attached



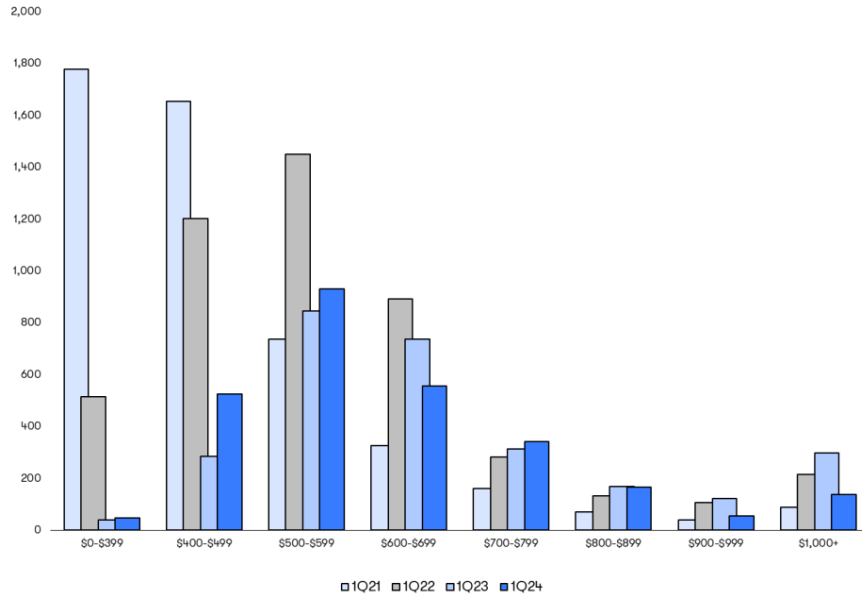
Market - Attached									CMA - Attached								
12-Month Annual Starts by Price Segment									12-Month Annual Starts by Price Segment								
Quarter	\$0-\$399	\$400-\$499	\$500-\$599	\$600-\$699	\$700-\$799	\$800-\$899	\$900-\$999	\$1,000+	Quarter	\$0-\$399	\$400-\$499	\$500-\$599	\$600-\$699	\$700-\$799	\$800-\$899	\$900-\$999	\$1,000+
1Q21	2,221	198	26	10	0	1	0	0	1Q21	354	12	0	0	0	0	0	0
1Q22	1,706	1,162	305	48	0	4	4	4	1Q22	418	147	0	12	0	0	1	4
1Q23	641	843	441	55	18	3	0	0	1Q23	133	115	6	6	0	0	0	0
1Q24	877	1,029	176	56	17	2	1	4	1Q24	327	198	48	0	0	0	0	0
Market Share									Market Share								
1Q21	90.4%	8.1%	1.1%	0.4%	0.0%	0.0%	0.0%	0.0%	1Q21	96.7%	3.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
1Q22	52.8%	35.9%	9.4%	1.5%	0.0%	0.1%	0.1%	0.1%	1Q22	71.8%	25.3%	0.0%	2.1%	0.0%	0.0%	0.2%	0.7%
1Q23	32.0%	42.1%	22.0%	2.7%	0.9%	0.1%	0.0%	0.0%	1Q23	51.2%	44.2%	2.3%	2.3%	0.0%	0.0%	0.0%	0.0%
1Q24	40.6%	47.6%	8.1%	2.6%	0.8%	0.1%	0.0%	0.2%	1Q24	57.1%	34.6%	8.4%	0.0%	0.0%	0.0%	0.0%	0.0%

12-Month Starts by Price - Detached

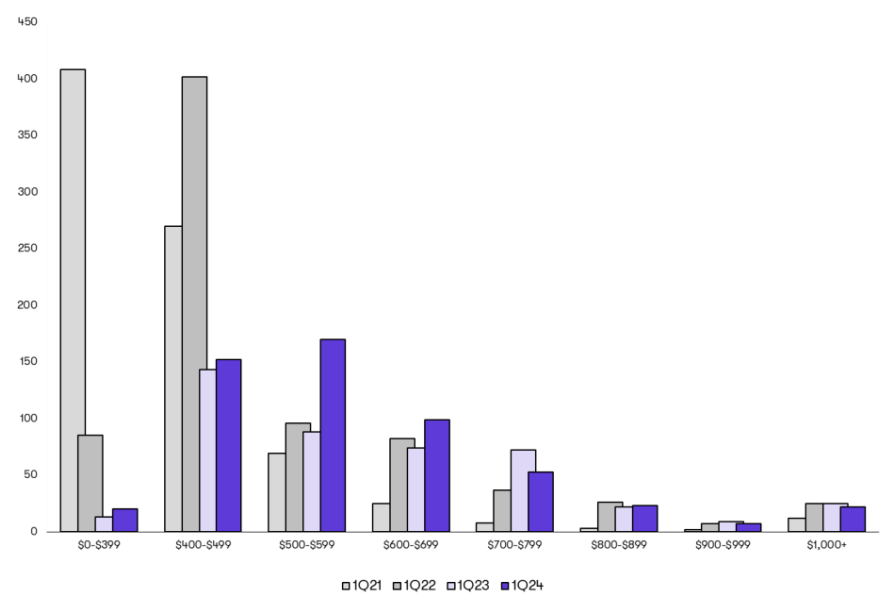
Price Distribution



Rolling 12-Month Starts By Price
Market - Detached



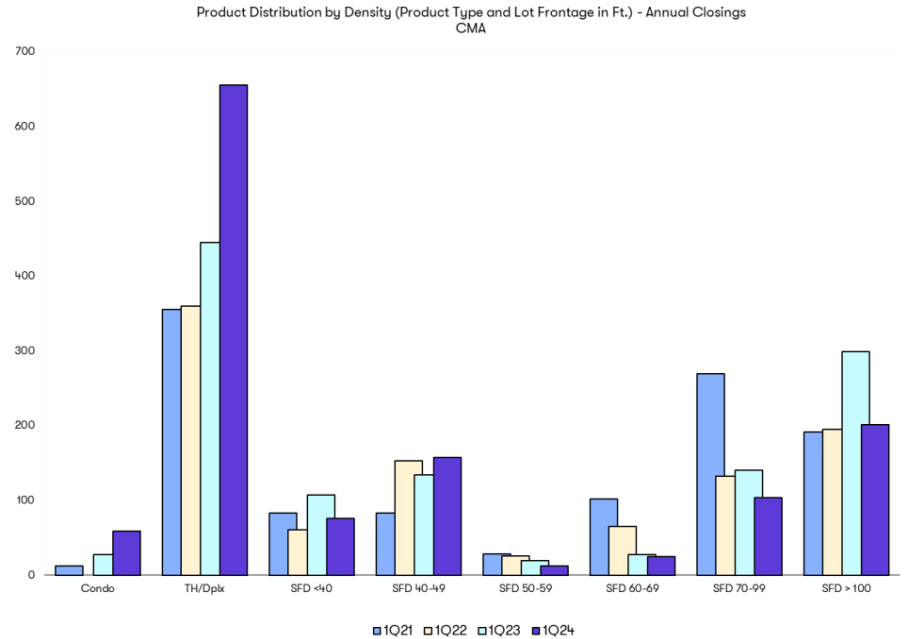
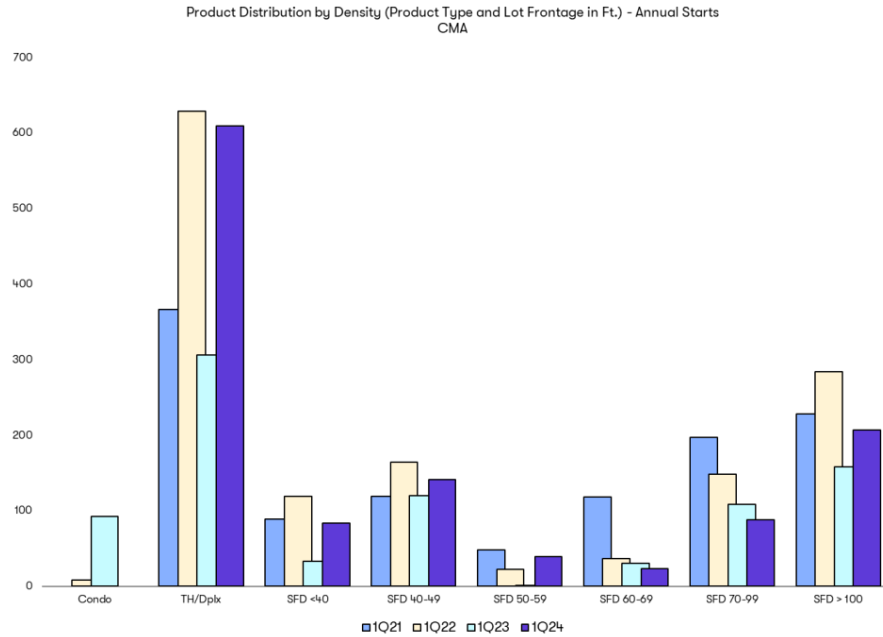
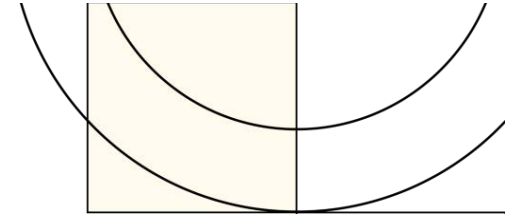
Rolling 12-Month Starts By Price
CMA - Detached



Market - Detached									CMA - Detached								
12-Month Annual Starts by Price Segment									12-Month Annual Starts by Price Segment								
Quarter	\$0-\$399	\$400-\$499	\$500-\$599	\$600-\$699	\$700-\$799	\$800-\$899	\$900-\$999	\$1,000+	Quarter	\$0-\$399	\$400-\$499	\$500-\$599	\$600-\$699	\$700-\$799	\$800-\$899	\$900-\$999	\$1,000+
1Q21	1,777	1,655	736	325	161	71	40	88	1Q21	408	270	69	25	8	3	2	12
1Q22	515	1,203	1,451	891	282	132	106	214	1Q22	85	402	96	82	37	26	7	25
1Q23	40	284	846	737	312	168	121	298	1Q23	13	143	88	74	72	22	9	25
1Q24	47	525	931	557	341	166	55	137	1Q24	20	152	170	99	53	23	7	22
Market Share									Market Share								
1Q21	36.6%	34.1%	15.2%	6.7%	3.3%	1.5%	0.8%	1.8%	1Q21	51.2%	33.9%	8.7%	3.1%	1.0%	0.4%	0.3%	1.5%
1Q22	10.7%	25.1%	30.3%	18.6%	5.9%	2.8%	2.2%	4.5%	1Q22	11.2%	52.9%	12.6%	10.8%	4.9%	3.4%	0.9%	3.3%
1Q23	1.4%	10.1%	30.1%	26.3%	11.1%	6.0%	4.3%	10.6%	1Q23	2.9%	32.1%	19.7%	16.6%	16.1%	4.9%	2.0%	5.6%
1Q24	1.7%	19.0%	33.7%	20.2%	12.4%	6.0%	2.0%	5.0%	1Q24	3.7%	27.8%	31.1%	18.1%	9.7%	4.2%	1.3%	4.0%

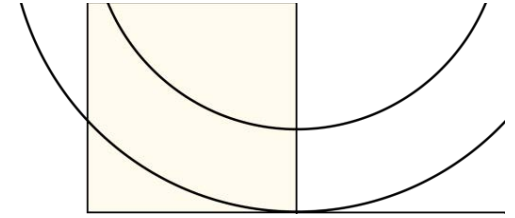
CMA Product Distribution – Annual Starts and Closings

Product Distribution



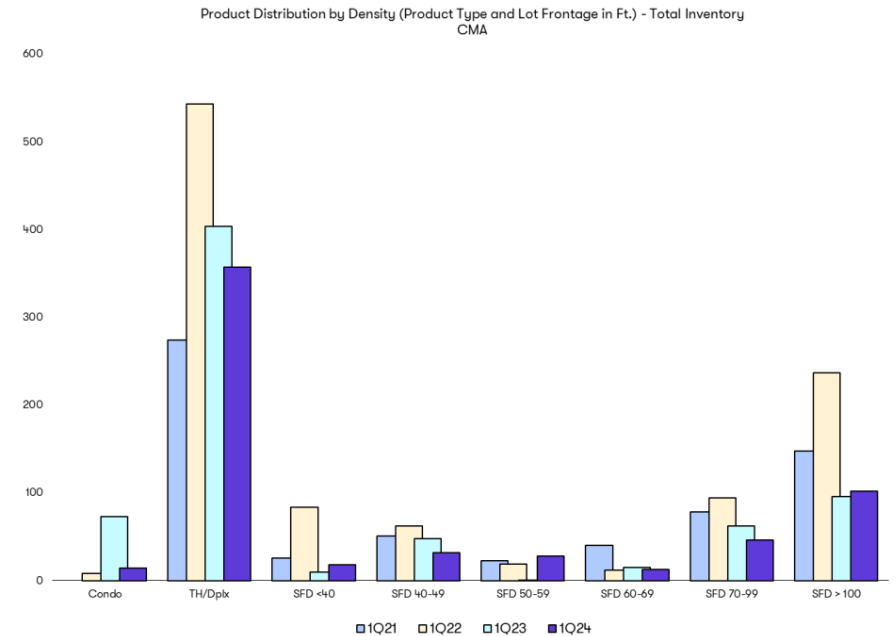
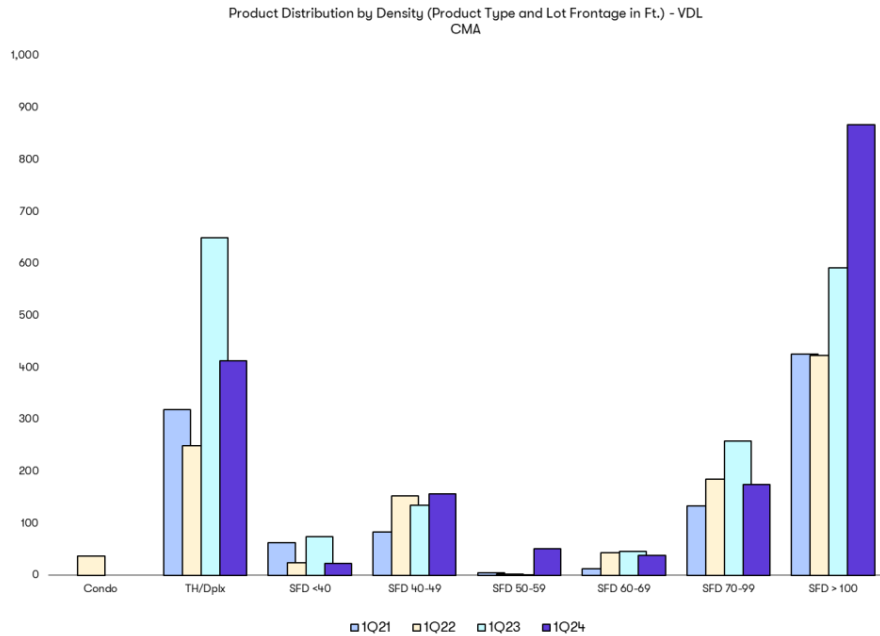
CMA Annual Starts by Product Type/Lot Size									
Quarter	Condo	TH/Dplx	SFD <40	SFD 40-49	SFD 50-59	SFD 60-69	SFD 70-99	SFD > 100	Total
1Q21	0	366	89	119	48	118	197	228	1,165
1Q22	8	629	119	164	22	37	148	284	1,411
1Q23	92	306	33	120	1	30	108	158	848
1Q24	0	609	84	141	39	23	88	207	1,191
Market Share									
1Q21	0.0%	31.4%	7.6%	10.2%	4.1%	10.1%	16.9%	19.6%	100%
1Q22	0.6%	44.6%	8.4%	11.6%	1.6%	2.6%	10.5%	20.1%	100%
1Q23	10.8%	36.1%	3.9%	14.2%	0.1%	3.5%	12.7%	18.6%	100%
1Q24	0.0%	51.1%	7.1%	11.8%	3.3%	1.9%	7.4%	17.4%	100%

CMA Annual Closings by Product Type/Lot Size									
Quarter	Condo	TH/Dplx	SFD <40	SFD 40-49	SFD 50-59	SFD 60-69	SFD 70-99	SFD > 100	Total
1Q21	12	355	83	83	28	102	269	191	1,123
1Q22	0	360	61	153	26	65	132	195	992
1Q23	27	445	107	134	19	27	140	299	1,198
1Q24	59	656	76	157	12	25	104	201	1,290
Market Share									
1Q21	1.1%	31.6%	7.4%	7.4%	2.5%	9.1%	24.0%	17.0%	100%
1Q22	0.0%	36.3%	6.1%	15.4%	2.6%	6.6%	13.3%	19.7%	100%
1Q23	2.3%	37.1%	8.9%	11.2%	1.6%	2.3%	11.7%	25.0%	100%
1Q24	4.6%	50.9%	5.9%	12.2%	0.9%	1.9%	8.1%	15.6%	100%



CMA Product Distribution – Vacant Developer Lots and Total Inventory

Product Distribution

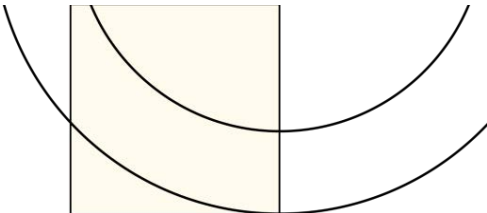


CMA Vacant Developed Lots by Product Type/Lot Size									
Quarter	Condo	TH/Dplx	SFD <40	SFD 40-49	SFD 50-59	SFD 60-69	SFD 70-99	SFD > 100	Total
1Q21	0	318	63	83	5	12	133	425	1,039
1Q22	37	249	24	153	2	43	185	423	1,116
1Q23	0	649	74	134	1	46	258	592	1,754
1Q24	0	413	22	157	51	38	174	867	1,722
Market Share									
1Q21	0.0%	30.6%	6.1%	8.0%	0.5%	1.2%	12.8%	40.9%	100%
1Q22	3.3%	22.3%	2.2%	13.7%	0.2%	3.9%	16.6%	37.9%	100%
1Q23	0.0%	37.0%	4.2%	7.6%	0.1%	2.6%	14.7%	33.8%	100%
1Q24	0.0%	24.0%	1.3%	9.1%	3.0%	2.2%	10.1%	50.3%	100%

CMA Total Inventory by Product Type/Lot Size									
Quarter	Condo	TH/Dplx	SFD <40	SFD 40-49	SFD 50-59	SFD 60-69	SFD 70-99	SFD > 100	Total
1Q21	0	274	26	51	23	40	78	148	640
1Q22	8	543	84	62	19	12	94	237	1,059
1Q23	73	404	10	48	1	15	62	96	709
1Q24	14	357	18	32	28	13	46	102	610
Market Share									
1Q21	0.0%	42.8%	4.1%	8.0%	3.6%	6.3%	12.2%	23.1%	100%
1Q22	0.8%	51.3%	7.9%	5.9%	1.8%	1.1%	8.9%	22.4%	100%
1Q23	10.3%	57.0%	1.4%	6.8%	0.1%	2.1%	8.7%	13.5%	100%
1Q24	2.3%	58.5%	3.0%	5.2%	4.6%	2.1%	7.5%	16.7%	100%

New, Resale, and Foreclosures by Housing Type - CMA

Resale Activity

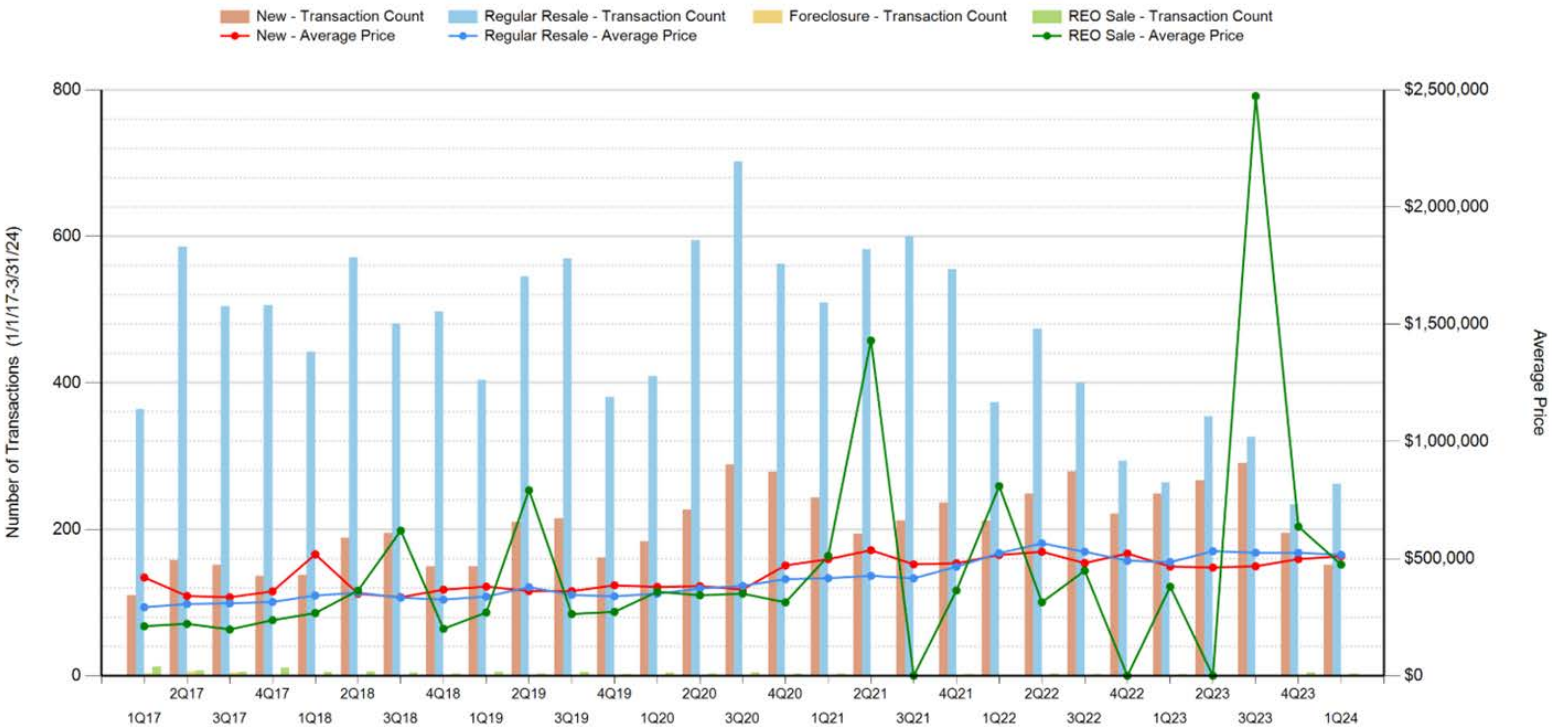


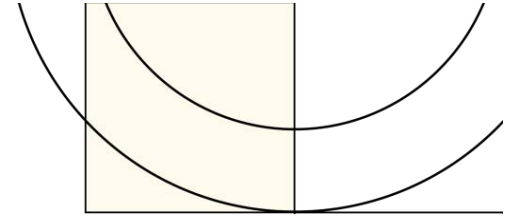
New, Resale, and Foreclosures By Housing Type

CMA

Date Range: 4/1/2023 - 3/31/2024

Transaction Type	Single Family					TH/Plex/Other				Condominium				Other/Unkn	Total
	Count	Avg Price	Avg SF	\$ / SF	Avg Lot SF	Count	Avg Price	Avg SF	\$ / SF	Count	Avg Price	Avg SF	\$ / SF	Count	Count
New	460	\$561,025	2,485	\$219.5	8,208	436	\$386,771	1,748	\$222.5	2	---	1,319	---	4	902
Regular Resale	820	\$567,868	1,779	\$332.8	29,988	211	\$400,012	1,613	\$254.7	26	\$457,675	1,220	\$234.2	117	1,174
Foreclosure	0	---	---	---	---	0	---	---	---	0	---	---	---	0	0
REO Sale	8	\$805,125	2,544	\$308.0	30,175	0	---	---	---	---	---	---	---	0	8
Selection Totals	1,288	\$567,192	1,948	\$306.3	22,192	647	\$391,757	1,692	\$235.7	28	\$457,675	1,227	\$234.2	121	2,084

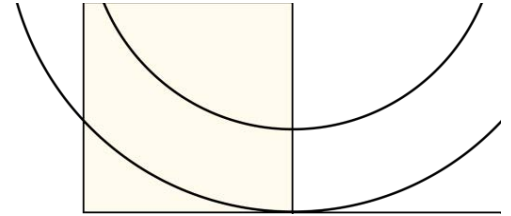




CMA Comparable Subdivisions – Attached Product Details

Competitive Market Comparables & Positioning

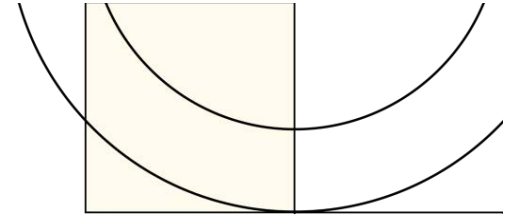
Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pymt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
1 Apple Hollow Revere Homes by Sierra Homes Santaquin Attached Expected Sell-Out By 05/24 at 2.27 per mo.												
Contracts / Sales Pace / SPL3M: 113 / 2.3 / 2.7	2,230	3/2.5	2	2	\$381,900	\$0	\$0	\$381,900	\$171	\$130	0.6%	0.0%
Annual Starts / L12M Start Rate: 0 / 0.0	2,650	3/2.5	2	2	\$404,900	\$0	\$0	\$404,900	\$153	\$130	0.6%	0.0%
Annual Closings / L12M Closing Rate: 29 / 2.4	-	-	-	-	-	-	-	-	-	-	-	-
Total Units / Occupancy / Occ. Rate: 114 / 113 / 99%	-	-	-	-	-	-	-	-	-	-	-	-
	2,440				\$393,400	\$0	\$0	\$393,400	\$162	\$130	0.6%	0.0%
2 Heelis Farms Hyve Homes Santaquin Attached Expected Sell-Out By 12/24 at 0.96 per mo.												
Contracts / Sales Pace / SPL3M: 14 / 1.0 / -	2,017	3/2.5	2	2	\$387,264	\$0	\$0	\$387,264	\$192	\$150	0.6%	0.0%
Annual Starts / L12M Start Rate: 0 / 0.0	-	-	-	-	-	-	-	-	-	-	-	-
Annual Closings / L12M Closing Rate: 10 / 0.8	-	-	-	-	-	-	-	-	-	-	-	-
Total Units / Occupancy / Occ. Rate: 20 / 15 / 75%	-	-	-	-	-	-	-	-	-	-	-	-
	2,017				\$387,264	\$0	\$0	\$387,264	\$192	\$150	0.6%	0.0%
3 Summit Ridge Towns/Express D.R. Horton Summit Ridge Santaquin Attached Expected Sell-Out By 12/24 at 9.18 per mo.												
Contracts / Sales Pace / SPL3M: 359 / 9.2 / 7.3	1,311	3/2	2	2	\$339,990	\$1,700	\$1,700	\$343,390	\$262	\$105	0.5%	0.0%
Annual Starts / L12M Start Rate: 104 / 8.7	1,399	3/2	2	2	\$354,990	\$1,775	\$1,775	\$358,540	\$256	\$105	0.5%	0.0%
Annual Closings / L12M Closing Rate: 97 / 8.1	2,187	3/2.5	2	2	\$379,990	\$1,900	\$1,900	\$383,790	\$175	\$105	0.5%	0.0%
Total Units / Occupancy / Occ. Rate: 429 / 327 / 76%	2,247	4/2.5	2	2	\$384,990	\$1,925	\$1,925	\$388,840	\$173	\$105	0.5%	0.0%
	1,786				\$364,990	\$1,825	\$1,825	\$368,640	\$217	\$105	0.5%	0.0%
4 Legacy Farms THs Salisbury Homes Spanish Fork Attached - 1,125 OR 30 Expected Sell-Out By 08/24 at 3.30 per mo.												
Contracts / Sales Pace / SPL3M: 154 / 3.3 / -	1,705	3/3	2	2	\$380,000	\$0	\$0	\$380,000	\$223	\$55	0.6%	0.0%
Annual Starts / L12M Start Rate: 0 / 0.0	2,434	3/2.5	2	2	\$380,000	\$0	\$0	\$380,000	\$156	\$55	0.6%	0.0%
Annual Closings / L12M Closing Rate: 5 / 0.4	-	-	-	-	-	-	-	-	-	-	-	-
Total Units / Occupancy / Occ. Rate: 170 / 154 / 91%	-	-	-	-	-	-	-	-	-	-	-	-
	2,070				\$380,000	\$0	\$0	\$380,000	\$189	\$55	0.6%	0.0%



CMA Comparable Subdivisions – Attached Product Details

Competitive Market Comparables & Positioning

Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pymt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
5 Juniper Ridge Arive Homes Spanish Fork Attached Expected Sell-Out By 08/24 at 4.47 per mo.												
Contracts / Sales Pace / SPL3M: 33 / 4.5 / 4.0	1,763	3/2.5	2	2	\$424,900	\$4,249	\$4,249	\$433,398	\$246	\$155	0.6%	0.0%
Annual Starts / L12M Start Rate: 24 / 2.0												
Annual Closings / L12M Closing Rate: 0 / 0.0												
Total Units / Occupancy / Occ. Rate: 50 / 0 / 0%												
	1,763				\$424,900	\$4,249	\$4,249	\$433,398	\$246	\$155	0.6%	0.0%
6 Meadow Creek Flagship Homes Spanish Fork Attached Expected Sell-Out By 11/24 at 15.52 per mo.												
Contracts / Sales Pace / SPL3M: 58 / 15.5 / 13.6	1,514	3/2.5	2	2	\$394,990	\$0	\$0	\$394,990	\$261	\$120	0.6%	0.0%
Annual Starts / L12M Start Rate: 44 / 3.7	1,546	3/2.5	2	2	\$399,990	\$0	\$0	\$399,990	\$259	\$120	0.6%	0.0%
Annual Closings / L12M Closing Rate: 7 / 0.6												
Total Units / Occupancy / Occ. Rate: 92 / 7 / 8%												
	1,530				\$397,490	\$0	\$0	\$397,490	\$260	\$120	0.6%	0.0%
7 Quiet Valley/TH D.R. Horton Spanish Fork Attached Expected Sell-Out By 02/26 at 9.92 per mo.												
Contracts / Sales Pace / SPL3M: 186 / 9.9 / 11.7	1,310	3/2	2	2	\$349,990	\$0	\$4,000	\$353,990	\$270	\$100	0.5%	0.0%
Annual Starts / L12M Start Rate: 232 / 19.3	1,399	3/2	2	2	\$365,990	\$0	\$4,000	\$369,990	\$264	\$100	0.5%	0.0%
Annual Closings / L12M Closing Rate: 155 / 12.9	1,616	4/2.5	2	2	\$409,990	\$0	\$4,000	\$413,990	\$256	\$100	0.5%	0.0%
Total Units / Occupancy / Occ. Rate: 355 / 155 / 44%	2,200	3/2.5	2	2	\$419,990	\$0	\$4,000	\$423,990	\$193	\$100	0.5%	0.0%
	1,631				\$386,490	\$0	\$4,000	\$390,490	\$246	\$100	0.5%	0.0%
8 River Run Concord Homes Spanish Fork Attached Expected Sell-Out By 12/25 at 1.02 per mo.												
Contracts / Sales Pace / SPL3M: 38 / 1.0 / -	1,839	3/2.5	2	2	\$427,500	\$4,275	\$4,275	\$436,050	\$237	\$140	0.6%	0.0%
Annual Starts / L12M Start Rate: 5 / 0.4												
Annual Closings / L12M Closing Rate: 19 / 1.6												
Total Units / Occupancy / Occ. Rate: 58 / 38 / 66%												
	1,839				\$427,500	\$4,275	\$4,275	\$436,050	\$237	\$140	0.6%	0.0%



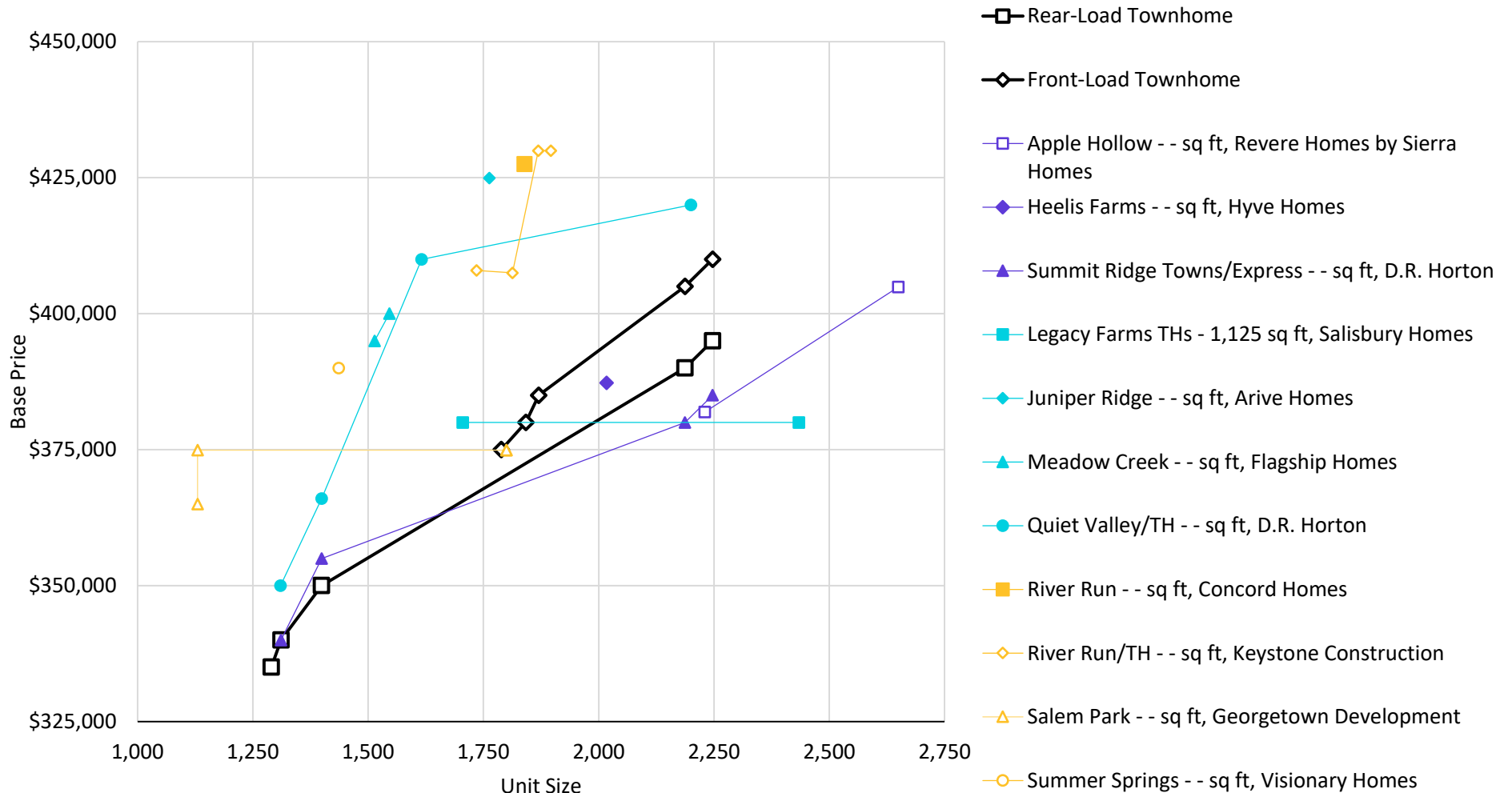
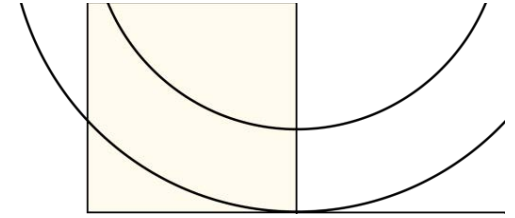
CMA Comparable Subdivisions – Attached Product Details

Competitive Market Comparables & Positioning

Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pymt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
9 River Run/TH Keystone Construction Spanish Fork Attached												
Contracts / Sales Pace / SPL3M: - / - / -	1,735	3/2.5	2	2	\$407,950	\$0	\$0	\$407,950	\$235	\$140	0.6%	0.0%
Annual Starts / L12M Start Rate: 30 / 2.5	1,813	3/2.5	2	2	\$407,500	\$0	\$0	\$407,500	\$225	\$140	0.6%	0.0%
Annual Closings / L12M Closing Rate: 0 / 0.0	1,869	3/2.5	2	2	\$429,950	\$0	\$0	\$429,950	\$230	\$140	0.6%	0.0%
Total Units / Occupancy / Occ. Rate: 60 / 0 / 0%	1,896	3/2.5	2	2	\$429,950	\$0	\$0	\$429,950	\$227	\$140	0.6%	0.0%
	1,828				\$418,838	\$0	\$0	\$418,838	\$229	\$140	0.6%	0.0%
10 Salem Park Georgetown Development Spanish Fork Attached Expected Sell-Out By 10/29 at 0.69 per mo.												
Contracts / Sales Pace / SPL3M: 32 / 0.7 / 1.7	1,130	3/2.5	2	0	\$365,000	\$3,650	\$3,650	\$372,300	\$329	\$180	0.6%	0.0%
Annual Starts / L12M Start Rate: 5 / 0.4	1,130	2/1.5	2	0	\$374,900	\$3,749	\$3,749	\$382,398	\$338	\$180	0.6%	0.0%
Annual Closings / L12M Closing Rate: 4 / 0.3	1,800	3/2.5	2	0	\$374,900	\$3,749	\$3,749	\$382,398	\$212	\$180	0.6%	0.0%
Total Units / Occupancy / Occ. Rate: 76 / 4 / 5%	1,800	3/2.5	2	0	\$374,900	\$3,749	\$3,749	\$382,398	\$212	\$180	0.6%	0.0%
	1,465				\$372,425	\$3,724	\$3,724	\$379,874	\$273	\$180	0.6%	0.0%
11 Summer Springs Visionary Homes Spanish Fork Attached Expected Sell-Out By 09/26 at 2.41 per mo.												
Contracts / Sales Pace / SPL3M: 37 / 2.4 / 4.3	1,436	3/2.5	2	2	\$389,980	\$3,900	\$3,900	\$397,780	\$277	\$136	0.6%	0.0%
Annual Starts / L12M Start Rate: 37 / 3.1												
Annual Closings / L12M Closing Rate: 18 / 1.5												
Total Units / Occupancy / Occ. Rate: 100 / 18 / 18%												
	1,436				\$389,980	\$3,900	\$3,900	\$397,780	\$277	\$136	0.6%	0.0%

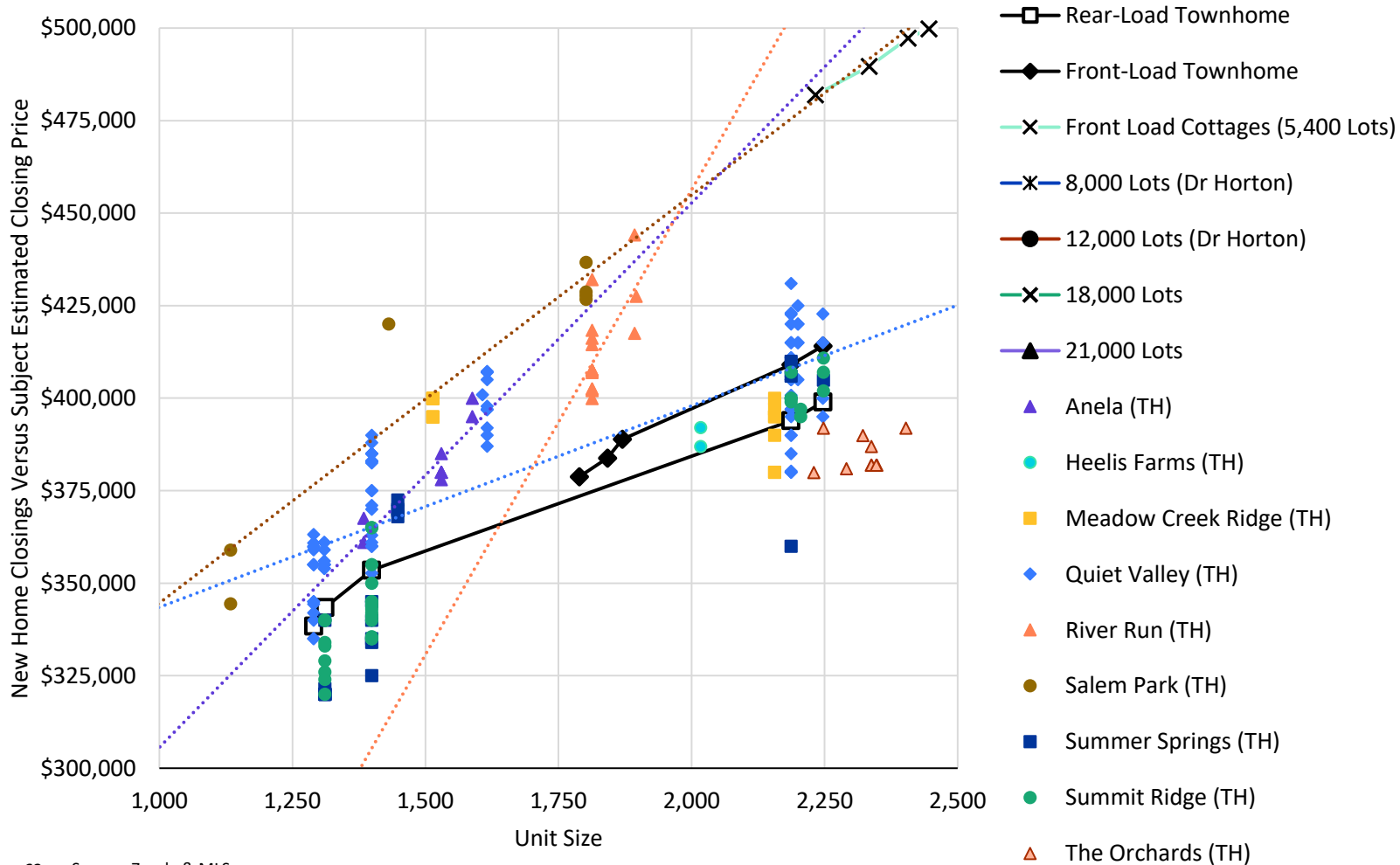
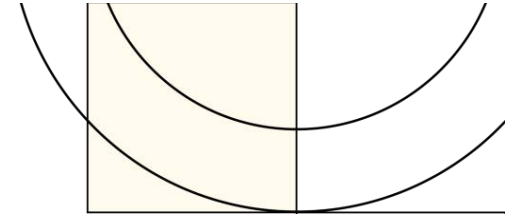
CMA Price Position Graph– Attached New Home Base Prices

Competitive Market Comparables & Positioning



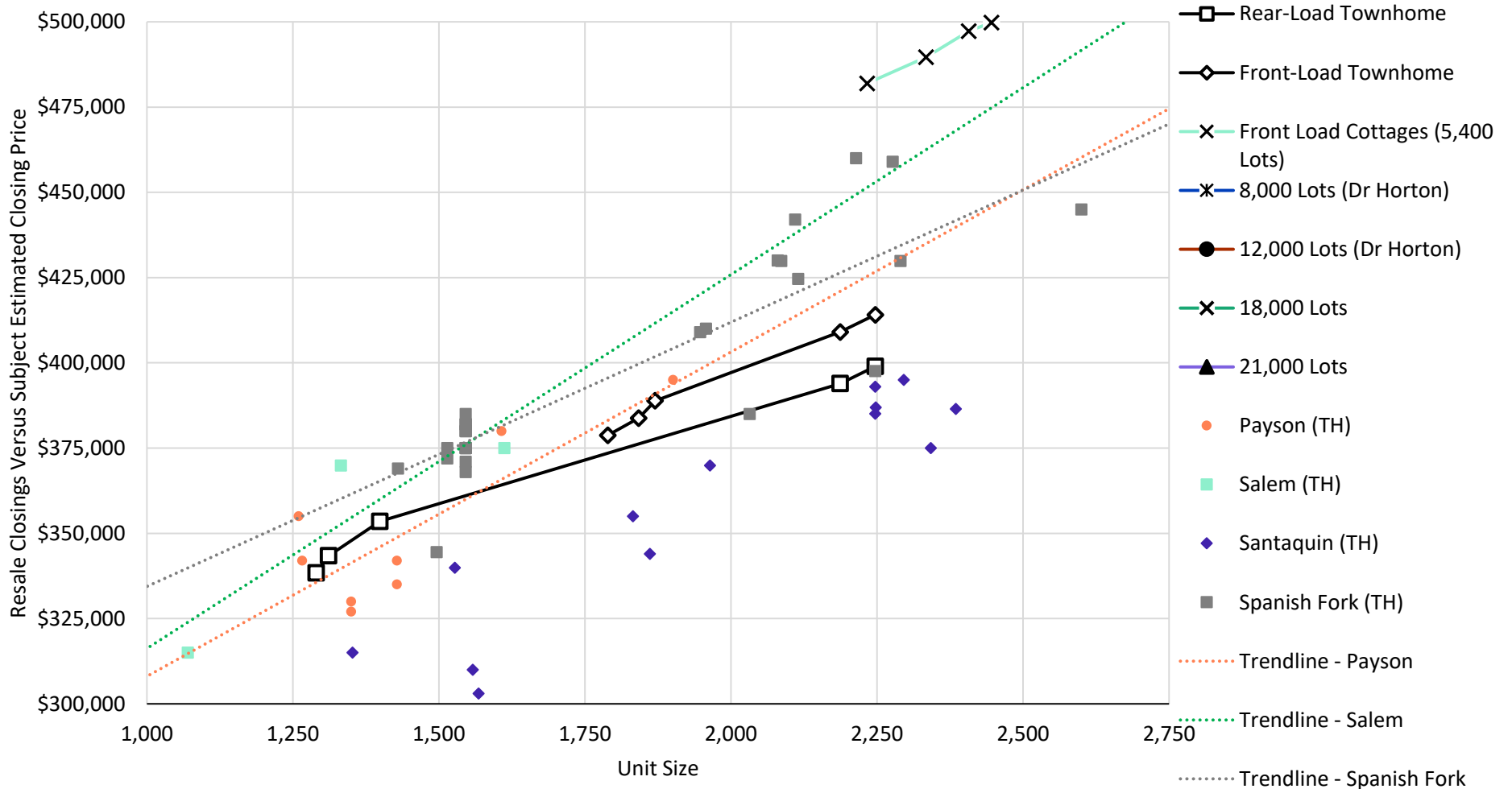
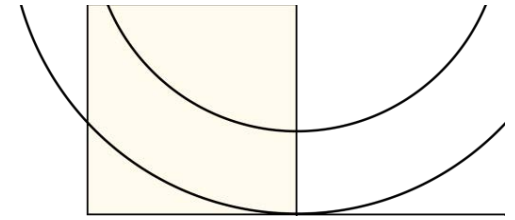
CMA Price Position Graph – Attached New Home Closing Prices

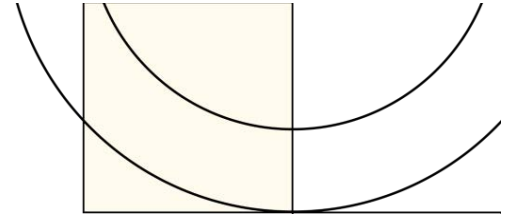
Competitive Market Comparables & Positioning



CMA Price Position Graph – Attached Resale Home Closing Prices

Competitive Market Comparables & Positioning

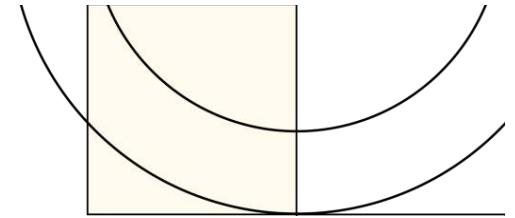




CMA Comparable Subdivisions – Detached Product Details

Competitive Market Comparables & Positioning

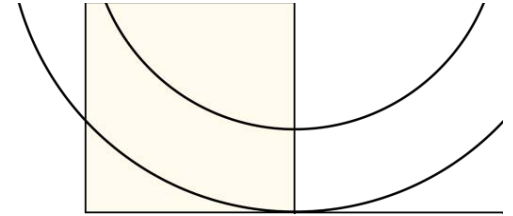
Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pymt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
12 Quiet Valley/SF D.R. Horton Spanish Fork Detached - 4,000 OR 40 Expected Sell-Out By 07/24 at 6.24 per mo.												
Total Units/Remaining: 119 / 10	2,697	3/2.5	2	2	\$454,990	\$0	\$4,000	\$458,990	\$170	\$30	0.6%	0.0%
Contracts: 117	2,879	3/2	1	2	\$469,990	\$0	\$4,000	\$473,990	\$165	\$30	0.6%	0.0%
Sales Pace Overall: 6.2	3,248	3/2	1	2	\$509,990	\$0	\$4,000	\$513,990	\$158	\$30	0.6%	0.0%
Sales Pace L3M: 6.0	3,335	3/2.5	2	2	\$524,990	\$0	\$4,000	\$528,990	\$159	\$30	0.6%	0.0%
	3,718	3/2	1	2	\$552,610	\$0	\$4,000	\$556,610	\$150	\$30	0.6%	0.0%
	3,733	4/2.5	2	2	\$581,600	\$0	\$4,000	\$585,600	\$157	\$30	0.6%	0.0%
	3,268				\$515,695	\$0	\$4,000	\$519,695	\$160	\$30	0.6%	0.0%
13 Overlook Element Homes Santaquin Detached - 4,725 OR 45 Expected Sell-Out By 03/25 at 2.21 per mo.												
Total Units/Remaining: 28 / 23	1,771	3/2.5	2	2	\$509,900	\$0	\$0	\$509,900	\$288	\$0	0.6%	0.0%
Contracts: 5	2,046	4/2.5	2	2	\$529,900	\$0	\$0	\$529,900	\$259	\$0	0.6%	0.0%
Sales Pace Overall: 2.2	-	-	-	-	-	-	-	-	-	-	-	-
Sales Pace L3M: 2.2	-	-	-	-	-	-	-	-	-	-	-	-
	1,909				\$519,900	\$0	\$0	\$519,900	\$273	\$0	0.6%	0.0%
14 Orchards Revere Homes by Sierra Homes Santaquin Detached - 6,175 OR 65 Expected Sell-Out By 09/25 at 0.31 per mo.												
Total Units/Remaining: 7 / 5	1,757	4/2.5	2	2	\$489,900	\$0	\$0	\$489,900	\$279	\$0	0.6%	0.0%
Contracts: 2	2,385	3/2.5	2	3	\$500,000	\$0	\$0	\$500,000	\$210	\$0	0.6%	0.0%
Sales Pace Overall: 0.3	-	-	-	-	-	-	-	-	-	-	-	-
Sales Pace L3M: 0.3	-	-	-	-	-	-	-	-	-	-	-	-
	2,071				\$494,950	\$0	\$0	\$494,950	\$244	\$0	0.6%	0.0%
15 Seasons at Salem Park Richmond American Homes Spanish Fork Detached - 7,000 OR 70 Expected Sell-Out By 06/24 at 1.70 per mo.												
Total Units/Remaining: 87 / 1	2,420	3/2.5	2	2	\$552,026	\$0	\$0	\$552,026	\$228	\$0	0.6%	0.0%
Contracts: 86	-	-	-	-	-	-	-	-	-	-	-	-
Sales Pace Overall: 1.7	-	-	-	-	-	-	-	-	-	-	-	-
Sales Pace L3M: 0.7	-	-	-	-	-	-	-	-	-	-	-	-
	2,420				\$552,026	\$0	\$0	\$552,026	\$228	\$0	0.6%	0.0%



CMA Comparable Subdivisions – Detached Product Details

Competitive Market Comparables & Positioning

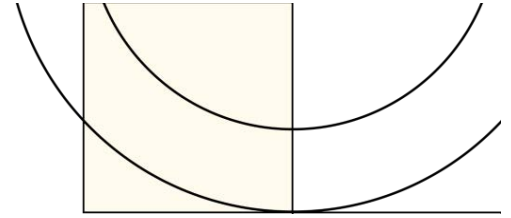
Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pynt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
16 Gage Canyon Hyve Homes Spanish Fork Detached - 8,075 OR 85 Expected Sell-Out By 01/27 at 0.73 per mo.												
Total Units/Remaining: 36 / 23	2,744	3/2	1	2	\$535,000	\$0	\$0	\$535,000	\$195	\$0	0.6%	0.0%
Contracts: 17	2,788	3/2	1	2	\$540,000	\$0	\$0	\$540,000	\$194	\$0	0.6%	0.0%
Sales Pace Overall: 0.7	2,792	3/2.5	2	2	\$545,000	\$0	\$0	\$545,000	\$195	\$0	0.6%	0.0%
Sales Pace L3M: 1.3	3,444	3/2	1	2	\$590,000	\$0	\$0	\$590,000	\$171	\$0	0.6%	0.0%
	3,523	3/2	1	2	\$615,000	\$0	\$0	\$615,000	\$175	\$0	0.6%	0.0%
	3,058				\$565,000	\$0	\$0	\$565,000	\$186	\$0	0.6%	0.0%
17 Skye Meadows Hillwood Homes Spanish Fork Detached - 8,250 OR 75 Expected Sell-Out By 11/26 at 0.90 per mo.												
Total Units/Remaining: 34 / 26	3,482	5/3.5	2	3	\$635,900	\$0	\$0	\$635,900	\$183	\$0	0.6%	0.0%
Contracts: 10	3,870	3/2.5	2	2	\$714,740	\$0	\$0	\$714,740	\$185	\$0	0.6%	0.0%
Sales Pace Overall: 0.9	4,758	4/3.5	2	3	\$812,500	\$0	\$0	\$812,500	\$171	\$0	0.6%	0.0%
Sales Pace L3M: 2.7												
	4,037				\$721,047	\$0	\$0	\$721,047	\$179	\$0	0.6%	0.0%
18 High Sky Estates/Ph B/C/D/E Arive Homes Spanish Fork Detached - 11,550 OR 105;120 Expected Sell-Out By 07/27 at 0.94 per mo.												
Total Units/Remaining: 63 / 35	2,858	4/2.5	2	2	\$869,900	\$100,000	\$0	\$969,900	\$339	\$0	0.6%	0.0%
Contracts: 28	2,987	4/2.5	2	2	\$899,900	\$100,000	\$0	\$999,900	\$335	\$0	0.6%	0.0%
Sales Pace Overall: 0.9	3,296	6/4	1	2	\$979,900	\$100,000	\$0	\$1,079,900	\$328	\$0	0.6%	0.0%
Sales Pace L3M: 1.0												
	3,047				\$916,567	\$100,000	\$0	\$1,016,567	\$334	\$0	0.6%	0.0%



CMA Comparable Subdivisions – Detached Product Details

Competitive Market Comparables & Positioning

Project					Typical Spending			Estimated	Est.	Pymt Impacting						
Project Detail					Base	Options /	Lot	Closing	Closing	Mo.	Base	Addl				
					Price	Upgrades	Premiums	Price	\$/SF	HOA	Tax	Taxes				
19	Skyhawk Knoll Arive Homes Salem Detached - 10,925 OR 95				Expected Sell-Out By 06/24 at 1.81 per mo.											
Total Units/Remaining: 52 / 2					1,746	3/2	1	2	\$653,900	\$100,000	\$20,000	\$773,900	\$443	\$0	0.6%	0.0%
Contracts: 50					2,048	3/2.5	1	2	\$730,900	\$100,000	\$20,000	\$850,900	\$415	\$0	0.6%	0.0%
Sales Pace Overall: 1.8					2,305	3/2.5	1	3	\$839,900	\$100,000	\$20,000	\$959,900	\$416	\$0	0.6%	0.0%
Sales Pace L3M: 1.7					2,414	4/2.5	2	2	\$799,900	\$100,000	\$20,000	\$919,900	\$381	\$0	0.6%	0.0%
					2,492	4/2.5	2	2	\$769,900	\$100,000	\$20,000	\$889,900	\$357	\$0	0.6%	0.0%
					2,847	5/3.5	1	2	\$774,900	\$100,000	\$20,000	\$894,900	\$314	\$0	0.6%	0.0%
					2,903	4/2.5	2	2	\$798,900	\$100,000	\$20,000	\$918,900	\$317	\$0	0.6%	0.0%
					2,394				\$766,900	\$100,000	\$20,000	\$886,900	\$378	\$0	0.6%	0.0%
20	Skyview Estates Arive Homes Salem Detached - 11,000 OR 110				Expected Sell-Out By 06/24 at 1.83 per mo.											
Total Units/Remaining: 59 / 2					1,746	3/2	1	2	\$559,900	\$27,995	\$11,198	\$599,093	\$343	\$0	0.6%	0.0%
Contracts: 57					1,852	3/2.5	1	2	\$669,900	\$33,495	\$13,398	\$716,793	\$387	\$0	0.6%	0.0%
Sales Pace Overall: 1.8					2,045	4/2.5	2	2	\$669,900	\$33,495	\$13,398	\$716,793	\$351	\$0	0.6%	0.0%
Sales Pace L3M: 2.3					2,048	3/2.5	1	2	\$779,900	\$38,995	\$15,598	\$834,493	\$407	\$0	0.6%	0.0%
					2,058	3/2.5	1	2	\$606,900	\$30,345	\$12,138	\$649,383	\$316	\$0	0.6%	0.0%
					2,241	4/3	1	2	\$680,900	\$34,045	\$13,618	\$728,563	\$325	\$0	0.6%	0.0%
					2,317	4/2.5	2	2	\$618,900	\$30,945	\$12,378	\$662,223	\$286	\$0	0.6%	0.0%
					2,414	4/2.5	2	2	\$739,900	\$36,995	\$14,798	\$791,693	\$328	\$0	0.6%	0.0%
					2,492	4/2.5	2	2	\$759,900	\$37,995	\$15,198	\$813,093	\$326	\$0	0.6%	0.0%
					2,514	4/3	1	2	\$652,900	\$32,645	\$13,058	\$698,603	\$278	\$0	0.6%	0.0%
					2,566	3/2.5	1	2	\$652,900	\$32,645	\$13,058	\$698,603	\$272	\$0	0.6%	0.0%
					2,644	4/2.5	2	2	\$668,900	\$33,445	\$13,378	\$715,723	\$271	\$0	0.6%	0.0%
					2,870	4/2.5	2	2	\$651,900	\$32,595	\$13,038	\$697,533	\$243	\$0	0.6%	0.0%
					2,870	4/2.5	1	2	\$754,900	\$37,745	\$15,098	\$807,743	\$281	\$0	0.6%	0.0%
					2,890	3/2.5	1	2	\$701,900	\$35,095	\$14,038	\$751,033	\$260	\$0	0.6%	0.0%
					2,903	4/2.5	2	2	\$652,900	\$32,645	\$13,058	\$698,603	\$241	\$0	0.6%	0.0%
					3,316	5/3.5	2	2	\$717,900	\$35,895	\$14,358	\$768,153	\$232	\$0	0.6%	0.0%
					2,458				\$678,841	\$33,942	\$13,577	\$726,360	\$303	\$0	0.6%	0.0%



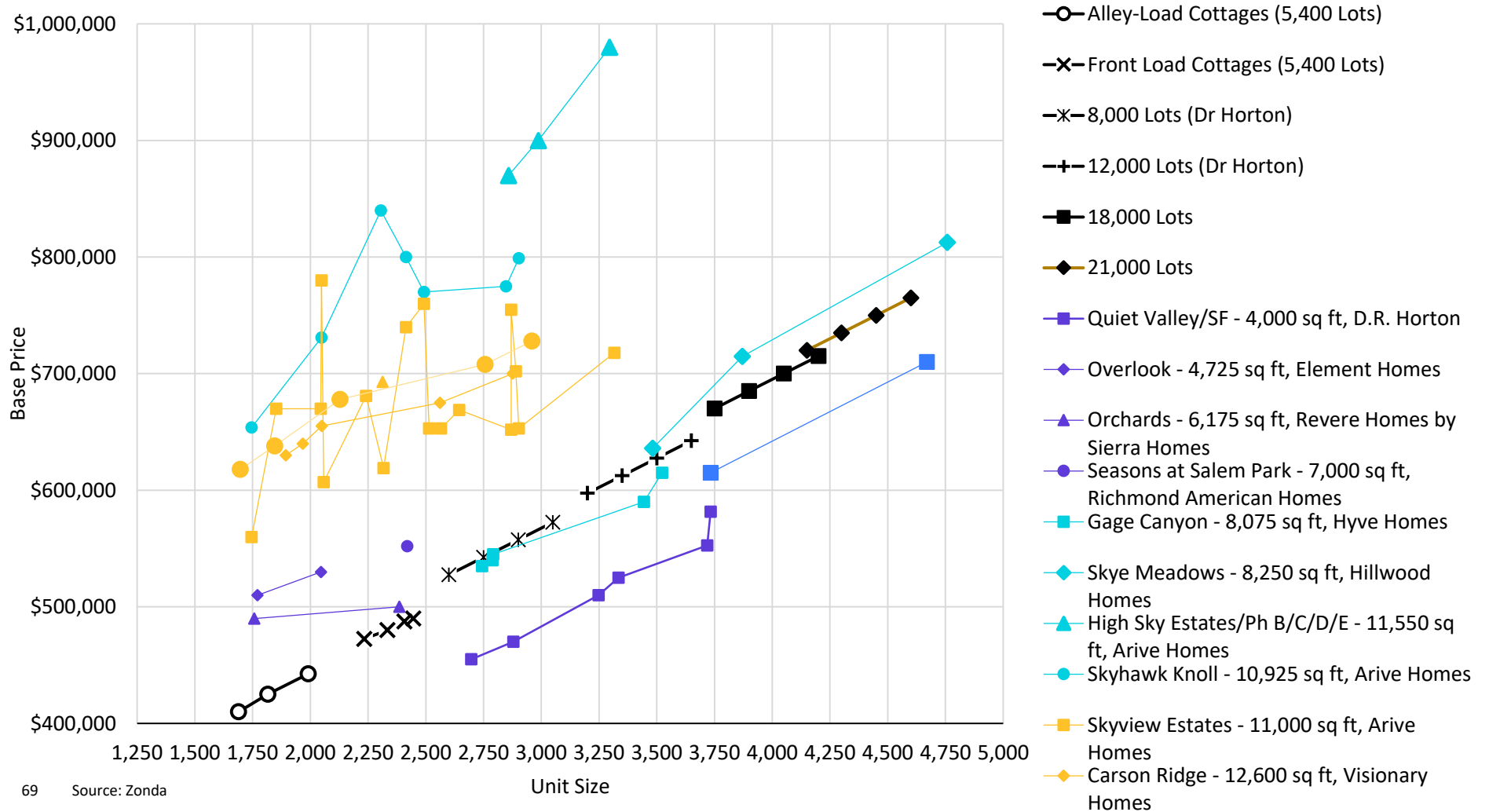
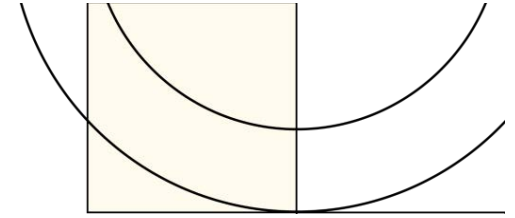
CMA Comparable Subdivisions – Detached Product Details

Competitive Market Comparables & Positioning

Project Project Detail	Size				Base Price	Typical Spending		Estimated Closing Price	Est. Closing \$/SF	Pymt Impacting		
	(SF)	Bd/Ba	Level	Pkg		Options / Upgrades	Lot Premiums			Mo. HOA	Base Tax	Addl Taxes
21 Carson Ridge Visionary Homes Salem Detached - 12,600 OR 90;100 Expected Sell-Out By 10/26 at 1.15 per mo.												
Total Units/Remaining: 66 / 33	1,894	3/2	1	2	\$629,990	\$0	\$0	\$629,990	\$333	\$0	0.6%	0.0%
Contracts: 33	1,967	3/2.5	1	2	\$639,990	\$0	\$0	\$639,990	\$325	\$0	0.6%	0.0%
Sales Pace Overall: 1.2	2,049	3/2.5	2	2	\$654,990	\$0	\$0	\$654,990	\$320	\$0	0.6%	0.0%
Sales Pace L3M: 1.0	2,561	4/2.5	1	2	\$674,990	\$0	\$0	\$674,990	\$264	\$0	0.6%	0.0%
	2,876	4/2.5	2	2	\$699,990	\$0	\$0	\$699,990	\$243	\$0	0.6%	0.0%
	2,269				\$659,990	\$0	\$0	\$659,990	\$297	\$0	0.6%	0.0%
22 Canyon View Meadows Arive Homes Spanish Fork Detached - 13,300 OR 95 Expected Sell-Out By 06/24 at 2.83 per mo.												
Total Units/Remaining: 14 / 5	2,313	3/3	2	2	\$692,900	\$100,000	\$0	\$792,900	\$343	\$0	0.6%	0.0%
Contracts: 9												
Sales Pace Overall: 2.8												
Sales Pace L3M: 2.7												
	2,313				\$692,900	\$100,000	\$0	\$792,900	\$343	\$0	0.6%	0.0%
23 Vistas at Summit Ridge Terrata Homes Summit Ridge Santaquin Detached - 12,825 OR 95 Expected Sell-Out By 04/39 at 0.53 per mo.												
Total Units/Remaining: 95 / 94	1,697	3/2	1	2	\$617,900	\$0	\$0	\$617,900	\$364	\$10	0.6%	0.0%
Contracts: 1	1,846	3/2	1	2	\$637,900	\$0	\$0	\$637,900	\$346	\$10	0.6%	0.0%
Sales Pace Overall: 0.5	2,129	4/2.5	1	2	\$677,900	\$0	\$0	\$677,900	\$318	\$10	0.6%	0.0%
Sales Pace L3M: 0.5	2,757	4/3	2	2	\$707,900	\$0	\$0	\$707,900	\$257	\$10	0.6%	0.0%
	2,960	5/3	2	2	\$727,900	\$0	\$0	\$727,900	\$246	\$10	0.6%	0.0%
	2,278				\$673,900	\$0	\$0	\$673,900	\$306	\$10	0.6%	0.0%
24 Foothill Village D.R. Horton Santaquin Detached - 14,850 OR 110 Expected Sell-Out By 07/24 at 6.67 per mo.												
Total Units/Remaining: 478 / 9	3,733	4/2.5	2	3	\$614,990	\$0	\$0	\$614,990	\$165	\$50	0.6%	0.0%
Contracts: 471	4,670	4/2	2	3	\$709,990	\$0	\$0	\$709,990	\$152	\$50	0.6%	0.0%
Sales Pace Overall: 6.7												
Sales Pace L3M: 6.3												
	4,202				\$662,490	\$0	\$0	\$662,490	\$158	\$50	0.6%	0.0%

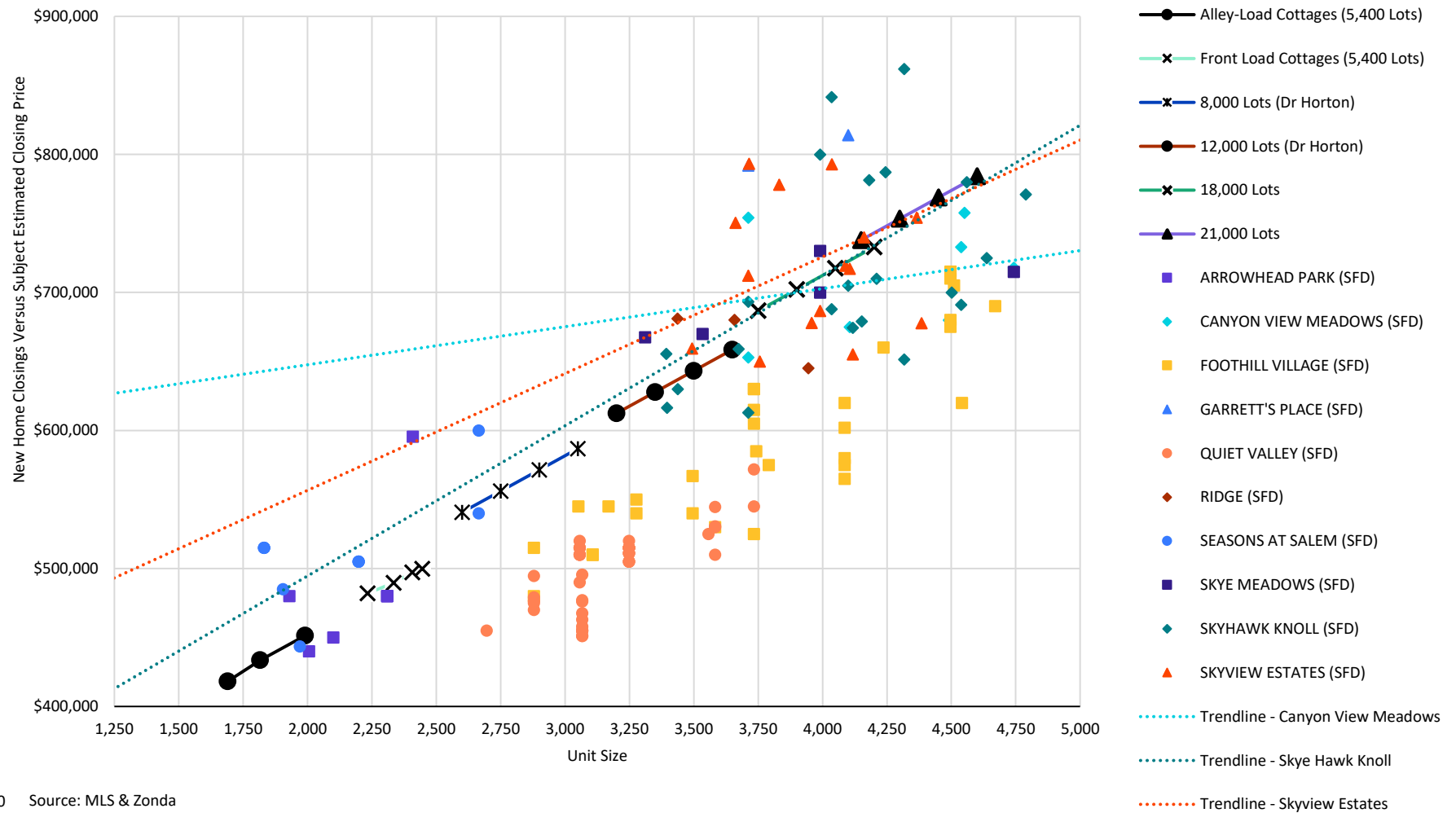
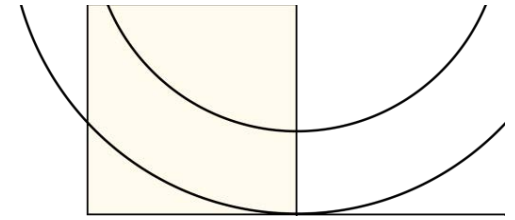
CMA Price Position Graph– Detached New Home Base Prices

Competitive Market Comparables & Positioning



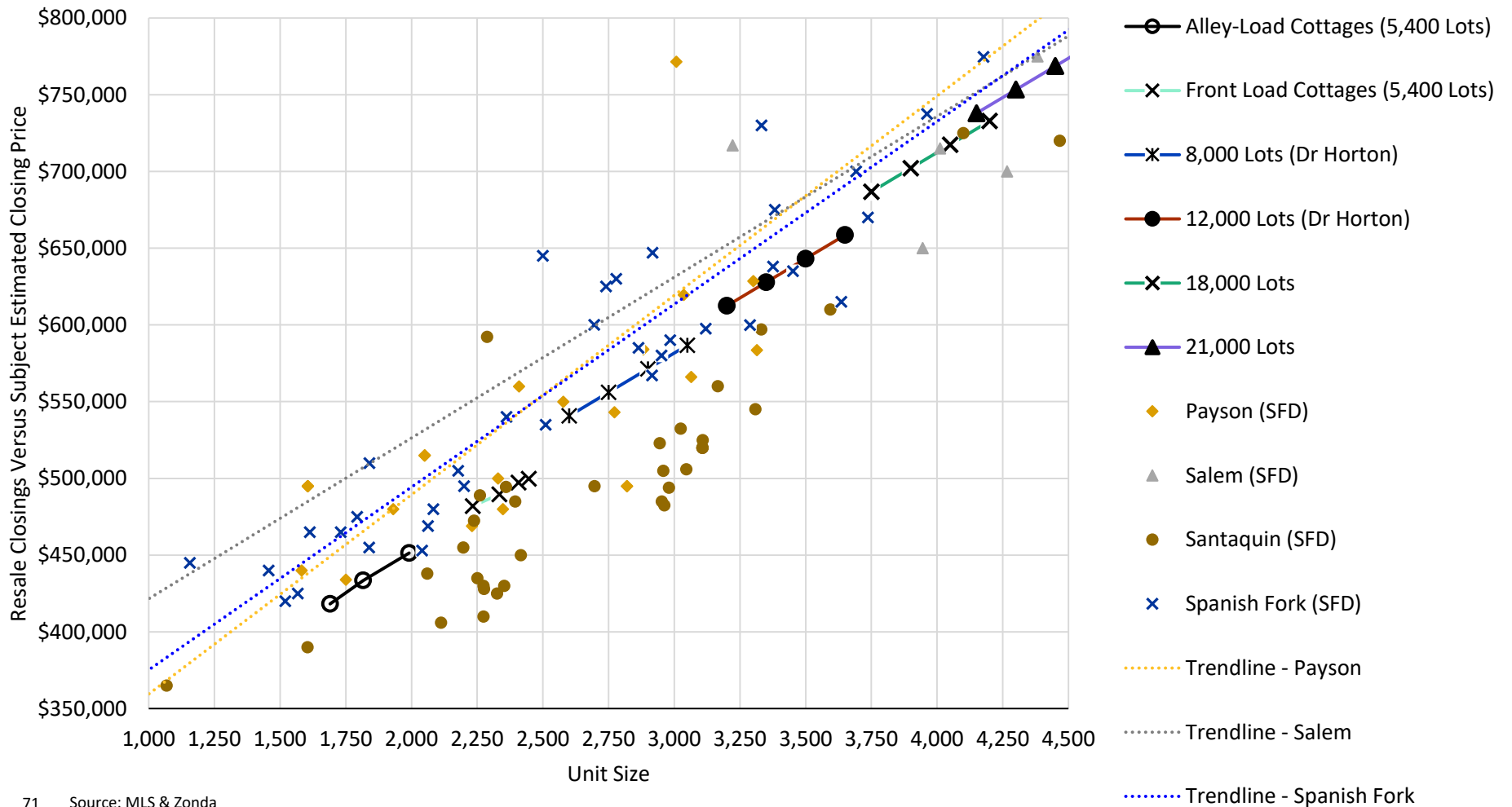
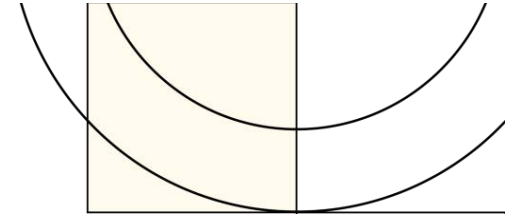
CMA Price Position Graph – Detached New Home Closing Prices

Competitive Market Comparables & Positioning

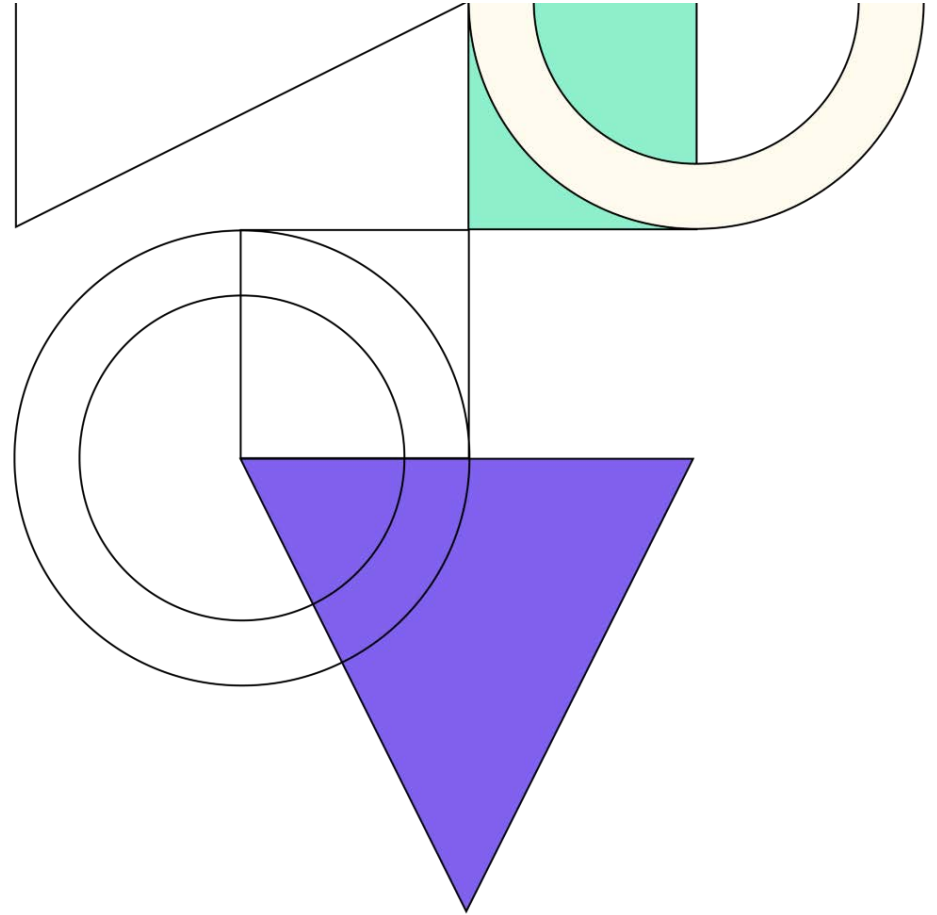


CMA Price Position Graph – Detached Resale Home Closing Prices

Competitive Market Comparables & Positioning



Appendix: Methodology



Methodology

Appendix

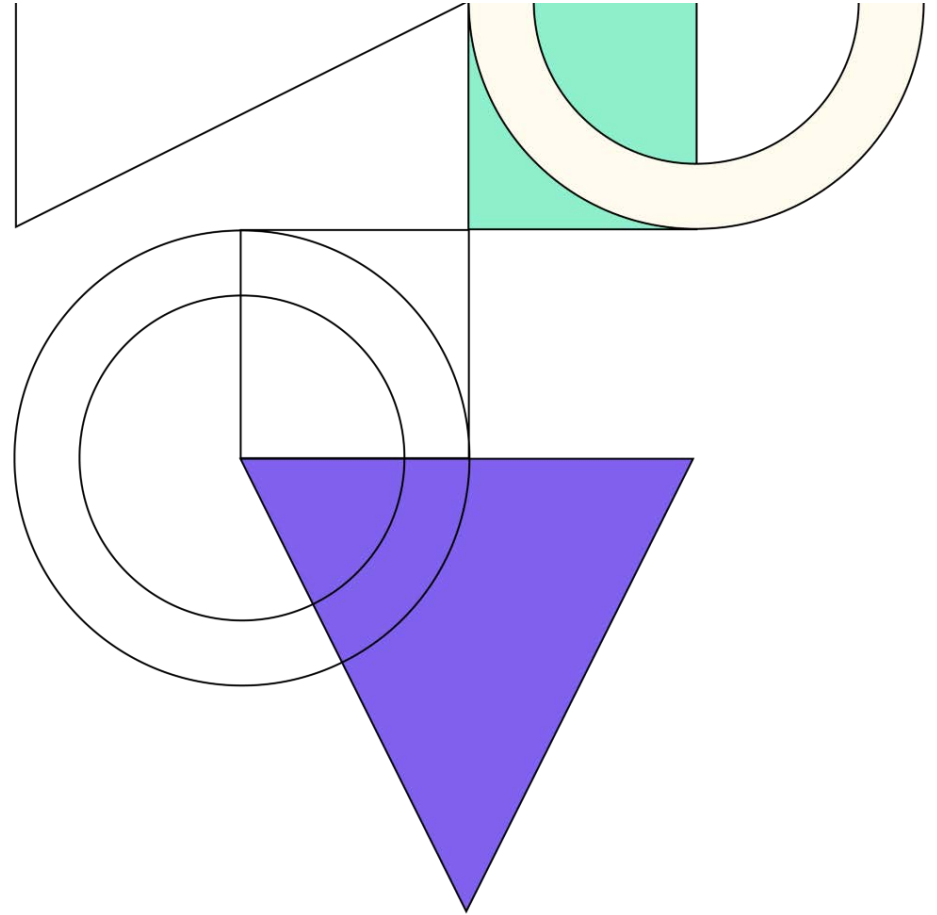
The Market and the Viridian Farm Competitive Market Area were analyzed by evaluating historical trends in housing supply, demographics, employment, and household formation to determine economic expansion trends and associated levels of housing demand. Further, to supplement the data indicating increasing demand from surrounding areas into the broader Market area, we reviewed nearby major employment centers and known workforce commuting patterns.

The Zonda housing survey monitors the supply of detached and attached homes on a quarterly basis. Our survey tracks all condominium, townhome, duplex, and single-family construction activity in the Provo-Orem area. The survey allows us to accurately track the size of the total market, as well as supply and demand within the sub-markets. Further, it helps us establish the depth of the market and the scope of the competition. In this study, Zonda Advisory supplemented the quarterly data with specific fieldwork needed to analyze the Competitive Market Area within the overall Market.

Definitions

- **Annual Starts:** The number of homes started during the last four quarters. A “start” occurs when a slab or foundation is initiated.
- **Annual Closings:** The number of homes closed during the last four quarters. A “closing” occurs when a home is moved into and occupied. Zonda tracks move-ins, as they are a better indicator of demand than deed deliveries.
- **Square Footage:** All measures of a home size are in terms of air-conditioned space.
- **Models:** Must be fully finished, furnished, and decorated.
- **Finished Vacant:** Construction is complete, the site is clean, but there is no evidence of occupancy.
- **Finished Vacant Months of Supply:** F/V months of supply is calculated by dividing the number of F/V homes by the current annual closings pace; and then multiplying by twelve to yield months.
- **Vacant Developed Lots:** Also referred to as “VDL” and “Finished Lots”; a lot on a recorded plat with streets and utilities in place, ready for construction of a new home.
- **Vacant Developed Lots Months of Supply:** VDL months-of-supply is calculated by dividing the number of VDL by the current annual starts pace; and then multiplying by twelve to yield months.
- **Future Lots:** Lots that are platted, but not yet developed.

Appendix: Disclaimer



Disclaimer

Appendix

It is understood by Viridian Farm Public Infrastructure District No. 1 (“Client”) that Zonda can make no guarantees about the recommendations in this study, primarily because these recommendations must be based and, in some cases, inferred from facts discovered by Zonda during the course of the study. To protect the Client and to assure that Zonda’s research results will continue to be accepted as objective and impartial by the business community, it is understood that Zonda’s fee for this study is in no way dependent upon the specific conclusions reached or the nature of the advice given in this report.

Reasonable efforts have been made to ensure that the data contained in this study reflect the most accurate and timely information possible and are believed to be reliable. This study is based on estimates, assumptions and other information developed by Zonda from its independent research effort, general knowledge of the industry and consultations with the Client and its representatives. No responsibility is assumed for inaccuracies in reporting by the Client, its agents and representatives or any other data source used in preparing or presenting this study. This report is based on market-wide information that was current as of the end of 1Q24 and Zonda has not undertaken any update of its research effort since such date. While every reasonable effort was made to collect this information and it is deemed reliable, it cannot be guaranteed for accuracy.

Our report may contain prospective financial information, estimates, or opinions that represent our view of reasonable expectations at a particular point in time, but such information, estimates or opinions are not offered as predictions or as assurances that events will occur or that a particular price will be offered or accepted. Actual results achieved during the period covered by our prospective financial analysis may vary from those described in our report and the variations may be material. Therefore, Zonda makes no warranty or representation that any of the projected values or results in this study will actually be achieved.



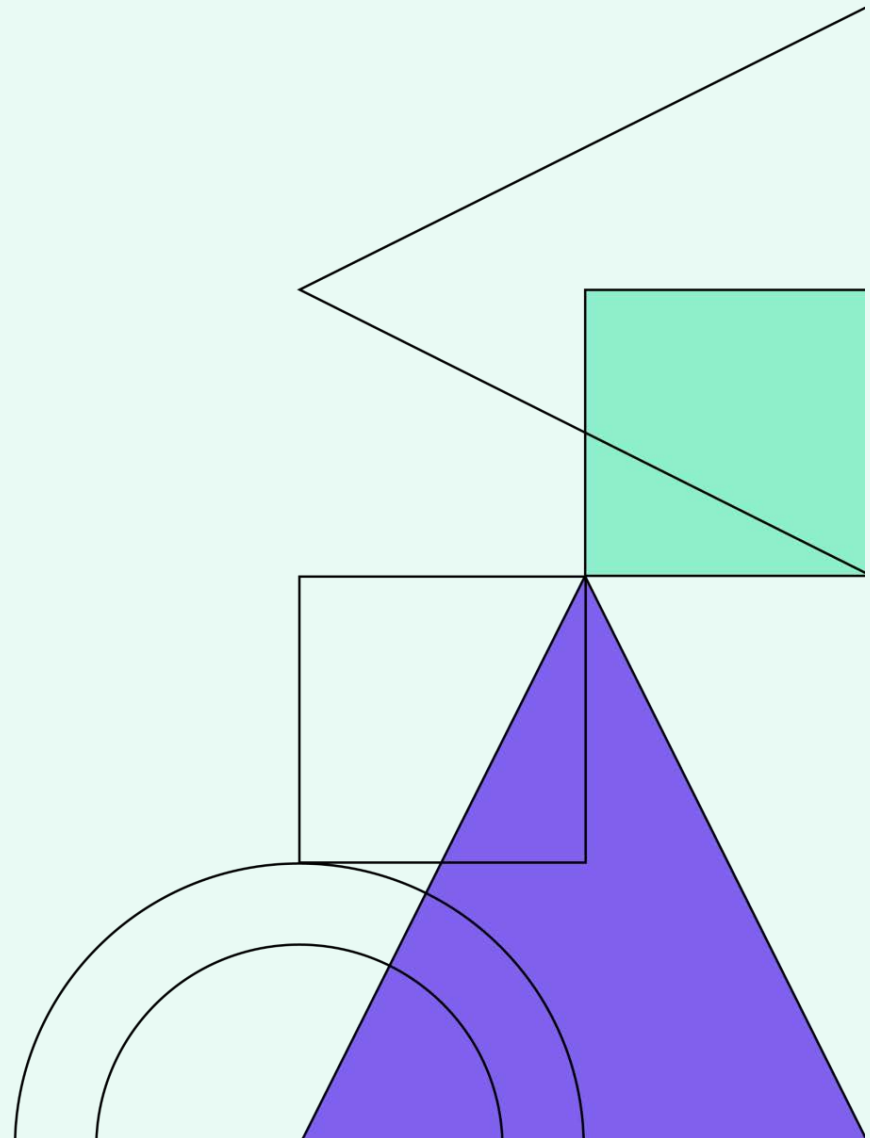
Thank you!

Zonda

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Newport Beach, California 92660

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APPENDIX C

SELECTED DEFINITIONS OF THE INDENTURES

The following definitions and the description of the Indentures in this Appendix are in substantially final form and are qualified in all respects by reference to the Indentures. Copies of the Indentures may be obtained from the District and the Underwriter as provided under the caption “**INTRODUCTION—Additional Information**” in the body of this Limited Offering Memorandum. Although the content of the definitions are the same, the defined terms used in this Appendix and the Limited Offering Memorandum may not necessarily match the defined terms in the Indentures. In addition, certain defined terms are listed twice to the extent such defined term is used both within the Senior Indenture and Subordinate Indenture with different meanings. Such repeated definitions are identified by a reference to the Senior Indenture or Subordinate Indenture, as applicable.

Although a single Limited Offering Memorandum is being used in connection with the offer and sale of the 2024A Senior Bonds and 2024B Subordinate Bonds, the 2024A Senior Bonds are secured solely by the Senior Indenture and the 2024B Subordinate Bonds are secured solely by the Subordinate Indenture. Further, each series of Bonds is secured by its own set of revenue available to the District; the 2024A Senior Bonds are secured solely by the Senior Pledged Revenue, and the 2024B Subordinate Bonds are secured solely by the Subordinate Pledged Revenue. Accordingly, the use of a single Limited Offering Memorandum does not imply that Owners of the 2024A Senior Bonds and Owners of the 2024B Subordinate Bonds are secured by the same revenue sources, funds or covenants. Owners of the 2024A Senior Bonds and Owners of the 2024B Subordinate Bonds are afforded different rights under the Senior Indenture and the Subordinate Indenture, respectively.

“Additional Obligations” is defined in the Senior Indenture to mean (a) all obligations of the District for borrowed money and reimbursement obligations; (b) all obligations of the District payable from or constituting a lien or encumbrance upon ad valorem tax revenues of the District or any part of the Pledged Revenue; (c) all obligations of the District evidenced by bonds, debentures, notes, or other similar instruments, including without limitation any Senior Parity Bonds and Subordinate Obligations; (d) all obligations of the District to pay the deferred purchase price of property or services; (e) all obligations of the District as lessee under leases, but excluding such obligations outstanding from time to time with respect to which the aggregate maximum repayment costs for all terms thereof do not exceed \$500,000; and (f) all obligations of others guaranteed by the District; provided that notwithstanding the foregoing, the term “Additional Obligations” does not include:

- (i) obligations which do not obligate the District to impose any tax, fee, or other governmental charge and either: (A) are subject to termination by the District at least annually; or (B) the repayment of which is contingent upon the District’s annual determination to appropriate moneys therefor (other than leases as set forth in (e) above);
- (ii) obligations which are payable solely from the proceeds of Additional Obligations, when and if issued;
- (iii) obligations payable solely from periodic, recurring service charges imposed by the District for the use of any District facility or service, which obligations do not constitute a debt or indebtedness of the District or an obligation required to be approved at an election under State law;
- (iv) obligations with respect to which the District has irrevocably committed funds (not constituting Pledged Revenue) equal to the full amount due or to become due thereunder;
- (v) obligations to reimburse any person in respect of surety bonds, financial guaranties, letters of credit, or similar credit enhancements so long as (A) such surety bonds, financial guaranties, letters of credit, or similar credit enhancements guarantee payment of principal or interest on any Senior Parity Bonds or Subordinate Obligations, and (B) the reimbursement obligation does not arise unless payment of an equivalent amount (or more) of principal on the Senior Parity Bonds or Subordinate Obligations has been made, and (C) such reimbursement obligations are payable from the same or fewer revenue sources, with the same or a subordinate lien priority as the Senior Parity Bonds or Subordinate Obligations supported by the surety bonds, financial guaranties, letters of credit, or similar credit enhancements;

(vi) bonds and notes repayable pursuant to the Assessment Area Act, Title 11, Chapter 42 of the Utah Code and the Commercial Property Assessed Clean Energy Act, Title 11, Chapter 42a; and

(vii) any leases outstanding from time to time with respect to which the aggregate maximum repayment costs for all terms thereof do not exceed \$500,000, payroll obligations, accounts payable, or taxes incurred or payable in the ordinary course of business of the District.

“Additional Obligations” is defined in the Subordinate Indenture to mean (a) all obligations of the District for borrowed money and reimbursement obligations; (b) all obligations of the District payable from or constituting a lien or encumbrance upon ad valorem tax revenues of the District or any part of the Subordinate Pledged Revenue; (c) all obligations of the District evidenced by bonds, debentures, notes, or other similar instruments, including without limitation any Subordinate Parity Bonds, Senior Obligations, and Junior Lien Obligations; (d) all obligations of the District to pay the deferred purchase price of property or services; (e) all obligations of the District as lessee under leases, but excluding such obligations outstanding from time to time with respect to which the aggregate maximum repayment costs for all terms thereof do not exceed \$500,000; and (f) all obligations of others guaranteed by the District; provided that notwithstanding the foregoing, the term “Additional Obligations” does not include:

(i) obligations which do not obligate the District to impose any tax, fee, or other governmental charge and either: (A) are subject to termination by the District at least annually; or (B) the repayment of which is contingent upon the District’s annual determination to appropriate moneys therefor (other than leases as set forth in (e) above);

(ii) obligations which are payable solely from the proceeds of Additional Obligations, when and if issued;

(iii) obligations payable solely from periodic, recurring service charges imposed by the District for the use of any District facility or service, which obligations do not constitute a debt or indebtedness of the District or an obligation required to be approved at an election under State law;

(iv) obligations with respect to which the District has irrevocably committed funds (not constituting Subordinate Pledged Revenue) equal to the full amount due or to become due thereunder;

(v) obligations to reimburse any person in respect of surety bonds, financial guaranties, letters of credit, or similar credit enhancements so long as (A) such surety bonds, financial guaranties, letters of credit, or similar credit enhancements guarantee payment of principal or interest on any Subordinate Parity Bonds, Senior Obligations, or Junior Lien Obligations, (B) the reimbursement obligation does not arise unless payment of an equivalent amount (or more) of principal on the Subordinate Parity Bonds, Senior Obligations or Junior Lien Obligations has been made, and (C) such reimbursement obligations are payable from the same or fewer revenue sources, with the same or a subordinate lien priority as the Subordinate Parity Bonds, Senior Obligations, or Junior Lien Obligations supported by the surety bonds, financial guaranties, letters of credit, or similar credit enhancements;

(vi) bonds and notes repayable pursuant to the Assessment Area Act, Title 11, Chapter 42 of the Utah Code and the Commercial Property Assessed Clean Energy Act, Title 11, Chapter 42a; and

(vii) any leases outstanding from time to time with respect to which the aggregate maximum repayment costs for all terms thereof do not exceed \$500,000, payroll obligations, accounts payable, or taxes incurred or payable in the ordinary course of business of the District.

“Administrative Expenses” is defined in the Senior Indenture to mean an amount reasonably determined by the District as being necessary to pay the District’s expenses reasonably incurred in connection with the administration and operation of the District, including accounting fees, audit expenses, legal fees, insurance premiums, management expenses, board member compensation, and generally all expenses, under which generally accepted accounting practices are properly allocable to administration; however, only such expenses as are reasonably and properly necessary to the efficient administration and operation of the District and permitted under the District Act shall be

included, but not in excess of the following: (i) for calendar year 2024, the amount of \$50,000, (ii) for each calendar year thereafter, an additional 2%; and (iii) in the event of a claim by a third-party challenging (A) the creation or existence of the District; (B) the Bonds, any Senior Parity Bonds, or any Subordinate Obligations; and (C) the District's ability to perform its obligations under the Senior Indenture or any resolution, indenture, or other document relating to the issuance of Senior Parity Bonds or Subordinate Obligations; the amount reasonably necessary to defend the District from such claim to the extent such amount exceeds the limit established in (i) and (ii).

"Administrative Expenses" is defined in the Subordinate Indenture to mean an amount reasonably determined by the District as being necessary to pay the District's expenses reasonably incurred in connection with the administration and operation of the District, including accounting fees, audit expenses, legal fees, insurance premiums, management expenses, board member compensation, and generally all expenses, under which generally accepted accounting practices are properly allocable to administration; however, only such expenses as are reasonably and properly necessary to the efficient administration and operation of the District and permitted under the District Act shall be included, but not in excess of the following: (i) for calendar year 2024, the amount of \$50,000, (ii) for each calendar year thereafter, an additional 2%, and (iii) in the event of a claim by a third-party challenging (A) the creation or existence of the District; (B) the Bonds, any Subordinate Parity Bonds, any Senior Obligations, or any Junior Lien Obligations; and (C) the District's ability to perform its obligations under the Subordinate Indenture or any resolution, indenture, or other document relating to the issuance of Senior Obligations, Subordinate Parity Bonds, or Junior Lien Obligations; the amount reasonably necessary to defend the District from such claim to the extent such amount exceeds the limit established in (i) and (ii).

"Authorized Denominations" means, the amount of \$500,000 or any integral multiple of \$1,000 in excess thereof, provided that:

(a) no individual Bond may be in an amount which exceeds the principal amount coming due on any maturity date; and

(b) in the event a Bond is partially redeemed and the unredeemed portion is less than \$500,000, such unredeemed portion of such Bond may be issued in the largest possible denomination of less than \$500,000, in an integral multiple of \$1,000.

"Beneficial Owner" means any person for which a Participant acquires an interest in the Bonds.

"Board" means the Board of Trustees of the District.

"Bonds" means the 2024A Senior Bonds and the 2024B Subordinate Bonds.

"Bond Act" means the applicable portions of the Local Government Bonding Act, Title 11, Chapter 14, Utah Code.

"Bond Counsel" means any firm of nationally recognized municipal bond attorneys selected by the District and experience in the issuance of municipal bonds and the exclusion of the interest thereon from gross income for federal income tax purposes.

"Bond Resolution" means the resolution authorizing the issuance of the Bonds and the execution of the Senior Indenture and Subordinate Indenture, certified by the Clerk/Secretary of the District to have been duly adopted by the District and to be in full force and effect on the date of such certification, including any amendments or supplements made thereto.

"Bond Year" is defined in the Senior Indenture to mean the period commencing on the date of issuance of the 2024A Senior Bonds to March 1, 2025; and, thereafter, the period from March 2 of any calendar year to March 1 of the following calendar year.

“Bond Year” is defined in the Subordinate Indenture to mean the period commencing on the date of issuance of the 2024B Subordinate Bonds to March 15, 2025, and, thereafter, the period from March 16 of any calendar year to March 15 of the following calendar year.

“Business Day” means a day on which the Trustee or banks or trust companies in Salt Lake City, Utah, or in New York, New York, are not authorized or required to remain closed and on which the New York Stock Exchange is not closed.

“Cede” means Cede & Co., the nominee of DTC as record owner of the Bonds, or any successor nominee of DTC with respect to the Bonds.

“City” means Salem City, Utah.

“Code” means the Internal Revenue Code of 1986, as amended and in effect as of the date of issuance of the Bonds.

“Consent Party” means the Owner of a Bond or, if such Bond is held in the name of Cede, the Participant (as determined by a list provided by DTC) with respect to such Bond, or if so designated in writing by a Participant, the Beneficial Owner of such Bonds.

“Costs of Issuance Fund” is defined in the Senior Indenture to mean the “Viridian Farm Public Infrastructure District No. 1 Limited Tax General Obligation Bonds, Series 2024A, Costs of Issuance Fund,” established by the Senior Indenture.

“Counsel” means a person, or firm of which such a person is a member, authorized in any state to practice law.

“County” means Utah County, Utah.

“Depository” means any securities depository that the District may provide and appoint, in accordance with the guidelines of the Securities and Exchange Commission, which shall act as securities depository for the Bonds.

“Developer” means D.R. Horton, Inc., a Delaware Corporation, and its successors and assigns.

“District” means the Viridian Farm Public Infrastructure District No. 1.

“Districts” means collectively, the Viridian Farm Public Infrastructure District Nos. 1 through 3.

“District Act” means, collectively, the Special District Act, Title 17B, Chapter 1, Utah Code, Limited Purpose Local Government Entities - Local Districts and the Public Infrastructure District Act, Title 17D, Chapter 4, Utah Code.

“District Representative” means any member of the Board or the person or persons at the time designated to act on behalf of the District by the Bond Resolution or as designated by written certificate furnished to the Trustee containing the specimen signatures of such person or persons and signed on behalf of the District by its Chair or Vice Chair and attested by its Clerk/Secretary, and any alternate or alternates designated as such therein.

“DTC” means The Depository Trust Company, a limited purpose trust company organized under the laws of the State of New York, and its successors and assigns. References herein to DTC shall include any nominee of DTC in whose name any Bonds are then registered.

“Event of Default” means any one or more of the events set forth in the Senior or Subordinate Indenture, as applicable.

“Federal Securities” means direct obligations of (including obligations issued or held in book-entry form on the books of), or obligations the principal of and interest on which are unconditionally guaranteed by, the United States of America.

“Fiscal Year” means the 12-month period ending December 31 of each calendar year.

“Governing Document” means the Governing Document for the District approved by the City Council of the City on September 20, 2023 (as the same may be further amended or restated from time to time).

“Improvements” means public improvements as permitted by the District Act and other provisions of law, the debt for which was approved by the Property Owner Consent, including without limitation necessary or appropriate equipment.

“Interest Payment Date” is defined in the Senior Indenture to mean March 1 and September 1 of each year, commencing March 1, 2025 and continuing for so long as the 2024A Senior Bonds are Outstanding.

“Interest Payment Date” is defined in the Subordinate Indenture to mean March 15 of each year, commencing March 15, 2025 and continuing for so long as the 2024B Subordinate Bonds are Outstanding.

“Junior Lien Obligations” is defined in the Subordinate Indenture to mean any bonds, notes, debentures, or other multiple fiscal year financial obligations having a lien upon the Subordinate Pledged Revenue or any part thereof junior and subordinate to the lien thereon of the 2024B Subordinate Bonds, and any other obligation secured by a lien on any ad valorem property taxes of the District and designated by the District, in the resolutions, indentures, or other documents pursuant to which such obligations are issued, as constituting a Junior Lien Obligation under the Subordinate Indenture, provided that such obligations are required to be issued in accordance with the Subordinate Indenture. Any Junior Lien Obligation hereafter issued may be issued pursuant to such resolutions, indentures, or other documents as may be determined by the District. Unless specifically designated as such by the District, obligations payable from an Unencumbered Debt Service Mill Levy shall not constitute Junior Lien Obligations under the Subordinate Indenture.

“Outstanding” or “Outstanding 2024A Senior Bonds” means, as of any particular time, all 2024A Senior Bonds which have been duly authenticated and delivered by the Trustee under the Senior Indenture, except:

- (a) 2024A Senior Bonds theretofore cancelled by the Trustee or delivered to the Trustee for cancellation because of payment at maturity or prior redemption;
- (b) 2024A Senior Bonds for the payment or redemption of which moneys or Federal Securities in an amount sufficient (as determined pursuant to the Senior Indenture) shall have been theretofore deposited with the Trustee, or 2024A Senior Bonds for the payment or redemption of which moneys or Federal Securities in an amount sufficient (as determined pursuant to the Senior Indenture) shall have been placed in escrow and in trust; and
- (c) 2024A Senior Bonds in lieu of which other 2024A Senior Bonds have been authenticated and delivered pursuant to the Senior Indenture.

“Outstanding” or “Outstanding 2024B Subordinate Bonds” means, as of any particular time, all Bonds which have been duly authenticated and delivered by the Trustee under the Subordinate Indenture, except:

- (a) 2024B Subordinate Bonds theretofore cancelled by the Trustee or delivered to the Trustee for cancellation because of payment at maturity or prior redemption;
- (b) 2024B Subordinate Bonds for the payment or redemption of which moneys or Federal Securities in an amount sufficient (as determined pursuant to the Subordinate Indenture) shall have been theretofore deposited with the Trustee, or 2024B Subordinate Bonds for the payment or redemption of which

moneys or Federal Securities in an amount sufficient (as determined pursuant to the Subordinate Indenture) shall have been placed in escrow and in trust; and

(c) 2024B Subordinate Bonds in lieu of which other 2024B Subordinate Bonds have been authenticated and delivered pursuant to the Subordinate Indenture.

“Owner(s)” or “Owner(s) of Bonds” means the registered owner(s) of any Bond(s) as shown on the registration books maintained by the Trustee, including the Depository for the Bonds, if any, or its nominee.

“Parity Bonds” is defined in the Senior Indenture to mean any bonds, notes, debentures, or other multiple fiscal year financial obligations having a lien upon the Pledged Revenue or any part thereof on parity with the lien thereon of the 2024A Senior Bonds, and any other obligation secured by a lien on any ad valorem property taxes of the District and designated by the District, in the resolutions, indentures, or other documents pursuant to which such obligations are issued, as constituting a Senior Parity Bond under the Senior Indenture, provided that such obligations are required to be issued in accordance with the provisions of the Senior Indenture. Any Senior Parity Bonds hereafter issued may be issued pursuant to such resolutions, indentures, or other documents as may be determined by the District, and shall be designated in such resolutions, indentures or other documents as constituting Senior Parity Bonds under the Senior Indenture. Unless specifically designated as such by the District, obligations payable from an Unencumbered Debt Service Mill Levy shall not constitute Parity Bonds under the Senior Indenture.

“Parity Bonds” is defined in the Subordinate Indenture to mean any bonds, notes, debentures, or other multiple fiscal year financial obligations having a lien upon the Subordinate Pledged Revenue or any part thereof on parity with the lien thereon of the 2024B Subordinate Bonds, and any other obligation secured by a lien on any ad valorem property taxes of the District and designated by the District, in the resolutions, indentures, or other documents pursuant to which such obligations are issued, as constituting a Subordinate Parity Bond under the Subordinate Indenture, provided that such obligations are required to be issued in accordance with the provisions of the Subordinate Indenture. Any Subordinate Parity Bonds hereafter issued may be issued pursuant to such resolutions, indentures, or other documents as may be determined by the District, and shall be designated in such resolutions, indentures or other documents as constituting Subordinate Parity Bonds under the Subordinate Indenture. Unless specifically designated as such by the District, obligations payable from an Unencumbered Debt Service Mill Levy shall not constitute Parity Bonds under the Subordinate Indenture.

“Participants” means any broker-dealer, bank, or other financial institution from time to time for which DTC or another Depository holds the Bonds.

“Permitted Investments” means any of the following securities:

- (a) Government Obligations;
- (b) Obligations of any of the following federal agencies which obligations represent full faith and credit obligations of the United States of America including: the Export-Import Bank of the United States; the Government National Mortgage Association; the Federal Housing Administration; the Maritime Administration; General Services Administration, Small Business Administration; or the Department of Housing and Urban Development (PHA’s);
- (c) Money market funds rated “AAAm” or “AAAm-G” or better by S&P and/or the equivalent rating or better of Moody’s (if so rated), including money market funds from which the Trustee or its affiliates derive a fee for investment advisory services to the fund;
- (d) Commercial paper which is rated at the time of purchase in the single highest classification, P-1 by Moody’s or A-1+ by S&P, and which matures not more than 270 days after the date of purchase;
- (e) Bonds, notes or other evidences of indebtedness rated “AAA” by S&P and “Aaa” by Moody’s issued by the Federal National Mortgage Association or the Federal Home Loan Mortgage Corporation with remaining maturities not exceeding three years;

(f) U.S. dollar denominated deposit accounts, federal funds and banker's acceptances with domestic commercial banks, including the Trustee and its affiliates, which have a rating on their short-term certificates of deposit on the date of purchase of "A-1" or "A-1+" by S&P and "P-1" by Moody's and maturing no more than 360 days after the date of purchase (ratings on holding companies are not considered as the rating of the bank);

(g) The fund held by the Treasurer for the State of Utah and commonly known as the Utah State Public Treasurer's Investment Fund; and

(h) Any other investments or securities permitted for investment of public funds under the State Money Management Act of 1974, Title 51, Chapter 7, Utah Code, including investments contracts permitted by Section 51-7-17(2)(d) thereof.

"Pioneering Agreement" means any interlocal agreement or pioneering agreement between the District and the City whereby the city would agree to remit a portion of certain one-time fees representing system improvement costs paid by the District.

"Pledged Revenue" is defined in the Senior Indenture as the following:

- (a) all Senior Property Tax Revenues;
- (b) all Senior Pioneering Agreement Revenues; and
- (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Senior Bond Fund.

"Project" means the financing, acquisition, construction, or installation of any portion of the Improvements.

"Project Costs" means the District's costs properly attributable to the Project or any part thereof, including reimbursement or payment of such costs in accordance with the Acquisition and Reimbursement Agreement, including without limitation:

- (a) the costs of labor and materials, of machinery, furnishings, and equipment, and of the restoration of property damaged or destroyed in connection with construction work;
- (b) the costs of insurance premiums, indemnity and fidelity bonds, financing charges, bank fees, taxes, or other municipal or governmental charges lawfully levied or assessed;
- (c) administrative and general overhead costs;
- (d) the costs of surveys, appraisals, plans, designs, specifications, and estimates;
- (e) the costs, fees, and expenses of printers, engineers, architects, construction management, financial consultants, accountants, legal advisors, or other agents or employees;
- (f) the costs of publishing, reproducing, posting, mailing, or recording documents;
- (g) the costs of contingencies or reserves;
- (h) the costs of issuing the Bonds;
- (i) the costs of amending the Senior Indenture, the Subordinate Indenture, the Bond Resolution, or any other instrument relating to the 2024A Senior Bonds, the 2024B Subordinate Bonds, or the Project;

(j) the costs of repaying any short-term financing, construction loans, and other temporary loans, and of the incidental expenses incurred in connection with such loans;

(k) the costs of acquiring any property, rights, easements, licenses, privileges, agreements, and franchises;

(l) the costs of demolition, removal, and relocation;

(m) the costs of organizing the District; and

(n) all other lawful costs as determined by the Board.

“Property Owner Consent” means the consent to the issuance of up to an aggregate amount of \$35,000,000 of limited tax bonds signed by 100% of the surface property owners within the boundaries of the Districts, each executed on or before August 28, 2024.

“Record Date” is defined in the Senior Indenture to mean the 15th day of the calendar month next preceding each Interest Payment Date.

“Record Date” is defined in the Subordinate Indenture to mean the last day of the calendar month next preceding the Interest Payment Date.

“Refunding Senior Obligations” is defined in the Subordinate Indenture to mean Senior Obligations issued solely for the purpose of refunding all or any portion of the 2024A Senior Bonds, any other Senior Obligations, the 2024B Subordinate Bonds, or any other Subordinate Parity Bonds; provided, however, that proceeds of such Senior Obligations may also be applied to pay all expenses in connection with such refunding, to fund reserve funds and capitalized interest, and to pay the costs of letters of credit, credit facilities, interest rate exchange agreements, bond insurance, or other financial products pertaining to such refunding.

“Reserve Requirement” is defined in the Senior Indenture to mean an amount equal to \$564,500.

“Senior Bond Fund” means the “Viridian Farm Public Infrastructure District No. 1 Limited Tax General Obligation Bonds, Series 2024A, Senior Bond Fund,” established by the Senior Indenture for the purpose of paying the principal of, premium if any, and interest on the 2024A Senior Bonds.

“Senior Debt” means, for any particular calculation date, the aggregate outstanding principal amount (or, if issued as capital appreciation bonds, the then accreted value), as of such calculation date, of the 2024A Senior Bonds and any Senior Parity Bonds.

“Senior Debt to Taxable Value Ratio” means, as of any date of calculation, the ratio derived by dividing the then-outstanding principal amount of the Senior Debt by the most recent Taxable Value of the District, which ratio calculation shall be set forth in a written certificate of the District Representative provided to the Trustee.

“Senior Obligations” means, collectively, the 2024A Senior Bonds, any obligations constituting “Senior Parity Bonds” under the Senior Indenture, and any other obligation of the District so designated by the District as a Senior Obligation (such that any ad valorem property taxes imposed for the payment thereof will constitute a Senior Obligation Mill Levy under the Subordinate Indenture), provided that such obligations (other than the 2024A Senior Bonds) are required to be issued in accordance with the provisions of the Subordinate Indenture. Senior Obligations includes any obligation of the District issued as general obligation debt. Any Senior Obligations hereafter issued may be issued pursuant to such resolutions, indentures, or other documents as may be determined by the District, and shall be designated in such resolutions, indentures or other documents as constituting Senior Obligations under the Subordinate Indenture. Unless specifically designated as such by the District, obligations payable from an Unencumbered Debt Service Mill Levy shall not constitute Senior Obligations under the Subordinate Indenture.

“Senior Obligation Bond Fund” is defined in the Subordinate Indenture to mean any fund or account created for the purpose of accumulating revenues to pay, with respect to any Senior Obligations, the current year’s principal and interest due thereon, including any scheduled mandatory or cumulative sinking fund payments, and customary periodic fees due with respect to any Senior Obligations, (including, but not limited to, fees of a trustee, paying agent, rebate agent, lender and provider of liquidity or credit facility), and any reimbursement due to a provider of liquidity or credit facility securing any Senior Obligations.

“Senior Obligation Mill Levy” means the sum of the Senior Required Mill Levy and any other ad valorem property tax levy required to be imposed by the District for the payment of Senior Obligations, and unless specifically designated as Senior Obligations, excludes an Unencumbered Debt Service Mill Levy.

“Senior Obligation Reserve Fund” means any fund or account created for the purpose of securing the payment of Senior Obligations, which fund or account is fully funded as of the date of issuance of the applicable Senior Obligation; excluding, however, any Senior Obligation Bond Fund.

“Senior Pioneering Agreement Revenues” means all revenues received by the District pursuant to a Pioneering Agreement.

“Senior Project Fund” means the “Viridian Farm Public Infrastructure District No. 1 Limited Tax General Obligation Bonds, Series 2024A, Senior Project Fund,” established by the Senior Indenture for the purpose of paying the Project Costs.

“Senior Property Tax Revenues” means all moneys derived from imposition by the District of the Senior Required Mill Levy (including the allocation to the District of any uniform fees related to personal property). Senior Property Tax Revenues are net of the collection costs of the County and any tax refunds or abatements authorized by or on behalf of the County.

“Senior Required Mill Levy” means an ad valorem property tax on the taxable property in the District each year in an amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues sufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds as the same become due and payable (less any amount thereof for which amounts are then on deposit in the Senior Bond Fund and, solely to the extent provided in the Senior Indenture, the Reserve Fund,) but not in excess of 0.003 per dollar of taxable value provided, however, that, the Senior Required Mill Levy shall be equal to 0.003 per dollar of taxable value, or such lesser amount which, if imposed by the District for collection in the current calendar year, after the deduction of the Administrative Expenses and Trustee Fees, would generate Senior Property Tax Revenues (A) sufficient to pay the principal of, premium if any, and interest on the 2024A Senior Bonds as the same become due and payable, and to fully fund the Reserve Fund to the Reserve Requirement, or (B) which, when combined with moneys then on deposit in the Senior Bond Fund and the Reserve Fund, will pay the 2024A Senior Bonds in full in the Bond Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Senior Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on Outstanding 2024A Senior Bonds.

“Special Record Date” means the record date for determining Bond ownership for purposes of paying unpaid interest, as such date may be determined pursuant to the Indentures.

“State” means the State of Utah.

“Subordinate Bond Fund” means the “Viridian Farm Public Infrastructure District No. 1 Subordinate Limited Tax General Obligation Bonds, Series 2024B, Subordinate Bond Fund,” established by the Subordinate Indenture for the purpose of paying the principal of, premium if any, and interest on the 2024B Subordinate Bonds.

“Subordinate Costs of Issuance Account” means the “Viridian Farm Public Infrastructure District No. 1 Subordinate Limited Tax General Obligation Bonds, Series 2024B, Subordinate Costs of Issuance Account,” established by the Subordinate Indenture.

“Subordinate Obligations” means the 2024B Subordinate Bonds and any other bonds, notes, debentures, or other multiple fiscal year financial obligations having a lien upon the Pledged Revenue or any part thereof junior and subordinate to the lien thereon of the 2024A Senior Bonds, and any other obligation secured by a lien on any ad valorem property taxes of the District and designated by the District, in the resolutions, indentures, or other documents pursuant to which such obligations are issued, as constituting a Subordinate Obligation under the Senior Indenture, provided that such obligations are required to be issued in accordance with the provisions of the Senior Indenture hereof. Any Subordinate Obligations hereafter issued may be issued pursuant to such resolutions, indentures, or other documents as may be determined by the District. Unless specifically designated as such by the District, obligations payable from an Unencumbered Debt Service Mill Levy shall not constitute Subordinate Obligations under the Senior Indenture.

“Subordinate Pioneering Agreement Revenue” means all revenues received by the District pursuant to a Pioneering Agreement, after deduction of any amount thereof used, paid, pledged or otherwise applied to the payment of any Senior Obligations.

“Subordinate Pledged Revenue” means the following:

- (a) all Subordinate Property Tax Revenues;
- (b) all Subordinate Pioneering Agreement Revenues; and
- (c) any other legally available moneys which the District determines, in its absolute discretion, to credit to the Subordinate Bond Fund.

“Subordinate Project Fund” means the “Viridian Farm Public Infrastructure District No. 1 Subordinate Limited Tax General Obligation Bonds, Series 2024B, Subordinate Project Fund,” established by the Subordinate Indenture for the purpose of paying the Project Costs.

“Subordinate Property Tax Revenues” means all moneys derived from imposition by the District of the Subordinate Required Mill Levy (including the allocation to the District of any uniform fees related to personal property). Subordinate Property Tax Revenues are net of the collection costs of the County and any tax refunds or abatements authorized by or on behalf of the County.

“Subordinate Required Mill Levy” means an ad valorem property tax on the taxable property in the District each year in an amount equal to (i) 0.003 per dollar of taxable value less the Senior Obligation Mill Levy, or (ii) such lesser amount which, if imposed by the District for collection in the current calendar year, would, after the deduction of the Administrative Expenses and Trustee Fees, generate Subordinate Property Tax Revenues which, when combined with moneys then on deposit in the Subordinate Bond Fund, will pay the 2024B Subordinate Bonds in full in the Fiscal Year such levy is collected; provided however, that pursuant to 17D-4-301(8) of the Utah Code, in the event of any statutory change in the methodology of assessment or collection of property taxes in a manner that reduces the Subordinate Property Tax Revenues, the District may charge a rate sufficient to receive the amount of property taxes the District would have received before the statutory change in order to pay the debt service on Outstanding 2024B Subordinate Bonds.

“Taxable Value” means the most recent assessed valuation of all taxable property of the District, as calculated and recorded by the County Assessor prior to November 1 of each year, or on such other date as may be established by law for the preparation of assessment rolls.

“Trustee” means UMB Bank, n.a., in Phoenix, Arizona, in its capacity as trustee under the Indentures, or any successor Trustee, appointed, qualified, and acting as trustee, paying agent, and bond registrar under the provisions of the Indentures.

“Trustee Fees” are defined in the Senior Indenture to mean the amount of the fees and expenses of the Trustee charged or incurred in connection with the performance of its ordinary services and duties under the Senior Indenture (and under the Subordinate Indenture and any other indenture entered into by the District in connection with Senior Parity Bonds or Subordinate Obligations), as the same become due and payable, as described in the Senior Indenture, but not in excess of \$4,000 annually per bond issue then outstanding, commencing in calendar year 2024; provided, however, that (i) the foregoing \$4,000 shall be reduced to \$3,000 for the 2024B Subordinate Bonds (resulting in a total of \$7,000 for the 2024A Senior Bonds and the 2024B Subordinate Bonds, collectively); and (ii) this definition does not include the fees of the Trustee and expenses incurred by the Trustee in connection with the performance of extraordinary services and duties as described in the Indentures, which expenses shall be payable by the District in accordance with the provisions thereof.

“Trustee Fees” are defined in the Subordinate Indenture to mean the amount of the fees and expenses of the Trustee charged or incurred in connection with the performance of its ordinary services and duties hereunder (and under the Senior Indenture and any other indenture entered into by the District in connection with Subordinate Parity Bonds or Junior Lien Obligations), as the same become due and payable as described in the Subordinate Indenture, but not in excess of \$4,000 annually per bond issue then outstanding, commencing in calendar year 2024; provided however, that (i) the foregoing \$4,000 shall be reduced to \$3,000 for the 2024B Subordinate Bonds (resulting in a total of \$7,000 for the 2024B Subordinate Bonds and the 2024A Senior Bonds, collectively); and (ii) this definition does not include the fees of the Trustee and expenses incurred by the Trustee in connection with the performance of extraordinary services and duties as described in the Subordinate Indenture, which expenses shall be payable by the District in accordance with the provisions thereof.

“Trust Estate” is defined in the Senior Indenture as the moneys, securities, revenues, receipts, and funds transferred, pledged, and assigned to the Trustee pursuant to the Granting Clauses of the Senior Indenture.

“Trust Estate” is defined in the Subordinate Indenture as the moneys, securities, revenues, receipts, and funds transferred, pledged, and assigned to the Trustee pursuant to the Granting Clauses of the Subordinate Indenture.

“Underwriter” means Wells Fargo Securities, LLC, of Denver, Colorado, the original purchaser of the Bonds.

“Utah Code” means the Utah Code Annotated 1953, as amended.

“2024A Senior Bonds” means the District’s Limited Tax General Obligation Bonds, Series 2024A, in the aggregate principal amount of \$5,645,000.

“2024B Subordinate Bonds” means the District’s Subordinate Limited Tax General Obligation Bonds, Series 2024B, in the aggregate principal amount of \$1,000,000.

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APPENDIX D

ECONOMIC AND DEMOGRAPHIC INFORMATION

The following demographic information is provided solely as background information regarding Utah County, the general area in which the District is located.

The County encompasses 2,142 square miles of land and had approximately 659,399 residents in 2020 according to the U.S. Bureau of the Census. The County is located approximately 44 miles south of Salt Lake City.

County and State Population

<u>Year</u>	<u>County</u>	<u>% Change</u>	<u>State</u>	<u>% Change</u>
2022	704,434	2.7%	3,380,800	1.2%
2021	685,806	4.0	3,339,113	2.1
2020 Census	659,399	3.6	3,271,616	2.0
2019	636,235	2.4	3,205,958	1.7
2018	621,520	2.4	3,153,550	1.7
2017	606,742	2.8	3,101,042	1.9
2016	590,288	3.1	3,041,868	2.0
2015	572,667	2.1	2,981,835	1.5
2014	560,649	1.7	2,936,879	1.4
2013	551,273	2.1	2,897,640	1.6
2012	539,685	—	2,853,375	—
2010 Census	516,564	—	2,763,885	—

(Source: U.S. Census Bureau estimates as of July 1 for years 2012-2019 and 2021-2022, and 2010 and 2020 Census counts are as of April 1.)

Rate of Unemployment – Annual Average

<u>Year</u>	<u>County</u>	<u>State</u>	<u>United States</u>
2022	2.1%	2.3%	3.6%
2021	2.3	2.7	5.3
2020	3.8	4.7	8.1
2019	2.4	2.6	3.7
2018	2.7	2.9	3.9

(Source: Utah Department of Workforce Services and the U.S. Department of Labor.)

Economic Indicators in the County

LABOR FORCE ⁽¹⁾	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Labor Force (annual average)	345,161	332,018	316,642	309,866	301,683
Employed (annual average)	337,880	324,289	304,605	302,523	293,624
Unemployed (annual average)	7,281	7,729	12,037	7,343	8,059
Average Employment (Non-Farm Jobs)	302,015	288,842	268,803	268,093	259,988
% Change Prior Year	4.56	7.45	0.26	3.12	9.04
<i>Average Employment by Sector:</i>					
Agriculture, Forestry, Fishing & Hunting	1,172	1,265	1,222	1,228	1,189
Mining	271	256	170	150	133
Utilities	712	659	643	637	632
Construction	29,697	27,015	25,920	25,062	24,704
Manufacturing	22,936	21,044	19,413	19,680	19,119
Wholesale Trade	7,987	7,838	7,180	7,104	7,152
Retail Trade	34,273	35,993	33,093	33,160	32,954
Transportation & Warehousing	6,486	6,530	5,618	5,193	5,036
Information	15,832	15,073	13,988	14,159	13,119
Finance & Insurance	9,407	9,371	7,177	6,096	5,814
Real Estate and Rental & Leasing	3,580	3,499	3,215	3,165	2,995
Professional, Scientific & Technical Services	26,229	23,555	22,218	21,944	21,363
Management of Companies & Enterprises	2,614	1,919	1,851	1,715	1,559
Administrative, Support, Waste Management, & Remediation	17,569	17,932	16,075	15,637	15,211
Education Services	45,055	43,693	42,968	43,930	43,337
Health Care & Social Assistance	36,016	34,536	32,763	32,000	30,501
Arts, Entertainment, & Recreation	6,204	5,309	4,634	5,274	4,834
Accommodation & Food Services	22,358	20,354	18,444	19,747	18,598
Other Services & Unclassified Establishments	7,059	6,536	5,899	5,977	5,670
Public Administration	6,562	6,465	6,311	6,233	6,070
Total Establishments	23,824	22,372	20,858	19,929	18,870
Total Wages (\$Millions)	17,116.2	15,498.6	13,729.4	12,756.4	11,505.6
INCOME AND WAGES	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Total Personal Income (\$000) ⁽²⁾	n/a	34,702,132	31,321,836	28,497,337	25,314,025
Median Household Income ⁽¹⁾	n/a	n/a	81,804	79,505	75,296
Per Capita Income ⁽²⁾	n/a	50,661	47,232	44,079	40,085
Average Monthly Nonfarm Wage ⁽¹⁾	4,723	4,479	4,266	3,970	3,691
SALES & CONSTRUCTION	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Gross Taxable Sales (\$000,000) ⁽³⁾	17,488.6	15,630.7	12,811.2	11,242.7	10,164.4
New Dwelling Units ⁽⁴⁾	8,555	12,430	8,436	7,314	6,709
Total Construction Value (\$000) ⁽⁴⁾	3,432,366.7	4,056,859.5	3,192,226.5	2,618,932.1	2,351,324.7
New Residential Value (\$000) ⁽⁴⁾	2,239,401.0	2,890,112.7	2,056,615.4	1,781,204.9	1,633,741.0
New Nonresidential Value (\$000) ⁽⁴⁾	877,996.9	833,194.9	855,962.9	582,391.5	521,700.4

(Sources: (1) Utah Department of Workforce Services; (2) U.S. Department of Commerce, Bureau of Economic Analysis, last updated November 2022; (3) Utah State Tax Commission; (4) University of Utah Ivory-Boyer Construction Database.)

Major Employers in the County

The following is a list of some of the largest employers in the County.

<u>Company</u>	<u>Industry</u>	<u>Employment Range</u>
Brigham Young University	Higher Education	15000-19999
Wal-Mart Associates	Warehouse Clubs and Supercenters	7000-19999
Alpine School District	Public Education	7000-9999
Utah Valley University	Higher Education	5000-6999
Intermountain Health Care	Health Care	5000-6999
Nebo School District	Public Education	3000-3999
Vivint	Building Equipment Contractors	3000-3999
State Of Utah	State Government	3000-3999
Doterra International	Essential Oils Distribution	2000-2999
Smiths Food And Drug	Grocery Stores	2000-2999
Young Living	Supplement Retailers	2000-2999
Adobe Systems Incorporated	Software Publishers	1000-1999
Central Utah Medical Clinic	Health Care	1000-1999
Provo City School District	Public Education	1000-1999
Splash Summit Resort	Amusement and Recreation	1000-1999
Qualtrics	Computer Programming Services	1000-1999
Core Innovative Solutions	Amusement and Recreation	1000-1999
US Postal Service	Postal Service	1000-1999
Tpon	Health Care	1000-1999
Chrysalis Utah	Health Care	1000-1999
Provo City Corporation	Local Government	1000-1999
Utah County Government	Local Government	1000-1999
Costco Wholesale	Warehouse Clubs and Supercenters	1000-1999
Nestle Prepared Foods Company	Food Manufacturing	1000-1999
Texas Instruments Incorporated	Semiconductor and Related Device Manufacturing	1000-1999
Entrata	Information Services	1000-1999
Cascade Stucco And Exteriors	Specialty Contractors	500-999
RBD Acquisition Sub	Janitorial Services	500-999
Costa Vida Holdings	Restaurants	500-999
City Of Orem	Local Government	500-999
Lehi City	Local Government	500-999
Nature'S Sunshine Products	Manufacturing	500-999
Alpine Building	Construction	500-999
US Synthetic Corporation	Manufacturing	500-999
Weave Communications, Inc.	Computer Programming Services	500-999
United Parcel Service	Couriers	500-999
Associated Retail Operations	Grocery Stores	500-999
Myfamily Com Inc	Information Services	500-999
Repdrive	Software Publishers	500-999
Cafe Rio	Restaurants	500-999
Gohealth	Insurance Agencies	500-999
Wasatch Mental Health Services	Health Care	500-999
Frederico's Drywall	Specialty Contractors	500-999
Timpanogos Regional Medical Service	Health Care	500-999
Home Depot USA	Home Centers	500-999
Rocky Mountain ATV	Amusement and Recreation	500-999
Mountain Country Foods	Food Manufacturing	500-999
Domo	Software Publishers	500-999
Xactware Solutions	Information Services	500-999
Smart Home Pros	Security Systems Services	500-999

(Source: Utah Department of Workforce Services; last updated September 2023.)

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APPENDIX E

FORM OF CONTINUING DISCLOSURE AGREEMENT

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1 (IN SALEM CITY) UTAH COUNTY, UTAH)

\$5,645,000
LIMITED TAX GENERAL
OBLIGATION BONDS
SERIES 2024A

\$1,000,000
SUBORDINATE LIMITED TAX
GENERAL OBLIGATION BONDS
SERIES 2024B

This Continuing Disclosure Agreement (this “Agreement”) is entered into as of September 26, 2024, by and between Viridian Farm Public Infrastructure District No. 1, in Salem City, Utah County, Utah (the “Issuer”), D.R. Horton, Inc., a Delaware corporation (the “Developer”), and UMB Bank, n.a., as Trustee (defined below) under the Indentures (defined below) and as dissemination agent hereunder relating to the Issuer’s Limited Tax General Obligation Bonds, Series 2024A (the “Series 2024A Bonds”) and the Issuer’s Subordinate Limited Tax General Obligation Bonds, Series 2024B (the “Series 2024B Bonds” and, together with the Series 2024A Bonds, the “Bonds”).

Section 1. Purpose. This Agreement is being executed and delivered by the parties hereto for the benefit of the holders of the Bonds, in order to enable Wells Fargo Securities, LLC (the “Underwriter”) to comply with Securities and Exchange Commission Rule 15c2-12 (the “Rule”), if applicable; and in consideration for the purchase by the Underwriter of the Bonds pursuant to the terms of a Bond Purchase Agreement between the Underwriter and the District dated as of September 17, 2024.

Section 2. Definitions. Capitalized terms used and not otherwise defined in this Agreement shall have the respective meanings set forth in the applicable Indenture (defined below) and the Limited Offering Memorandum (defined below). The capitalized terms set forth below shall have the following respective meanings for purposes of this Agreement:

“*Annual Budget Report*” means the report attached hereto as Appendix B.

“*Annual Report Conversion Date*” means the date upon the earlier to occur of: (a) the submittal of the first Quarterly Report after the ratio of Senior Debt to taxable value of property within the Issuer (as the boundaries existed on the date of issuance of the Bonds) is ten percent (10%) or less; (b) the submittal of the first Quarterly Report after the taxable value of property within the Issuer (as the boundaries existed on the date of issuance of the Bonds) as computed from the most recent equalized assessment role is equal to or greater than \$165,000,000; or (c) none of the Bonds are Outstanding under the Indentures.

“*Audited Financial Statements*” means the District’s most recent annual financial statements, prepared in accordance with generally accepted accounting principles for governmental units as prescribed by the Governmental Accounting Standards Board, which

financial statements shall have been audited by such auditor as shall be then required or permitted by the laws of the State of Utah.

“*Beneficial Owner*” means any person for which a Participant acquires an interest in the Bonds.

“*Bond Resolution*” means the resolution authorizing the issuance of the Bonds adopted by the Board of Directors of the District on June 14, 2024.

“*Indentures*” means the Senior Indenture and the Subordinate Indenture.

“*Limited Offering Memorandum*” means the Limited Offering Memorandum prepared in connection with the offer and sale of the Bonds dated September 17, 2024.

“*MSRB*” means the Municipal Securities Rulemaking Board. As of the date hereof, the MSRB’s required method of filing is electronically via its Electronic Municipal Market Access (EMMA) system available on the Internet at <http://emma.msrb.org>.

“*Participant*” means any broker-dealer, bank, or other financial institution from time to time for which DTC (as defined in the Indentures) or another Depository (as defined in the Indentures) holds the Bonds.

“*Report*” means the form attached hereto as Appendix A, which, prior to the Annual Report Conversion Date, constitutes a Quarterly Report, and on and after the Annual Report Conversion Date, constitutes an Annual Financial Report.

“*Senior Indenture*” means the Indenture of Trust (Senior) dated as of September 1, 2024, between the Trustee and the District, pursuant to which the 2024A Bonds were issued.

“*Subordinate Indenture*” means the Indenture of Trust (Subordinate) dated as of September 1, 2024, between the Trustee and the District, pursuant to which the 2024B Bonds were issued.

Section 3. Periodic Reporting Requirements.

a. Timing of Reports.

i. *Quarterly Reports.* Prior to the Annual Report Conversion Date, the Developer and the District shall provide their respective portions of the Reports (referred to as “Quarterly Reports” prior to the Annual Report Conversion Date) to the Trustee as follows:

Last Day of Quarterly Reporting Period	Date Trustee Sends Notice to District and Fund Balance Information for Section 3 (“Trustee Notice Date”)	Date Quarterly Report is Due to Trustee (“Due Date”)	Date Quarterly Report is Due to Be Filed with the MSRB (“Filing Date”)
March 31	March 31	May 5	May 15
June 30	June 30	August 5	August 15
September 30	September 30	November 5	November 15
December 31	December 31	February 5	February 15

The first Quarterly Report will be due for the quarter ending December 31, 2024.

ii. *Annual Financial Reports.* On and after the Annual Report Conversion Date, the District shall provide Reports (referred to as “Annual Financial Reports” after the Annual Report Conversion Date) to the Trustee as follows:

Last Day of Annual Reporting Period	Date Trustee Sends Notice to District and Fund Balance Information for Section 3 (“Trustee Notice Date”)	Date Annual Financial Report is Due to Trustee (“Due Date”)	Date Annual Financial Report is Due to Be Filed with the MSRB (“Filing Date”)
December 31	September 30	November 5	November 15

iii. *Annual Budget Reports.* The District shall provide Annual Budget Reports to the Trustee as follows:

First Day of Annual Budget Reporting Period	Date Trustee Sends Notice to District (“Trustee Notice Date”)	Date Annual Budget Report is Due to Trustee (“Due Date”)	Date Annual Budget Report is Due to Be Filed with the MSRB (“Filing Date”)
January 1	January 15	February 15	February 25

The first Annual Budget Report will be due for the year beginning January 1, 2024.

b. Contents of Reports.

i. *Quarterly Reports.* For each Quarterly Report for the quarters ending March 31, June 30, and December 31, the Developer shall complete Section 1 of each Report and the District shall complete Sections 2-3 of each Report. For the Quarterly Report for the quarter ending September 30, the Developer shall complete Section 1 of each Report and the District shall complete Sections 2-4 of the Report.

ii. *Annual Financial Reports.* For each Annual Financial Report, the District shall complete Sections 2-4 of the Report.

iii. *Annual Budget Reports.* For each Annual Budget Report, the District shall complete all sections of the Annual Budget Report.

iv. *Incorporation by Reference.* Any or all of the items required to be updated may be incorporated by reference from other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB's Internet Web Site or filed with the SEC. The District and the Developer, as applicable, shall clearly identify each such document incorporated by reference.

c. Trustee's Duties. The Trustee shall:

i. determine prior to each Filing Date the appropriate electronic format prescribed by the MSRB;

ii. on or before each Trustee Notice Date, send written notice to the District which: (x) states that the Report or Annual Budget Report, as applicable, will be due by the applicable Due Date; and (y) for Quarterly Reports and Annual Financial Reports, provides the information required by Section 3 of the Report;

iii. on or before each Filing Date, provide to the MSRB (in an electronic format as prescribed by the MSRB) the completed Report or Annual Budget Report, as applicable. Each Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 3(b)(iv) above;

iv. if necessary, file the Notice of Failure to File Report form attached as Appendix C with the MSRB as required by Section 3(d);

v. file the Notice of Annual Report Conversion Date attached as Appendix D with the MSRB if required by Section 5(a); and

vi. upon request, file a report with the District at the address in the following paragraph certifying that the Report, Annual Budget Report, Notice of Failure to File Report, or Notice of Annual Report Conversion Date, as applicable, has been provided to the MSRB pursuant to this Agreement, stating the date it was provided and listing all the entities to which it was provided.

d. Failure to File Reports. If the District or the Developer fail to provide to the Trustee their respective portions of each Report by the applicable Due Date, or if the District fails to provide to the Trustee the Annual Financial Report or the Annual Budget Report by the applicable Due Date, which results in the Trustee's inability to provide a Report or Annual Budget Report to the MSRB by the applicable Filing Date, the Trustee shall file or cause to be filed a notice in substantially the form attached as Appendix C with the MSRB. If the Trustee files or causes to be filed a notice in substantially the form

attached as Appendix C with the MSRB, the Trustee shall submit a copy of such filing to the District and the Developer, as follows:

To the District: Viridian Farm Public Infrastructure District No. 1
c/o Snow Jensen & Reece
912 West 1600 South, Suite B200
St. George, Utah 84770
Telephone: (435) 628-3688

To the Developer: D.R. Horton, Inc.
12351 Gateway Park Place Suite D-100
Draper, Utah 84020
jtebeauz@drhorton.com

Upon receipt of such a notice regarding a failure to file by the Developer, the District has additional duties pursuant to Section 8(b) hereof.

e. Means of Transmitting Information. Subject to technical and economic feasibility, the District and the Developer shall employ such methods of information transmission as the Trustee shall reasonably request. All documents provided to the MSRB pursuant to this Agreement shall be in the format prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB.

As of the date of this Agreement, all documents submitted to the MSRB must be in portable document format (PDF) files configured to permit documents to be saved, viewed, printed and retransmitted by electronic means. In addition, such PDF files must be word-searchable, provided that diagrams, images and other non-textual elements are not required to be word-searchable.

Section 4. Notice of Material Events. Whenever the District obtains actual knowledge of the occurrence of any of the following events, the District shall cause the Trustee to provide, in a timely manner not in excess of ten business days after the occurrence of the event, a notice of such event to the MSRB:

- a. Principal and interest payment delinquencies on the Bonds;
- b. The failure or refusal by the District to impose or collect the Senior Required Mill Levy (as defined in the Limited Offering Memorandum) or to collect and apply the other components of the Senior Pledged Revenue (as defined in the Limited Offering Memorandum) as required by the Senior Indenture;
- c. The failure or refusal by the District to impose or collect the Subordinate Required Mill Levy (as defined in the Limited Offering Memorandum) or to collect and apply the other components of the Subordinate Pledged Revenue (as defined in the Limited Offering Memorandum) as required by the Subordinate Indenture;
- d. Non-payment related defaults under any Indenture, *if material*, including a description of such default;

- e. Unscheduled draws on the Reserve Fund reflecting financial difficulties;
- f. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notice of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
- g. Modifications to rights of bondholders, *if material*;
- h. Bond calls, *if material*, and tender offers;
- i. Defeasances;
- j. Release, substitution, or sale of property securing repayment of the Bonds, *if material*;
- k. Bankruptcy, insolvency, receivership or similar event of the District;¹
- l. The consummation of a consolidation or dissolution of the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, *if material*;
- m. Appointment of a successor or additional trustee or the change of name of a trustee, *if material*;
- n. Incurrence of a Financial Obligation of the obligated person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the obligated person, any of which affect security holders, if material; and
- o. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the obligated person, any of which reflect financial difficulties.

Whenever the Trustee obtains actual knowledge of the occurrence of any of the aforementioned events, the Trustee shall promptly notify the District of such event. For purposes

¹ For the purposes of this event, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and official or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

of this paragraph, “actual knowledge” of the Trustee means actual knowledge by an officer of the Trustee having responsibility for matters regarding the Indentures or the Bonds.

Section 5. Termination.

a. The obligations of the Developer as to the information in Section 1 of the Reports shall terminate after the Annual Report Conversion Date. Upon the occurrence of the Annual Report Conversion Date, the Developer shall complete the Notice of Annual Report Conversion Date attached hereto as Appendix D and provide such notice to the District and the Trustee. The Trustee shall then file the Notice of Annual Report Conversion Date with the MSRB within 10 days of receipt.

b. The obligations of the District and the Trustee as to information in Sections 2-4 of the Reports, and the obligations of the District as to the Annual Budget Reports, shall terminate at such time as none of the Bonds are Outstanding under each of the Indentures, respectively.

Section 6. Liability for Content of Information Provided. So long as the parties to this Agreement act in good faith, such entities shall not be liable for any errors, omissions or misstatements in the information provided pursuant to this Agreement. Without limiting the foregoing, the District makes no representation as to the accuracy of any information provided by the Developer.

Section 7. Amendment. Notwithstanding any other provision of this Agreement, this Agreement may only be amended with the consent of the majority of the Owners of the Bonds then Outstanding.

Section 8. Default.

a. Any failure by the District to perform in accordance with this Agreement shall not constitute an Event of Default under either of the Indentures, and the rights and remedies provided by the Indentures upon the occurrence of an Event of Default shall not apply to any such failure. If the District fails to comply with this Agreement, any Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the District to comply with its obligations hereunder.

b. If the Developer fails to comply with this Agreement, the District, within 10 business days of receipt of notice in substantially the form attached as Appendix C from the Trustee, shall be obligated to update Section 1 of Appendix A, but only to the extent such information is publicly available. Furthermore, if the Developer fails to comply with this Agreement, any Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the Developer to comply with its obligations hereunder.

Section 9. Severability. If any section, paragraph, clause, or provision of this Agreement shall for any reason be held to be invalid or unenforceable, the invalidity or unenforceability of

such section, paragraph, clause or provision shall not affect any of the remaining provisions of this Agreement, the intent being that the same are severable.

Section 10. Governing Law. This Agreement shall be governed by and construed in accordance with the laws of the State of Utah.

Section 11. Compensation. As compensation for its services under this Agreement, the Trustee shall be compensated or reimbursed by the District for its reasonable fees and expenses in performing the services specified under this Agreement.

Section 12. Beneficiaries. This Agreement shall inure solely to the benefit of the District, the Developer, the Trustee, the Underwriter, and the Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Section 13. Trustee's Duties; Removal or Resignation as Dissemination Agent. The Trustee shall have only such duties as are specifically set forth in this Agreement, and the District agrees, to the extent permitted by law, to indemnify and save the Trustee, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performances of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim or liability, but excluding liabilities due to the Trustee's gross negligence or willful misconduct. The Trustee may resign as dissemination agent hereunder at any time upon 30 days prior written notice to the District. The Trustee shall not be responsible in any manner for the content of any notice or Report prepared by the District or the Developer pursuant to this Agreement. The obligations of the District under this Section shall survive resignation or removal of the Trustee and payment of the Bonds.

Section 14. Electronic Transactions. The parties hereto agree that the transactions described herein may be conducted and related documents may be stored by electronic means. Copies, telecopies, facsimiles, electronic files and other reproductions of original executed documents shall be deemed to be authentic and valid counterparts of such original documents for all purposes, including the filing of any claim, action or suit in the appropriate court of law.

Section 15. Assignment. The covenants and conditions herein contained apply to and bind the heirs, successors, executors, administrators and assigns of the parties hereto.

[Signature Page Follows]

IN WITNESS WHEREOF, the parties have caused this Agreement to be executed in their respective names, all as of the date first above written.

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1,
in Salem City, Utah County, Utah

By _____
Chair

UMB BANK, n.a., as Trustee

By _____
Authorized Officer

D.R. HORTON, INC., a Delaware corporation

By _____
Authorized Officer

**APPENDIX A
(TO CONTINUING DISCLOSURE AGREEMENT)**

FORM OF REPORT

**VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1
(IN SALEM CITY)
UTAH COUNTY, UTAH**

**\$5,645,000
LIMITED TAX
GENERAL OBLIGATION BONDS
SERIES 2024A**

**\$1,000,000
SUBORDINATE LIMITED TAX
GENERAL OBLIGATION BONDS
SERIES 2024B**

Date of Report: _____

All capitalized terms used and not otherwise defined in this report shall have the respective meanings assigned in the Continuing Disclosure Agreement (“Agreement”) entered into as of September 26, 2024, by and among Viridian Farm Public Infrastructure District No. 1, in Salem City, Utah County, Utah (the “District”), D.R. Horton, a Delaware corporation, (the “Developer”), and UMB Bank, n.a., as trustee (“Trustee”) for the above captioned bonds (the “Bonds”). Unless otherwise stated, all information contained herein is the most current information available as of the Date of Report specified above.

Section 1. Quarterly Development Activity [Developer to complete; to be updated each quarter on and prior to the Annual Report Conversion Date].

- (a) Summary of Development. The Developer will continually update the following table.

Summary of Anticipated Development

Product Type ¹	Total Planned Units	Property Owner		Anticipated Completion	Zoning Status	Platting Status		
		Developer	GRNOBL			N/A	Prelim.	Final
Alley Load TH	139				Fully Zoned			
Front Load TH	241				Fully Zoned			
Cottage	118				Fully Zoned			
SFD 8,000 SF	16				Fully Zoned			
SFD 12,000 SF	43				Fully Zoned			
SFD 18,000 SF	33				Fully Zoned			
SFD 1/2 Acre	38				Fully Zoned			
SFD 1 Acre	5				Fully Zoned			
TOTAL	633			-	-			
PERCENT	100%			-	-			

¹ Abbreviations area as follows: SF – square feet; SFD – single family detached; TH – townhome.

Summary of Anticipated Development

(b) Building Permit Activity. The Developer will continually update the number of building permits (“BP”) issued within the District (as the boundaries existed on the date of issuance of the Bonds) by completing the following table. For each new quarter, the Developer will add a new row and complete that row.

Building Permits Issued in the District

Period		Automotive Retail		Office		Other Retail/ Restaurant		Hotel	
Description	Dates Covered ⁽¹⁾	BPs Issued	Square Feet	BPs Issued	Square Feet	BPs Issued	Square Feet	BPs Issued	Rooms
As of Bond Issuance	Up to 09/17/24								
Third Quarter	09/17/24 – 9/30/24								
Fourth Quarter	10/1/24-12/31/24								
First Quarter	1/1/25-3/30/25								
(successive quarters to be listed here on each row) ⁽²⁾									

- (1) For the row “As of Bond Issuance,” represents the date for the status of development which is described in the Limited Offering Memorandum. For each successive Quarterly Report, represents the last day of the applicable quarter.
- (2) Successive rows should be added for each quarter for which a Quarterly Report is filed. The first three quarters are shown in this table as an example.

(c) Certificate of Occupancy Activity. The Developer will continually update the number of certificates of occupancy (“CO”) issued within the District (as the boundaries existed on the date of issuance of the Bonds) by completing the following table. For each new quarter, the Developer will add a new row and complete that row.

Certificates of Occupancy Issued in the District

Period		Automotive Retail		Office		Other Retail/ Restaurant		Hotel	
Description	Dates Covered ⁽¹⁾	COs Issued	Square Feet	COs Issued	Square Feet	COs Issued	Square Feet	COs Issued	Rooms
As of Bond Issuance	Up to 09/17/24								
Third Quarter	09/17/24 – 9/30/24								
Fourth Quarter	10/1/24-12/31/24								
First Quarter	1/1/25-3/30/25								
(successive quarters to be listed here on each row) ⁽²⁾									

- (1) For the row “As of Bond Issuance,” represents the date for the status of development which is described in the Limited Offering Memorandum. For each successive Quarterly Report, represents the last day of the applicable quarter.

(2) Successive rows should be added for each quarter for which a Quarterly Report is filed. The first three quarters are shown in this table as an example.

(d) Land Entitlements. Since the date of the last Quarterly Report (or, in the case of the first Quarterly Report, since 09/17/2024), have any land entitlements pertaining to property in the District (e.g., zoning, platting, etc.) been changed or put into place by the City? If so, describe.

(e) Land Sales. Since the date of the last Quarterly Report (or, in the case of the first Quarterly Report, since 09/17/2024), has the Developer conveyed any of its property to any other unrelated entity, other than parcels sold in the ordinary course of its business? If so, state the amount of property, its location in the District, the name of the purchaser and the sales price.

Section 2. Reserved.

Section 3. Fund Balances [District to complete, based upon information received from the Trustee; to be updated each quarter on and prior to the Annual Report Conversion Date, and to be updated annually after the Annual Report Conversion Date].

The amount on deposit in each of the following funds for the 2024A Bonds is as set forth below:

- (a) amount on deposit in the Senior Project Fund is \$_____;
- (b) amount on deposit in the Senior Bond Fund is \$_____; and
- (c) amount on deposit in the Reserve Fund is \$_____.

The amount on deposit in each of the following funds and accounts for the 2024B Bonds is as set forth below:

- (a) amount on deposit in the Subordinate Project Fund is \$_____;
- (b) amount on deposit in the Subordinate Interest Account of the Subordinate Bond Fund is \$_____; and
- (c) amount on deposit in the Subordinate Mandatory Redemption Account of the Subordinate Bond Fund is \$_____.

Section 4. Additional District Information to be Updated [District to complete; to be provided annually with the Report due on or before November 15].

(a) The District shall update the following table included in the Limited Offering Memorandum:

1. Total Property Tax Levy for the District

(b) The District shall attach its Audited Annual Financial Statements for the previous year
(20 __).¹

The information contained in this Report has been obtained from sources that are deemed to be reliable, but is not guaranteed as to accuracy or completeness. The information contained in this Report is neither intended nor shall be construed as a document updating the Limited Offering Memorandum for the Bonds, and is neither intended to, nor shall it be, used by the owners or beneficial owners of the Bonds for the purpose of making a subsequent investment decision with respect to the Bonds.

Receipt of this Report by any person or entity shall create no obligation or liability of the District, the Developer or the Trustee.

¹ The Annual Financial Report (including the Quarterly Report due each year prior to the Annual Report Conversion Date for the quarter ending September 30) shall contain or incorporate by reference a copy of the District's Audited Financial Statements, prepared in accordance with generally accepted accounting principles audited by a firm of certified public accountants. If Audited Financial Statements are not available by the applicable Filing Date, unaudited financial statements will be provided as part of the Annual Report and Audited Financial Statements will be provided when available.

The undersigned hereby certify, respectively, that they are authorized representatives of the District and the Developer, and further certify on behalf of the following entities that the information contained in the foregoing Report (for the Developer, with respect to Section 1 only, and for the District, with respect to Sections 2-4 only) is, to their actual knowledge, true, accurate and complete. This Report may be executed below on counterpart signature pages.

**VIRIDIAN FARM PUBLIC INFRASTRUCTURE
DISTRICT NO. 1**, in Salem City, Utah County, Utah

By _____
Chair

D.R. HORTON, INC., a Delaware corporation

By _____
Authorized Officer

[Signature/Certification Page to Report]

**APPENDIX B
(TO CONTINUING DISCLOSURE AGREEMENT)**

FORM OF ANNUAL BUDGET REPORT

**VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1
(IN SALEM CITY)
UTAH COUNTY, UTAH**

**\$5,645,000
LIMITED TAX
GENERAL OBLIGATION BONDS
SERIES 2024A**

**\$1,000,000
SUBORDINATE LIMITED TAX
GENERAL OBLIGATION BONDS
SERIES 2024B**

Date of Report: _____

All capitalized terms used and not otherwise defined in this report shall have the respective meanings assigned in the Continuing Disclosure Agreement (“Agreement”) entered into as of September 26, 2024, by and among Viridian Farm Public Infrastructure District No. 1, in Salem City, Utah County, Utah (the “District”), D.R. Horton, Inc., a Delaware corporation (the “Developer”), and UMB Bank, n.a., as trustee (“Trustee”) for the above captioned bonds (the “Bonds”). Unless otherwise stated, all information contained herein is the most current information available as of the Date of Report specified above.

Section 1. Adopted Budget. Attached hereto is the annual budget for the District for the fiscal year ending December 31, 20__, adopted by the Board of Directors of the District on ____, 20__. Included in, or attached to, such budget is evidence of the certification by the District of the mill levies specified in Section 3 below.

Section 2. Assessed Value and Actual Value.

(a) *District Assessed Value.* The current assessed value of the District, as published or certified by the county assessor, is \$_____, as certified as of December 10, 20__.

(b) *District Actual Value.* The current “actual value” of the District, as such term is used and published or certified by the county assessor, is \$_____, as certified as of December 10, 20__.

Section 3. Mill Levies.

(a) *Mill Levy Certification.* The District certified a mill levy of _____ mills on _____[insert date] to the county assessor, comprised of the following mills:

- (i) _____mills for debt service; and
- (ii) _____mills for operations.

The information contained in this Annual Budget Report has been obtained from sources that are deemed to be reliable, but is not guaranteed as to accuracy or completeness. The information contained in this Annual Budget Report is neither intended nor shall be construed as a document updating the Limited Offering Memorandum for the Bonds, and is neither intended to, nor shall it be, used by the owners or beneficial owners of the Bonds for the purpose of making a subsequent investment decision with respect to the Bonds.

Receipt of this Annual Budget Report by any person or entity shall create no obligation or liability of the District or the Trustee.

The undersigned hereby certify, respectively, that he or she is the authorized representative of the District, and further certifies on behalf of the District that the information contained in the foregoing Annual Budget Report is, to their actual knowledge, true, accurate and complete.

**VIRIDIAN FARM PUBLIC INFRASTRUCTURE
DISTRICT NO. 1, in Salem City, Utah County, Utah**

By _____
Chair

**APPENDIX C
(TO CONTINUING DISCLOSURE AGREEMENT)**

NOTICE OF FAILURE TO FILE REPORT

Name of Issuer: Viridian Farm Public Infrastructure District No. 1, in Salem City, Utah County, Utah (the “District”)

Bond Issue: Viridian Farm Public Infrastructure District No. 1 Limited Tax General Obligation Bonds, Series 2024A, in the original aggregate principal amount of \$5,645,000 and Viridian Farm Public Infrastructure District No. 1 Subordinate Limited Tax General Obligation Bonds, Series 2024B in the original aggregate principal amount of \$1,000,000 (together, the “Bonds”)

CUSIP: 92841 PAA2 and 92841 PAB0

Date of Issuance: September 26, 2024

NOTICE IS HEREBY GIVEN that (check as appropriate) ☐ the District ☐ the Developer has/have not provided a Report with respect to the above-named [2024A Bonds] [2024B Bonds] [or Bonds] as required by the Continuing Disclosure Agreement dated September 26, 2024, between the District, the Developer and the Trustee.

The (check as appropriate) ☐ District ☐ Developer anticipate(s) that the Report will be filed by _____.

Dated: _____, 20____.

UMB BANK, N.A., as Trustee

By: _____
Authorized Officer

**APPENDIX D
(TO CONTINUING DISCLOSURE AGREEMENT)**

NOTICE OF ANNUAL REPORT CONVERSION DATE

Name of Issuer: Viridian Farm Public Infrastructure District No. 1, in Salem City, Utah County, Utah (the “District”)

Bond Issue: Viridian Farm Public Infrastructure District No. 1 Limited Tax General Obligation Bonds, Series 2024A, in the original aggregate principal amount of \$5,645,000 and Viridian Farm Public Infrastructure District No. 1 Subordinate Limited Tax General Obligation Bonds, Series 2024B in the original aggregate principal amount of \$1,000,000 (together, the “Bonds”)

CUSIP: 92841 PAA2 and 92841 PAB0

Date of Issuance: September 26, 2024

NOTICE IS HEREBY GIVEN that the Annual Report Conversion Date (as defined in the Continuing Disclosure Agreement dated September 26, 2024) occurred on _____, 20____. Pursuant to Sections 3(a) and 5(a) of the Continuing Disclosure Agreement, the Developer and the District are no longer obligated to provide Quarterly Reports to the Trustee. The District remains obligated to provide Annual Financial Reports and Annual Budget Reports pursuant to Section 3(a)(ii) and 3(a)(iii).

Dated: _____, 20____.

D.R. Horton, Inc., a Delaware corporation

By _____
Authorized Officer

APPENDIX F

FORM OF BOND COUNSEL OPINION

VIRIDIAN FARM PUBLIC INFRASTRUCTURE DISTRICT NO. 1
\$5,645,000
LIMITED TAX
GENERAL OBLIGATION BONDS,
SERIES 2024A

\$1,000,000
SUBORDINATE LIMITED TAX
GENERAL OBLIGATION BONDS,
SERIES 2024B

We have acted as bond counsel to the Viridian Farm Public Infrastructure District No. 1 (the “District”) in connection with the issuance by the District of its Limited Tax General Obligation Bonds, Series 2024A (the “2024A Senior Bonds”) and its Subordinate Limited Tax General Obligation Bonds, Series 2024B (the “2024B Subordinate Bonds” and, together with the 2024A Senior Bonds, the “Bonds”). The Bonds are being issued pursuant to (i) a resolution of the District adopted on June 14, 2024; (ii) Title 17B, Chapter 1 and Title 17D, Chapter 4, Utah Code Annotated 1953, as amended, and applicable portions of the Local Government Bonding Act, Title 11, Chapter 14, Utah Code Annotated 1953, as amended, and (iii) an Indenture of Trust (Senior) dated as of September 1, 2024 with respect to the 2024A Senior Bonds (the “Senior Indenture”) and an Indenture of Trust (Subordinate) dated as of September 1, 2024 with respect to the 2024B Subordinate Bonds (the “Subordinate Indenture” and, together with the Senior Indenture, the “Indentures”), each between the District and UMB Bank, n.a., as trustee (the “Trustee”). The 2024A Senior Bonds are being issued for the purposes of: (i) paying the Project Costs, (ii) funding capitalized interest on the 2024A Senior Bonds, (iii) funding the Reserve Fund to the Reserve Requirement, and (iv) paying other costs in connection with the issuance of the 2024A Senior Bonds and the 2024B Subordinate Bonds. The 2024B Subordinate Bonds are being issued for the purpose of paying additional Project Costs. Capitalized terms used herein and not otherwise defined shall have the meanings given such terms in the Indentures.

We have examined the law and such certified proceedings and other documents as we deem necessary to render this opinion. As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation. Our opinion is limited to the matters expressly set forth herein, and we express no opinion concerning any other matters.

Based on our examination and the foregoing, we are of the opinion as of the date hereof and under existing law, as follows:

1. The Senior Indenture has been duly authorized, executed and delivered by the District, constitutes a valid and binding obligation of the District enforceable against the District and creates a valid lien on the Pledged Revenue and the other amounts pledged thereunder for the security of the 2024A Senior Bonds.

2. The Subordinate Indenture has been duly authorized, executed and delivered by the District, constitutes a valid and binding obligation of the District enforceable against the District and creates a valid lien on the Subordinate Pledged Revenue and the other amounts pledged thereunder for the security of the 2024B Subordinate Bonds.

3. The Bonds have been duly authorized, executed, and delivered by the District and are valid and binding limited tax general obligations of the District payable solely from the Pledged Revenue, with respect to the 2024A Senior Bonds, and the Subordinate Pledged Revenue, with respect to the 2024B Subordinate Bonds, and other amounts pledged therefor in the respective Indentures, and are entitled to the benefits and security of the respective Indentures and are legally enforceable in accordance with their terms.

4. All taxable property of the District is subject to an ad valorem tax levy at the rate and in the amount of the Senior Required Mill Levy for the purpose of paying the principal of and interest on the 2024A Senior Bonds and at the rate and in the amount of the Subordinate Required Mill Levy for the purpose of paying the principal of and interest on the 2024B Subordinate Bonds.

5. The interest on the Bonds (i) is excludable from gross income for federal income tax purposes and (ii) is not an item of tax preference for purposes of computing the federal alternative minimum tax. The opinions set forth in this paragraph are subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended, that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The District has covenanted to comply with all of these requirements. Failure to comply with certain of these requirements may cause the interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds.

6. Interest on the Bonds is exempt from State of Utah individual income taxes.

We express no opinion herein regarding the accuracy, adequacy, or completeness of any offering material relating to the Bonds.

The rights of the holders of the Bonds and the enforceability thereof and of the documents identified in this opinion may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium, and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent applicable, and their enforcement may be subject to the application of equitable principles and the exercise of judicial discretion in appropriate cases.

This opinion is given as of its date, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may come to our attention or any changes in law that may occur after the date of this opinion.

Respectfully submitted,

APPENDIX G

BOOK-ENTRY-ONLY SYSTEM

The information in this section concerning The Depository Trust Company (“DTC”) New York, NY and DTC’s book-entry-only system has been obtained from DTC, and the District and the Underwriter take no responsibility for the accuracy thereof.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered certificate will be issued for the Bonds, as set forth on the cover page hereof, in the aggregate principal amount of each maturity of the Bonds and deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“**Direct Participants**”) deposit with DTC. DTC also facilitates the post trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“**DTCC**”). DTCC is the holding company for DTC, National Securities Clearing Corporation & Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“**Indirect Participants**”). DTC has a Standard & Poor’s rating of “AA+.” The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC’s records. The ownership interest of each actual purchaser of each Bond (“**Beneficial Owner**”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book entry-system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of Bonds; DTC’s records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants remain responsible for keeping accounts of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of the Bonds may wish to ascertain that the nominee holding the

Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds are to be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other name as may be requested by an authorized representative of DTC) is the responsibility of the District or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to Tender or Remarketing Agent, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to Tender or Remarketing Agent. The requirement for physical delivery of the Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit for tendered Bonds to Tender or Remarketing Agent's DTC account.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the District or the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered to DTC.

APPENDIX H

FORM OF INVESTOR LETTER

2024A Senior Bonds

September __, 2024

Viridian Farm Public Infrastructure District No. 1
c/o Snow Jensen & Reece
Tonaquint Business Park
912 West 1600 South, Suite B-200
St. George, UT 84770

UMB Bank, n.a.
1670 Broadway
Denver, Colorado 80202

Wells Fargo Securities, LLC
333 South Grand Ave., 9th Floor
Los Angeles, CA 90071

Re: Viridian Farm Public Infrastructure District No. 1 (in Salem City), Utah County, Utah
Limited Tax General Obligation Bonds, Series 2024A

Ladies and Gentlemen:

The undersigned (the “Purchaser”), being the initial purchaser of the Limited Tax General Obligation Bonds, Series 2024A (the “Bonds”) issued by Viridian Farm Public Infrastructure District No. 1 (in Salem City), Utah County, Utah (the “Issuer”), pursuant to an Indenture of Trust (Senior) dated as of September 1, 2024 (the “Indenture”), between the Issuer and UMB Bank, n.a., as trustee (the “Trustee”) does hereby certify, represent and warrant for the benefit of the Issuer and Wells Fargo Securities LLC (the “Underwriter”) and the Trustee, as set forth below, as of the date set forth above. Capitalized terms used and not otherwise defined in this investor letter have the respective meanings assigned to such terms in the Indenture.

(a) The Purchaser is (a) a “qualified institutional buyer” as that term is defined in Rule 144A under the Securities Act of 1933, as amended (the “1933 Act”), or (b) an “accredited investor” as that term is defined in Rule 501(a)(1), (2), (3), or (7) under the 1933 Act.

(b) The Purchaser acknowledges and agrees that the Purchaser’s failure to deliver this executed investor letter to the Underwriter by no later than the settlement date for the Bonds shall result in a cancellation of the sale of the Bonds to the Purchaser.

(c) The Purchaser has received and read a copy of (i) the Indenture (including the form of the Bonds), (ii) prior to the time of trade, the Limited Offering Memorandum dated September 17, 2024 (“LOM”), and (iii) such other documents, agreements, certificates and instruments referenced therein or pertaining thereto or to the Bonds to which the Purchaser is a party, if any, or deems necessary and appropriate in its evaluation of the Bonds. Further, the Purchaser acknowledges that the Underwriter has provided the Purchaser with all material information relating to the transaction and the Bonds.

(d) The Purchaser has sufficient knowledge and experience in financial and business matters, including the purchase and ownership of taxable and tax-exempt obligations and is capable of evaluating the merits and risks of its investment in the Bonds and, based on such knowledge and experience, the LOM and the Purchaser's own internal due diligence, has evaluated such risks and merits to its satisfaction. The Purchaser is able to bear the economic risk of, and an entire loss of, an investment in the Bonds.

(e) The Purchaser has made its own inquiry and analysis with respect to the Issuer, the Developer, the Bonds and the security therefor, and other material factors affecting the security for and payment of the Bonds. The Purchaser has been given access to all the documents referenced in the Indenture, including the Infrastructure Acquisition and Reimbursement Agreement, the Interlocal Agreement, the Master Development Agreement and such other documents and information as the Purchaser may have requested in writing, has been given the opportunity to make inquiries of the Issuer and the Developer to the extent it deemed necessary, and has utilized such access to its satisfaction. The Purchaser has performed its own financial analysis with regard to the Issuer and the Developer, the Project, and the ability of the Issuer to repay the Bonds from the sources pledged thereto, and has not relied upon the Underwriter with respect to the accuracy, completeness, or truth of any statement made or omitted concerning such matters. In making the decision to acquire the Bonds, the Purchaser has relied solely upon independent investigations made by the Purchaser. The Purchaser acknowledges receipt, prior to the time of trade, of the LOM, and that as such the Purchaser acknowledges that the Underwriter has provided the Purchaser with all material information relating to the transaction and the Bonds.

(f) The Purchaser represents that neither the Underwriter nor legal counsel to the Issuer has made any representation or warranty concerning the creditworthiness or financial condition of the Issuer or the Developer. The Purchaser is not relying upon the Underwriter or any of its affiliates or employees, or legal counsel to the Issuer, for advice as to the merits and risks of investment in the Bonds, or with respect to the competency or integrity of the management or operation of the Issuer or the Developer.

(g) The Purchaser understands that the Bonds are issued in Authorized Denominations of \$500,000 or any integral multiple of \$1,000 in excess thereof. The Indenture includes restrictions that prevent the sale or transfer of the Bonds in principal amounts of less than \$500,000 or any integral multiple of \$1,000 in excess thereof, other than through a primary offering (as that term is defined in SEC Rule 15c2-12). The Purchaser acknowledges and understands that the Bonds may be sold or transferred in minimum denominations of \$500,000, or any integral multiple of \$1,000 in excess thereof, solely to qualified institutional investors as that term is defined in Rule 144A under the 1933 Act and accredited investors as that term is defined in Rule 501(a)(1),(2),(3), or (7) under the 1933 Act.

(h) Please check the applicable box:

- ☐ The Purchaser is not a registered broker-dealer and is acquiring the Bonds solely for its own account for investment purposes, and does not presently intend to make a public distribution of, or to resell or transfer, all or any part of the Bonds. The foregoing shall not operate to prohibit subsequent transfers of the Bonds or any interest therein so long as such transfer is in compliance with applicable laws, including the 1933 Act and the transfer restrictions described in this investor letter and the Indenture, and the Purchaser acknowledges and agrees that it is solely responsible for complying with such laws and restrictions in connection with any such transfer.
- ☐ The Purchaser (i) is [a registered broker-dealer purchasing the Bonds and executing this investor letter in its capacity as a [registered investment advisor for certain advised accounts][hedge fund]], or [[a registered investment advisor], (ii)

intends to distribute and/or allocate the Bonds solely and exclusively to the accounts identified in Appendix 1 attached hereto, and (iii) hereby certifies that such account holder(s) have sufficient knowledge and experience in financial and business matters, including the purchase and ownership of taxable and tax-exempt obligations and are capable of evaluating the merits and risks of its investment in the Bonds. The Purchaser additionally certifies that, to the best knowledge of the Purchaser, after due inquiry, such account holder(s) do not presently intend to make a public distribution of, or to resell or transfer, all or any part of the Bonds. The foregoing shall not operate to prohibit subsequent transfers of the Bonds or any interest therein so long as such transfer is in compliance with applicable laws, including the 1933 Act and the transfer restrictions described in this investor letter and the Indenture, and the Purchaser acknowledges and agrees that it is solely responsible for complying with such laws and restrictions in connection with any such transfer.

(i) The Purchaser understands that the Bonds (i) are not registered under the 1933 Act and are not registered or otherwise qualified for sale under the “Blue Sky” laws and regulations of any state, (ii) are not listed on any stock or other securities exchange, (iii) carry no rating from any credit rating agency and that no credit rating has been sought or obtained with respect to the Bonds, (iv), may not be negotiable instruments under the Uniform Commercial Code, and (v) will not be readily marketable. Without limiting the Trustee’s obligations to comply with any applicable state and federal securities laws then in effect with respect to the sale or disposition of the Bonds, the Purchaser agrees that it will comply with any applicable state and federal securities laws then in effect with respect to any disposition of the Bonds by it, and further acknowledges that any current exemption from registration of the Bonds does not affect or diminish such requirements.

(j) Based on the Purchaser’s knowledge and experience, and the Purchaser’s own internal due diligence, the Purchaser is familiar with the conditions, financial and otherwise, of the Issuer. Further, the Purchaser understands that the Bonds involve a high degree of risk.

(k) The Purchaser has authority to purchase the Bonds and to execute this investor letter and any other instruments and documents required to be executed by the Purchaser in connection with the purchase of the Bonds, if any. The undersigned is authorized to cause the Purchaser to make the certifications, representations and warranties contained herein by execution of this investor letter on behalf of the Purchaser.

(l) Neither the Underwriter, the Trustee nor the Issuer, nor any of their respective members, governing bodies, or employees, counsel or agents will have any responsibility to the Purchaser for the accuracy or completeness of information obtained by the Purchaser from third parties or their agents regarding the Bonds, the provision for payment thereof, or the sufficiency of any security therefor. The Purchaser has sought such accounting, legal and tax advice as it considers necessary to make an informed investment decision. The Purchaser acknowledges that, as among the Underwriter, the Purchaser, the Issuer and the Trustee, the Purchaser has assumed responsibility for obtaining such information and making such review as the Purchaser deemed necessary or desirable in connection with its decision to purchase the Bonds.

(m) The Purchaser understands the meaning and legal consequences of the representations set forth herein and that the Issuer and the Underwriter, and their respective counsel and Bond Counsel will rely upon the accuracy and truthfulness of the representations and warranties contained herein and hereby consents to such reliance. Further, the Purchaser understands that the Issuer and the Underwriter, have

relied and will rely upon the Purchaser's representations contained herein for purposes of qualifying the Bonds for an exemption from SEC Rule 15c2-12.

(n) All representations contained in this investor letter shall survive (i) the acceptance of the Purchaser's proposed acquisition of the Bonds, (ii) changes in the transactions, documents, and instruments relating to the Bonds that are not material, and (iii) any death, dissolution, or reorganization of the Purchaser. The certifications, representations and agreements set forth in this investor letter are provided solely for the benefit of and may be relied upon only by the Issuer, its counsel and the Underwriter and its counsel.

(o) The Purchaser understands that Wells Fargo Securities, LLC is registered with the U.S. Securities and Exchange Commission and the Municipal Securities Rulemaking Board ("MSRB"); and that an investor brochure is available at the MSRB's web site (www.msrb.org) that describes the protections that may be provided by MSRB rules and how to file a complaint with an appropriate regulatory authority.

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The Purchaser acknowledges that the issuance of the Bonds to the Purchaser is made in reliance upon the certifications, representations and warranties herein by the addressees hereto.

[PURCHASER]

By: _____
Name: _____
Title: _____

cc:

Appendix 1

The Purchaser is allocating the Bonds to the accounts specified below.

<u>Name of Account</u>

2024B Subordinate Bonds

September __, 2024

Viridian Farm Public Infrastructure District No. 1
c/o Snow Jensen & Reece
Tonaquint Business Park
912 West 1600 South, Suite B-200
St. George, UT 84770

UMB Bank, n.a.
1670 Broadway
Denver, Colorado 80202

Wells Fargo Securities, LLC
333 South Grand Ave., 9th Floor
Los Angeles, CA 90071

Re: Viridian Farm Public Infrastructure District No. 1 (in Salem City), Utah County, Utah
Subordinate Limited Tax General Obligation Bonds, Series 2024B

Ladies and Gentlemen:

The undersigned (the “Purchaser”), being the initial purchaser of the Subordinate Limited Tax General Obligation Bonds, Series 2024B (the “Bonds”) issued by Viridian Farm Public Infrastructure District No. 1 (in Salem City), Utah County, Utah (the “Issuer”), pursuant to an Indenture of Trust (Subordinate) dated as of September 1, 2024 (the “Indenture”), between the Issuer and UMB Bank, n.a., as trustee (the “Trustee”) does hereby certify, represent and warrant for the benefit of the Issuer and Wells Fargo Securities LLC (the “Underwriter”) and the Trustee, as set forth below, as of the date set forth above. Capitalized terms used and not otherwise defined in this investor letter have the respective meanings assigned to such terms in the Indenture.

(a) The Purchaser is (a) a “qualified institutional buyer” as that term is defined in Rule 144A under the Securities Act of 1933, as amended (the “1933 Act”), or (b) an “accredited investor” as that term is defined in Rule 501(a)(1), (2), (3), or (7) under the 1933 Act.

(b) The Purchaser acknowledges and agrees that the Purchaser’s failure to deliver this executed investor letter to the Underwriter by no later than the settlement date for the Bonds shall result in a cancellation of the sale of the Bonds to the Purchaser.

(c) The Purchaser has received and read a copy of (i) the Indenture (including the form of the Bonds), (ii) prior to the time of trade, the Limited Offering Memorandum dated September 17, 2024 (“LOM”), and (iii) such other documents, agreements, certificates and instruments referenced therein or pertaining thereto or to the Bonds to which the Purchaser is a party, if any, or deems necessary and appropriate in its evaluation of the Bonds. Further, the Purchaser acknowledges that the Underwriter has provided the Purchaser with all material information relating to the transaction and the Bonds.

(d) The Purchaser has sufficient knowledge and experience in financial and business matters, including the purchase and ownership of taxable and tax-exempt obligations and is capable of evaluating the merits and risks of its investment in the Bonds and, based on such knowledge and experience, the LOM

and the Purchaser's own internal due diligence, has evaluated such risks and merits to its satisfaction. The Purchaser is able to bear the economic risk of, and an entire loss of, an investment in the Bonds.

(e) The Purchaser has made its own inquiry and analysis with respect to the Issuer, the Developer, the Bonds and the security therefor, and other material factors affecting the security for and payment of the Bonds. The Purchaser has been given access to all the documents referenced in the Indenture, including the Infrastructure Acquisition and Reimbursement Agreement, the Interlocal Agreement, the Master Development Agreement and such other documents and information as the Purchaser may have requested in writing, has been given the opportunity to make inquiries of the Issuer and the Developer to the extent it deemed necessary, and has utilized such access to its satisfaction. The Purchaser has performed its own financial analysis with regard to the Issuer and the Developer, the Project, and the ability of the Issuer to repay the Bonds from the sources pledged thereto, and has not relied upon the Underwriter with respect to the accuracy, completeness, or truth of any statement made or omitted concerning such matters. In making the decision to acquire the Bonds, the Purchaser has relied solely upon independent investigations made by the Purchaser. The Purchaser acknowledges receipt, prior to the time of trade, of the LOM, and that as such the Purchaser acknowledges that the Underwriter has provided the Purchaser with all material information relating to the transaction and the Bonds.

(f) The Purchaser represents that neither the Underwriter nor legal counsel to the Issuer has made any representation or warranty concerning the creditworthiness or financial condition of the Issuer or the Developer. The Purchaser is not relying upon the Underwriter or any of its affiliates or employees, or legal counsel to the Issuer, for advice as to the merits and risks of investment in the Bonds, or with respect to the competency or integrity of the management or operation of the Issuer or the Developer.

(g) The Purchaser understands that the Bonds are issued in Authorized Denominations of \$500,000 or any integral multiple of \$1,000 in excess thereof. The Indenture include restrictions that prevent the sale or transfer of the Bonds in principal amounts of less than \$500,000 or any integral multiple of \$1,000 in excess thereof, other than through a primary offering (as that term is defined in SEC Rule 15c2-12). The Purchaser acknowledges and understands that the Bonds may be sold or transferred in minimum denominations of \$500,000, or any integral multiple of \$1,000 in excess thereof, solely to qualified institutional investors as that term is defined in Rule 144A the 1933 Act and accredited investors as that term is defined in Rule 501(a)(1),(2),(3), or (7) under the 1933 Act.

(h) Please check the applicable box:

- ☐ The Purchaser is not a registered broker-dealer and is acquiring the Bonds solely for its own account for investment purposes, and does not presently intend to make a public distribution of, or to resell or transfer, all or any part of the Bonds. The foregoing shall not operate to prohibit subsequent transfers of the Bonds or any interest therein so long as such transfer is in compliance with applicable laws, including the 1933 Act and the transfer restrictions described in this investor letter and the Indenture, and the Purchaser acknowledges and agrees that it is solely responsible for complying with such laws and restrictions in connection with any such transfer.
- ☐ The Purchaser (i) is [a registered broker-dealer purchasing the Bonds and executing this investor letter in its capacity as a [registered investment advisor for certain advised accounts][hedge fund]], or][a registered investment advisor], (ii) intends to distribute and/or allocate the Bonds solely and exclusively to the accounts identified in Appendix 1 attached hereto, and (iii) hereby certifies that such account holder(s) have sufficient knowledge and experience in financial and

business matters, including the purchase and ownership of taxable and tax-exempt obligations and are capable of evaluating the merits and risks of its investment in the Bonds. The Purchaser additionally certifies that, to the best knowledge of the Purchaser, after due inquiry, such account holder(s) do not presently intend to make a public distribution of, or to resell or transfer, all or any part of the Bonds. The foregoing shall not operate to prohibit subsequent transfers of the Bonds or any interest therein so long as such transfer is in compliance with applicable laws, including the 1933 Act and the transfer restrictions described in this investor letter and the Indenture, and the Purchaser acknowledges and agrees that it is solely responsible for complying with such laws and restrictions in connection with any such transfer.

(i) The Purchaser understands that the Bonds (i) are not registered under the 1933 Act and are not registered or otherwise qualified for sale under the “Blue Sky” laws and regulations of any state, (ii) are not listed on any stock or other securities exchange, (iii) carry no rating from any credit rating agency and that no credit rating has been sought or obtained with respect to the Bonds, (iv), may not be negotiable instruments under the Uniform Commercial Code, and (v) will not be readily marketable. Without limiting the Trustee’s obligations to comply with any applicable state and federal securities laws then in effect with respect to the sale or disposition of the Bonds, the Purchaser agrees that it will comply with any applicable state and federal securities laws then in effect with respect to any disposition of the Bonds by it, and further acknowledges that any current exemption from registration of the Bonds does not affect or diminish such requirements.

(j) Based on the Purchaser’s knowledge and experience, and the Purchaser’s own internal due diligence, the Purchaser is familiar with the conditions, financial and otherwise, of the Issuer. Further, the Purchaser understands that the Bonds involve a high degree of risk.

(k) The Purchaser has authority to purchase the Bonds and to execute this investor letter and any other instruments and documents required to be executed by the Purchaser in connection with the purchase of the Bonds, if any. The undersigned is authorized to cause the Purchaser to make the certifications, representations and warranties contained herein by execution of this investor letter on behalf of the Purchaser.

(l) Neither the Underwriter, the Trustee nor the Issuer, nor any of their respective members, governing bodies, or employees, counsel or agents will have any responsibility to the Purchaser for the accuracy or completeness of information obtained by the Purchaser from third parties or their agents regarding the Bonds, the provision for payment thereof, or the sufficiency of any security therefor. The Purchaser has sought such accounting, legal and tax advice as it considers necessary to make an informed investment decision. The Purchaser acknowledges that, as among the Underwriter, the Purchaser, the Issuer and the Trustee, the Purchaser has assumed responsibility for obtaining such information and making such review as the Purchaser deemed necessary or desirable in connection with its decision to purchase the Bonds.

(m) The Purchaser understands the meaning and legal consequences of the representations set forth herein and that the Issuer and the Underwriter, and their respective counsel and Bond Counsel will rely upon the accuracy and truthfulness of the representations and warranties contained herein and hereby consents to such reliance. Further, the Purchaser understands that the Issuer and the Underwriter, have relied and will rely upon the Purchaser’s representations contained herein for purposes of qualifying the Bonds for an exemption from SEC Rule 15c2-12.

(n) All representations contained in this investor letter shall survive (i) the acceptance of the Purchaser's proposed acquisition of the Bonds, (ii) changes in the transactions, documents, and instruments relating to the Bonds that are not material, and (iii) any death, dissolution, or reorganization of the Purchaser. The certifications, representations and agreements set forth in this investor letter are provided solely for the benefit of and may be relied upon only by the Issuer, its counsel and the Underwriter and its counsel.

(o) The Purchaser understands that Wells Fargo Securities, LLC is registered with the U.S. Securities and Exchange Commission and the Municipal Securities Rulemaking Board ("MSRB"); and that an investor brochure is available at the MSRB's web site (www.msrb.org) that describes the protections that may be provided by MSRB rules and how to file a complaint with an appropriate regulatory authority.

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The Purchaser acknowledges that the issuance of the Bonds to the Purchaser is made in reliance upon the certifications, representations and warranties herein by the addressees hereto.

[PURCHASER]

By: _____
Name: _____
Title: _____

cc:

Appendix 1

The Purchaser is allocating the Bonds to the accounts specified below.

<u>Name of Account</u>

